Borosil Renewables (BORORENEW)

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Call: Aug 2022

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Symbol: BORORENEW BOROSIL
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August 12, 2022
Dear Sir/ Madam,
Subject: Transcript of Institutional Investors and Analysts Conference Call
We enclose transcript of conference call with Institutional Investors and Analysts which was held on August 10, 2022.
You are requested to take the same on record.
Yours faithfully,
For Borosil Renewables Limited
(1; M uolida)
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Company Secretary and Compliance Officer
Membership no. FCS 7064
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Borosil Renewables Ltd
Q1 FY23 Earnings Conference Call

Event Date / Time : 10/08/2022 , 15:00 Hrs
Event Duration : 57 minutes and 57 seconds

CORPORATE PARTICIPANTS:

Mr. Sumit Kishore ,
Axis Capital

Mr. PK Kheruka ,
Executive Chairman

Mr. Ashok Jain ,
Whole Time Director

Mr. Sunil Roongta ,
Chief Financial Officer

Mr. Swapnil Walunj,
Head- Marketing

Q&A PARTICIPANTS:

1. Vishal Mahajan – Individual Investor
2. Anuj Upadhaya – HDFC
3. Dhruv Kashyap – Individual Investor
4. Amit Lohia – Individual Investor
5. Jimesh Sanghvi – Star Union
6. Dhairya Trivedi – DJT Investments
7. Mohit Kumar – DAM Capital
8. Avnish Kara – VT Capital
9. Pankaj Kumar – Individual Investor

Moderator

Good afternoon, ladies and gentlemen. I’m Kritika, moderator for the conference call. Welcome to Borosil Renewables Limited Q1 FY23 Earnings Call hosted by Axis Capital. As a reminder, all participants’ lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch tone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Sumit Kishore of Axis Capital. Thank you and over to you, sir.

Sumit Kishore

Thank you, Kritika. Good afternoon. On behalf of Axis Capital, I'm pleased to welcome you all for the Borosil Renewables Q1 FY23 earnings conference call. We have with us the management team of Borosil Renewables, which is represented by Mr. P.K. Kheruka, Executive Chairman; Mr. Ashok Jain, Whole-Time Director; Mr. Sunil Roongta, Chief Financial Officer; and Mr. Swapnil Walunj, Head- Marketing. We will begin with the opening remarks by Mr. Kheruka, followed by an interactive Q&A session. Over to you sir.

P. K. Kheruka

Good afternoon and welcome to the Borosil Renewables Q1 FY23 investor call. It is a pleasure to be interacting with you once again. The Board of the company approved the company's financial results for Q1 on August 9th. Our results and an updated presentation have been sent to the stock exchanges and have also been uploaded on the company's website.

During Q1 FY23, the company reported net revenue from operations of INR 170 crores, a growth of 25% over the same quarter in the last year. Sales volumes on a quantitative basis also grew by 23%. Solar glass in the domestic market has been strong, has seen strong demand as the manufacturing of domestic modules has picked up ever since the customs duty on import of modules, came into force from April 2022, which is also evident from the surge in imports of solar glass in this quarter due to limited availability domestically.

Export sales during quarter one financial year 2023 including to customers in SEZ, INR 39.5 crores comprising 23.3% of the turnover. Here again the demand is extremely robust. Average prices of solar tempered glass during the current quarter were INR 140.8 per millimetre, which is around the same level as in quarter one financial year 2022. However, as you are aware, prices grew vary based on the global demand and supply equation. The average selling prices have shown some improvement and the same were higher as compared to the immediately preceding quarter which is Q4 FY22 by about 4.5%.

I've been mentioning about rise in input costs mainly the soda ash and natural gas costs over the past two quarters in view of global situation. We have seen a partial impact in the immediately preceding quarter, and now a significantly higher impact in the current quarter. On the other hand, the increase in selling prices has covered only a part of the increase in costs. The company has been making efforts to reduce the impact in costs by increasing production and achieving cost savings in raw materials and electricity to some extent. We believe such decline in margins have been faced by our competitor

s as well.

During Q1 FY23, the company earned an EBITDA of INR 51.3 crores. The EBITDA margin has 30.2% has suffered a decline of 2,000 basis points, owing to cost inflation and raw materials and energy as above. We believe that the EBITDA margin during Q1 FY22 at 50.1% was abnormally high, a more sustainable level of EBITDA margin would be lower as mentioned in my earnings call. The company has existing contracts in some inputs, such as soda ash and natural gas till December 2022 as prices that are favorable as compared to current market prices.

The company continues to actively work on various cost optimization and efficiency improvement initiatives. However, margins would also depend on how unit selling prices of imports behave as the country is importing almost 75% of the requirement of solar glass as per latest data. This will of course have a bearing on global demand supply situation of solar glass. The anti-dumping duty on import of solar from China is due to expire on 17th August, 2022. We expect a new notification for continuation of the duty for another two years. During Q1 FY23, company earned a PBT of INR 40.3 crores. The PAT was INR 30.1 crores as compared to INR 39.6 crores during the corresponding quarter in the previous year, a decline of 24%.

The demand for solar glass remains high in both the domestic and export markets. As I mentioned in the last quarter, the current geopolitical climate has heightened the need for energy security for each country by enhancing solar capacities available from domestic production. Policy and fiscal measures undertaken by the Government in the recent past are encouraging a rise in solar installations in the country, which is evident from the order pipeline for solar installations. We believe the domestic manufacturing of solar modules will rise to a significantly higher percentage of installations, which augers well for the demand for solar glass.

Ministry of Power published a Green OA policy as Electricity Promoting Renewable Energy Through Green Energy Open Access Rules, 2022 in June 2022. This policy also likely to benefit the domestic solar module manufacturers, OEMs, since the Open Access and Net-Metering rooftop solar projects will need to source solar modules from the vendors listed in ALMM, approved list of models and manufacturers, starting 1st October 2022. Presently, only domestic OEMs are approved under ALMM. This is expected to increase domestic manufacturing and demand for solar glass.

During FY22, the average pool of glass for our furnaces was 49 tonnes per day on a capacity of -- sorry 449 tonnes per day on a capacity of 450 tonnes per day. So, this would mean 100% of capacity was being drawn on an average basis. We have been producing at capacity and selling out the entire production. We are therefore keenly looking forward to the commissioning of a brownfield Expansion Project SG3 that will enhance the capacity by another 550 tonnes per day.

Global supply chain bottlenecks have delayed the commissioning by three months. We now anticipate that the project can be commissioned by October 2022. We expect to take up the next expansion by way of SG4 of 1,100 tonnes per day in the immediate future, and approval of shareholders has been sought for raising equity up to INR 1,100 crores by issuing new shares. Last quarter, we had announced the acquisition of 100% stake in lnterfloat group, the largest solar glass manufacturer in Europe. The closing of transactions has been held back due to leakage in the furnace of GMB in the last week, until we assess the impact of the same on the transaction.

Accordingly, the resolution for issue of shares to sellers, on a preferential basis has been withdrawn from the ensuing meeting of the shareholders being held on 11th August. In the meantime, we continue to believe that the demand for s

olar glass in Europe is on the rise and has
good potential. In the meanwhile, we are trying to integrate the team to achieve expected efficiencies in the operations at GMB and BRL. We have acquired a floated to wholly owned subsidiaries in Europe, which will act as SPV's for this transaction.

BRL is conscious of the need to make its operations furthermore environment friendly. We are setting up a 10 MW captive power plant of solar plus wind energy to an SPV in which BRL will have 31.2% shareholding. This project is expected to be commissioned by December 2022 and BRL will be able to use this green power besides reducing the cost. We are also looking at further opportunities to tap the potential to use solar plus wind power.

The overall demand situation for solar glass is looking to be extremely robust both in India as well as in other important markets like Europe, USA and Turkey. We see growth opportunities for meeting this requirement. Most nations are trying to raise domestic production of solar cells and modules, and also trying to reduce dependence on Southeast Asia, which places India in an advantageous position for exports as well, particularly due to the fact that there are no serious capacities in other markets to produce solar glass. Our step about having manufacturing in Europe through Interfloat, GMB fits in well. All-in-all, we remain bullish on the growth. With that, I would now like to open the floor to questions that you may have.

Moderator

Thank you, Sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask a

question. If you would like to withdraw your request, you may do so by pressing * and 1. I repeat, if you have a question, please press * and 1 on your telephone keypad. First question comes from Mohit Kumar from DAM Capital. Please go ahead.

Mohit Kumar

Three questions from my side, Sir. Sir, what is the duty structure at this point of time? Is there no duty as an import duty, is that the right understanding?

Management Team

There is no basic customs duty on the import of solar glass. Having said that, there is an anti dumping duty on imports of solar glass from China, which is at the very least about 10% to 11%. It goes up to 60% for different manufacturers. There is an import or there's a countervailing duty on import of solar glass from Malaysia, which is just under 10% at about 9.71%. There is no import duty on import of solar glass from Vietnam.

Mohit Kumar

Understood. Secondly is around the, given with our second capacity or SG3 is about to commission, how do you intent to tie-up for gas, it would mostly stop or do you think are there any other alternative to the gas?

Management Team

I'm sorry, I couldn't quite follow your question.

Mohit Kumar

No, sir, do you intend, Sir, given the fact that SG3 will be up and running in some time. Do we need to tie-up for the gas requirements for medium term or long-term or do you intend to continue buying on the spot basis or is there any another alternative to fire our furnaces here?

Management Team

So, all our furnaces have dual-fuel capacity. So, dual-fuel capacity means that we can use at the minimum two types of fuels, which is the gas and which is a fossil fuel. Within the group of fossil fuels we can use furnace oil, we can use light diesel oil. So, at this moment, the SG3 we might be using furnace oil to fire that. Simply because that could be more economical.

Mohit Kumar

And lastly, on this, Sir, Interfloat at recent, it seems like that it's on hold. Is that understanding is right?

Management Team

I'm sorry, I didn't get your question.

Managemen

t Team

Yeah. So just to answer that we are keeping the transaction running as of now. But the decision to understand the impact of the situation of the GMB furnace leakage and what it will have impact on the transaction, that is under discussion. Once we have a clarity around these aspects then there may be certain renegotiations, but transition is very much there as of now.

Mohit Kumar

One more question [inaudible 00:13:48] sir, the Capex for the new SG4 it seemed to be on the higher side compared to SG3. Because if I remember correctly on 550 tonnes per day a year if you're spending around INR 500 crore. Is that the right number? And for the 1,100 tonnes per day we are spending up INR 1,400 crore?

Management Team

No. On 550 tonnes per day furnace, our revised estimate is INR 688 crores which has been approved recently by the Board and informed to the Exchanges. So, it is actually in line with the SG3 Capex only, which is the INR 1,400 crore, our estimate for SG4. So, it is almost double.

Mohit Kumar

And around SG1, SG2, SG3, SG4 in the same campus. Is it correct?

Management Team

Please repeat. Your voice is not very clear.

Mohit Kumar

So, my question is, all this SG1, SG2, SG3, and SG4 are in the same campus, right?

Management Team

Absolutely.

Mohit Kumar

Same location?

Management Team

Yes.

Mohit Kumar

Understood, Sir. Thank you and all the best.

Moderator

Thank you, Sir. Next question comes from Amit Lohia, an individual investor. Please go ahead.

Amit Lohia

Hi. Good afternoon, Sir. Sir, my question is, like, what's the main impact in declining revenue by 5% QoQ? Is it because of any volume decline?

Management Team

The volume has in fact, gone up. The reason is the price, selling price, which has caused that to happen.

Amit Lohia
So, what was the average selling price in Q1 as compared to Q4? Like, in Q4 you mentioned plus INR 141 or INR 134. Sorry. Per, like square meter, per millimeter. And this time it is 140. Am I right?

Management Team

Yeah. So Q4 was INR 135 thereabouts and Q1 is about INR 140 thereabouts. So, which is what as was mentioned in the opening remarks, that there is an increase of 4.5% compared to Q4, but it is not enough to cover all the costs.

Amit Lohia

Okay. Understood, Sir. Thank you.

Moderator

Thank you, Sir. So next question comes from Dhairya Trivedi from DJT Investment. Please go ahead.

Dhairya Trivedi

Yeah. Hi. Thanks for taking my question. So, by calendar year 2024 we are going to increase our capacity to 2,100 tonnes per day, which equals to about 12.5 gigawatt worth of module manufacturing. Now, given the fact that about 37 gigawatt of module manufacturing capacities to be added over the next two or three years. Don't you think that even at 2,100 tonnes per day we'll be able to cater to only 1/3rd of the incremental demand? And in light of this, do we have plans to further increase the capacity from 2,100 tonnes per day?

Management Team

Actually, there are announcements by many other people about the increase in capacities, and many of them have already started work in right earnest. So, I believe that we might see a lot of extra capacity coming up. I think capacity on the annual is nearly 6 GW now. So, we need to see what actually comes up and what is the fate of the people who are bringing it up, and how good the glass is and how well it is selling, all these things need to be examined.

So, that's why right now, talking about further increases after the SG4 seems to me to be a bit premature. Though having said that, I would say that the demand for solar modules, there seems to be no end in sight for that. So, if you have no

end in sight for solar modules, then there is no
end to the demand for glass as well. But, as far as we are concerned, we are not talking beyond SG4 for the time being.

Management Team

Just to also clarify here, the module manufacturers capacity utilization is rather low as compared to solar glass manufacturers, which is a continuous process plant. In Module industry, we have seen that typical utilization on an average for the industry is 50% to 60%. So, though there may be a capacity of say about 50 GW going forward, if you really look at the actual capacity utilization of about say 50% to 60%, the manufacturing maybe 25 GW to 30 GW. So that requirement of glass will be only corresponding to the actual utilization.

Dhairya Trivedi

Understood. So, these new players who are setting up capacity, that is for solar module manufacturing, right? That is not necessarily for solar glass. Is my understanding correct?

Management Team

Yeah. This 37 GW which you said is for module manufacturing. And the 6 GW which Mr. Kheruka said is regarding solar gas production lines, which will be equal to 6 GW. So, 12.5 GW of ours and 6 GW of this will already make it 18.5 GW.

Dhairya Trivedi

Okay. So, is there somebody else apart from us, who's also setting up capacity in the glass space, solar glass space?

Management Team

Yeah. So, these 6-gigawatt capacities, which we mentioned is coming from other players, other than Borosil.

Dhairya Trivedi

Okay. Understood. And just one last question on the bookkeeping front. What is the likely interest cost going to be for this financial year?

Management Team

Actually, it is very miniscule as of now because we are hardly using any working capital. And once the full utilization starts happening maybe in Q4 of this calendar year, then there will be interest costs, but today it is difficult to confirm what it would be.

Dhairya Trivedi

Okay. But most likely it will be negligible, right, during the course of the financial year?

Management Team

It will start to getting utilized, yes. And also, there will be interest on the term loan which we have taken for the SG3.

Dhairya Trivedi

Okay. And what is the quantum of that term loan, please?

Management Team

We have in book about INR 250 crores overall.

Dhairya Trivedi

Okay. So, the interest from that will start accruing from next year, is that understanding correct?

Management Team

It will start, I mean, on commercial production startup because currently the interest is getting capitalized because of the construction period. So, once the commissioning happens in say, October, the interest will get accounted in the profit loss account.

Dhairya Trivedi

Okay. All right. Understood. Thank you so much. All the best.

Management Team

Thank you.

Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on a telephone keypad. I repeat, if you have a question, please press * and 1 on a telephone keypad. We are having a question from Dhruv Kashyap, an individual investor. Please go ahead.

Dhruv Kashyap

Yeah. Hi. Good afternoon, Sir. My first question was on the anti dumping duty, which is getting over on the 17th of August. And my understanding is that a very strong case had been presented to the DGTR, and DGTR in turn to the Commerce Ministry and then the Finance Ministry. But that, I think the case was presented sometime in the month of May by the DGTR to the Commerce Ministry. Now we are sitting on the 10th of August with six days to go before the current duty expires. So, do we have any view? Or

I mean, do we have any signaling from the government that is it actually coming?

Management Team

Well, it's been recommended by the Ministry of Commerce by the designated authority. And typically, the Ministry of Finance does not issue the notification until the end. So we have no signal at all that it's not coming.

Dhruv Kashyap

Okay, great. The second question, Sir, was on the Interfloat GmbH acquisition. Now my understanding is, it's a very recent development about the gas leak etc. And obviously, the buyer should be doing their own check to see what's the level of damage etc. But how are you or the Board reading it that, is this like a pause or is this a full stop? And have teams already been dispatched to it? I mean, what's the kind of timeline you're looking at to say yes, no, maybe?

Management Team

That's a difficult question to answer, the second question. But the first question, whether we're looking at it as a stop button or a pause button, I would definitely say it's a pause button. It's not at all a stop button.

Management Team

And also, the leakage is actually in the font. It's not a gas leakage, it's glass leakage. So after a certain years, there could be wear and tear in the glass furnaces like this. And typically, it can be

repaired. So the team of experts is already working on it. And we will hear soon that what will be the outcome, how it will proceed, going forward, and what will be the time horizon within which the factory can come back to production.

Dhruv Kashyap

So, just to conclude this point, Sir, that what you're saying is that there's already some sort of assessment being done. And if you believe that, it's worth going ahead with the investment, then you will come back at some time in the future, even though if it might be at a change cost or change terms and conditions, et cetera. And at that time, you will come back and then you will put in that point about taking approval for raising or issuing the preference shares. But the way I hear you say it is that it's not that the deal is lost?

Management Team

No, not at all. You're right. The deal is not lost at all.

Dhruv Kashyap

Okay. So, this is a pause like you said more than anything else. Sir, my third and final question is that, now that you have decided to combine the 550 plus 550 into a 1,100 tonne furnace as SG4. So basically SG4 and SG5 has been collapsed into SG4, and which makes eminent sense in terms of scale and economies and Capex and so on and so forth. But would you have any idea by when do you want to? Because see, the thing is that while you are saying that in 2024, say the same time October or something you will have it up and about. But basis the experience of a 550 tonne furnace that you've just been trying to put up which became delayed because of various reasons. Would you not think that you would want to have some timeline on when you want to take it to the market and raise funds and so that this time, there is no delays on the SG4 in 2024?

Management Team

I really want to make a point clear that our design, meaning our plant layout, the selection of equipment, and the engineering from our side was correctly done, even for SG3, and everything was ordered on time correctly and there's been no change from our side. The change which has happened is that because of this COVID business. You see a lot of our suppliers have suffered great shortfalls in availability of labor. And therefore, they simply have not been enough people at the supplier's plants to manufacture the equipment that we needed. That is one point. The second point is there has been a global disruption on ocean freight.

So some people who are supplying equipment to us are depending in tur

n for part of their inputs
to come from other countries by sea. When they don't receive those inputs in time, their supplies to us get delayed. The third thing is that there has been a huge shortage of computer chips. Almost all machines that we buy, they are govern by PLC, which are Process Logic Controllers, which are sort of a term used to denote an industrial computer chip. And there has been a shortage of these industrial computer chips. So even if the machine has been really the computer chip has not been. And therefore, there has been a delay in supply.

So even for the 1,100 tonne plant we have our design ready. It's a question of when the time is ripe to go to the suppliers and take prices and open letters of credit and do negotiate the prices and then arrange the shipment. So, we feel that by the end of 2024 the plant should be up and running

Management Team

On the fund side, we already moved a resolution to the shareholders to approve equity raise of INR 1,100 crores, and the balance will fund either internally or we take some loans. So on the fund side we are getting ready already. In SG3 also there was no problem of funds being available or like that. It has been explained by Mr. Kheruka. All the delays were actually happening at the other side, the supplier side, because of situation out of control.

So, we are taking enough controls and measures from our side that the project is executed in time. In fact SG2 project which we did earlier was executed in a record time of 14 months. So our team is fully capable to handle this new project as well. And we hope that they will be able to deliver 1,100 tonne furnace also in record time.

Dhruv Kashyap

Right, Sir. Thank you so much for the clarifications and all the very best. Cheers.

Management Team

Thank you.

Moderator

Thank you, Sir. Next question comes from Avnish Kara from VT Capital. Please go ahead.

Avnish Kara

Hello. Sir, my first question is on the 1,100 tonnes per day that you're going to be setting up. So because of combining two furnaces together, how much extra production incrementally do you expect to happen?

Management Team

Can you repeat your question? I think you said that we're setting up for something.

Avnish Kara

No. My question is on the SG-4 that is going to come on online. How much more production will we be able to do simply because the furnace is much larger than having two separate 550 tonnes per day furnaces?

Management Team

The production output will be 1,100 tonnes, only. But there'll be efficiencies in the cost of melting. So, there'll be a reduction in the consumption of fuel that we definitely foresee.

Avnish Kara

So then, do you expect margins to be significantly different once we have a much larger furnace?

Management Team

Well, that I can only say that the cost of the consumption will be reduced. The question of margins all depends on the cost of the input, you see, and the availability of the input. We are today foreseeing a shortage of gas. And that is only because of artificial reasons, as we all know, that there is Russia stock supply of gas through Europe and then Europe is buying gas from everywhere. And therefore, the prices that are being driven up are not really by any sensible reason. So we don't know how long this is going to go on. And finally, Russia has to sell its gas also. So, at the end of the day, it's not as if the world's demand for gas or consumption of gas has gone up that much more. So, I mean, the current prices should see a decline from the standpoint of common sense. But I'm not an expert in the gas futures, I cannot really say.

Avnish Kara

Right. Coming to the natural gas scenario. So, in case that

, you know, there are no supply chain
issues in the future, then do you think it's possible that being a solar glass manufacturer we'll get priority when it comes to APM or the supply that comes through GAIL?

Management Team

No. Unfortunately, no, because the APM gas is almost fully earmarked for the public sector and CG etc. Industry has very little quota under the APM, we have to buy all of our requirement, either from market, or we can alternatively use furnace oil, which at the moment is cheaper than the price of gas. So eventually, we have to choose between the two what it works out, finally. But we believe that the prices of oil and gas would moderate in course of time, and then we'll be able to select what to do.

Avnish Kara

Okay. I understood. And the green captive plant that you have that is being set up the 10 megawatt one. So that is going to be only for consumption of power for the office, I'm assuming, right? That can't be used for the furnaces. So, how much apart from the furnace, how much are you spending in absolute terms on the rest of the power in your entire facility?

Management Team

So, actually, most of the electricity usage happens post-production of glass, after furnace. Until furnace production there is a little amount of electricity. But in processing the glass, which is like tempering or say grinding, power is used. So, most use of power in after processing after producing of glass which is where we'll be using this power. But it can be used for anywhere in the plant. It's not like that you use it in pre-production or post-production. So, I guess in the overall consumption it will get adjusted.

Management Team

Yeah. The overall consumption is a very much higher than 10 MW. So 100% of this will get utilized by us.

Avnish Kara

Right. So, is it possible to quantify how much our overall consumption in MWs is?

Management Team

So, we have a contract demand of 25 MW, and our consumption would be roughly around say 15 or so.

Avnish Kara

Okay, and just if I could squeeze in one last question. The furnace in Europe is quite old, as you said, right, because of that's where the last leakage happened. So does that means that since it's an old furnace maybe the utilization level over there will be a little lower than what we're running right now in India?

Management Team

That's a different furnace design, which is completely different from us. And when you said we have to evaluate everything, that's something that we don't know about how and what the immediate future looks. See, we have to give them some time for them to make an assessment and give us a report. And once they give us a report and make a statement, then we go meet them and try to make an evaluation of what's going on what they wish to do, with something on mind. So, it's a little premature to give any projections on it.

Avnish Kara

Right. Understood. Thank you so much and all the best

Management Team

Thank you.

Moderator

Thank you, sir. Next question comes from Jimesh Sanghvi from Star Union. Please go ahead.

Jimesh Sanghvi

Yeah. Hi, Sir. A couple of things. Sir, if you can, kind of let us know what are the contract prices for soda ash and natural gas that we have contracted into and how are the current prices higher in terms of percentage or anything if you can say, by what percentage are they higher compared to the contract prices?

Management Team

So, in terms of soda ash we have contract for supply up to December 2022. And that is at price which was prevailing in January-February 2022. So, we had entered a full year contract and the current prices are higher by about 30% over the contracted price. In terms of the gas, we have many d

ifferent types of contracts. Our average cost is roughly about INR 35 / SCM. The spot prices are much higher. It is more than two times, two-and-a-half times of the average price at which we are getting the gas.

But this we are buying hardly anything or rather nothing in the spot contracts. Because for the requirements to get we are using furnace oil at the moment. And as it's been said for the complete requirement of SG3 we are trying to use furnace oil. So we are not going to buy under export, as long as the same is costlier than furnace oil.

Jimesh Sanghvi

And secondly, Sir, just a clarification on to your, on the realization side, you said the realization were higher than 5% QoQ, wherein the volumes were flat. Is that the statement that you made or probably the volumes were down on a sequential basis?

Management Team

So, volumes were flat for QoQ basis, but on YoY basis the volume were about 23% high. In terms of the prices, the price level was roughly 4% to 5% higher from QoQ basis, but the prices were slightly lower compared to YoY basis, so that's a different.

Jimesh Sanghvi

So just wanted to, so basically, if I have to look at on our revenue front, it has declined by around 5% sequentially. So, when you are saying that there is a 5% increase in realization and the volumes were flat on a sequential basis. What is it that makes this revenue drop on a sequential basis?

Management Team

It is precisely the raw material input costs, energy and raw material cost.

Jimesh Sanghvi

No, sir, I'm purely talking on the turnover part. The turnover is down 5%, wherein you're seeing a realization increase of around 5%. So, were there any yield losses or something? So actual volumes are lower than what?

Management Team

Yeah, so volume was a little lower. Yes, you're right.

Jimesh Sanghvi

Okay. So, can you share, it was down by about around 8% to 10% or something of that, sir? Because they realization were higher by around 5%.

Management Team

I'll just come back on that point in a minute.

Jimesh Sanghvi

Sure. And, Sir, lastly if you can also share how easy it will be to ramp up the new furnace. Like, since you have been currently operating the smaller size furnaces, how easy it will be to ramp up the new furnaces and bringing it up to the optimal utilization, do you have any technical challenges which you could face while ramping that up, if you can share your thoughts on that as well?

Management Team

Can you repeat your question please?

Jimesh Sanghvi

The new furnaces, like the 1,100, which we are targeting and the 550 which will be starting beginning October. They are the larger furnaces compared to the 250 or TPD furnaces that we are currently operating. So do you see any technical challenges in ramping up those furnaces and how easy it will be to get to full utilization?

Management Team

No. We don't see any challenges.

Jimesh Sanghvi

So, can we see it ramping up immediately to in the next six months to full utilization or it will be a slow and a gradual process? Or what are your opinions?

Management Team

In my opinion, 6 months is a long time.

Jimesh Sanghvi

Okay.

Management Team

Yeah. On the volume front, there was a change with data, there was a decline of about 9% in sales compared to QoQ, yeah.

Management Team

The production was higher.

Jimesh Sanghvi

Sir, sorry, missed you. Can't hear you, Sir.

Management Team

No. There a decline of 9% in the quantity down here.

Jimesh Sanghvi

You said production was higher?

Management Team

It was not. No.

Jimesh Sa

nghvi

No, it wasn't. Okay. Fine, Sir. And you also said in your opening comments that there were some imports which were there and which affected the market. So, can you just throw a little bit more light on that?

Management Team

Well, the imports are increasing because of the limited availability from us. We are the only domestic supplier as of now. So, our ability to supply remains constant because of capacity, but requirement is going up. So, the import share is rising in the overall consumption of solar glass in the country. And this of course is hampering us because of the prices, because the prices are not moving up. So on the price front it is hurting us as of now, not because of the volumes. And since the cost is going up and prices are not going up commensurately, it is hurting the margin. That is the constraint.

Management Team

There is a disturbance coming in from somewhere.

Moderator

The disturbance is from Jimesh's line.

Management Team

Better now.

Moderator

Can I move on to the next question, Sir?

Management Team

Yes, please.

Moderator

We're having a question from Anuj from HDFC. Please go ahead.

Anuj Upadhyay

Yeah. Hi, Sir. Thanks for the opportunity. Sir, just one clarity on SG3 which is expected to come up. You mentioned that for soda ash and gas we have a contract in December 2022. This is for the existing capacity. And for SG3, would it be operational under the same contract, or we are planning to have something on a spot basis to run the plant for the time being?

Management Team

Yeah. So, this we've discussed already that, for SG3 requirement we need to have fresh contract, but since the spot prices are very high, it will be imprudent on our part to enter into any long-term or medium-term contract for gas supply at the current prices. So, we are taking a call to use furnace oil instead of using natural gas for the time being. But once the price is moderates to a level where we are comfortable to enter into medium term or long-term contracts for gas, we will do so, as we go along. In terms of soda ash, our both the plant requirements are covered until December, and from December that is from January we'll have to enter into new contracts at the prevailing price. Currently the prices are higher than before.

Anuj Upadhyay

This is for SG3 as well you're saying? I mean till December the contract?

Management Team

Yeah. For the entire requirement we have.

Anuj Upadhyay

Okay. So, for the entire 1,000 TPD we have contract for soda ash. And in your initial remarks, sir, you mentioned that the company is working on few of the measures to bring down their cost down so that the margin can be improved from here on. Could you just elaborate what are those measures? Because considering the raw material costs or the power costs, which are in the near term unlikely to tamper down. So, how we are planning to base our margin going ahead or provide some kind of cushion to it?

Management Team

Yeah. So, we are working on various fronts. For example, finding a better economic base cost of raw materials, where we can save some money. Then to use a coating liquid which is cheaper. We have developed some liquid which is giving equal or better performance. So, we have started

to use that. So, these are a couple of things on the raw materials side. On the side of electricity, we have mentioned about using renewable power under our captive consumption route through renewable sources like solar and wind. So, all those efforts will lead to certain saving in the in the cost of production. And also, we are trying to increase the production quantity and efficiencies in generating the salable output which will aid to a highe

r production and thereby reduce the cost of
production.

Anuj Upadhyay

But this largely would get reflected from next fiscal onwards because you've already contracted in December for the current year. Is my assessment correct, or we could see some kind of benefit flowing in the current fiscal as well?

Management Team

It will flow in from the current, it has already started to flow in some measure already from the current quarter, July to September quarter. And we will see this gradually come actually. It cannot be done overnight. So, it will gradually reflect.

Anuj Upadhyay

Fine, sir. On the European plants, as you clearly mentioned that currently the status is on hold basis and not on stop basis. But anyway, this plant was old, and it was like supposed to get replaced by a new 500 TPD over next 1.5 year kind of a period. So, currently status solely has largely to do with on the continuation part? The one which we have already entered into, or it has to do more with the process design, which we need to work on something?

Management Team

See, we have to understand that the furnace is not very old. In fact, this kind of furnaces keep running for eight, nine years. We also run the furnace for nine years in solar glass. So, the furnace supplier had said that it will run for another one or two years, at least. And there's a minimum time which we can expect this furnace run to happen. But in glass furnaces typically these kinds of leakages can happen, and this is not like completely a no, no, thing that this cannot be resumed or like that.

So, we are trying, we are making all of our efforts along with the GMB team and with the furnace supplier to check what are the possibilities, how it can be put to effective use quickly, and then proper repair can be done at a later date. So, all those things are getting discussed between the three teams and we will find some resolution to the problem and then we will have an assessment

that how much of the impact it has on the transaction and whether the transaction needs to be relooked at in terms of the way it is structured today, or even the cost of the transaction overall from that perspective. All those things we'll be discussed with the current sellers and owners. And thereafter a call will be taken how this will be proceeded with.

Anuj Upadhyay

Fair point, sir. As on date, we haven't paid anything to the company, right, sir?

Management Team

Absolutely.

Anuj Upadhyay

Fine, sir. And lastly, sir on the customer perspective, I mean customer point of view. So, we have been seeing that rise in module prices, duty imposition, rupee depreciation all of us now impacted even the GIBK has impacted the execution of a solar project across the country. So, what kind of impact are we seeing on that front, sir? Even our projects are getting impacted because of these issues or we have some kind of contract with our existing customers based on which our volumes are not that highly impacted.

Management Team

So, on the side of glass demand, as I mentioned, as was mentioned in the call before, the demand for glass has gone up, the domestic module manufacturing is much higher than before. From the current data available, we see that almost 11-12 GW per annum of manufacturing is taking place in the country as against 6, 7 GW in the year gone by. So, the demand for glass and components in India for local manufacturing is quite high as compared to past and there is no dearth of orders, from that perspective for the solar glass. The challenge is around the prices because the cost is going up so fast and so much, it is difficult to get it realized in the prices because of the competition strategy to not go for full coverage of the cost increase.

Anuj Upadhyay

Fair point, Sir. Thanks for the opportunity.

Managemen

t Team

Okay.

Moderator

Thank you, sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, if you have a question, please press * and 1 on your telephone keypad. We are having a question from Vishal Mahajan, an industrial investor. Please go ahead.

Vishal Mahajan

Good afternoon, sir. I have a very basic question. And I was listening to you, you mentioned some of the great points that this company has. You just mentioned about very strong demand, no end in sight. You mentioned about duty is favoring us, no serious capacity is available, and quality of our glasses is very excellent. And yet we are struggling with pricing power out there. Could you please explain to me exactly how does this play out, why don't we have so much of pricing power, you did spell out that competition is trying to keep prices low. But at the same time, we have great quality of glass and we have really differentiators out there. So, any particular reason why they're not able to push prices up?

Management Team

So, this industry, one has to understand that is working mainly for grid connected solar farms. And all these are by way of bids and tenders, where lowest price bidder gets the tenders. And the challenge with him is to minimize his cost of procurement somehow, which is where challenges actually arise. If you have to keep quoting INR 2.42, INR 2.43, when the cost of everything has gone up so much, like the module prices have gone up by almost 30% in last six months. Similarly, the glass cost has gone up like this.

There is a sort of a tug of war between let's say procurement people and the module suppliers where the cost is high, but the developers are not willing to pay a higher costs because they've quoted at a lower price. And the developers, they have signed PPAs to supply the power and all those things. So, this is a Catch-22 situation which is where we are in today, and which is why there is a certain amount of pressure. Now, in terms of the ability to price our product to higher compared to the imports, we have to understand that we are sort of a marginal supplier as of now. Being only producer also we are a marginal supplier.

At 25% of the market share, 75% coming from the world's largest players who are more than, say, 20 times of our capacity. It becomes difficult to project ourselves as the price leader. And all along the industry worked on the basis of matching the imported landed cost in last so many years. So, this is how it has been. And when the prices were very high and our costs were not so high, we got better prices. And around this time, we have to also suffer on the same front that our

costs are rising, but the selling price is not able to increase. So, it's a strategy which the company has taken along with the customers, and we have to live by it, because this is how it has worked.

Vishal Mahajan

Understood, Sir. Thank you so much.

Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, if you have a question, please press * and 1 on your telephone keypad. We're having a follow-up question Mr. Trivedi from DJT Investments. Please go ahead.

Dhairya Trivedi

Yeah. Hi, sir. Thanks for taking my follow-up. So, I heard you saying that a new player is setting up capacity worth 6 gigawatts of module manufacturing. So, does that mean they will also have 1,000 tonnes per day capacity when that does come online?

Management Team

Yeah, there are a couple of players who are bundled into the 6 GW actually, and there are at least three players. The largest capacity is coming up through an associate of Mundra Solar that is Adani Company's associat

e which is setting up a plan for 600 tonne. And we believe that almost
70% to 80% of their production is going to be consumed internally by Mundra Solar and the rest they will be able to sell in the market. Besides them there are two more players who are setting a plant of about say 150 tonnes to 200 tonnes per day. So, all put together it is going to be about 1,000 tonnes per day which will be about 6 GW. Now, the progress of these plants is also delayed somewhat, and we believe that in calendar year 2023 and sometime in early 2024 this production capacity might come on stream.

Dhairya Trivedi

Okay. So, sir, is it safe to assume that, I mean, since so far you were the solo, sole manufacturer of solar glass in India. But now, with these additional players setting up capacity there is a high possibility of us conceding some market share to them?

Management Team

It does not translate into that exactly because there is an enough market available already plus the market is going up very fast. As you would know except 12 GW annually manufacturing in India as compared to 6 GW. So, demand is already quite high. But, yes, they will take the certain market share, and they might take share from import, they might take share from the growth in the demand, whichever way it happens. But we are sure to sell our volumes.

Dhairya Trivedi

Okay. And thus far, if I'm not mistaken, we had a 35% market share in the Indian market. And currently I heard you saying that the share has come down to 25%. So, does that mean that the Chinese players are capturing a larger share of the market?

Management Team

It's not a question of them capturing. Actually, there is no production available in India other than us and our capacity is already fully utilized. So, from where the balance demand will get covered? So naturally the consumers have to import. So, it's not the question of capturing or supplying or whatever it is. It's the question of meeting the demand.

Dhairya Trivedi

Okay. But our market share has reduced from 35% to 25%, right, because in the previous financial year.

Management Team

Because the demand has gone up and our share, our quantity remains the same.

Management Team

There is no change in our supply. Our supplies were unchanged. If the demand goes up, then the seller will buy from somewhere which is what is happening.

Dhairya Trivedi

Right. Understood. Got it, sir. Thank you.

Moderator

Thank you, sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. We're having a question from Bhavya from KRIIS PMS . Please go ahead.

Bhavya

Good evening, sir. So, I just had a question regarding like, what is the reason for the form in modules for this particular quarter?

Management Team

Can you repeat please? Your voice is not very clear.

Bhavya

Yeah. So, what was the reason for the fall in the volumes for the on a sequential rate?

Management Team

On a sequential basis, yes, there was some fall because in April and May our production levels, net production levels were rather lower compared to what they were in Q4. However, we have recovered the I mean, we have gone back to the previous level from June 2022, and we are trying to have even better numbers as we go along. So, we are confident that in the rest of the months we will be able to recover that difference or lost volume by way of increasing production.

Bhavya

Okay. Thank you. That's it from my side.

Moderator

Thank you, sir. Next question comes from Pankaj Kumar, an individual investor. Please go ahead.

Pankaj Kumar

Hello, Sir. So, my question is around, you just mentioned that Chinese player are having 75% marke

t share. So, my understanding was that there is already import duty in place. So, how much is the import duty in place from China, Chinese supplier?

Management Team

So, this has been replied before against China there is an Anti-dumping duty and there is a countervailing duty against Malaysia and against Vietnam there is no duty. So, imports are coming from all the three locations. And what we have seen is that the maximum amount of imports from China are coming at the lowest amount of Anti-dumping duty, because the duty structure is on a vendor wise basis in the case of Anti-dumping duty. The lowest amount is about 10-11% and the highest would be about 28% or 30%. So, most imports are coming at the lower end of the duty. So, roughly you can say about 10%, 11% duty is being paid on the imports coming from China and Malaysia. But there is no import duty or any kind of duty against Vietnam.

Pankaj Kumar

Okay. So, despite of 10-11% duty there is a large market share that Chinese suppliers have captured?

Management Team

Yeah, because the capacity in India is limited and the demand is high. So, ultimately the demand needs to be fulfilled from somewhere.

Pankaj Kumar

Okay. Thank you.

Management Team

More production in India, the chances that the local production will have larger share are very much great.

Management Team

Great. Thank you.

Moderator

Thank you, Sir. There are no further questions. I would now hand over the floor to the management for the closing comments.

Management Team

Yeah. Thank you, all the investor, for participating in this call. We are very pleased to answer your questions and she'll connect with you again at the time of the next quarter. Thank you very much. Goodbye.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes the conference call today. Thank you for your participation and for using those Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a pleasant day.

Note: 1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Nov 2022

November 14, 2022

BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai – 400 001
Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051
Symbol: BORORENEW

Dear Sir/ Madam,

Subject: Transcript of Institutional Investors and Analysts Conference Call

We enclose transcript of conference call with Institutional Investors and Analysts which was held on November 10, 2022.
You are requested to take the same on record.
Yours faithfully,
For Borosil Renewables Limited

Kishor Talreja
Company Secretary and Compliance Officer
Membership no. FCS 7064

Encl: as above

"Borosil Renewables Limited
Q2 FY 23 Earnings Conference Call"

November 10, 2022

MANAGEMENT : M R. ASHOK JAIN, WHOLE -TIME DIRECTOR
M R. SWAPNIL WALUNJ - HEAD OF MARKETING

MODERATOR : MR. SUMIT KISHORE - AXIS CAPITAL

 Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY'23 Earnings Conference Call of Borosil Renewables, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumit Kishore from Axis Capital. Thank you, and over to you, sir.
Sumit Kishore: Thank you, Stephen. On behalf of Axis Capital, I'm pleased to welcome you all to the Borosil Renewables Q2 FY'23 Earnings Conference Call. We have with us the management team of Borosil Renewables represented by Mr. Ashok Jain, Whole-Time Director; and Mr. Swapnil Walunj, H ead of Marketing. We will begin with opening remarks from Mr. Jain, followed by an interactive Q&A session. Over to you, sir.

Ashok Jain: Thank you. Good afternoon, and welcome to the Borosil Renewables Q2 FY'23 Investor Call. The Board of Borosil Renewables approved the company's financial results for Q2 and H1 FY'23 on November 9. Our results and an updated presentation have been sent to the stock exchanges, and they have also been uploaded on the company's website. We will discuss the operations of Borosil Renewables on a stand-alone basis. I will thereafter provide you some highlights of the operations in our newly formed and acquired overseas subsidiaries.

During Q2 FY'23, the company recorded net revenue from operations of INR169 crore, a growth of 5% over previous year corresponding quarter.

Sales volumes were lower than in Q2 FY'22 by 11% basis Ind AS adjustments, though the actual decline was only about 2%, which was attributed to a lower production in September this year. Overall, domestic demand for solar glass has remained strong as the manufacturing of domestic modules has picked up ever since the custom duty on import of modules came into force from April 1, 2022, and the solar installations have gained momentum. The domestic manufacturing of modules and consequently, the demand for solar glass was higher by about 25% to 30% in Q2 FY'23. This additional demand has been made currently through a surge in imports owing to limited ability of domestic capacity . Market share of Borosil Renewables in
domestic volume sales has consequently come down to about 22%.

Export sales during Q2 FY'23, including to customers in SEZ were INR47.9 crore, comprising of 28.3% of the turnover. Average prices of solar tempered glass during Q2 FY'2

3 were about INR139 per MM, an increase of over 18% over Q2 FY'22.
Average price for the quarter was flat at the levels prevailing in Q1 FY'23. However, there has been a change in the status of antidumping duty from China. Earlier, the designated authority named as DGTR had extended the validity of ADD on solar glass from China until 2 years after expiry on 17th August 22. However, this recommendation was not accepted by the Ministry of Finance. Consequently, there is no ADD on Chinese-manufactured solar glass since mid of August. This has rendered the CVD against Malaysia ineffective as the exporters have shifted the supply base back to China. Borosil Renewables has filed a writ petition in Gujarat
court against the decision of the Ministry of Finance and the matter is listed for hearing on November 11, which is tomorrow.

The import of solar glass continues to enjoy an exemption from payment of basic customs duty, though solar modules and solar cells have been subjected to BCD from 1st April 2022. Meanwhile, prices have declined significantly in September '22. Apart from the lifting of the impositi on of ADD on Chinese manufacturers, the lower-than-expected demand in China has led to a drop in FOB prices with a support of 13% export subsidies despite a global increase in input costs, especially in respect of gas and soda ash. Moreover, there has been a significant drop in freight rates from China as compared to about 2 months ago. Consequently, lender rates of solar glass
imported from China have caused a downward pressure on prices in India. We had to drop our domestic selling prices by an average of about 13% in September 2022 in view of these lower import prices.

During Q2 FY'23, the company earned EBITDA of INR44.1 crore. The EBITDA margins were at 26.1%, it has suffered a decline of over 400 basis points since Q1 FY'23 and about 1,000 basis points as compared to Q2 FY'22 owing to cost inflation in raw materials and energy as mentioned above.

I've been mentioning about rising input costs, mainly the soda ash and natural gas in the last few meetings. The company has been making efforts to reduce the impact in
cost by achieving cost savings in raw materials by altering batch mix suitably and in

electricity by going for captive power generation to some extent. However, the cost increases combined with reduced selling prices, owing to cheaper imports from China are squeezing EBITDA margins to below and expected normalized margin which we consider of 30%.

During Q2 FY'23, the company earned a profit before tax of INR32.9 crore. The profit after tax was INR24.3 crore as compared to INR34.1 crore during the corresponding quarter in the previous year, which showed a decline of 26%. For the half year ended September 2022, the company clocked a revenue of INR339.2 crore, a growth of 14% over corresponding half year last year. The company earned an EBITDA of INR94.4 crore, a margin of 28.1%. Profit after tax was INR54.4 crore showing a PAT margin of 16%.

Our 10-megawatt captive power plant of solar plus wind energy through an SPV in which BRL will be holding 31% is expected to be commissioned by next month, December 22, and BRL will be able to use this green power besides reducing the cost of electricity. We are also looking to set up an additional 8-megawatt solar plus wind power plant.

The overall demand situation for solar glass continues to look extremely robust, both in India and abroad, and the following measures will strengthen this.

- In a recent development, the union government has closed the project import route that would have helped to circumvent the basic custom duty on solar modules and cells by paying lower duties. This move is expecte

d to curb the
import of solar cells and modules and give impetus to domestic manufacturing and consequently, demand for solar glass. However, the projects bid out before March '21 will be exempted from this.
- The union cabinet had earlier approved the second tranche of PLI, production-linked incentive, a scheme of INR19,500 crore. Ministry of New and Renewable Energy, MNRE, has announced guidelines for implementation of this scheme. About additional 65 gigawatts of manufacturing capacity is expected to get benefited from this scheme. The PLI scheme has a component for sourcing of ancillaries of PV modules like solar cells, solar glass, EVA, back sheet, et cetera, locally. This component ensures a higher payout of incentive for local procurement of ancillaries. This arrangement will incentivize the domestic module manufacturers to procure solar glass domestically.

Global supply chain bottlenecks and heavy rains in Gujarat delayed commissioning of our expansion project. We now expect to commence production from our third furnace, SG#3 in December 22. This will enhance our capacity by 550 tons per day and take it to 1,000 tons per day equivalent to 6 gigawatts. The company will review
the situation and take effective step for next phase of expansion at an appropriate time in the last quarter of this financial year.

The company has through its overseas subsidiary acquired 86% of Interfloat Corporation and GMB, both to gether called an Interfloat Group and taken control of this. GMB Interfloat has a reputation of a high-quality producer of solar glass, which is expected to strengthen BRL's global market position in the long run.

The acquisition adds 300 ton per day to BRL's global capacity and also widens its range of offerings, including varying textures, coatings, dimensions and thickness
and brings in synergies in manufacturing and sales operations in India and Europe.
During the 9 months of calendar year '22, the Interfloat Group registered a revenue
 of EUR54.7 million with an EBITDA margin of 5% which was lower than normal due to extremely high energy prices.

The demand situation for solar glass continues to look extremely robust in the important overseas markets i.e. Europe, U.S.A. and Turkey. We see growth opportunities for meeting this requirement. Mo st nations are trying to raise domestic production of solar cell and module and also trying to reduce dependence on Southeast Asian countries which places India in an advantageous position for
exports. Our step of having manufacturing in Europe through Interfloat fits in well along with expanding production in India. With that, I'd like to open the floor to questions that you may have. Thank you.
Moderator: The first question is from the line of Mohit Kumar from DAM Capital. Please go

ahead. Mr. Mohit Kumar, your line is in talk mode. Kindly go ahead with your
question please.

Mohit Kumar: So my first question is on the EBITDA margin, which has declined in this quarter. Can we expect the EBITDA margin to go back to the earlier quarter as we go forward? How do you think though there is some pressure in H2 also?
Ashok Jain: You're right, the margins have declined, and this has become because of the drop in the selling prices. So we are trying to make all our efforts to bring in savings in raw material batch mixes or coating liquid or other aspects of manufacturing. Besides this, we are also expecting economies of scale after our commissioning of third furnace, which will happen in next month. So in this quarter, particularly, the margins are going to remain low. But Q4 onwards, some improvement can be expected in the margins. But these current margins, if you notice are having partial impact of

rate decline because the decline has taken place only in September. So yes, the margins are going to be lower.

Mohit Kumar: And so are we seeing signs of more capacity coming out in the domestic side and are we in discussion with those new capacities. Because we haven't heard many of the capacities commissioning as of now. We do expect over FY'24, there will be more commissioning, but I think commissioning on the domestic side has been pretty low as of now?
Ashok Jain: Yes, you are right. Actually, there are 3 plants which are under construction as per our information. And these will add up to close to 1,000 tons per day when they get commissioned. All the plants were slightly delayed because of the conditions of rains and other things and also delays in supply from the vendors and all. We believe these plants will get commissioned sometime during the next calendar year, and these should be in operation in the next calendar year, of course. These plants together with our 1,000-tonne capacity will still be short of the demand in the country.

Mohit Kumar: And any color on the input prices, soda ash and gas. Are you seeing some easing of the raw material inflation? Or are the pric es are sustaining where they are right now?

Ashok Jain: So in terms of the gas prices, we all know it has linkage to the Ukraine-Russia conflict. And unless there is some relief there, the prices may not come down substantially. There has been some softening in the oil prices, but again, it has gone back to $99 and all. So there is not much change happening there. In terms of the soda ash prices, there has been a small correction, but largely speaking, there may not be a significant drop in the price in next calendar because the new capacity, which are coming up for soda ash producti on, will probably get commissioned only in '24. So we may not expect much relief in these two costs.

Moderator: The next question is from the line of Naysar Parikh from Native Capital. Please go ahead.
Naysar Parikh: After the price reduction that we have done in September, what would be the price difference between Borosil and the China imports?

Ashok Jain: As you would know, the prices in India are actually led by what kind of prices are prevailing in China and rather the landed cost of imports. So all our customers
 benchmark it against the import landed cost of solar glass and since that has gone down, the domestic prices also have gone down. There has been a certain amount of premium, which we command for being a local producer because of certain benefits which they expect from us like inventories, the working capital, just in time and flexibility in ordering and many other bene fits. So there is some premium which we get as a local manufacturer. That premium is slightly higher today as compared to past, but we had to adjust our prices downwards because of the lower prices.

Naysar Parikh: What would that premium be?
Ashok Jain: Well, in the past, it used to be on an average 5% or so. Currently, it may be about 10%.

Naysar Parikh: Okay. Got it. And you mentioned the margins could be lower. So if we assume the September prices to continue, are we looking at like 15% kind of margin range? Or assuming the September current prices continue, how should we think about margins?

Ashok Jain: So while it is not easy to predict the margin like that because the prices keep changing depending on the demand-supply scenario, particularly in the Chinese solar manufacturing. We already see certain strengthening in the prices as we speak. So we cannot be sure of what kind of margins it will finally be in the next quarters. So it will be hard for me to comment on 15 % or whatever numbe r you a

re saying.

Naysar Parikh: Okay. So okay, got it. And how much is the price cut that we took after the China duty stopped like mid-August, September. What is the price cut we took from our earlier pricing?

Ashok Jain: So 10% to 13% was generally the cut to which we had to go through because of the pricing, but we are also trying to economize on many aspects. So net-net what will be the margin is difficult to predict right now. And also I mentioned about the scale benefits, which will accrue once we commission the plant next month. So it will be a mix of every situation, and it cannot be just to consider based on price alone.

Moderator: The next question is from the line of Anurag Kulkarni from Purnartha Investments. Please go ahead.

Anurag Kulkarni: My question was with regard to the inventory. I see that the inventory has increased by 65% as compared to March '22. Could you provide some color on it?

Ashok Jain: Yes. So inventory, basically, we maintain a very low inventory in the form of finished goods or work in progress. But because of IndAS accounting practices, which have to be adopted, there is certain fluctuation which is shown. So in terms of the closing the inventory, there could be some inventory, which is dispatched to the clients, but it is not recorded as a sale and it is added back to the inventory. So that's how the inventory may keep fluctuating on quarter-to-quarter basis, depending on how much sale has taken place in the last few days of the month. But practically, there is not much inventory in the company.

Moderator: Next question is from the line of Sharan, an individual investor. Please go ahead.

Sharan: My question is in the last release note of acquisition of companies in Germany, there is a mention about that helps Borosil Re newables to do the other products and technology. So are there a plan to make any other products like apart from solar modules in the Germany or in India in future? I see a clear sum of that.

Ashok Jain: The mention was regarding various product categories or segments being serviced from Germany or India. We will obviously get certain synergies both the operations and some products which are being available from German plant currently, which are not being made available from India, will be possible to do that. All those things will be implemented in due course. In terms of the technology also, like in India, we have very high throughput. We produce at much faster speed and all, which we will try to implement there after assessing the situation, and that will increase the

 productivity at that plant level. All those synergies are what we have discussed, which continue to be on our focus.

Sharan: Okay. Can you name the products, apart from glass? What are the products you are planning to develop in near future?

Ashok Jain: Remains the same, solar glass only, but there are various segments which are serviced from there or here, which may not be the case at the other location. Then there are say coatings or say, two-side coated glass or various glasses, but for the same segment. So we will e ssentially be in the same pr oduct ranges. But segments could be added or new products for those segments could be developed at the other location, taking advantage of the synergies.

Sharan: And recently I was listening to the interviews of GHCL and Tata Chemicals, and next couple of years, they are very confident about the high price for soda ash. Is that going to affect Borosil Renewa bles, whether will you be able to pass on the price to your end customers and maintain the margin levels or that will impact your margin going forward? Can you throw some light on that?

Ashok Jain: As I said, the new

soda ash capacity will come into operation only later, maybe in 2024 towards the end or like that. So the market for soda ash is certainly going to remain tight. And to that extent, we don't expect relief in soda ash prices or rather say much relief. In the case of all the players of solar glass or glass manufacturing, the prices are same since soda ash is a global commodity. Whether I produce or my competitor produces in India or abroad, they have to pay more or less similar prices. So we will be able to see how the demand -supply situation on the solar glass front take place, which will be a better point to look at in terms of the pricing and pricing power, whether we'll be able to pass on or not. But in terms of the soda ash price, we don't see much relief coming in.

Sharan: Okay. And there was a QIP planned and it was approved by the Board earlier and still that has not happened. Will it happen in near term? Or what is the plan on that part for fundraising?
Ashok Jain: So that approval, which shareholders gave in the previous AGM and expired in this AGM. So that was over. And now we have taken a submission for fund raise of another INR1,100 crore recently in the last AGM. So we will be doing this fundraising as and when it is necessary for the next phase of expansion. So we will be on a lookout for the opportunity at an appropriate time to raise the funds and use for the next round of Capex.

Sharan: Okay, sir. Last question about the Germany, the energy price is very high. And when is your acquisition will get complete and when we start the operation under way, how will the energy cost going to affect you? And when do you see the energy cost coming down in Europe? Can you explain that?

Ashok Jain: So 86% shareholding is already acquired. We are in control of the company as we speak and we have started to take active interest in the management of the company. Yes, the gas prices or energy prices have been a moot point in this particular situation and because of the Russian and Ukraine war, this situation has remained under this trend. We believe that energy prices will stabilize or rather have a downward trend over a period of time. There are some positive signals from the government in Germany saying that energy prices will be kept for the industry and for the households. With those capped prices, we feel that decent margins can be earned by the company. Should there be a ch allenge in getting those prices, we will have to seek higher prices from the customers like last year when they supported the domestic local manufacturing by paying higher prices because of the higher prices of gas and electricity. To the extent the energy prices remain high this year, we will have to depend on customers to pay a little higher than normal price.

Sharan: I appreciate your courageous decision of acquisition in Europe for the future growth and being transparent for all the issues during the acquisition. So thanks for the opportunity and all the best for future, sir.

Moderator: The next question is from the line of Sumi t Kishore from Axis Capital. Please go ahead.

Sumit Kishore: Two questions from me. First, what proportion of your exports are to locations with anti-dumping against China? And how competitive are you really in areas where there is no duty?

Ashok Jain: Well, we used to have 20% or thereabouts of exports out of our total revenue. Currently, it is higher because the prices have been better in export markets and local prices have decreased from September, as we all know, because of the antidumping having gone. There is an antidumping duty in Europe and also in Turkey against China. But against Malaysia and Vietnam, there are no ant

i-dumping duties in any of the countries like Turkey or Europe or U.S.A. We are competing with China, Malaysia and Vietnam as a combined force because Malaysia and Vietnam production is also owned by the Chinese major players only. We are effectively dealing with them in that sense without an antidumping duty because the exports are coming from Malaysia and Vietnam. And almost, you can say 95% of our exports are to Europe and Turkey. Only about 5% may be to other countries. And in those countries, like U.S.A., there is no import du ty against China. So this is the situation.

Sumit Kishore: So Europe and Turkey, both have antidumping duty against China?

Ashok Jain: Yes, they have and against Malaysia and Vietnam, they don't have.

Sumit Kishore: Right. So the next question is related. So after removal of antidumping duty on imports from China in India, what is the net value proposition for your customers in India to buy from Borosil Renewables versus importing from China? What is the pricing differential? Or any other value that the customer will see from buying from Borosil. Could you quantify that?

Ashok Jain: Yes. So value proposition is of a local su pplier and supply chai n-related is sue which is quite important in this industry because there is a very very high working capital involvement in module making industry. Solar glass is only about 10% of the cost of the module and the customers would like to have an assured supply source for this 10%, which can affect or disrupt their manufacturing line for the entire value chain. So they would like to have an assured source of supply, which is what we offer from India.

Then we offer benefits in terms of working capital or flexibility in ordering or smaller orders and immediate delivery like situation. Also on the payment terms, there will be certain relaxations in India as compared to imports. All those benefits are the ones which local buyer expects from the local manufacturer, which is why he is prepared to buy lo cally and also pays a little higher. In terms of the future growth potential, like PLI scheme, I had mentioned that the scheme provides for additional incentive to the module manufacturer for use of locally produced items. So there could be additional incentive for them to buy locally. These are the things which I feel would support local manufacturing of these items.
Moderator: The next question is from the line of Anuj Upadhyay from HDFC Securities. Please go ahead.

Anuj Upadhyay: So you mentioned about the duty imposition in Europe from China. Did you mention the timeline, sir? Till when this duty is imposed and when it will come for renegotiation?

Ashok Jain: You asked for Europe. Isn't it?
Anuj Upadhyay: Right, sir.

Ashok Jain: So in Europe, the antidumping duty is applicable till 2025.

 Anuj Upadhyay: Okay. And secondly, sir, is there any support for the local glass manufacturer in Europe. Likewise, we have a requirement here where a local manufacturer gets support from the local authority? Is there any incentive for the local manufactures out there?

Ashok Jain: Well, there is no direct incentive to promote local manufacturing or use of solar glass for that matter. But now the governments, European Union have decided that they want to have a higher amount of installations. That means their solarization program is going to accelerate further, which is necessary for them. They are trying to replace the use of gas for the production of electricity and use solar energy. They can get the power for homes/ residences and offices by producing from renewable sources like solar power instead of converting gas to electricity and supplying that. They want to reduce the depe

ndence on gas sources and in that context, they want to increase the installation to 60 gigawatts per annum of which they would like to produce 25 gigawatt by local manufacturing, like modules and cells and other things. So once that is done, the demand for domestic production or domestic consumption of solar glass will go up. Being a local producer in Europe now through this Interfloat acquisition, we will get an advantage of our presence there and try to get this additional demand in our favo r whether from India or from Germany. But in terms of any incentives or any local content requirement, there is nothing for solar glass.

Anuj Upadhyay: Fine sir. And sir, a few questions relate d to your balance sheet. Sir, our other noncurrent assets have gone up significantly, so has our CWIP. Can you just highlight the reason for the same?

Ashok Jain: The noncurrent assets, I think the CWIP INR300 crore something which you are referring. If it is CWIP, then it is the expansion project I have to really look at the numbers. Can you proceed to next question? I will just open the balance sheet and see.

Anuj Upadhyay: Fine sir. In the meanwhile, sir, you mentioned that the I mean the 550 tons per day of our third phase of capacity expansion now will get commissioned by December. Am I right, sir?

Ashok Jain: Yes, you're right.
Anuj Upadhyay: Fine, sir. Just a clarity on that other noncurrent assets.

Ashok Jain: Yes, I'll come back to you on that.

Moderator: The next question is from the line of Devang Patel from NAFA AMC. Please go ahead.

Devang Patel: Sir, firstly, can you update on what is the impact of gas leakage at Interfloat, is it taken care of? And what are the costs for that?
Ashok Jain: Yes. Gas leakage actually happened on 31st of July this year. And immediately, the furnace design supplier and the insurance company and relevant like fire department, everybody was alarmed about this situation. This fire was brought under control within the next 24 hours, and the whole repair of the furnace was carried out while the furnace was hot. So all those things have been done. And by 22nd, 23rd of August, the furnace was recommissioned. So the production has resumed there from that date and the furnace is operating at full capacity as of now. Now when you do a hot repair of a furnace, the life or the remaining life of the furnace cannot be expected to be very long and a proper cold repair has to be done. So when we are taking stock of the situation there, we will plan for the cold repair of furnace in the beginning of next calendar an d at that time the furnace will be shut down for two months, and then it will be recommissioned.
Devang Patel: What will be the cost of that approx.?

Ashok Jain: Well, only related to cold repair, it will not be a large cost. It may be about EUR2.5 million to EUR3 million. But there will be certain changes whic h we'd like to make in the equipment and production lines because now the glass sizes have increased, as
 it has happened around the world. So we will build in capabilities taking advantage of this situation of cold repair to change certain equipment or to enlarge the size of those equipment in order to service the new requirement of large-size glasses. So there will be certain expense on that as well, which will be much larger than this EUR2.5 million. So we are ju st taking current estimates of that, and then we'll be taking up that project maybe in the first quarter of next calendar.
Devang Patel: Okay. Sir, on the Interfloat acquisition, the whole deal structure has undergone change. So can you just highlight what these changes are and what are the valuation of the whole entity and our road map t

o increase the stake to 100%?
Ashok Jain: Okay. So last deal which was a binding deal which we had signed was for 100% acquisition of shares and we were to issue shares of Borosil Renewables for EUR22.5 million and to pay cash EUR30 million and also share 50% EBIT for 3 years, calendar year '24, '25 and '26. Now after this leakage and also the more severe situation on the gas front, we had virtually put a deadlock to the transaction and that led to renegotiations. Th e sellers realized that to stick to the deal may not be feasible, and they gave a certain revised offer, which was accepted by us. And the revised offer is like this. There were two shareholders in the company. One had held 86% and the other was holding 14%. So the person holding 86% has moved out completely and the other one holding 14% has remained in the ownership. So now the deal which has finally happened is of 86% shares and for that, we have paid EUR7.5 million to the outgoing shareholder. There have been certain other expenses, which have been incurred. And also the EBIT sharing, which was at 50% earlier, has been brought down to 20% to the outgoing shareholders. And the continuing shareholders will have a call option after 4 years.

Devang Patel: And the pricing for that is not determined yet?

Ashok Jain: Pricing based on the multiple is determined at 7x the EBITDA and EBITDA will be applicable as per the then prevailing EBITDA.

Moderator: The next question is from the line of Harsh Laxmi, an individual investor. Please go ahead.
Harsh Laxmi: As you discussed, company will be adding more than double production capacities. So from economics of scale perspective, we will be gaining something in terms of production cost? So will you be able to quantify that in terms of percentage?

Ashok Jain: Yes, absolutely. So there will be definitely scale benefit, which will accrue to the company and that will translate to cost reduction in terms of per unit cost. As it happened in the last expansion, we have saved about 3% to 4% in the cost which is what we expect to do around this time. We are expecting 3% cost savings.

Moderator: The next question is from the line of Lavanya from UBS. Please go ahead.
Lavanya: So I wanted to check on a similar way how you have highlighted how in India, domestic manufacturers have been preferred over imports. What are the reasons for someone to prefer domestic manufacturer over importing? Can you just help with similar analogy, so if someone in Europe, would they prefer importing from India, Malaysia or Vietnam? How does it make any difference for them to import from any of the three locations?

Ashok Jain: Yes. So this local manufacturing advant age is being used positively for all the module manufactures in this value chain because of the reasons which I had mentioned sometime back in the form of supply-chain logistics robustness. I mean they want assured supply. And also, they are having the advantage as local manufacturer offers working capital advantage and other things.

So similar kind of situation prevails in Eu rope also. The customers there are able to pay a little higher price to the local manufact urer as compared to imports. Another positive thing for India is that now for the last 2, 2.5 years, the European and American markets are generally looking at China-plus-one strategy. And they are
 rather trying to discourage imports from Ch ina and rather shift to Indian exporters. So in terms of both like our presence in Europe, as a local producer and our being able to supply goods from India, we are in a good position to increase our presence in Europe.

Lavanya: Got it, sir. So that's the reason I wanted to check if it's I mean Chin

a plus one. So would they prefer Vietnam or Malaysia or India was my question? Like, would they consider Malaysia and Vietnam are also like from Chinese players and give a benefit to India?
Ashok Jain: Yes, absolutely, your question is very well taken. The Chinese manufacturers only have set up those Malaysian and Vietnam plants. So these are basically Chinese companies only, and they do not consider them as separate operation like India or like that. So in that sense, India gets a preference, even over Malaysia and Vietnam.

Lavanya: Got it. Got it. And one more question. I un derstand the third plant is going to come online in December this year. So any timeline that you're looking for the fourth furnace, which we have envisaged. Any timeline there?

Ashok Jain: Yes. So we will be observing the outcome of this expansion in the month of December. By end of next month, we will have certain feeling about it. And in terms of our capacity expansion, Board has already approved a plan for 1,100-ton furnace.
We will be working on that plan in the next quarter, that is Q1 of CY'23. And then we'll have to plan for fund raise and other things and then proceed with the plan. In the meantime, we will also make an effort to get certain relief on ADD or basic custom duty so that our margins could be better and payback could be lower.

Lavanya: Got it. Got it, sir. So can we assume that 2 years from now is the time line that you're looking at? So if you start on the funding next quarter to 2 years from there or.

Ashok Jain: Yes. So whenever we start placing orders and we are ready with the funding plan. From there, if you take 18 months. So you can assume 1.5 to 2 years' time from now, minimum. Minimum 1.5 year, maximum 2 years is what we feel.

Lavanya: Okay. Okay. Got it. And I mean, just continuation to my earlier question that the cost benefit, like the operating leverage with increasing capacity. So now it's almost like with the third furnace, it will be doubling the capacity. So is it right that 3% to 4% will be the operating leverage that you are looking at? I just wanted to clarify my understanding.

Ashok Jain: Yes, yes. Our estimate is that we will have about 3% of operating leverage.

Moderator: The next question is from the line of Santosh Kucheria, an Individual Investor. Please go ahead.
Santosh Kucheria: Just I wanted to know what is the selling price of glass at present?

Ashok Jain: Selling price of glass?
Santosh Kucheria: Yes, in India.

Ashok Jain: Average selling price we have just mentioned, was about INR139 for the quarter.

Moderator: As there are no further questions, I hand the conference over to Mr. Sumit Kishore. Over to you.

Sumit Kishore: Sir, just one follow-up. You mentioned that the hot repair did reduce the life of the furnace and we'll have to do a cold repair. Would there be a disruption when you do that? And what would be the duration of that disruption?
Ashok Jain: Yes, of course, when you do a cold repair, you cool down the entire furnace and you take out all the refractory blocks and re place with new blocks. So there will be complete disruption of the production at that point in time. You can, of course, run your post production equipment like tempering and all, but for that you need glass.
 You can buy solar glass from somewhere and then you temper it and supply to the customers. What we are essentially trying to do is that our plant is getting commissioned in India in December. So when the plant in Germany is taken for cold repair, we will be supplying goods from India to those customers, so that they are not starved off the material. So that's how we'll be managing it. But during the cold repair, o

f course, there will not be glass available from GMB plant in Germany.
Sumit Kishore: Okay. And typically, what is the duration of cold repair?

Ashok Jain: It is estimated at 60 days, but we are counting 90 days for a restart of the production after the cold repair, total 90 days' period.

Sumit Kishore: Okay. And you will then be timing this cold repair, at what time?

Ashok Jain: Currently, we are thinking about February , but our team is as sessing there. Right now, they are in the GMB plant, and they are assessing the situation. Once we have a complete view from the point of view of av ailability of materials for the repair and all and the necessary things can be put in place. And also from the customer's angle, we have to look at there being satisfied on the aspect of BRL or Borosil supplying glass to them. Our sales team is also interacting with the customers. All those things will be considered at the top level and then a decision will be taken.

Sumit Kishore: Got it. Thank you so much, sir. There are no further questions at this point. Would you like to make some closing remarks?

Ashok Jain: Yes. So thank you all for participating in this investor call. It has been very excellent session, I suppose, and we look forward to interacting with all the participants once again for the next quarter. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Axis Capital, that concludes this conference. We thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2023

February 20, 2023

BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai – 400 001
Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051
Symbol: BORORENEW

Dear Sir/ Madam,

Subject: Transcript of Institutional Investors and Analysts Conference Call

We enclose transcript of conference call with Institutional Investors and Analysts
which was held on February 14, 2023.
You are requested to take the same on record.
Yours faithfully,
For Borosil Renewables Limited

Kishor Talreja
Company Secretary and Compliance Officer
Membership no. FCS 7064

Encl: as above

“Borosil Renewables Limited Q3 FY23 Earnings
Conference Call”

February 14, 2023

MANAGEMENT : M R. P. K. KHERUKA – EXECUTIVE CHAIRMAN
MR. ASHOK JAIN – WHOLE -TIME DIRECTOR
MR. SUNIL ROONGTA – CHIEF FINANCIAL OFFICER
MR. SWAPNIL WALUNJ – HEAD OF MARKETING
MODERATOR : M R. JITEN RUSHI – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY23 Earnings Conference Call of Borosil Renewables Lim ited hosted by Axis Capital Limited.
As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Jiten Rushi from Axis Capital Limited. Thank you and over to you, sir.
Jiten Rushi: On behalf of Axis Capital, I am pleased to welcome you all to the Borosil Renewables' Q3 FY23 Earnings Conference Call. We have with us the Management Team of Borosil

Renewables represented by Mr. P. K. Kheruka – Executive Chairman, Mr. Ashok Jain – Whole-time Director, Mr. Sunil Roongta – Chief Financial Officer, and Mr. Swapnil Walunj – Head of Marketing.

We will begin with the opening remarks from the management followed by an interactive Q&A session. Thank you and over to you, sir.

P. K. Kheruka: Good afternoon and welcome to Borosil Renewables' 3rd Quarter FY23 Investor Call. The Board of Borosil Renewables on 13th February approved the Company's Financial Results for the 3rd quarter and 9 months ended on 31st December 2022. Our Results and an updated Presentation have been sent to the stock exchanges and have also been uploaded on the Company's website. We will discuss the operations of Borosil Renewables on a stand-alone basis. I will thereafter provide you some highlights of the operations in our newly formed acquired overseas subsidiaries.

During the 3rd quarter, the Company recorded net revenue from operations at Rs. 161 crores, a decline of 4% over quarter 3 FY22. Overall, domestic demand for solar glass has remained strong as the manufacturing of domestic modules for local installations as well as for exports increased. This additional demand has been met through higher imports owing to limited availability of domestic manufacturing capacity , and hence the estimated market share of Borosil Renewables in the domestic market currently has come down to about 19%. Export sales during the 3rd quarter of the current financial year including to customers in SEZ were higher at Rs. 58 crores comprising 35.9% of the turnover as against 26.5% in the same quarter last year. Average prices of solar tempered glass during the last quarter were about Rs. 134.3 per square meter per mm, a decline of 5% over the similar quarter in the previous year and a decline of 4% over the previous quarter of the current financial year. The price decline was a result of discontinuation of anti-dumping duty on the import of solar glass on China with effect from 17th August 2022 as also a steep reduction in ocean freight rates, both leading to a lower landed cost of imports into India, which is generally used as a benchmark for domestic pricing.

The Company was able to contain the decline in average price by following a strategy to cut low-price domestic volumes and raise the exports which are at higher prices. Post 17th August 2022, there is no anti-dumping duty on imports of solar glass, which continue to enjoy an exemption from payment of basic customs duty as well for the last 24 years. Ironically, solar glass is the only component in the entire solar photovoltaic value chain which has no import duty whatsoever, though it is th e most capital intensive componen t with a low asset turnover ratio. This leads to a complete absence of a level-playing field for domestic manufacturing of solar glass against heavily subsidized and dumpe d Chinese imports. During quarter 3 of the current financial year, the Company earned an EBITDA of Rs. 43.1 crores. The EBITDA mar

gin at 26.7% which was almost at the same level as in quarter 2 FY23, although the same was about 1,800 basis points lower compared to the same quarter last year owing to decline in average selling prices and rise in th e cost of raw materials and energy.

The EBITDA on one hand includes Rs. 9.8 crores income on account of exchange rate difference and interest income on loans given to the overseas subsidiaries. The EBITDA excludes an amount of Rs. 6.6 crores being profit carried forward due to reversal of sale compared to such exclusion of Rs. 3.2 crores in the same quarter last year owing to accounting treatment under Ind-AS. Thus, comparable EBITDA without these impacts would be Rs. 36.7 crores, i.e., to say about 22.7% of net revenue.

During quarter 3 of the current year, the Company earned a profit before tax of Rs. 30.1 crores. The profit after tax was Rs. 22.5 crores as compared to Rs. 45.7 crores during the same quarter last year, a decline of 51%.

For the 9 months ended December 2022, the Company clocked a revenue of Rs. 500.6 crores, a growth of 8% over the corresponding 9 months of the previous financial year. The Company earned an EBITDA of Rs. 138.5 crores, a margin of 27.7% and a profit after tax of Rs. 76.9 crores, i.e., a PAT margin of 15.4%. Commissioning of the 10 megawatt captive power plant of solar plus wind energy being set up through an SPV in which BRL has 31% shareholding which was planned in December 2022 has been delayed and is expected to come on stream from April 2023 after receiving relevant approvals from the state authorities. We will be able to increase the use of green power in our manufacturing, as also reducing the average power cost. We are also looking to set up an additio nal 8 megawatt solar plus wind power plant once there is enough clarity on the regulations.

The overall demand situation for solar glass continues to look extremely robust in India and we expect a huge increase in the module manufacturing capaci ty as the new plants are getting added. The domestic module manufacturing capacities are expected to rise to 65 gigawatts from about 25 gigawatts currently, which will increase the demand to 3x from the present levels in the next 2-3 years.

The Union budget 2023 had many announcements for the growth of renewable energy sector in India and a few of them are as follows. Allocation to MNRE of Rs. 10,222 crores for financial year '24 which is about 45% higher compared to the previous year, Rs. 19,000 crores for National Green Hydrogen Mission which aims to achieve 5 MMT production by 2030, Rs. 35,000 crores for priority capital investment to wards energy transition and net zero objectives and energy security by MoPNG, Rs. 20,700 crores for interstate transmission system for evacuation and grid integration of 13 gigawatt renewable energy from Ladakh.
I am happy to share that trial production from our 3rd furnace SG#3 has started from 26th January 2023. The furnace is under stabilization and we expect commercial production to begin soon. Our capacity has now risen to 1,000 tonnes per day (6 gigawatts) from 450 tonnes per day. With this, we will be in a position to more than double our sales and also achieve some operating leverages. The recently acquired German plant has added an operating range of 300 tonnes per day to BRL's manufacturing capacity and also widened its range of offerings including various textures, coatings, dimensions, and thickness and is bringing in synergies in manufacturing and sales operations in India and Europe. The plant is operating at about 95% capacity. Cold repair of this furnace will be car ried out during March and April over 45 days, and thereafter, the furnace will be put back into production.
We are also executing the CAPEX plan for rising production capacity along with debottlenecking and new m achineries to increase efficiency and also achieve capa

bility to supply larger size glass and make the processes more efficient. An overall CAPEX of €34 million will be incurred on this of which €9 million has already been done from internal funds.
The consolidated results for the quarter in 9 months including the operations of Interfloat Group from acquisition to 31st December 2022 has also the wholly -owned subsidiaries abroad, the Interfloat Group registered a revenue of Rs. 84.36 crores equivalent in this period with an EBITDA of Rs. 6.3 crores registering an EBITDA margin of 7.4% which we were able to achieve despite extremely high energy and raw material prices. The consolidated net revenue and EBITDA stand at Rs. 246 crores and Rs. 28.5 crores respectively. The EBITDA is net of acquisition expenses of Rs. 18.84 crores debited in the profit & loss account of the 2 overseas holding companies.
With the announcement of the Green Deal Industrial Plan by the European Union, implementation of Inflation Reduction Act in the USA, and favorable policy and fiscal support for domestic solar module manufacturing in Turkey, the technology development and solar module manufacturing activity is expected to substantially increase in these overseas markets. As a result of this, the export demand for solar glass continues to look extremely robust. We see growth opportunities for meeting this requirement. Most nations are trying to raise domestic production of solar cells and modules and also trying to reduce dependence on Southeast Asia which places India in an advantageous position for exports. Our step of having

manufacturing in Europe complements well with expanding production in India to meet the higher demand in export markets.
With that, I would now like to open the floor to questions that you may have.
Moderator: We will now begin the question & answer session. The first question is from the line of Nikhil Abhyankar from DAM Capital. Please go ahead.
Mohit Kumar: A few questions from my side, sir. Of course, we have this new cell and module capacity which is coming up. Do you think the capacity utilization to be muted and rise gradually over the next few quarters or do you think we will be able to operate at a mu ch higher capacity from Q1 FY24?
Ashok Jain: As we speak, the current manufacturing is almost 10 to 11 gigawatts in the country for solar modules and the capacities are filled up alread y. The module manufacturing capacity in the country already has crossed 25 gigawatts and the activity is going up. Yes, you are right that solar cell manufacturing capacity is still low and the new capacities are to be still added in the forthcoming future. But imported solar cells are being used by domestic manufacturing. So, we believe that this expanded capacity though will ta ke time, it will not be a bottleneck in terms of using the module capacity.
Mohit Kumar: Can you expect a gradual ramp-up or you are expecting the full ramp-up from the first quarter itself?
Ashok Jain: For the furnace, you are saying?

Mohit Kumar: Yes, sir, for furnace.
Ashok Jain: Furnace we will ramp up immediately as soon as we get the production to the right efficiencies and all, we will ramp it up. Last time when we commissioned our furnace in 2019, we could do so in about a month's time. We would like to do it as fast as possible because the demand exists and we would like to sell more quantities.
Mohit Kumar: Sir, a related question is that has there been any new cell and module capacity which has come up in the last few quarters? Adani capacity is up and running. Anything else, sir?
Ashok Jain: Module capacities, a lot of capacities have go t added. Particularly by Waaree Energies large capacities have been added as you may know. They are almost at 9 gigawatts now as compared to 3 to 3.5 gigawatts they were about 6 months or 8 months back. So, they have added a huge capacity. The other p

eople also have gradually added capacities, but this is by far the biggest capacity which has been added. In terms of solar cell manufacturing, nothing substantial has been added except Adani.

Mohit Kumar: Lastly, of course, we see the export sales have increased during the quarter and is meaningful and its contribution has gone up. Is it entirely exposed to Europe right now? And are we seeing any new inquiries from Europe for ty ing up some incremental capacities?
Ashok Jain: Exports are, you're right, generally to Europe and also to Turkey. Turkey also happens to be a very fast-growing market. And there are a lot of new plants also coming up in Turkey adding capacities and existing module manufacturers are also adding capacities. So, there is a large market in Turkey. In Europe also, growth is happening, and we are getting inquiries from existing as well as new customers there.
Moderator: The next question is from the line of Bala Murali Krishna, an individual investor. Please go ahead.
Bala Murali Krishna: Sir, I want to know that the European margins are very low. How long it will be this kind of EBITDA margins will continue?
Ashok Jain: European margins; when we started to look at the opportunity, the margins were running high.
But as you all know, the Russia and Ukraine war has put the gas prices to such a high level that it has become difficult to earn any margins in the glass industry in Europe. But fortunately by efficient working at the German plant level, we have been able to stay positive in terms of EBITDA margin. As we speak, the gas prices and electricity prices have come off quite a bit.
The gas prices have come down to almost €60 as against €150, €140, as you would have noticed in the last couple of months. And also the power prices have gone down. So, currently, the situation is better. We have to live with whatever has happened in 2022 because the EBITDA margins were only in single digit, about 7% or so. We hopefully will be able to do better.
Bala Murali Krishna: Just a follow-up on this, sir. In Q4 or Q1 , can we expect some improvement in margins?
Ashok Jain: Q1 at the German plant level you are saying?
Bala Murali Krishna: Yes.
Ashok Jain: We are trying to improve the margins. It's a continuous exercise. We cannot commit any digits on that. But of course, we would like to show a better picture as we close the quarter 1.
Bala Murali Krishna: This quarter we have some significant export revenues. I would like to know what would be the difference in the realization for the domestic and exports. And do we see this trend will continue in this quarter and upcoming quarters also?
Ashok Jain: You are asking separate realization for export and domestic. Is that your question?

Bala Murali Krishna: Yes, sir. That is the question. And also in this Q4 and the upcoming quarters also, can we expect more export revenues compared to domestic?
Ashok Jain: As far as the export and domestic realizations are concerned, the sales are on a monthly basis and we cannot be sure of what realization will come for a particular quarter. The prices, of course, are staying at current levels. So, we can assure you that we will sell it at market price.
In terms of the growth in the export market, already 32% to 33% of our sales are going to the export market. And I thin k if we maintain that level, it will be quite good. In fact, the percentage level might go down because now we will have increased production from furnace 3, which will substantially incr ease the output available. So, our target would be to at least make 25% of the turnover in exports, but the volume would have gone up substantially as the numbers will double.
Moderator: We have the next question from the line of Jiten Rushi from Axis Capital Limited. Please go ahead.
Jiten Rushi: Sir, t

he first question from my side is what proportion of the exports are to locations with anti-dumping duty against China and probably how competitive are we in those areas where there is no duty?
Ashok Jain: Basically, there are anti-dumping duties in Europe and Turkey against China and which is where our maximum exports are there actually and non-duty areas like USA and MENA countries, our exports are limited . There is a direct competition from China there and prices are low. So, yes, the markets available to us where we can really make better margins are Europe and Turkey where we export our maximum volume, almost 90% to 95%.
Jiten Rushi: Of your total export, 90% to 95% into Europe and Turkey?
Ashok Jain: Yes.
Jiten Rushi: But any natural calamity in Turkey will impact our revenue in Q4 and Q1? What is your view based on the insights you have received in the last couple of weeks or 10 days?
Ashok Jain: Yes, of course, these things can affect, but we are not depending on one particular area or one particular customer. And we have ability to m ove our volumes to differ ent geographies. Like in India, the demand is quite high where we are able to provide only lim ited quantity in Indian market compared to what the requirement is. We have ability to move our volumes to different geographies and different customers. Currently, as you are referring to Turkey's situation, disruption has been generally in South Turkey, closer to Syria border. All our customers are in the northern area generally. In fact, our team has just visited and completed their visit to Turkey; they have come back on Saturday only, and all the plants have been operating there.
Jiten Rushi: Basically, we will not see any impact on revenue from Turkey?

Ashok Jain: No. In fact, we are trying to increase our revenue there.
Jiten Rushi: And sir, probably in this quarter, what is the export portion in terms of revenue?
Ashok Jain: In Q3, our export is about 33%.
Jiten Rushi: And in 9 months?
Ashok Jain: 9 months would be slightly lower. 27.5%.
Jiten Rushi: Sir, what would be the blended margin? Probably margins from India and margins from exports, what would be the EBITDA margin from these 2 regions? And what can be the blended margin going forward in terms of guidance?
Ashok Jain: Our blended margins are shown in the results, which is at about 24% to 25%. Separately we are not declaring any margins for export and domestic markets.
Jiten Rushi: But is it safe to assume that in domestic, we would be earning better margins, higher margins?
Ashok Jain: On the contrary, the exports are giving better margins.
Jiten Rushi: Sir, if at all after the removal of anti-dumping duty or import from China in India, what is the net value proposition for our customers in India to buy from Borosil versus importing from China? And what is the pricing difference or any othe r value that customers will see from buying from Borosil? Can you just quantify these, please?
Ashok Jain: It is difficult to quantify. What, in nutshell, we can say is that there are more than 100 customers in India – more than 100 module manuf acturers. Some of them do have imports and many of them do not have imports. Almost 15 to 20 customers may be importing and rest are not importing; they buy completely from us, and they are rather medium or smaller scale players. The larger ones do have import as a necessity because our production is not sufficient to meet all the demand. In terms of the product quality and product servicing and offering, more or less the products are the same except that whatever advantage we offer from being a local source, that's an added advantage to the customers where they can have flexibility in ordering and receiving goods, shorter delivery periods, warehousing, inventory costs, all those benefits are there for local sourcing. That's where the local production comes

in actually.
Jiten Rushi: And sir, any update on the second PLI which has happened in February. Any participation from your side?
Ashok Jain: No, we are not eligible for PLI. Only the sola r cell, module and polysilicon and that will be probably taking place in the next month.

Moderator: The next question is from the line of Sharan, an Individual Investor. Please go ahead.
Sharan: My first question is, as you were saying you have challenges with respect to oil and gas prices spiking. I just want to check whether the furnace can run on green electricity, because I read in an article where there are furnaces in some comp anies, they are running with green electricity as well. So, I just wanted to check do your furnaces also can run on electricity instead of oil and gas?
Ashok Jain: These are large furnaces which are basically run on gas or oil only worldwide. Only small furnaces are capable of being run on electricity. But these kind of furnaces, of course, run on

natural gas or furnace oil or simultaneously they can be operated on both the fuels. Of course, there is a research and there is a trial going on for using green hydrogen in furnace, which is
still a few years away, I think. But electricity cannot be used for such large furnaces.
Sharan: Can you explain SG#4 and SG#5 CAPEX timeline? I think it is already mentioned, but the
CAPEX funding, basically, how much it will be internal and how much it will be raising the
fund via QIP or anything? Also a couple of years back, if I remember, a long-term investor
they participated in QIP and then later within a year or so, they exited. Are you expecting any long-term investors to come in now as part of fu rther expansion in Germany as well as in India
for SG#4 and SG#5? Can you throw some light on that.
Ashok Jain: Currently, we are focusing on stabilizing SG#3 commercial production. And once we have
started to earn some revenue and profitability from this project, which should happen soon, thereafter, we will take a stock of the complete situation prevailing in the ecosystem like what
kind of expansions are coming, how the module manufacturing is growing, what kind of duty structures prevail and then our Board will possibl y meet and take a call when to start the next
round of expansion. We will come back to you as soon as the Board meets and decides on this particular aspect. Right now, we are fo cusing on SG#3 commercial production.
Sharan: And what's the status of the re-investigation of anti-dumping duty. It's in the Gujarat High
Court, if I am not wrong. And also this year again by August if there are new players who will
start producing the glass locally, that means ther e will be multiple players in India itself. Are
there any chances that this year again there will be anti- dumping duty?
Ashok Jain: Anti-dumping duty has been withdrawn, as you know, from 17th of August. After that, we
have gone to Gujarat High Court by way of writ petition. The writ petition has come for
hearing many times, but it has got postponed all the time. The hearing is yet to take place. So,
we do not see a quick result coming from whatever effort we are making in the high court. In
terms of continuation or a new duty, it's a complete exercise. The complete data has to be submitted to the Ministry of Comme rce. They have to examine, they have to cross-examine,
they have to seek responses from various stakeholders, and it's a long-drawn process of almost a year. We have not moved any application for new duty, but the old duty application has died
unless the court instructs the Finance Ministry to revive it.

Sharan: My last question is, as you mentioned and we all are aware, globally the demand is increasing
for renewable energy and solar, right? Do you see across the globe, the availability is meeting
the requirement or i

t's still below the requir ement? Mainly, how abou t China? Local also,
demand is more, right? Then th ey will be able to fulfill local demand and their export will be
reducing in future you see, which will be beneficial especially for Borosil?
Ashok Jain: China, as you may know, has the biggest capacity of entire solar value chain. In many cases,
they control almost 95%. Like in solar glass, they control 95% to 97% of the world market.
Then, in components and other things also, they control almost 90% of the market. In module
manufacturing also, they have 75% plus market share in manufacturing. So, they obviously
dominate the whole scene in the solar PV value chain. And unless their domestic demand is
quite high, they try to export their extra production to overseas markets which is where the challenge comes in terms of the supply-demand mismatch. In terms of the module installation,
last year the numbers which we have seen are quite good and they are almost as per the target. Next year projections are still very high. So, we believe that the demand in FY23 is going to be
much better compared to even last year. More than 300 gigawatt of installations are planned
for this year worldwide.
Moderator: The next question is from the line of Sumit Gugnani, an individual investor. Please go ahead.
Sumit Gugnani: Sir, I have 2 questions. One, I understand that your European cold repair furnace will happen
in March and April. Is that for 2 months? And in your last call, you had mentioned that you
were planning to substitute or send in products from the domestic market furnace to the
existing customers of the European furnace during that period. Has that been qualified or are
we going to miss out on sales? That's the first question.
Ashok Jain: European furnace at GMB is going to be brought down for repair by the middle of March. That
is the plan. And generally speaking, it should take about 45 days to come back to production.
We estimate that time to be maintained but one is to provide for contingency. So, maybe 1 or 2
weeks that we may provide more. That's how 2 months is possible, but we would like to finish
it in 45 days.
In terms of the supply of glass from India to customers in Europe at the time of shutdown
period, we are working with the team at Germ an plant what quantities for which customers
may be required. We also have export to many of the customers which are common between
the 2 plants, and it will be possible to use th e glass supplied from India for those customers
seamlessly without any further like, say, checking or certification or examination of the quality parameters and all. That will be

done as and when it is required and in respect of whichever
customers it is needed in the month of March and April.
Sumit Gugnani: The second question is regarding the input prices of gas. Both for the domestic supply as well as in Europe, we all know natural gas has been very volatile. So, are your contracts fixed or are they variable? And if they are fixed, for what tenure are they fixed? They spiked up a lot, now

they have come down a lot. So, do you buy on the spot basis or do you have a long-term contract separately for domestic and separately for Europe? So, there are 2 questions within that.
Ashok Jain: For the plant in India, which is Borosil Renewables plant, we had contracts of gas for 5 years with GAIL under various arrangements. Those contracts have expired in December 2022. New contracts are yet to be entered. Because the pri ces are still high, what we have done is to mitigate this high cost of natural gas or, say, RLNG, we have started to use furnace oil. For most of our requirements, we are using furnace oil in melting the glass in India as of now, which is how we are trying to keep the cost under control. And as and when there is an opportunity to lock in for a shor t period or medium term, then we w

ill do that as we go along.
In Germany, we have a system of buying futures or we hedge the gas purchases and the power purchases based on the current scenario and future prices available. We keep reviewing that every week or every month depending on how volatile the market is. Currently we have
hedged certain volume for 2023 and certain volume for 2024, and after reviewing, we keep increasing the hedge as the situation permits. But there are no fixed contracts in Germany or
India as of now.
Sumit Gugnani: So, the furnace oil for the domestic, that is working out more cost effective than the spot gas prices or any long-term or mid-term contract that you would sign currently. Is that right?
Ashok Jain: Yes, absolutely. You're right.
Sumit Gugnani: So, why not make that a long-term thing?
Ashok Jain: Generally, natural gas is the preferred fuel for these kind of furnaces. But when it comes to economic viability, then we have to also look at how we match the cost of production and how we remain competitive in the market. And that's why we have taken a decision to use part of the fuel as furnace oil. Partly we still use natura l gas, but that's a less er quantity right now.
Sumit Gugnani: Last question is on the pricing trends for our product. Quarter-on-quarter and year-on-year in this quarter, what is the trend that you are seeing in terms of the selling price of our glass?
Ashok Jain: Prices have been generally stable except for the impact of anti-dumping duty withdrawal which has happened in August 2022. Because of that, the landed cost has come down for imports, and we had to adjust our prices suitab ly to match the imported landed price or give
price in competition to that. Otherwise, generally, the import prices and domestic prices are remaining around the same. I mean they are being stable. There is a gap in domestic pricing.
The domestic pricing is higher by 8% to 10% compared to imported landed cost.

Sumit Gugnani: No, my question was, for the October through December period, the pricing versus the previous quarter, how much lower was it? If you mentioned it in your introductory remarks, I might have missed that because the line wasn't clear at that time.
Ashok Jain: That was about 5%.
Sumit Gugnani: 5% declined last quarter over the previous quarter, correct?
Ashok Jain: Yes. The prices remained same, but we had to decline it because of the anti-dumping withdrawal.
Sumit Gugnani: And this quarter, how is it looking till Feb? Yo u said it's stable. So, it's stable versus what you had in October-November-December. Is that right?
Ashok Jain: Yes, we can view it that way. That's right.
Moderator: The next question is from the line of Yash Shah, an individual investor. Please go ahead.
Yash Shah: I would like to know regarding the long-term contracts with any of the customers regarding the price, sir. Do we have any contract as of now which are for long term at fixed prices?
Ashok Jain: No, the solar glass is being sold on a monthly basis on the basis of monthly purchase order.
There are no long-term contracts.
Yash Shah: And where do we see the EBITDA going on a long-term basis? Can we maintain at the current levels? Because, earlier I guess 6 to 9 months before, we had said that we were operating at a pretty high EBITDA level which was bound to come down. So, are the current levels stable enough? We can expect it to be at this level in the future quarters as well or there is scope for further reduction?
Ashok Jain: When the EBITDA levels were high, that time also we had mentioned that these are higher than the normal EBITDA levels because of the situation of high freight and high international

prices. And when it came down to almost 30%, that was the level we presume would have been the normal level, but after withdrawal of anti-dumping duty, this 30% expectation has come down slightly. We should look

at EBIT DA levels between 25% to 30% or thereabouts.
Moderator: The next question is from the line of Anuj Upadhyay from HDFC Securities. Please go ahead.
Anuj Upadhyay: Sir, how long the discounted imported price is sustainable? I need to understand the things like in your initial remark you mentioned that with the resumption of the domestic module manufacturing thing, we may see a demand ramp-up happening. Currently, the reliance is more on the imported glass as result of which the competition has been quite stiff and we are taking price cuts. But with the resumption of the domestic module manufacturing, say, 2 to 3 years

down the line, would there be any chance of going back to our earlier pricing regime, considering the fact that the gas prices have now come down, even the freight rates have cooled down a bit? I just needed to understand the thought process on that.
And secondly, how has the competition been? When I said the competition, it's the domestic competition, because we have seen many domestic players also coming up with the solar glass manufacturing capacities. We heard of Vishakha coming with the capacity addition, Goldi as well. Now with this discontinuation of the duty, are we seeing similar kind of competition coming into the industry or there has been a halt as of now?
Ashok Jain: As you would understand, the market is the determining factor of the prices, and demand-supply will drive the prices up or down or maintain the prices at whatever levels, as it happens with any commodity; this is a commodity business. We have to believe that market forces will decide what prices will prevail. The imported competition or imported prices are one way to benchmark it against which the Indian manufacturers are seeking the prices from us. But when it comes to movement in the prices, you have seen that the prices have moved up very high in 2021-22 and they have corrected later on. This will keep on happening based on demand-supply worldwide. Whether China impacts it or India impacts it, this will all be the case. But in terms of the local manufacturing, there are a couple of players who are coming up. These are basically plants being set up as greenfield plants and the cost of those plants is much higher than ours. That's what our view is or belief is. And their cost of production is also going to be higher than ours. So, we do not foresee the prices to go down in the time when the local production comes in.
And in any case, we are competing with the world's largest producers right now from China. These 2 players who are listed on the exchange are controlling almost 60% of the world market and almost more than 60% of the imports into the country are coming from these 2 sources based in Malaysia and Vietnam. These are both Chinese factories. Competition will stay throughout your life for every product, and we have to stay positive, and we have to stay competitive by controlling our cost, by being innovative, by providing customers the value for money. That's how we would like to look at the solar glass as well.
Anuj Upadhyay: Just a follow-up on your last remark. Apart from the usage of furnace oil, is there any other cost reducing measures which we are adopting so as to be competitive?
Ashok Jain: Actually, the day starts with innovation thou ght process only. The co mplete mindset of the people in the company is to stay competitive. We have to face the Chin ese competition without any help from any corner in the country, be it the government or any other side of it, and all the Chinese exports are coming to India with a lot of subsidies and a lot of incentives being doled out to those manufacturers in those countries. And we have to pay full prices, full cost, or we don't have any duty support or any subsidies for that matter. So, the thought process in the Company is to be innovative in terms of each aspect of wha

tever activity they are handling,

and that's how we are trying to keep our costs under control. Whether it is raw material pricing or furnace oil or gas consumption in the furnace or use of innovative packing ideas, all those mechanisms are helping us to control our prices. Of course, the productivity of the equipment is very high in our case, which is allowing the higher production, higher throughput which keeps the cost of production quite low.
Anuj Upadhyay: And how has been the demand for the bifacial module, both at the domestic and the export level?
Ashok Jain: Bifacial module in China, it is more than 40% already and in India now with the new module plants which are coming up havi ng this capability of producing bifacial modules, this demand is set to rise. Already some players have started to make bifacial modules in the country, the

large ones. And gradually, this demand will go up. In terms of the overall thinner glass sales,
we sell almost 30% of our production as thinner glass which is in 2 mm, 2.5 mm, and 2.8 mm. And we also export 2 mm glass. So, we see that the demand for thinner glass is going to ramp
up very quickly to very high levels, which is used in bifacial modules.
Anuj Upadhyay: So, it was almost 30% of our total sales. Is my understanding correct?
Ashok Jain: That is including 2.5 mm and 2.8 mm which are not going in bifacial modules as such, but we
believe 2 mm demand which is in bifacial will also rise to double digits very soon in terms of
the composition of overall demand.
Anuj Upadhyay: So, it would be somewhere in the range of 5% to 10%. Right, sir?
Ashok Jain: Well, it could be more than 10%. It all depends on how the module manufacturing plants or
new plants….
Anuj Upadhyay: No, I am referring to the current sales, sir.
Ashok Jain: Current sales only. I am talking about our customers because it is the capability of our
customers to produce bifacial modules and they are all setting up new equipment and new module lines which are capable. How fast they can convert their capacities to bifacial will also be a driving factor in how the demand for thinner glass would be.
Moderator: We have the next question from the line of Kiran Paranjape, an individual investor.
Kiran Paranjape: My question is mainly related to our European subsidiary. Can you just remind me once again
what is our capacity in terms of tonnes per day in India and in Europe?
Ashok Jain: In India, we were operating 450 tonnes per day and now we have 1,000 tonnes per day after
our expansion. And in Europe, it is 300 tonnes per day currently.

Kiran Paranjape: But if I look at your consolidated number and your stand-alone number, I am seeing some
discrepancy in terms of sales. Does it mean the volume in Europe was down this quarter or the sales prices were down? Because, I was expecting much better numbers on top line at least. I
understand the cost pressures. But the top line lo oks muted for this quarter for 3 months. Is that
a small quarter, part of the quarter, or volumes lower? Can you throw light on that?
Ashok Jain: Yes, you are right. The acquisition took place only at the end of October. So, the consolidation
includes results only post acquisition, and this is not a full quarter. Only 2 months sales are
reflected from the German plant. That's why you see the numbers not reflecting a complete
picture. Going forward, it will be reflected in th e next quarter's results, the full quarterly sales
of German plant. The new plant which has just got commissioned and which is under
commercial production in India, 550 tonnes, the sales also will start coming in from this
quarter sometime, and you will see that the numbers going up from the March quarter itself.
Kiran Paranjape: My second question was regarding once again on the European subsidiary. If I loo

k at, again,
the difference between consolidated and stand-alon e, on the cost front, I see the cost which is
your power & fuel cost or employee cost or other costs, they are almost the same as of stand-
alone numbers. Those now being European, we expect them to be on high side, but I never
expected that to be so high; typically in power & fuel, I understand the gas situation. Can we expect the coming quarter, because the fuel and gas are going down and you must be doing
some rationalization on manpower cost, etc., so can we expect this EBITDA which we delivered for this quarter to be a bottom and then next all quarters we will continue to see up
move on EBITDA levels on a quarterly basis sequentially?
Ashok Jain: Yes, while that will be the at tempt to do and also there will be full quarter results in the next
quarter; that is another thing. And you are right, on the cost front also, there has been a lot of
softening in the natural gas prices and also electricity prices. All these are one end. Another
end is that we are going to put the furnace under cold repair from the middle of March. So, for
the second half of March, there may not be any furnace production. Of course, WIP will be
there in terms of raw glass, we would like to temp er it and sell it. So, March quarter, it will not
be a complete picture probably. But going forw ard, you will see that the situation keeps
improving as the quarters go by. Because the gas prices have softened a lot, the cost will be much lower.
Kiran Paranjape: And my last question is again related to the European subsidia ry. It was about manpower cost.
If I look at the numbers, if I deduct consolid ated and stand-alone, the number for European
employee cost comes to about Rs. 18 crores. If that is just for 2 months, does it mean that it is
about Rs. 27 crores for the entire quarter?
Ashok Jain: Yes, employee cost in Europe is high, as you would know, because of the structure they have
in terms of the cost. I am just looking at the numbers. Yes, you're right. The numbers indicate about Rs. 18 crores for 2 months.

Kiran Paranjape: So, that would be roughly about Rs. 27 crores for 3 months, when the next quarter comes in,

right?
Ashok Jain: Yes.
Kiran Paranjape: I am sure you would be working on that to ensure that how it can go down. As any Indian Company acquires a European Company, the manpower cost is one of the biggest items or costs. And one would want to automate or do something about it, right?
Ashok Jain: You are right, but it is structural in terms of the economic levels of the geography. As you would know, German costs are very high. In terms of the number of people if you see, they engage less number of people, quite less, compared to what we use in India. And on the cost front, you have to pay the minimum salary, minimum wages, and also incentivize the people to deliver. We are, of course, watching the cost on one side, but we cannot be sure whether this can go down. In fact, we have to increase the productivity, and once the production is better, percentagewise it will look much better to look at.
Moderator: The next question is from the line of Ashit Kothi, an individual investor.
Ashit Kothi: Sir, I would just want to understand, other than the government support with regards to dumping by Chinese companies, how exactly would you be able to compete or attack Chinese companies? Because, India as well as Europe, everywhere China is the major player.
Ashok Jain: This is what we have been doing right from the day we started solar glass production actually. The duties have not been significantly favorable for a long period of time. After anti-dumping duty in 2017, the Malaysian plant started and th ereafter the Vietnam plant started. There were no duties against those plants. So, a lot of imports shifted to those countries. So, the imports have been affecting the p

rofitability or pricing in the Indian market as well as the overseas markets.
In terms of how we are able to perform as a management, as a Company, you can compare it with the audited and published results or unaudited results of the 2 listed companies on the Hong Kong Stock Exchange, which is Xinyi Solar and Flat Glass. And if you were to look at those numbers, you will see that our numbers at EBITDA levels are in fact better than them, despite our being only 4% to 5% of their production size. We are trying to be innovative, we are trying to control our cost. That's how we are trying to be focusing on controlling our costs. And in this direction, we have taken another step which is going to be very important to have an R&D center within the Company where we are going to constantly work on the technologies and products and processes in order to improve our competitiveness in this field and also develop new products which could be of importance going forward.
Ashit Kothi: That's heartening to know. But my question was no t just from the point of view of the past or the current situation. Once this lockdown is opening up or China is opening up big time, what

we are seeing in chemical industries, specialty chemicals as well as basic chemicals here in India that everybody is facing the big hit from Chinese dumping. And possibly China would want to do this across the industries across the world. So, this is more in terms of any further pressure coming from Chinese dumping or Chinese export. Then how we would tackle that?
Ashok Jain: It again comes to the same thing that you have to be competitive in the market in terms of your cost of production. And that's how you can survive in the competition. In terms of the Chinese dumping, if the dumping goes up, we still have a mechanism to deal with it by applying to the government for a certain amount of relief and whether under anti-dumping duty, whether under safeguard duty, or whatever things are available as trade remedy measures. In terms of the, say, cost of production and the ability to keep du mping, also there is some limit because this is a continuous process industry and the costs are global generally like soda ash, natural gas, and other things are global costs. If it is possible for Chinese to keep dumping without denting their margins, then I would agree that they will keep dumping and they will like to destroy Indian industry or Indian market for that matter. But that's not so. Their cost of production, I believe, is almost at the same level at which the prices are prevailing today, and we do not foresee them to even drop the price further. While you are right, the opening up might impact the sectors like chemicals and all, but what we have seen is that there is not much difference in the solar industry particularly because wo rldwide the industry is still a favored industry unlike any other industries which are not significantly in the forefront of the current growth phase. Solar still remains. Nothing much is changing there.
Ashit Kothi: Maybe we will take up this maybe after Marc h quarter which would possibly give us a more clear picture.
Ashok Jain: Sure. We would like to visit that after March.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
P. K. Kheruka: Thank you very much for the questions which you have asked. It shows a healthy inquiry into the business of the Company. We assure you that we are making great efforts to meet you with the ongoing situation, and with the production output coming from the new furnace, which should give us double the capacity, double the output that we have been seeing now, the

picture would look brighter in the days to come. Thank you very much and goodbye.
Moderator: On behalf of Axis Capital Limit

ed, that conc ludes this conference. Th ank you for joining us,
and you may now disconnect your lines.

Call: May 2023

May 29, 2023

BSE Limited
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Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051
Symbol: BORORENEW

Dear Sirs,

Subject: Transcript of Institutional Investors and Analysts Conference Call

We enclose transcript of conference call with Institutional Investors and Analysts
which was held on May 25, 2023.
You are requested to take the same on record.
Yours faithfully,
For Borosil Renewables Limited

Kishor Talreja
Company Secretary and Compliance Officer
Membership no. FCS 7064

Encl: as above
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"Borosil Renewables Limited
Q4 FY2023 Earnings Conference Call"

May 25, 2023

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ANALYST : M R. JITEN RUSHI – AXIS CAPITAL LIMITED

MANAGEMENT : MR. P.K. KHERUKA - EXECUTIVE CHAIRMAN -
BOROSIL RENEWABLES
MR. ASHOK JAIN - WHOLE -TIME DIRECTOR - BOROSIL
RENEWABLES
MR. SUNIL ROONGTA - CHIEF FINANCIAL OFFICER -
BOROSIL RENEWABLES
MR. SWAPNIL WALUNJ - HEAD OF MARKETING -
BOROSIL RENEWABLES
Borosil Renewables
May 25, 2023

Page 2 of 19 Moderator: Ladies and gentlemen, good da y and welcome to Borosil Renewables Q4 FY2023 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and ther e will be an opportunity for you to ask questions after the presentation concludes. Should you need assist ance during the conferen ce call, please signal an operator by pressing '*' then '0' on yo ur touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jiten Rushi from Axis Capital. Thank you and over to you Sir!
Jiten Rushi : Thank you Janvi. On behalf of Axis Capita l, I am pleased to welcome everyone to the Borosil Renewables Q4 & FY2023 earnings c onference call. We have with us the management team of Boros il Renewables represented by Mr. P.K. Kheruka, Executive Chairman, Mr. Ashok Jain, Whole-time Direct or, Mr. Sunil Roongta, Chief Financial Officer and Mr. Swapnil Walunj, Head of Ma rketing. We will begin with opening remarks from the management followed by Q&A sessi on. Thank you and over to you Sir.
P.K. Kheruka : Good afternoon and welcome to the Borosil Renewables FY2023 investor call. The board

of Borosil Renewables on May 24, approved th e company's financial results for the year FY2023 and Q4 for the FY2023. Our results and an updated presentation have been sent to the stock exchanges and have also been uploaded on the company's website. We will discuss the operation of Boro sil Renewables on a standal one basis as well as on consolidated basis. I will also provide you some highlights of the operations in a newly formed acquired overseas subsidiaries.

During FY2023, the company recorded a net revenue from operations of Rs.688.17 Crores an increase of 6.8% over FY2022. Sales volumes on a quantitative basis grew by 4.3% as a result of commissioning of new plant SG3 from February 23, 2023. Average selling prices during the year for about Rs.136. 5 per millimeter as compared to Rs.133.5 per millimeter in FY2022 an increase of 2.3%. Exports during FY2023 including two customers in SEZ were Rs.195.25 Crores comprising 28.4% of the turnover an increase of 14.2% over FY2022 when it had been Rs.171 Crores.

While direct exports were Rs.181.07 Crores which were up from 127 Crores in FY2022.

During the last quarter of FY2023, the compan y recorded a net sales of Rs.187.54 Crores.

From a quantitative standpoint, sales volume was 7.8% higher than those for Q4 FY2022. However, the average selling price was lowe r by about 1.4%. The domestic selling prices were depressed for most of the second half of the year as a result of dumping from China, Malaysia and Vietnam. The landed cost of imports became lower due to a combination of two factors.

 Firstly, the expiry in August 2022 of anti- dumping duty on solar glass imports from China imposed in August 2017. Coupled with a significant drop in International Fair Trades.

Meanwhile the price of natural gas, soda as h, packing materials and other commodities had risen considerably. All these factors contri buted to a contraction in margins, EBITDA during FY2023 including subsidy of Rs.9.75 Crores from the Government of Gujarat was Rs.176.55 Crores corresponding to an EBITDA ma rgin of 25.7% which was a steep decline as compared to an EBITDA margin of 41.1% in FY2022.

During Q4 of FY2023, EBITDA was at Rs.38. 02 Crores and the margin was 20.3% as against 34.9% in the corresponding quarter in FY2022 and 26.7% in Q3 FY2023 arising from increased costs coupled with lower selling prices which prevailed during this period.

Moreover, during this quarter SG3 had been lit up and fully manned as such all expenses were being incurred while there was little co rresponding revenue. Lower EBITDA led to a decline in the profit after tax and the company recorded a profit after tax of Rs.88.54 Crores a decrease of 47% over FY2022.

PAT during Q4 FY2023 was Rs.11.69 Crores which is a decline of 75% as compared to Q4 FY2022 which had better sales pr ices. Ironically, solar glass is the only component in the entire solar photovoltaic value chain which has no import duties whatsoever. With expiry of anti-dumping duty on imports of solar gla ss from China post 17 August 2022, imports continue to remain completely exempt from payment of any sort of import duty. While imports are subject to a basi c levy of customs duty of 15%, circular going back to 1999 exempts imports of solar componen ts from payment of customs duty.

This is an anachronism not only because solar glass manufacturing is the most capital intensive component of the so lar cell, having the lowest a sset turnover ratio, but also because an investigation launched by the Ministry of Commerce as recently as 2022 has found the largest solar glass manufacturers guilty of unfair trade practic es that is to say dumping and have recommended imposition of 63% anti-dumping duty and imports from them. The order a seriously skewed against the solar glass industry where imports of heavily subsidized Chinese glass are welcomed into India with no imposition of any duties.

There is no level playing field for this industry.

We have been representing our case to the government to end exemption from BCD on imports of solar glass. The solar installa tion in FY2023 stood at slightly lower 12.8 gigawatts in FY2023 against 13. 9 gigawatts in FY2022. Howe ver overall domestic demand for solar glasses become stronge r as demand for Indian made modules has risen strongly in export markets like USA together with strong demand in India. The additional demand for glass is being met through higher imports owing to limited avai lability of domestic

 manufacturing capacity and hence the market share of Borosil Renewables in domestic market currently stood at 19% only of the last year.

The overall demand situation for solar glass continues to look robust in India as the domestic module manufacturing capac ities are expected to rise to almost 100 gigawatts in the next two or three years from about 35 gigawatts currently. The actual domestic manufacturing may rise to 35, 40 gigahertz annually which will increase the demand to three times from the present levels over the ne xt two, three years. Commissioning of a 10 megawatt captive power plant of solar plus wind energy being set up through an SPV in which Borosil has 31% shareholding which was planned in December 2022 was delayed due to delay in approvals from the relevant state authority. I am happy to share with you that the requisite approvals have now been obtained and the project is commissioned. This is expected to meet

about 35% of the comp any's power demand. This has enabled us to increase the use of green power in our manufacturing while also reducing the average cost of power.

We are also looking to set up an additional 8 megawatts of solar power once there is enough clarity on the regulations. I am happy to sh are that commercial production from our third furnace SG3 began from February 23, 2023 taki ng the production capacity to 1000 tons per day, six gigawatts from 450 tonnes per day, 2. 8 gigawatts. Going forward we shall now be in a position to more than double the sales, servicing a higher customer demand while achieving higher operating levera ges. The demand for glass ha s shifted to higher sizes where we now have achieved capability. About 55% to 60% of the production is already in large sizes. We have recently commissioned facilities to service a higher volume of 2 mm back glass with holes drilled and also grid pr inted. These are used for as back glass in bifacial solar PV modules and ha s become a major growth area.

The recently acquired German solar glass manufacturing plant had added an operating capacity of 300 tons per day to BRL manufacturi ng capacity. The plants had been operating at about 95% capacity; however, a cold repair of this furnace was carried out from March 13 to May 5, and the furnace has been brought back into production from May 8. With a higher capacity of 350 tons after incorporat ing changes, this should help raise the production yield and achieve energy savings. A portion of the capex plan for the processing area is still under implementation which will he lp achieve capability to supply larger size glasses and also enable more efficient operati ons and overall capex of 34 million Euros will be incurred on this of which Euro 24 million is being borrowed from banks.

Now I come to the consolidated results for the quarter which is the first full quarter post acquisition. These results include the operations of the wholly owned subsidiaries abroad

 the Interflow Group registered a revenue of Rs.121.79 Crores in this quarter with an EBITDA Rs.5.12 Crores registering an EBITDA of 4.2%. The subsidiari es have been able to achieve this despite relatively high energy and raw material prices and also shutdown of production from March 13, 2023. The consolid ated net revenue and EBITDA for the Q4 FY2023 stands at Rs.309.05 Crores a nd Rs.39.08 Crores respectively.

The energy prices have been correcting gr adually; however, on the other hand the sales prices have been adjusted downwards in orde r to maintain competitiveness for the imports. With the emphasis on domestic manufacturing and sourcing from second force in European Union, USA and Turkey, we see export demand from our Indian operations rising significantly over the next two, three years. We believe that with manufacturing operations in Europe and in India we are in a strategically advantageous position to meet higher demand in the export markets. With that I wo uld now like to open the floor for questions that you may have.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Keval Sahar from DSP Investment. Please go ahead.

Keval Sahar : Good afternoon sir and thanks for the opportunity . Sir first question is that since we have a 1000 TPD of capacity right now and we can cater to six gigawatt of solar module capacity and India in the next two to three years will have 100 plus gigawatts of solar module manufacturing capacity, so does this give us comfort that our current capacity and upcoming 1100 tons per day of capacity, can be sold off in domestic market itself?

P.K. Kheruka : Yes, gives us a lot of comfort, provided th e government does not make any further changes in its policy for solar modules in India.

Keval Sahar : Okay, sir, got it. My second question is that ove r the

last two years if I see the realizations of solar glasses have almost been stable like at around Rs.130, but our margins have significantly corrected, so is it because of elimination of BCD or the duties or what is the reason our margins have corrected while the realizations have stayed the same?

P.K. Kheruka : The cost of inputs has gone up significantly nearly by 60%, 70% in the last calendar year and on the other side of course selling prices did decline because of the absence of any anti-dumping duty with effect from August of 2022. So what we see here is actually an overall

price which is spreading over a long period of time, we had certain contracts at older prices and so on which got executed at those prices, so for all these various reasons we see that the prices was a bit higher, but they did re gister decline in the last quarter.
 Keval Sahar : Okay, sir, got it. What would be the current realizations of solar glass?
Ashok Jain: It is slightly lower.
Keval Sahar : Okay, sir. If you can give a number?
Ashok Jain: It would not be right to put any number as of now, but it is slightly lower.
Keval Sahar : Okay, got it. What is the capex that we are planning for FY2024-2025 India plus Europe?
P.K. Kheruka : We just completed our capex in Europe, we spent a significant amount of money there to rebuild our furnace and as I mentioned in my talk it is about 350 tons a day now from 300 tons a day and the furnace is good for another five years at least so we have spent money there and of course we spend money here so at the moment I do not see any special capex going in during the current year other than routine maintenance capex.
Keval Sahar : Got it sir, actually for the next year, the 1100 tons per day of capacity, we are planning in calendar year 2025. So how much capex would be required for that?
Ashok Jain: So we are taking a pause as of now because we have just completed a large expansion from 450 tons we have moved to 1350 tons. So we will be reviewing this in the next quarter and so on and we will figure out whether to go for 1100 tons or what project size should be and we will come back to you after that.
Keval Sahar : Okay, got it. Third question is that we had a t ough year in Germany due to energy crisis etc which has also impacted our margins over th ere? So has the situation normalized in Germany and if yes then how much margins can we expect from Germany plant in normal situation?
P.K. Kheruka : So there are two sources of energy that we use in Germany one is natural gas and electrical power so the prices of natural gas have stabiliz ed significantly to what they were before the war started and to that extent it gives us some comfort that the prices have stabilized; however, the cost of electrical power is yet very high, so that I believe is based to a large extent on natural gas and therefore I would imagine that the price should be coming down in the foreseeable future, but till that time I w ould say that power prices still remain high. I see that the working this year would definitely be better more improved as compared to last year which was quite a disastrous year frankly.
 Keval Sahar : Okay, sir, got it. But in the normal situatio n, can we make around 20%, 25% margins what we make in India and Germany?
Ashok Jain: That would be difficult to make in any overseas operations particularly Europe and Germany, so we believe that 10% to 15% will be normal margin for that business there.
Keval Sahar : Understood. Thanks a lot sir and all the best for the coming years.
Moderator : Thank you. The next question is from the line of Ranganath N an Individual Investor. Please go ahead.
Ranganath N : I have a few questions on the acquisitions pa rt. One is like how are you planning to like fund this acquisition and capex plans going forwar d. Is there any chance of

equity dilution going ahead?
Ashok Jain: So we already funded the acquisition, paid th e money and now we are incurring capex, this is 34 million Euros and out of that 24 million is being borrowed from banks which is already tied up. The remainin g money is funded from internal accruals of the company.
Ranganath N : So there is no equity dilution chance going forward.
Ashok Jain: There is no plan for that particular leg. However, whenever we have more capex plan for expansion that time we will be raising equity.
Ranganath N : Okay. Thank you. My second question you said there is an anti-dumping duty request that you put in to government, so how is the respons e from there side, is it positive or like do we expect anything in future?
Ashok Jain: So anti-dumping duty has been discon tinued from August 17, 2022 though Commerce Ministry had recommended, but Finance Ministry declined it, so there is no anti-dumping duty and that chapter is over. If we want the an ti-dumping duties to come into play we will have to file the application again for every country like China, Vietnam and Malaysia and then the entire process will be run which may run up to one year or so after which one can expect anti-dumping duty.
Ranganath N : Correct me if I am wrong like my understanding, I heard like we already filed ADD application for that. Is that not the case or are we still in the process?
Ashok Jain: No, we had filed application for continua tion of anti-dumping duty against China which

was expiring in August 2022. The DGTR analyzed everything they held the entire process
 and after that they recommended anti-dumping du ty continuation for two years, but Finance Ministry declined it, so that matter is ove r now. If we want to invoke anti-dumping duty on any of those countries, we need to file fresh application now.

Ranganath N : Okay, thanks and we are looking forward for yo ur profit margin increase. Thanks for taking my question, Sir.

Moderator : Thank you. The next question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar : Thank you sir. Thanks for the opportunity. My first question is what is the share of solar glass in the total cost of a module?

Ashok Jain: So it actually depends on which kind of module you are talking about if it is conventional module where you use a glass in the front and a polymer back sheet at the back side it would be 8% to 9%. If it is a bifacial then it might be 15%.

Nikhil Abhyankar : Okay, it is a bifacial, so my second ques tion will be among the PLI winners who will be ramping up their module facility so what portion of them are getting into these bifacial module manufacturing?

Ashok Jain: So basically, all the solar cells now being available are bifacially charged. You could eventually make bifacial modules from every cell available now, but it all depends on what kind of obligations and what kind of projec ts you are doing. So if you talk about international scenario like China already has almo st 45% to 50% in bifacial module, but it is yet to be followed in the same way in India and Europe. So gradually it will move higher up in the bifacial modules as we go along, beca use earlier the equipment were not capable of making bifacial module in India and so also in Europe, but now they are changing the equipment and gradually there will be increase in the bifacial modules.

Nikhil Abhyankar : Okay and sir, are we in talks with any of thes e PLI winners or are they in talk with us for getting into any kind of a long-term supply contract?

Ashok Jain: Most of these people are our customers already and those who are not also we are in touch with them and the contracts particularly have not worked so far like a long-term contracts, but supply arrangements on a monthly basis are there and we hope to continue like that because without the price there is no contract

basically and price is something which nobody wants to prefix, because of the changing situation like the solar glass prices keep changing, every component price keep changing and the dynamics of profitability keeps
 shifting from here and there in the module indus try, so nobody wants to have a fixed price, but basically all the people who are going to have module capacities wi ll require glass and higher the domestic value addition is there, they will be getting higher PLI so obviously it will be interesting for them to buy locally.

Nikhil Abhyankar : So, they are not looking to set up th eir own glass manufacturing facility.

Ashok Jain: Adani and Reliance are looking to set up thei r own capacities and also maybe like Shirdi Sai Electricals might look at se tting up the capacity, other than these we have not heard any other player looking at se tting up glass capacity.

Nikhil Abhyankar : Okay, so just a final question so what is the difference in realization for exports and domestic player?

Ashok Jain: So export realization is higher compared to domestic visual ization by about…

Nikhil Abhyankar : I did not get it. Can you please repeat?

Ashok Jain: Export sales realization is higher compared to domestic realization by about 10% to 12%.

Nikhil Abhyankar : 10%, okay, sir. That is all from my side. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Santosh Kucheriya an Individual Investor. Please go ahead.

Santosh Kucheriya : With regard to 174 Crores of inventory, in which how much is the finished goods and how much is the raw material?

Ashok Jain: Sunil, can we respond on this?

Sunil Roongta : Yes.

Ashok Jain: Or you want to come back in the meantime you can continue with another question?

Sunil Roongta : Yes, Q1 results, the power and fuel in the la st year it was Rs.30 Cr ores, now it is Rs.52 Crores, why is it so much high.

Ashok Jain: So now we are running third furnace as well whic h is a large furnace of 550 tons per day, so we need to have more power and fuel c onsumption from 450 ton we have reached 1000 ton production, so obviously it will require power and fuel.

Page 10 of 19 Santosh Kucheriya : But it has not reflected in your turnover, because production has gone up from February itself, so the revenue should have been higher whether you have billed or it is showing
under inventory?
Ashok Jain: Commercial production has beg un on February 23, so virtua lly one month production has
happened in March and there has been some bui ld up in the inventory as well which is why
the ratio is not appearing the same.
Santosh Kucheriya : So actually whatever you are producing those goods are getting sold or you have invoiced,
but the goods are not in your books?
Ashok Jain: So there are two things. One is that Ind-AS impact is there, large impact is there of goods
having being invoiced, but not delivered to the cu stomer, so that is a large impact already
plus there were some built up in the inventory as well, because initially when you start
producing you do not get 100% right material, so one is to see for a one month, two month
or so before it can sell everything.
Santosh Kucheriya : Just clarifying on that one sir, on the inve ntory, how much is finished goods and how much
is raw material?
Sunil Roongta : Out of Rs.174 Crores inventory, Rs.74 Cror es inventory in raw material and balance
inventory of finished goods, work in progress and stores, packing material.
Santosh Kucheriya : Out of this 100 Crores, have you invoiced an ything, but goods have not been delivered to
the party?
Sunil Roongta : That is Rs.36 Crores around.
Santosh Kucheriya : Rs.36 Crores you have sold, but it has not delivered?
Sunil Roongta : That is in the stock, because of Ind-AS.
Santosh Kucheriya : Otherwise profit has been much more than that?
Ashok J

ain: Yes.
Moderator : Thank you. The next question is from the line of Rishabh Shah from Dalal & Broacha.
Please go ahead.

Page 11 of 19 Rishabh Shah : Thank you so much for giving me the opportunity to ask the questions to the management. I have a few questions understanding the company, so will the management can tell me or have a brief idea about what will be the real ization number for 1 mm glass that is imported
from China and India?
Ashok Jain: Yes, we obviously have an idea about what prices the goods come in India and in fact the
goods are sold by us taking benchmark of impor t prices, so obviously we need to know that,
but each and every buyer has different pricing. On an average basis, the goods if you were
to ask me on a per mill imeter basis it will be about Rs.110 to Rs.115 per millimeter.
Rishabh Shah : Okay, thank you. My next question would be regarding the third furnace, so the third
furnace would be a dual furnace if you know, the dual furnace where in the previous
conference calls or in previous investor pr esentation it was mentioned that it is run on
furnace oil and on the diesel, so will that be a dual furnace?
P.K.Kheruka: Yes. It will be multi-fuel furnace. It can be run on different sources of energy it could be
natural gas, could be furnace o il, diesel, LDO, propane, LPG.
Rishabh Shah : My next question would be regarding the num ber of days for the production of the glass
which is your capacity is 1350 ton per day, so on yearly basis if I want to calculate on a
yearly basis, so for how many days shall I ta ke for the calculation for yearly basis of the
production?
Ashok Jain: You take the entire full year, but generally 10% would be downtime for the roller change
and other things, so generally 330 days is what one can take.
Rishabh Shah : 330 days?
Ashok Jain: 330 days.
Rishabh Shah : Okay and also can you please give me an y update for the ADD by the government which on
that is ADD that is going to be on imports from China by the government, is there any
update on that?
P.K.Kheruka: I wish I would love to give you to that upda te, but this is completely beyond our scope. We
have been trying very hard and we are hope ful that we should succeed because we have
very good reason for our request for grant of ba sic customs duty at least if not anti-dumping
duty and it is a question of when the government will sit up and take notice.

Page 12 of 19 Rishabh Shah : Okay, sir. Thank you. Also I just have one question regarding the 67 gigawatt solar
production which was reported as of FY2023 so do we contribute 100% to it, do the solar
glass contribute 100% to it?

Ashok Jain: Not at all. The installations can be by wa y of domestically manufactured modules or by imported modules. So a large portion of the inst allations in the past have been with the imported modules. So it will be in correct to say that it is made in India or like that and we contribute for the module making . The domestic module manufactu ring of course is going up now, so as we speak the domestic modules may be about 75% of the installations currently happening.

Rishabh Shah : Okay. Thank you, sir and also I would like to ask that can you please tell me how much would be the export volume if you can give me some guidance towards that?

Ashok Jain: Exports are about 25% of the volume.

Rishabh Shah : 25% of the volume, okay sir, thank you very much for answering the questions and I hope the company prospers in future. Thank you very much.

Moderator : Thank you. The next question is from the lin e of Sagar Sanghvi from ADD Capital. Please go ahead.

Sagar Sanghvi : Thanks for the opportunity, sir. I have two se ts of questions. One on the volume front, sir at 1350 tons per day what would be the full utiliza tion that you will be looking at in terms of percentage and at full utilization what kind o

f volume should be looking at in terms of square meters or if any volume metric that you can help us understand, so that we can model the P&L for that that is one and two on the raw material front how should we look at raw material prices going ahead in terms of soda ash prices, we do we have the contracts for the full year or a half yearly contracts a nd even on the other raw materials and power and fuel?

Ashok Jain: On the production side or turnover side, the on e benchmark to take would be that if you were to run both the plants full capacity like India and Ge rmany, the turnover which one can expect could be about Rs.1800 Crores to Rs.1900 Crores per annum.

Sagar Sanghvi : But that will also take a particular realization per square meter or something into consideration?

 Ashok Jain: So that is the reason I have given you a band of Rs.1800 Crores to Rs.1900 Crores depending on the what the price would be and wh at the volumes we can expect. In terms of the quantity if you were to ask me from Indian operations one can e xpect about 5 Crores square meters on two millimeter.

Sagar Sanghvi : Okay.

Ashok Jain: German operations about 1.1 Crores square me ter on two millimeter. With regard to your other question on the cost and prices, we do have supply contracts for soda ash for this calendar year and the contract is linked to benc hmark of quarterly pricing so should there be any changes in the quarterly pricing, it will be applicable to us from the next quarter, suppose the price in this quarter is a lag effect.

Sagar Sanghvi : Got it.

Ashok Jain: For power and fuel like power of course is from DISCOM and now we have our own power and fuel we are buying from the government owned companies and natural gas coming from Gail.

Sagar Sanghvi : What would be the margin should be we l ooking at is it 22% margins or will it be a normalized 15%, 16% kind of marg ins on consolidated numbers?

Ashok Jain: Our margin till last three years have not been below 205, so it is not right to assume 15% margin, but we expect margins to be between 20% to 25% generally.

Sagar Sanghvi : On a consolidated basis, not India operations.

Ashok Jain: Standalone I am saying.

Sagar Sanghvi : No, my question was on a consolidated basis?

Ashok Jain: On international operations, we see margins between 10% to 15% one can do the console.

Sagar Sanghvi : Thanks a lot sir.

Moderator : Thank you. The next question is from the lin e of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay : Thanks for the opportunity. I am from Inve stec sir not an individual investor. You mentioned about the domestic market share decl ined into 19%, can we throw some kind of

 a number on the export market what shared do we have, I know China has a major role to play out there, but any market share we can get there.

Ashok Jain: There are different markets in which we have different market share. It is not uniform like Indian market of course we can discuss a bout the market share and we may not have complete idea of other markets. German opera tions we know that we have a large market share there. Our German company is holding almost 60% to 65% of the market in Europe.

We have another 10%, 12% there, so that is the market share we enjoy there. In Turkey we may be about again 10%, 15% and in USA we are hardly there maybe 1% or 2%.
Anuj Upadhyay : Okay, so this export which we are doing is la rgely targeted to the European region or….
Ashok Jain: Europe and Turkey.
Anuj Upadhyay : Going ahead considering the fact that domestic competition is one of the intel what would be our strategy in the export domestic competition because largely we are in the export market or how things develop?
Ashok Jain: We maintain our focus on the export market subject to the limitation of growth there sometimes, but of course we h

ave to increase our presence in the domestic market as we grow the volumes because the demand and what is the manufacturing activity in India is growing very fast as compared to other countri es, other markets but may be after one or two years USA will become another growth area , but as of now we concentrate on Turkey, Europe and India.
Anuj Upadhyay : Sorry sir. I have joined a bit late. I misse d out on Q4 production and sales volume and also the bifurcation among the domes tic and export sales, can you please help me out?
Ashok Jain: The sales volume have gone up by about 7%, 8% in the quarter led by the commissioning of SG3, but it has not got full operations as of now. We started only from February 23, so from the current quarter, the impact will come in a major way and then it will show a right picture.
Anuj Upadhyay : And export and domestic mix?
Ashok Jain: It was about 25%, 26% in export in the last quarter.
 Anuj Upadhyay : Our earlier agreement on the natural gas wa s expiring in December 2022 and we have now entered into a new contract, this is in what time period and how much is the elevated prices compared to the previous one.
Ashok Jain: So we are still waiting for the right level of the prices for a new contract, but in the meantime we are using a major part of our opera tions furnace oil which is cheaper than the market related gas as of now a nd market related gas prices al so have come down, but they are still way above furnace oil prices. When they are almost at same level we will like to enter into contracts.
Anuj Upadhyay : Likewise in Europe even in India we are using furnace oil right sir?
Ashok Jain: Sorry, say again.
Anuj Upadhyay : Likewise in European operation even in domestic market we are using furnace oil this is what you are saying?
Ashok Jain: In Europe we are using completely natural ga s and oxygen and like that there is no use of furnace oil in European operations. In India al most about 18% to 20% is the utilization of gas and rest is furnace oil, so that is the mix right now in India, but as and when the prices of gas are right we will again shift back to gas.
Anuj Upadhyay : Right sir and with commissioning of 10 mega watt captive power plant, any rough figure you can mention, how much are we saving in the power cost? How much we could save with the fully commissioned plant.
Ashok Jain: We hope to save about 35 lakhs to 40 lakhs per month.
Anuj Upadhyay : Lastly sir, in opening rema rks you mentioned about we are rethinking of the strategy are coming up with the SG4 and SG5, can we ha ve discussion on this expansion you had mentioned with all our clients, with whom we have contract ed supplies of solar glass, majority of them are going to further expans ion plan on the module manufacture, so the reason to relook at the strategy has to do with the competition, because demand I do not think is a concern it has to do with the price, am I right sir?
Ashok Jain: We are in the currently in the process of stabilizing our expansion, because after having expanded from 450 ton to 1350 ton we need to ta ke a call and we cannot be in a hurry and similarly there are other aspects like on the duty front, there is no clarity as of now and we cannot only chase the revenue and not the bottom line, so we would not like to sacrifice too
 much on the bottomline and just chase the growth , so we will take the call at appropriate time when to put in money for the next expansion.
Anuj Upadhyay : Fair point sir and lastly if at all say suppose if we decide to go ahead with the expansion in the next quarter, how much time will we take because earlier target was to set up by FY2026, we will be sticking to the same time line or there could be some kind of postpone?
Ashok Jain: It takes about 15 to 18 months anywhere and whenever we take the call from ther

e, it can take another 18 months you can say.
Anuj Upadhyay : Thanks for answering my question and best of luck.

Moderator : Thank you. The next question is from the line of Rishabh Shah from Dalal & Broacha. Please go ahead.
Rishabh Shah : Thank you very much for taking my questions again. One of the questions which I have is for the backward integration that the comp any had given the guidance for soda ash and natural gas, are there any updates on the backward integration for that?
Ashok Jain: We do not have any such plans, we have never given guidance to get into backward integration of these products, so I th ink you seem to have misunderstood.
Rishabh Shah : Okay and also I just have one question regarding are there any differentiation in the quality of glass that is produced by us and the gl ass which are imported fro m China, Vietnam and Malaysia?
Ashok Jain: Generally, the quality is same.
P.K. Kheruka : However, our quality, there are some diffe rences in composition which gives our glass higher longevity which we do because we believe in making a better product.
Rishabh Shah : Okay sir. Thank you very much and thank y ou for having me on the conference call. Thank you.
Moderator : Thank you. The next question is from the line of Sheersh Jain an Individual Investor. Please go ahead.
Sheersh Jain : Good afternoon. My question is pertaining to the capital allocation policy now in the absence of a big capex in the ongoing year, what will be the capital allocation policy regarding the free cash flows?

 Ashok Jain: We are continuously innovating and conti nuously looking at various opportunities in the business. We have recently started R&D Center also in Pune with an objective to develop products or come up with cost saving measures and all. Whatever cost saving measures are there, they may not require large capex, but in case we are able to come up with some new products, new ideas we will discuss that and then we can come back with the plans to do any capex on that. So in the meantime the small capex or routine capex we will continue to do.
Sheersh Jain : No sir. My question was whether the free cash fl ow that we will generate this year whether we will save it for the capex that is upcoming in next year or whether we will use it to reduce the debt or possible dividend payout what are the management thinking on this?
Ashok Jain: So I think we will take the call at appropriate time. Right now we are not in a hurry to decide on that and our next expansion may not be very late as well, so maybe most probably the cash flows will be used for next capex cycle, but we will have to take a call as and when we reach that level.
Sheersh Jain : Okay. I have just one more followup question. Sir, always our exports were very high margin products for us, now that we have a Euro pean subsidiary where is the material that we are producing in Europe is being sold ve rsus where were we exporting from the Indian manufacturing houses?
Ashok Jain: So material produced in Germany is getting sold almost 100% into European market only whereas we have been exporting to Europe, Turkey, USA MENA countries and all the areas where the demand is there, so that is how it is being looked at. Currently also we continue to export material from India to European ma rket, because there is a higher demand for glass which German plant cannot completely meet.
Sheersh Jain : Okay, understood. So none of our exports are being sacrificed because of this European plant right?
Ashok Jain: No, because they contribute only 60% of the ma rket and there is room available for other players to supply, so we continue to export.
Sheersh Jain : Understood. That is all from my side.
Moderator : Thank you. The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.

 Jiten Ru

shi : Thank you for taking my question. My first question would be on Europe business as you said that capex is done and plant has settled down so what could be the contribution from the European plant in terms of total revenue this year probably because you said at full utilization level turnover can be at 1800 cr and there is a room for huge scope in the European market, so what can we see any gui dance this year for the European business from German plant?
Ashok Jain: So we can probably expect that about Rs. 550 Crores to Rs.600 Crores from that plant.
Jiten Rushi : And Sir this margin would be like 15%, 20% from the…
Ashok Jain: 10% to 15% EBITDA margin.

Jiten Rushi : This Rs.500 Crores, Rs.550 Crores is like the peak or we can even achieve more?
Ashok Jain: Well, we have just rebuilt the furnace and we will have to build up extra production and get efficiencies and all it could be slightly better, but this is wh at we normally expect when we start the production. As we go along we will try to improve our productivity over there.
Jiten Rushi : What would be the portion of exports to the locations with anti-dumping duty against China and probably how competitive are we in those areas like probably I know that your main export is in European country, but how are we competing with China in those regions, is there anti-dumping duty there?
Ashok Jain: In both these markets, there is anti-dumpi ng duty against China, but there is no anti-dumping duty against Malaysia, Vietnam who happe n to be the largest exporter to these two geographies as well and we have to compete with them.
Jiten Rushi : These entities are also like Chinese companies only?
Ashok Jain: They are Chinese companies.
Jiten Rushi : Okay sir. That is from my side. Thank you, sir and all the best.
Moderator : Thank you. We have a followup question fro m the line of Sheersh Jain an Individual Investor. Please go ahead.
Sheersh Jain : One question, sir in the earlier calls we have suggested that a 1000 TPD plant would help generate Rs.1200 Crores sort of revenue which indicates to 1. 2 times asset turn, but in the previous question you suggested that a 350 to ns plant could generate Rs.500 Crores of
 revenue which is much higher asset turn, so is it the case that the European plant are much better in terms of efficiency and productivity?
Ashok Jain: No, in fact the prices in Europe are higher compared to what they are in India and it can generate a better product mix as well, because there are a lot of markets in which they sell like Greenhouse or Thermal markets which ar e paying higher amounts there. In Indian context we have to compete with Chinese and our prices remain lower so that also is another bottleneck in India.
Sheersh Jain : Regarding Indian manufacturing plant, 1.2 times asset turn is still an ideal situation?
Ashok Jain: 1.2 asset turn is happening because ours is a Br ownfield expansion here and we have set up the old plants like in 2010 and 2019 and all but if it was a new plant to be set up in India the asset turn will be mostly 0.85 or like that. So in Indian context for our company, you can say it will be 1.2 times but if you were to really look at any Greenfield plant it will be much less than one.
Sheersh Jain : Okay. That is very helpful. Thank you so much.
Moderator : Thank you. As there are no further questions , I would now like to hand the conference over to management for closing comments.
P.K. Kheruka : Thank you very much for your questions. They revealed the interest that investors are taking into stock and the operations of the comp any. I can only assure investors that we continue to remain alive to the situation and we are constantly working towards making products that would have a higher realization. We are also working constantly to maximize production and also to keep our costs at the lowest possible level. I do want

to inform people that what we have done now is we have installed a ve ry modern, very sophisticated plant and it just takes time to tune it up a nd to get the maximum output from this. So we are at work and we are seeing results every week, things keep getting better, so we are quite confident that in time we should be able to c over all the points that need to be covered and we should be able to have a very efficien t production from the total operation. Thank you.
Moderator : Thank you. On behalf of Axis Capital Limi ted that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

August 16, 2023

BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai – 400 001
Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051
Symbol: BORORENEW

Dear Sirs,

Subject: Transcript of Institutional Investors and Analysts Conference Call

We enclose transcript of conference call with Institutional Investors and Analysts
which was held on August 09, 2023.
You are requested to take the same on record.
Yours faithfully,
For Borosil Renewables Limited

Kishor Talreja
Company Secretary and Compliance Officer
Membership no. FCS 7064

Encl: as above
Page 1 of 15

" Borosil Renewables Limited
Q1 FY2024 Earnings Conference Call"

August 09, 2023

ANALYST : MR. SUMIT KISHORE – AXIS CAPITAL LIMITED

MANAGEMENT : MR. PRADEEP KHERUKA - EXECUTIVE CHAIRMAN -
BOROSIL RENEWABLES LIMITED
MR. ASHOK JAIN - WHOLE TIME DIRECTOR - BOROSIL
RENEWABLES LIMITED
MR. SUNIL ROONGTA – CHIEF FINANCIAL OFFICER -
BOROSIL RENEWABLES LIMITED
MR. SWAPNIL WALUNJ - HEAD MARKETING - BOROSIL
RENEWABLES LIMITED

Borosil Renewables Limited
August 09, 2023

Page 2 of 15 Moderator : Ladies and gentlemen, good da y and welcome to the Q1 FY2024 Earnings Conference Call of Borosil Renewables Limited hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen only m ode and there will be an opportunity for you to ask questions after the presentation conclude s. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumit Kishore from Axis Capita l. Thank you and over to you.
Sumit Kishore : Thank you Ashwini. On behalf of Axis Cap ital I am pleased to welcome you all to the Borosil Renewables Q1 FY2024 earnings conf erence call. We have with us the management team of Boros il Renewables Limited repres ented by Mr. P K Kheruka, Executive Chairman, Mr. Ashok Jain, Whole Time Director, Mr. Sunil Roongta, CFO, Mr. Swapnil Walunj, Head Marketing. We will begin with opening remarks from Mr. Kheruka followed by interactive Q&A session. Over to you Sir!
P K Kheruka : Good afternoon and welcome to the Borosil Rene wables investor call for the first quarter of

FY2023-2024. The Board of Borosil Renewables on August 8, 2023 approved the
company's financial results for the first quarter for the current year. Our results and an updated presentation have been sent to the St ock Exchanges and have also been uploaded
on the company's website. We will discuss the operations of Borosil Renewables on a
standalone basis as well as on a consolidated ba sis. I will also provide you some highlights
of the operation in our newly formed acquired overseas subsidiaries.
During the first quarter of the current financial year, the company recorded standalone net
revenue from operations of Rs.237.82 Crores , an increase of 40% over the corresponding
quarter in the FY2022-2023. Sales volumes on a quantitative basis grew by 56% post
commissioning of a new 550 tons a day new plant that is to say SG-3 from February 23,
2023. Export sales during the first quarter FY 2024 including to customers in SEZ was
30.3% of the turnover at Rs.72.13 Crores registering an increase of 82.4% over the first
quarter FY2022-2023 which was Rs.39.55 Crores. Ou t of this, direct exports were at 81%,
Rs.69.26 Crores as against Rs.38.17 Cror es in the same quarter last year.
Average selling prices during the quarter experienced a sharp decline of 8.8% as compared
to the same quarter last year down from Rs.140.8/mm to about Rs.128.4 mm. This lowering of prices is the direct outc ome of dumping from China, Mala ysia, Vietnam as the domestic
selling prices declined by about 16% in the same period. This price reduction must be
view

ed in the backdrop of rise in the prices of inputs like natural gas, soda ash, packing
material and other commodities in the year 2022-2023. There has however been some

 marginal reduction in the input costs during this quarter. Due to low selling prices, the
margins have come down significan tly in the domestic markets.
The last financial year has seen a notable fall in EBITDA from Rs.51.3 Crores at 30.2% in
the first quarter of the last year to Rs.38.02 Crores at 20.3% in the last quarter. EBITDA has
recovered to Rs.56.52 Crores at 23.8% with infusion of production and stabilization of
process in SG-3 furnace in the first quarter of the current year. Lower EBITDA and higher outflows towards interest and de preciation led to a decline in the profit after tax and the
company recorded our profit after tax of Rs.13.64 Crores a decrease of 54.6% over Q1 last
year. The Indian market for solar glass rema ins wide open for duty fee imports of solar
glass from China which has be en having a field day.
Meanwhile imports of solar glass into China face a custom duty of 21% while the import
tariff provides for a basic customs duty of 15% on imports of solar glass, a circular going
back to 1999 exempt imports of solar com ponents including solar glass from levy of
customs duty. The solar glass industry continue s to struggle with low margins as heavily
subsidize solar glass from China continues to flood Indian market with no pretends of a
level playing field for Indian industry. We cont inue to represent our case vigorously to the
government to end the exemption from basic customs duty on imports of solar glass.
Coming to the solar installation, over the last few months these have remained little bit
subdued at about 0.5 gigawatts per month be fore gaining momentum in June 2023 to
achieve 2.3 gigawatts. In the first quarter of the current financial year, the installation were 3.3 gigawatts against 3.7 gigawatts in the first quarter of the last year. The domestic demand
for solar glass has been facing issues ever since the time MNRE suspended implementation
of ALMM till March 2024. The lower offtake of solar modules led to higher inventories
with our customers which was further exacerba ted by used stocks of solar glass due to
significantly higher imports done in the expe ctation of higher manufacturing and demand.
On a long-term basis; however, the demand s ituation for solar glass continues to look good.
In India as the domestic module manufacturing ca pacity are expected to rise to almost 100
gigawatts over the next two or three years fro m about 35 gigawatts currently. The actual
domestic manufacturing may rise to 35 to 40 gigawatts which shall increase the demand
further. However, the challenge of lower pric es due to dumping had seriously dented the
profitability of new plants and also brought th e potential expansion in solar glass capacity
by various players. From the policy front, there have been some developments worth
mentioning here. MNRE unveils bidding plan for 50 gigawatts renewable energy projects in
FY2023-2024 and issues quarter wise timelines fo r SECI 15 gigawatts, NTPC 15 gigawatts,

 NHPC 10 gigawatts and SJVNL 10 gigawatts. 40 gigawatts to come from solar and 10
gigawatts from wind.
CEA issues National Electricity Plan that projects 562 gigawa tts of installed capacity from
renewables by FY2032. 365 gigawatts of this (6 5%) is expected to come from Solar. About
120 gigawatts of solar is expected to get installed between FY2024 and FY2027 and 179

gigawatts of solar between FY2028 and FY2032. Th e above will generate substantially high demand with solar models. The solar glass ma nufacturing furnace in Germany GMB was in the plant cold repair from March 13 to May 5 and the furnace has been brought back into production from May 8 with higher capacit

y of 350 tons per day after incorporating changes which will help raise the produ ction yield and achieve energy saving. The remaining capex stands for processing area which will help achie ve capability to suppl y larger size glass and also able more efficient operation will be completed by end of the current quarter.

I now come to the consolidated results for th e quarter. These results include the operation of the wholly owned subsidiaries abroad. Th e Interflow Group registered a revenue of Rs.123.02 Crores in this quarter with a nega tive EBITDA of Rs.19.23 Crores. The operating results have been impacted due to shutdow n of glass production from March 13, 2023 to May 8, 2023 and suboptimal pe rformance due to lower e fficiencies during initial stabilization. The consolidated net revenue and EBITDA for the first quarter of the current financial year stands at Rs.354.5 Crores an d Rs.34.47 Crores respect ively. We continue to have a positive outlook led by expected growth in the domestic manufacturing and local production of modules in the Brazilian, USA and Turkey. The IRA in the USA and solar module accelerate of program in the European Union are looking to create local production of solar modules and component which will need supply of solar glass.

The German Federal Ministry for Economic Affairs and C limate Protectio n (BMWK) has called for expression of interest from companie s that manufacture solar modules or the key components in the country to establish 10 gigawatts of solar module manufacturing facilities aiming to allocate the subsidiaries for these facilities. These will be manufacturing operations in Europe and in India where we are strategically advantages position to meet higher demand in the export markets. With th at, I would now like to open the floor to questions that you may have. Thank you.

Moderator : Thank you very much. We will now begin the question and answer sessi on. We have a first question from the line of Mohan Kumar an Individual Investor. Please go ahead.

 Mohan Kumar : I have a couple of questions. First one was with respect to the efficiency gains that you are expecting to kick in from the furnaces, how long do you feel that could take to properly materialize completely by when can you see that happening?

P K Kheruka : I feel that the current quarter should be significantly improve d gains, we have completely new type of furnace in Borosil and it will take time to fine tune it, it is a large installation and it is not just a glass melting furnace, it is also a production line which grinds the edges of glass, coats it and then tempers it and then packs it, so that is a fully automatic process. We are well on the way to achieving the rated efficiency now.

Mohan Kumar : That is great. Congrats on th at and second question that I have with respect to the capacity utilization, so currently do you feel that you have the higher levels that we saw probably in the last couple of years that you feel there is some flat that can be picked up over the last few months?

P K Kheruka : I feel that we should be achieving the full capac ity utilization in the remaining part of this year and we are working hard at it, very difficult to give a firm statement on when this can be achieved, everybody at work trying to achieve it, so may be within the end of this quarter we should have achieved significantly de cent capacity utilization.

Mohan Kumar : That is great again. We expect that to flow spread between the Indian markets and international markets, where do you see this, so what I mean is the rate of change that you are expecting, do you see that higher the in ternational market or the Indian market?

P K Kheruka : I think both the markets are actually potential ly very robust. The spanner in the works is coming from the Chinese imports, they have become desperate and they are trying very

hard to create a big situation in the Indian ma rket, but I am sure the government will take action at the right time and be able to find a solution for that.

Mohan Kumar : Thanks for that. All the best for rest of the year. I will come back in the queue.

Moderator : Thank you. We have a next question from the line of Vivek Gupta an Individual Investor. Please go ahead.

Vivek Gupta : Thanks for opportunity. I have couple of questio ns. First is, what is your EBITDA margins guidance for the rest of the quarters, current year?

P K Kheruka : We do not give forward-looking pr ojection as a matter of policy.

 Vivek Gupta : Okay and soda ash prices have been cracking now, so do you actually see the benefit being passed in rest of the quarters?

P K Kheruka : We definitely see some improve ment in soda ash prices, but there is something that difficult for us to sort of evaluate at this moment.
Ashok Jain : Just to confirm that whatever the price decline is taking place we are also getting the corresponding price decline in our cost of buying, so the benefit is getting passed on to us as well.
Vivek Gupta : Okay. One basic question which I have is that this Chinese, Vietna m and Malaysian glass getting dumped into Indian markets, why the prices are so low, what extra we are doing that they are manufacturing cost is so low that we are actually able to sell at low price.
P K Kheruka : They have no advantage whatsoever in the manufacturing process. Manufacturing process is less efficient, more fuel is consumed than we do, so this is just a case of government subsidizing them and that is why the price of polysilicon has also crashed. They have done nothing to cause such crash in the price of polysilicon, crash in the price of finished modules, crash in the price of solar glass, ev ery component, they have crashed the price, because they see that the world is now looking at making solar modules and all components in their own country, the USA, the European Union and India, three large markets are looking at becoming Atmanirbhar and therefore in order to spoil that they have been doing all this.
Vivek Gupta : I see that you are in touch with the government to reinforce ADD, do you foresee that the decision can be taken sooner, you do not see any probability of coming into.
P K Kheruka : No, we definitely see possibility or even probability, because it is strange that the government would only protect tw o out of five components which are required in the value chain, so I think which was done in haste frankly speaking, otherwise there is no reason why they have selected two particular items of protection. If you want to protect something, you have to protect the entire ecosystem, otherwise you do not get any benefit.
Vivek Gupta : That is all from my side. Thank you.
Moderator : Thank you. We have a next question from th e line of Deepesh Agarwal from UTI AMC. Please go ahead.
Deepesh Agarwal : Good afternoon gentlemen. Can yo u please help us to understand what is our current price premium to blended price of Chinese and Malaysian glass?
 P K Kheruka : Mr. Jain, will you answer that question?
Ashok Jain : So, the pricing premium or advantage or markup which we had in the past, has declined in the recent times and curr ently, the average price premium has gone down to almost 3% or so compared to 7%, 8% which we were enjoying before. So this is primarily because the cost of making a module is to be controlled as the module manufacturer wants to be more competitive and also that we are now supplying larger volume of glass to large customers. Our customer mix profile has changed and as our average pricing for large customers is lower as compared to the smaller customers, so that is where the average price has gone down and the premium has gone down to almost 3%.
De

epesh Agarwal : Understood. If I see the power cost on per s quare meter, it has gone up even sequentially, can you breakup on that side, what is led to sequential increase in the power cost?
Ashok Jain : So, there has been increase by the DISCOM in terms of the FAC by about 35 paise which is why the cost has gone up. This is quite surprisi ng that the DISCOM has taken this step to increase the price around this time.
Deepesh Agarwal : Okay and can you touch up on the local compet ition, because earlier you have guided that lot of players are coming up which will have the capacity coming up in June, July, so is it that the local competition has started picking the market?
Ashok Jain : The three companies which have potentially come into production or likely come into production have not meaningfully started sel ling any volume in the domestic market yet, because they are still struggling to stabilize the production, so hopefully in the next quarter or so they may start selling certain volume in the market, but as of now the volumes are very limited only and coming only from one player which is very small as of now.
Deepesh Agarwal : Also in one of the comments you mentioned th at even USA is looking for local components for solar manufacturing, does that mean that Borosil is open to a either of even setting up facility or acquiring the US market?
Ashok Jain : We keep evaluating all the opportunities and it will all depend on how economical it is going to be to manufacture in each geography, but we keep evaluating and we will take a call at the right point in time whether to setup any manufacturing in US or not.
Deepesh Agarwal : Okay, lastly BCD exemption this pertains to 1999 circular that exemption is till March 31, 2025, is my understanding correct?

 Ashok Jain : This exemption is till March 1, 2024 I think a nd exemptions are supposed to lapse as of that day, so we are waiting for that and in the meantime we are representing to government to end the exemption faster than that, because the dumping is quite serious in terms of the Chinese prices and we are requesting the gov ernment to end the exemption sooner than March 2024.

Deepesh Agarwal : Sir, ideally our margin profile should improve after the exemption lapse even if there is no anti-dumping duty right?

Ashok Jain : Our competition for the pricing is based on landed cost, so once the landed cost will improve with the basic customs duty, obviously the benchmark will go up and we will have possibility to increase our prices.

Deepesh Agarwal : Understood. Thank you and all the best.

Moderator : Thank you. We have a next question from the line of Bala Murali from Oman Investment Advisors. Please go ahead.

Bala Murali : Good evening Sir. I would like to know ab out that our Germany subsidiary EBITDA margins for this quarter?

Ashok Jain : German subsidiary's EBITDA margins- To talk about this particular quarter may not be really indicative in the sense that plant was closed for furnace repair which was planned already and almost for 50% of the quarter, the plant was not operating, so after the plant has come into production for the month of June we have improved the working in terms of the production and EBITDA and everything, but it is still not at the full working, we are trying to improve the capacity utiliz ation gradually from this furnac e which was supposed to give 350 tons per day as against 300 tons furnace which was operated before. So, we will reach this 350 tons capacity utilizat ion may be by next quarter.

Bala Murali : Understood Sir and gas prices ha ve also come down in the premium, so what could be the margins and expected peak revenues from the subsidiary?

Ashok Jain : Can you repeat the question. The que stion regarding the subsidiary or….

Bala Murali : Regarding subsidiary only and in Q3 actu ally will have had margin around 7.5% in Germany subsi

diary, so after the addition of 350 ton per day what could be the anticipated revenue on the margins improvement, gas price ha s come down a little bit, so what could be the profile margins are going forward?

 Ashok Jain : Like what we said before we cannot give any indication of the EBITDA margins, but the overseas subsidiary will have lower EBITDA percentage margin compared to the domestic production in India, because obviously the costs are higher in Europe to produce due to the norms for using the natural gas or oxygen or other things where we have to incur higher cost.

Bala Murali : Okay sir and regarding that Borosil Rene wables standalone entity had around Rs.271 Crores in this quarter? So after that capacity utilization what could be the peak revenue?

Ashok Jain : I think we should do at least Rs.300 Crores per quarter.

Bala Murali : Thanks sir. That is enough.

Moderator : Thank you. We have a next question from th e line of Akshay Satija from NM Securities. Please go ahead.

Akshay Satija : Thank you for giving this opportunity. Sir, firs t question would be what is the overall capex that we are trying to do next three, four years and how do we trying to conduct?

Ashok Jain : So, the major capex comes by way of capacity addition in this industry and our current plan of setting up an additional furnace has been put on hold as of now, so once that is decided and what is the size of the plant will decide how much capex we will do in the next couple of years. On a routine basis whatever capex we will keep doing that we will close to about Rs.30 Crores to Rs.40 Crores per annum and al so we will require funding for the repair, rebuild of the furnaces whenever they are due may be in the next three, four years any time that will be anot her Rs.100 Crores, Rs.120 Crores.

Akshay Satija : Okay. My next question would be, so what is the current size of the glass that you shared and what portion would be the 2 mm size, is there any profitability difference between 2 mm current may be 3, 3.5mm?

Ashok Jain : Are you talking about the glass size?

Akshay Satija : Yes, glass size.

Ashok Jain : Glass size depends on the customer requireme nt, currently the gla ss sizes have become bigger, because of the new technology of solar sale which has come into effect, which is likely bifascial sale of M10 or M12, so gla ss sizes have gone up to 2.5 square meter or thereabouts. Our normal now standard curre nt supplies are about 2272 mm x 1128 mm or

 like that, but we are capable of supplying ev en bigger sizes of M12 which could be 2500

mm or like that.
Akshay Satija : Okay. Is there any profitability difference between the sizes even for the smaller sizes are profitable or there is no difference?
Ashok Jain : We can take all the sizes, sma ller sizes also, we are supplying in domestic market even very small sizes and we also have capability to ma ke sizes of say 300 x 300 which is very small for roof tiles and other things, so size wi ll depend on what cust omer wants we have capability to manufacture large or small sizes both.
Akshay Satija : Okay. I was also noting that one of the Chinese peers, when you are looking at their cost, the variable cost looks similar to us, but the re al distant that was caus ing what the fixed cost that you have, so can we say even if there is no intervention from the government our scale improves may be we were talking about anothe r 1100 tons per day in the three years if you do that probably can you see fixed cost co ming down and without government intervention we will do better margins?
Ashok Jain : Basically, the fixed costs are in two major areas. One is, employee cost and other is interest and depreciation. So, in the case of employee cost, if there is a huge scale, there is certain advantage. In India, we stil l have only 1000 ton per

day wh ereas the large players have more than 25000, 30000 tons per day. So, obviously when you expand capacity you have the operating leverage and the average cost can come down, so as we have progressed in terms of our expansions our average cost has be en going down, but it is still not comparable with largest players. When we expand further this margin improvement will take place in employee cost. In the case of depreciation and interest, I think there is some anomaly here, because the Chinese are using Chinese equipment mainly whereas Borosil uses all the equipment from Europe which are at least 30% to 40% higher cost in terms of their cost of the purchase, so there is a higher depr eciation accordingly for those equipment.
Akshay Satija : Okay, so when we mentioned that the Chinese players are getting subsidies from the government? Could you quantify what could be the subsidies that we are receivable per square meter, what could it be?
P K Kheruka : We are aware about 13% cashback that they get at the time of export, but in addition to that there are subsidies like they get land free of cost, they get building free of cost, sometimes the workforces paid half the salary by the state. So that is very opaque, there is no way to finding out. The only thing that we see is for example in the last year when the prices went up for all the inputs spend at 65%, the selli ng prices came down by 25%, so that without subsidies how would it have been possibl e that is how we are looking at it.
 Akshay Satija : Do you see any chances that somehow the government stops dumping from China?
P K Kheruka : China is an opaque country, nobody knows what the government will decide, they are driven by very, very large issues. According to some information, they are having some problems in the economy, they have a large debt overhang, they do know what to do the debt overhang in the past at least they have given up blanket ban on further expansion of capacity. When they felt the people who are going ahead, because they are in China, capacity is expanded by taking money from the ba nks and it is simple to say that I cannot run the company, you take it over. The bank is stuck with the assets and promoter walks away. So there has been a lot of recklessness in China in that respect in industrial arena so many companies which were very, very large, ar e closed today, so it is an opaque country, very difficult to figure out.
Akshay Satija : Okay. Alright. That is it from my side. Thank you so much. All the best.
Moderator : Thank you. We have a question from Rishab h Shah from Dalal & Broacha. Please go ahead.
Rishabh Shah : Good afternoon sir. I would like to first touch upon what is the market share of our company in India and as we mentioned that the three, four competitors are going to come in the solar glass space, so what market share can we expect for us to be here this is my first question and my second question is what is the variable between the Chinese solar glass sizes that are being supplied to India and our realized prices, so I just want basic understanding of this.
Ashok Jain: Our market share in India is about 20% as of now and with the increase in the market size, this market share will fluc tuate, but when the new players come in, the new production from the domestic players come in whether they will only substitute the imports or there will be expansion in the domes tic demand. How much expansion will be there that we have to see depending on that our market share will play out. So from current 20%, it is likely to go down actually as the market size is going to grow and also the supply side will also grow.
Rishabh Shah : Okay and about the second question regarding the international players which are Vietnam, Malaysia, they are selling glasses in India, so what is the price difference between ours and

theirs?
Asho

k Jain: International prices are the benchmark for setting up the domestic prices as well for buyers in India, so our prices are generally trendi ng towards movement in the imported landed cost
 and on an average higher by about 3% compared to the landed cost of imports coming from these countries.
Rishabh Shah : Okay and regarding Rs.120 Crores capex which we talked about before which you told before, so my question is what turnover can we expect for that?
Ashok Jain: That Rs.120 Crores capex is basically rebuild of the existing furnaces, every furnace after running for its life require to be rebuilt, so it is maintenance capex we can say and when we do maintenance capex we are just revising the life of the furnace over the next stage. So production is not likely to increase, but it will be continued, it is a maintenance capex we can say.
Rishabh Shah : But what turnover can you expect for that?
Ashok Jain: Current turnover is basically sustained by repairing the furnace, because you put down the furnace, you remove the old parts and put new parts, restart the furnace so it is just maintaining the current turnover.
Rishabh Shah : Okay and regarding this Rs.120 Crores wher e are we spending for which furnace are we spending more?
Ashok Jain: We have three furnaces as of now, the furnace one and furnace two which we had commissioned in 2019, 2020 after six or seven ye ars generally the furnaces have to be rebuilt may be in 2026 or so we will have to consider rebuild up these furnaces, each furnace may need about Rs.50 Crores, Rs.60 Cr ores. So these are the two furnaces which we will be planning to rebuild at a estimated cost of Rs.120 Cr ores, it is just rough estimate as of now as we go along we wi ll have to figure out what th e exact number is going to be.
Rishabh Shah : Okay. Thank you very much. I would like to thank management for giving me the opportunity. Thank you.
Moderator : Thank you. We have question from Bala Mura li from Oman Investme nt Advisors. Please go ahead.
Bala Murali : Thanks for the opportunity ag ain Sir. Regarding this Germ any 10 gigawatts solar module manufacturing facility, when do you think that the things will get materialize it and our GMB has any had hedge over other supplier to supply the blast?
Ashok Jain: The expression of interest has been called for by the government from all the interested players I think the date is August 15, 2023 and after that they will review the proposals sent
 then they will decide which proposals merit their help or their assistance in terms of the capex or opex or whatever nature of subsidiaries or incentives are required and in case of GMB, we are the only company making the sola r glass without using antimony which is also part of this 10 gigawatts program then they want glass to be without using antimony, so this gives a very big opportunity for GMB to supply the glass to the German manufacturers and if we expand the capacity there and get certain assistance from the government. We will receive certain amount of advantage in term s of our capability to expand the production locally, but it will all depend on what is the gap in terms of the imported landed cost and how much assistances required and how much assistance the government is able to give, but we will need to know in a couple of months after the government d ecides. We will be taking interest most likely, but it will be coming from the government in due course.
Bala Murali : Okay sir and even if capacity addition is not planned, but you can supply from India sir?
Ashok Jain: Yes, we are doing that already, because we have successfully improved German plant’s capacity and also exporting already from India, so that is why if they want to promote local manufacturing then of course the expans ion is to take in Germany itself

.
Bala Murali : Okay, understood and what is the capacit y of that GMB and how many gigawatts?
Ashok Jain: It is about 2.5 gigawatts as of now and in case we decide to expand further then depending on the size of the plant which could be 300 tons or 500 tons per day like that, the capacity will grow accordingly.
Bala Murali : Thank you sir. All the best.
Moderator : Thank you. We will take the last question from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.
Nikhil Abhyankar : Good evening sir and thank you for the opportunity. Sir, my question is what is the realization for the solar glass that sell in Germany?

Ashok Jain: Solar glass sale price in Germany is also higher because of the higher cost of production
there and it all depends on which segment and which kind of customers we are selling. On
an average, the prices are higher compared to the landed cost of imports by about 50%
compared to China and about 20% compared to India.
Nikhil Abhyankar : So, around Rs.150 per square meter?
Ashok Jain: Yes.
 Nikhil Abhyankar : Okay and sir, also just wanted to have an industry update you might be more than if I am not wrong sir, schedule to come onstream modul e manufacturing capacity in the next year
somewhere around October 2025, so how are the plans like as the company setting it up, is
everything onstream so that our plant is also picked up by then?
Ashok Jain: Can you reframe your question, are you saying that we should be also expanding inline with
the expansion of capacity by the customers?
Nikhil Abhyankar : I am just asking whether all the PLI scheme and all the capacities that are allotted in it. Are
those all plans onstream, is everything like almost 30 gigawatt of manufacturing capacities
will actually get setup in the next year?
Ashok Jain : We actually wanted to expand our capacity by another 1100 tons per day in the furnace that
was planning, but unfortunately this an tidumping has gone away from August 2022 and
there is no basic custom duty in place as of now which is why the domestic selling prices
are also affecting to provide any investment into further manufacturing which is why we are
holding our plan there and once we have a clar ity on the basic custom duty on the glass, we
will again revisit the subject and take the call. Then we decide if we take at least 18 months to start production.
P K Kheruka: Mr. Jain, I think his question is the othe r capacity from module and do we have any
visibility on that, whether the people have star ted placing orders and the people have started
are the people who have got PLI only.
Ashok Jain : Some of the players have already started taking effective steps like for example, Tata power
or many other, but for many additional player s we do not have much information which is
like a new company. They may be working on those plans, some of the company like Renew Power or Grew Energy, we have cert ain knowledge that they are coming up with
their capacities, but all the companies we do not have information.
Nikhil Abhyankar : Understood and just a final question. The fu rnace maintenance that we had taken and you
said that it will reduce the cost of production going ahead and the differential between our
and the Chinese importers is only 3%, so is it possible that we will compete against the
Chinese import as well after this maintenance done?
Ashok Jain : No, 3% difference is in the selling price, not in cost.
Nikhil Abhyankar : Okay.
 Ashok Jain : We have to compete on the Chinese landed cost, our selling price is higher than 3% that is what I said.
Nikhil Abhyankar : Okay sir. Thank you and all the best.
Moderator: Thank you. We have a next question from the line of Bhavin Rupanin from Investec. Please
go ahead.
Bhavin Rupani : Thanks for the opportunity. Just one questi

on. It is related to pricing, do you see any
possibility of glass pricing declining from here on?
Ashok Jain : We cannot say with certainty, but I think the selling prices in China are very, very low,
because these prices or even at these prices many of the Chinese manufacture must be
making either break even or losses, so we do not foresee the prices going down further, but
in a complex world we cannot decide whether the prices can go down or go up.
Bhavin Rupani : Okay. That is it from my side. Thanks.
Moderator : Thank you. I would like to hand the conference over to the management for closing
comments. Over to you sir.
P K Kheruka: Thank you very much everybody for having participated in today’s investor call. We
appreciate the interest of the investors and we are always happy to interact with you for your valuable comments. Thank you very much and good bye.
Moderator : On behalf of Axis Capital Limited that conc ludes this conference. Thank you for joining us
and you may now disconnect your lines.

Call: Nov 2023

November 11, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: BORORENEW

Dear Sirs,

Subject: Transcript of Institutional Investors and Analysts Conference Call

We enclose transcript of conference call with Institutional Investors and Analysts which was held on November 08, 2023.
You are requested to take the same on record.
Yours faithfully,

For Borosil Renewables Limited

Kishor Talreja
Company Secretary and Compliance Officer
Membership no. FCS 7064

Encl: as above

"Borosil Renewables L imited
Q2 FY '24 Results Conference Call "
November 08 , 202 3

MANAGEMENT : MR. P.K. KHERUKA – EXECUTIVE CHAIRMAN --
MR. ASHOK JAIN -- WHOL E TIME DIRECTOR --
MR. SUNIL ROONGTA -- CHIEF FINANCIAL OFFICER --
MR. SWAPNIL WALUNJ -- HEAD MARKETING --

MODERATOR : MR. JITEN RUSHI -- AXIS CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Borosil Renewables Limited Q2 FY '24 Results Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr . Jiten Rushi from Axis Capital. Thank you, and over to you, sir.

Jiten Rushi : Yes. Thank you, Aman. Good evening, everyone. On behalf of Axis Capital, I'm pleased to welcome you all for the Q2 and H1 FY '24 Earnings Conference Call of Borosil Renewables Limited. We have with us the management team represented by Mr. P.K. Kheruka, Executive Chairman; Mr. Ashok Jain, W hole Time Director; Mr. Sunil Roongta, Chief Financial Officer; and Mr. Swapnil Walunj, Head Marketing. We will begin the call with opening re marks from the management followed by an interactive Q&A session. Thank you, and over to you, sir.

P.K. Kheruka: Good afternoon. Welcome to the Borosil Renewables quarter 2 financial year '24 Investor Call .

The Board of Borosil Renewables on 6th November approved the company's financial results for the second quarter financial year '24. Our results and an updated presentation have been sent to the stock exchanges and have also been uploaded on the company's website. We will discuss the operations of Borosi l Renewables on a stand -alone basis as well as on a consolidated basis.

During the second quarter of financial year '24, the company recorded stand -alone net revenue from operations of INR280.2 crores, an increase of 66% over the corresponding quarter in financial year '22 -'23. Sales volumes on a quantitative basis grew by 111% as a result of commissioning of a new 550 tons per day plant, SG3, from 23 February 2023.

Export sales during the second quarter of the current financial year, including to customers in SEZ were INR 95 crores, comprising 33.9% of the turnover, an increase of 98% over the similar period last year, which stood at INR 47.9 crores. Of this, the direct exports were INR 90.8 crores, which are up from INR 42.6 crores of direct exports in the sam e quarter last year.

Average ex- factory selling prices during the quarter were about INR 110 per millimeter as compared to INR 139 per millimeter in the corresponding quarter in the last year, a sharp decline of 21%, thereby causing a steep erosion in the ma rgins. The domestic selling prices started to decline after discontinuation of antidumping duty against China in August 2022 as a result of dumping from China, Vietnam, Malaysia, despite rising the input prices. The decline in the domestic selling prices w as even higher at 29% compared to the corresponding quarter in the last financial year.

The average selling prices during the quarter declined by 14% over the preceding quarter as a dumping intensified and continued unabated. EBITDA during the last quarter was INR26.6 crores corresponding to an EBITDA margin of 9.5%, which was a steep decline as compared to an EBITDA margin of 26.1% in the same period last year, when the EBITDA stood at INR 44.11

crores. This margin erosion is to be seen in the backdrop of a 21% decline in the average selling prices, as mentioned before.

As a consequence of dumping of solar glass and in the absence of any duties on imports, the company recorded a loss before tax of INR 6.9 crores as against a profit before tax of INR 32.9 crores in the last quarter. The decline in profitability was due to a lower EBITDA and a higher interest depreciation as a result of the recent expansion.

For the first half year, end

ed September 2023, the company clocked a revenue of INR 518 crores, a grow th of 53% over the first half year. The company earned an EBITDA of INR 83.1 crores, a margin of 16%. Profit before tax was INR 11.6 crores. From August '22, solar glass imports continue to remain completely exempt from payment of any sort of import duty pos t discontinuation of antidumping duty against China. While imports are subject to a basic -- to a levy of basic customs duty of 15%, a circle of going back to 1999, exempts imports of solar components from payment of customs duty.

The unrealistically low i mport prices have led to a complete erosion of margins for the domestic solar glass industry as heavily subsidized Chinese imports of glass continue to grow exponentially. We, along with other local producers of solar glass have been appraising the governm ent at various levels about the minus of imports and the impact on the domestic industry and hope that the government will listen to our plea went forth with the exemption from BCD on imports of solar glass. In the meantime, the lower prices have seriously dented the profitability of all solar glass producers in India and brought the potential expansion in solar glass capacities to a halt.

An improvement in the margins of the domestic industry would now largely depend upon the levy of basic custom duty on i mports. The solar installations over the last few months have remained subdued despite a steep and unprecedented decline in the prices of solar cells and modules led by dumping from China as against an expectation of a phenomenal rise in view of very attra ctive prices of solar modules.

The solar installations in the second quarter of financial year '24 were nearly 1.7 gigawatts against 3.1 gigawatts in the same period last year. The domestic demand for solar glass has been facing issues ever since the time MNRE suspended implementation of ALMM for 1 year until March '24. The customers continue to be settled with higher inventories of finished goods as developers prefer to wait for a possible further decline in the module prices. It seems that the domestic de mand will rise only after stabilization in prices. It is extremely necessary for bringing back the ALMM mechanism from 1st April 2024 in order to save the industry from becoming unviable.

The solar gas manufacturing furnace in Germany, GMB has operated dur ing the quarter at almost 85% of the increased capacity of 350 tons per day. The subsidiaries have been able to deliver a significantly improved operational performance compared to the previous quarter, which was affected by lower production due to cold re pair of the furnace. With certain modifications under progress the plant will be in a position to deliver larger size glass from the end of the third quarter financial year '24.

The remaining capex on the new tempering line, which will be completed in the fourth quarter of the current financial year, will help achieve capability to process all sizes, thicknesses of glass more efficiently. The old and less efficient tempering line will be discontinued, which will result in cost savings.

Now I come to the con solidated results for the quarter, which includes the operations of the subsidiaries aboard. The operating result of step down subsidiary that is Interfloat Group have shown a considerable improvement in the quarter after resuming furnace production from t he middle of May 2023.

The overseas subsidiaries, including step down subsidiaries have generated a net revenue of INR121.5 crores and an EBITDA of INR 10.5 crores for second quarter of financial year '24.

The consolidated net revenue and EBITDA for the second quarter of the financial year '23-'24 stands at INR 401.7 crores and INR 37.1 crores, respectively.

We continue to maintain a positive outlook on the sector in view of expected growth in the domes

tic manufacturing in India. The new large capacities expansions have started to come into production and more are expected in the next 2 years, which will further increase the demand for solar glass.

The position in other important markets is as under . The demand in European Union has suffered a massive blow from September as the customers deferred canceled their orders due to inability to compete with deeply discounted prices of modules imported from China, Southeast Asia.

The customers have severely cut down production and are running only shallow operations in the hope to come back to a full production later. These customers have represented to the German government as well as to the European Commission and some positive announcements have been made already. It is expected that concrete steps to revive the solar manufacturing sector in the European Union and Germany will be taken by the end of November or sometime in December. Interfloat has been a part of these approaches to the government, and we expect that the measures will include some positive steps fo r local production of solar glass.

As of now, we are trying to sell the volumes in other markets, although the prices are much lower in these markets. This will impact the profitability in the forthcoming quarters. The Turkish market has shown weakness fro m the end of the second quarter of the current financial year, as the Turkish economy faces increased challenges due to continued high inflation and very high interest rates.

The paucity of funds has slowed down the installations and led to a significant decline in operating levels of all the customers and their orders for glass have become extremely low as they are using the inventories to run the low level of operations. Demand in U.S. is yet to pick up, we expect a greater demand from USA as the local pr oduction of modules picks up in the later part of 2024.

In lieu of these developments, our exports from India, which command a better margin, will suffer a setback in the next 1 or 2 quarters. We have increased our sales in the domestic market,

which unfor tunately is at very low margins in lieu of continued Chinese dumping. This will further impact the average sales realization compared to the last quarter.

The immediate relief will come from imposition of basic customs duty. We are taking necessary measures to improve the situation by increasing productivity, optimizing the raw material mix and controlling costs. Our 10-megawatt captive power plant of solar plus wind energy has started to generate savings in the power cost.

We have decided to set up an addi tional solar wind power plant, which is expected to further cut cost from end of the second quarter financial year '25 and allow us to use a major portion of the power by green sources coming from captive power plant.

With that, I would now like to open the floor to questions that you may have.

Moderator: The first question is from the line of Pranay Shah from Anand Rathi.

Pranay Shah : And I just have one question. What is your view on the basic duty and antidumping duty on the Chinese solar manufacturers? And would it be still levied, continue to be levied in FY '25?

P.K. Kheruka: We have been representing to the government across various departments and various people for the restoration of basic customs duty, which is already in the books. And I must say that as matter stand today, the exemption is supposed to continue till 31st March 2024, after which the exemption is supposed to come to an end ..

We have been given to understand that the exemption will indeed end on 31st March '24. We have a very strong case for ending the exemptions because there is a very strong subsidization of costs from the Chinese government, and this is forbidden under the World Trade Organization rules. W e are only seeking for a level playing field, nothin

g more than that. So we are expecting that the duty exemption should definitely come to an end by 31st March at the latest. So we are trying to see what can be done earlier.

Moderator: The next question is from the line of Sharan. N , as an investor.

Sharan. N: So I would like to k now, like export business is doing good and especially the Europe compared to the India domestic business. Do you have and also you have kept the capacity expansion plan on hold in India. Is it possible that you do an expansion in Germany before India bec ause the business is doing good there?

P.K. Kheruka: Actually, what has happened is that the decline in prices of solar modules worldwide has impacted Germany and Europe as much as it has impacted India. So that business is not doing good today, either in Europe or in India for the time being. So at the moment, I would say that there is no call for any kind of expansion anywhere. However, we are ready for it.

The German industry and the European industry has moved the European Union parliament and the President of the European Union and also the President of Germany to take a very strong action in the matter to protect domestic industry and the matter has been considered very seriously and there is a reasonable expectation that some very concrete steps will be taken by

the government in Europe very soon. If these steps are taken, definitely, the market will experience a boom.

And similarly in India also, the industry has been representing to the government to take serious action against these dumped impo rts from China. So it's a question of when the government will move and back, how much they will move and that is going to determine what is going to happen.

But today, there's a very big demand for solar modules, and there is a very big availability also.

So if the government moves, then everything starts moving immediately. There will be no delay.

Sharan. N: Okay. And based on the government moves if that is positive in Europe, do you have plans to do the expansion there along with the India's expansion of existing plan, which is on hold?

P.K. Kheruka: Yes, we have and we are completely ready to expand in Europe. We have all the facilities. We have the land, building, batch house, everything ready. So if the decision comes to expand over there, if the situ ation warrants us to expand, then we can expand within a matter of weeks. We can start the expansion program, yes.

Sharan. N: And sir, one more question. Recently in the interview or some news I heard about you are exploring the recycling business with a JV or something. So will it happen in your existing brownfield area? And also is it going to be turnkey solution by having it in your existing brownfield? Or how is it going to be happen and by when you are going to see it happen?

P.K. Kheruka: You see unti l today, the recycling of solar panels has not been established in any one particular way, all right, by anybody in the world, and different people are exploring different methods of recycling. So , when we announced our intention to enter this business, it is basically to say that we have started exploring all the different methods of recycling solar panels. So in case we come across something good, then we may start doing it but it is actually premature to say today whether we'll do it in the existing comp any or have a new company to do it because the methodology is still being explored and finalized.

Sharan. N: Okay. Sure, sir. And one last question, I attended another company called Gravitas concall. And there it was mentioned that similar to what we are facing an antidumping duty -- sorry, it was Deepak Fertilisers call. Similar to what we are facing antidumping duty, they are also facing for their products. And it's -- they mentioned that it's not just for one company, there are multiple companies a

re go ing through this problem, and there has been a case filed in the court. And do you have any update on that? What is the status? And by when there will be a final hearing on this issue, which is common for all of these products?

P.K. Kheruka: We filed our a pplication exactly 2 weeks ago. So it's premature at this stage. But I want to tell you that there are 4 companies in India, which are now manufacturing solar glass. So whatever decision comes in our case will be applic able to all.

Moderator: Next question is from the line of Jiten Rushi from Axis Capital.

Jiten Rushi : Sir, my first question is on, can you help us understand what is our current price premium to blended price of Chinese and Malaysian glass?

P.K. Kheruka: I'll ask Mr. Ashok Jain to answer the question.

Ashok Jain: Yes. So as you know, the selling price in India are aligned to the landed cost of imports. And we are selling it virtually at the same price. There could be a small premium, 2% to 3%, which is not a significant amount. So prices are almost aligned to the landed cost.

Jiten Rushi : Okay. And sir, are we seeing any -- as you said that USA looking for local components manufacturing you have seen that -- you heard that. So are we looking for any acquisition or setting up any shop in the U. S.?

Ashok Jain: We would like to export from India to U.S., but we are also looking at how this can be done in terms of local product or local sourcing. So we are in discussion with a couple of customers, whether by certain mechanism, we can achieve this l ocal sourcing business. And we are also waiting for the final rules and final policy from the government on account of IRA. So these are still floating guidelines. Once the final policy comes, then we will try to understand and take a call.

Jiten Rushi : And sir, the last question was on the German subsidiary. Can you give us insight more on the EBITDA margins for this quarter and first half?

Ashok Jain: So EBITDA margins were about, I think, INR 10 crores, which is about 8%.

Moderator: The next question is from the line of Akshay Satija from NM Securities.

Akshay Satija: My first question was, what would be your selling price, if we sell it to the export markets say in USA or other countries versus if we sell it in India. Is there any additional premium to t hat?

Ashok Jain: Yes. Export prices are better since there are antidumping duties against China in various geographies. The prices are better there. In India, the prices are much lower compared to export markets. Now it depends on each geography, what kind of extra premium we can get. So ranging from 30% to 40%, maybe the extra price we can get compared to India in various geographies.

Akshay Satija: Sir, my next question would be so say, 2024 this antidumping issue that you're resolving, they're going to b ring antidumping back. What sort of expansion would we be looking at? Would we be going back to what our initial plan was to set up like huge capacity. What kind of quantum can we see in those terms? So I think this is going to somewhere around 2,100 tons per day from current 1,000 tons per day. So any outlook on that or what are your thoughts on that?

Ashok Jain: I think it is premature to announce that how much we'll do. But whenever the situation is there and the Board considers the next expansion based on the prevailing economics , that time, the call will be taken to do certain expansion, whether it will be, say, 550 ton or 1,100 ton or whether it will be in India or in Germany, all those questions will be probably discussed in the end of next quarter, m aybe by February, March '24, after having clarity on the German government's initiatives as well as on the basic custom duty, removal of exemption by, say, February '24 or something.

Akshay Satija: Okay. So do we have all the land and all the resources req uired ready at least? Or will we have to acquire some land and all the buildings, if we have to do the expansion?

Ashok Jain: We have this available already at the existing location. And in the case of Germany, including the building is also ready there an d a lot of utilities available. So it can be started immediately after taking a call.

Akshay Satija: Okay. And how long will it require for us to set up this capacity say, in Germany if everything is ready?

Ashok Jain: 18 months is the normal time in which we can expect the capacity to come up once we start the process.

Moderator: Next question is from the line of Vivek Gupta as an individual investor.
Vivek Gupta: I just want to understand that what do you think that the margins have they bottomed out? Or do you think that the worst is still not over for Borosil?
Ashok Jain: It's a good question. We are trying to find the answers because the prices every week are changing. And that's the fact on the ground because the Chinese prices for each and every component of solar are getting announced on every Wednesday, and they keep changing. So we are doing our best in terms of performance, operational performance, some improvements are still to be achieved that we are trying at the factory level. But in terms of p rices, which are a major factor, which will decide about the percentage margin or whether it is bottomed out or not, that is still uncertain.
Vivek Gupta: Okay. Then a follow -up question around this. So I do understand that because of this dumping by Vietn amese and Chinese players, so Borosil is not having the pricing power and eventually we are having a hard time there. So what are the plans if this continues. So do you foresee that the worst is still not behind us and it can prolong because you have to be prepared for the worst, if ADD is not resumed and BCD is not extended. So what are the plans?
Ashok Jain: So we have to understand that 97%, 98% of the world's solar glass production is managed by Chinese, whether in China or Malaysia or Vietnam and India is only 3%, India and Germany put together is only 3% production. In India now, other plants have also started to come up, 3 more plants have started.
So the total capacity has become 2,000 tons per day. 1,000 is Borosil, 1,000 is for the other 3 new plan ts. And more plants may come up in the next quarter or ensuing quarter of about 600 ton. So once we have a sizable capacity in domestic market, which has a good amount of share in the local consumption.
Currently, Borosil is the only player or has been the only player and enjoying only 20% market and 80% dependenc e is on Chinese imports. Now once this starts shifting to, say, 50%, 60% local production, then the pricing dependence will reduce, I believe.

Until then so we'll have to depend on Chinese pricing. And we'll have to almost align to the Chinese prices. I n terms of doing our best in case the BCD does not come for any reason, is only to improve the operations and look for avenues outside India, look for new product development, and value -added products . So these are the things which we keep working continuously, which will allow us to still overcome the challenges.
Vivek Gupta: Okay. Because being an investor, my confidence is shaking because of ADD not in place, and I'm on every con call, we are seeing that because we are relying heavily on government to put down the ADD back. But what if ADD is not back, so that is something a big concern.
P.K. Kheruka: I'm not sure that, that is going to happen because Mr. Modi is very, very determined to have a domes tic strong industry. And for the sake of a little bit of cheaper glass, to allow your domestic industry to be destroyed is such a huge price to pay, that nobody can pay it in my opinio

n.
So I don't think there's any chance of them not taking action. Yes, i t's a fact then they need to be convinced, all the numbers have to be presented to them. And there are big ramifications for taking any decision in the solar business. And I guess they have to w eigh everything carefully before they take a call.
Ashok Jain: Just to add here, the solar glass as a component, as a cost in the module is very insignificant. It is about 6% or so. And a levy of 10% or 20% duty on that does not really change the economics too much against solar module industry or even the price of power. Solar glass is a very capital -intensive business. It generates a lot of employment. It has a lot of value addition. You start with INR25, INR30 raw material and generate INR 100 turnover.
So there is a lot of work in the solar glass business, which creates lot of employment, a lot of opportunities for the people. And also, you have to see it from the angle of energy security. See you cannot continuously depend on Chinese for running your solar program. And that would also be a factor to decide wheth er solar glass industry needs to be allowed, at least a level playing field, if not a protection.
So to have a basic custom duty of 15%, which is already there in the books. To remove the exemption should not be such a big deal for the government to act. A nd we are quite positive on this based on our continuous dialogue and meetings with all the concerned people in the ministries at Delhi. So we are quite hopeful that this will be done.
Moderator: Yes, sir. There are no further questions. Would you like to add any closing remarks?
Ashok Jain: Yes. So thank you very much, the investors, for attending this call and asking all pertinent questions. We are continuously on the job to improve the performance and also deal with the government authorities to have the duty invoked, and we are quite hopeful in the matter. We understand that short -term p ain is there, but I think long -term vision is quite clear. We are quite bullish on the business for a long term. Growth in the industry will be tremendous over the years.

So we look forward to a better tomorrow. Thank you. And we'll meet in the next quarter.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of Axis Capital Limited, that concludes today's call. Thank you all for joining us, and you may now dis connect your lines. Thank you.

Call: Feb 2024

February 10, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: BORORENEW
Dear Sirs,

Subject: Transcript of Institutional Investors and Analysts Conference Call
We enclose transcript of conference call with Institutional Investors and Analysts which was held on February 08, 2024.
You are requested to take the same on record. Yours faithfully,

For Borosil Renewables Limited

Kishor Talreja
Company Secretary and Compliance Officer
Membership no. FCS 7064

Encl: as above

"Borosil Renewables Limite d Q3 & 9M FY24 Earnings
Conference Call"

February 08, 2024

MANAGEMENT : M R. PRADEEP K. KHERUKA – EXECUTIVE CHAIRMAN
MR. ASHOK JAIN – WHOLE -TIME DIRECTOR
MR. SUNIL K. ROONGTA – CHIEF FINANCIAL OFFICER
MR. SWAPNIL WALUNJ – HEAD (MARKETING)
MODERATOR : M R. JITEN RUSHI – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Borosil Renewables Q3 FY24 Earnings Conference Call hosted by Axis Capital Limited.

As a reminder, all participants' lines will be in the listen-only mode , and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Jiten Rushi from Axis Capital. Over to you, sir.
Jiten Rushi: Good evening everyone. On behalf of Axis Capital, I am pleased to welcome you all for the Q3
and 9 months FY24 Earnings Conference Call of Borosil Renewables Limited.
We have with us the management team represented by Mr. P. K. Kheruka – Executive Chairman,
Mr. Ashok Jain – Whole-time Director, Mr. Sunil Roongta – Chief Financial Officer, and Mr. Swapnil Walunj – Head, Marketing.
We will begin with the opening remarks from the Management followed by an interactive Q&A
session. Over to you, sir.
P. K. Kheruka: Good afternoon and welcome to the Borosil Renewables Q3 Financial Year '24 Investor Call.
The board of Borosil Renewables on 7th February approved the Company's Financial Results
for the 3rd Quarter of the current Financial Year. Our "Results and an Updated Presentation"
have been sent to the stock exchanges and have also been uploaded on the company's website.
We will discuss the operations of Borosil Renewa bles on a standalone basis as well as on
consolidated business.
During the 3rd Quarter of the current Financial Year, the company recorded a standalone net
revenue from operations of Rs. 240.7 crores, representing an increase of 94% on a quantitative basis as a result of commissioning of a 550 tonnes per day new plant SG3 from 23rd February
2023. Sadly, the dampening effect of a reduced sales price restricted the revenue increase to just
49%. Export sales during the 3rd Quarter of this financial year were Rs. 19.1 crores, comprising 8% of the turnover and also registering a decrease of 67% over the same quarter last year.
Average ex-factory selling prices during the quarter were about Rs. 102.40 per millimeter as compared to Rs. 134.30 per millimeter in the corresponding quarter in the previous financial
year, a sharp decline of 23.8% thereby causing a steep erosion in the margins.
The domestic selling prices conti nued to remain low after disconti nuation of anti-dumping duty
against China in August 2022 as a result of dumping from China, Vietnam, and Malaysia despite a rise in the input prices. On a sequential basi s, the average selling prices during the quarter
showed a decline of 7% over the preceding quarter, as the dumping continued unabated and
intensified, taking its toll on a declined export share.

EBITDA during the current quarter was Rs. 22.7 crores corresponding to a margin of 9.4%
which was a steep decline as compared to an EBITDA margin of 26.7% in the same period last
year when the EBITDA amount was Rs. 43.1 crores, reflecting the impact of a 23.8% decline in
the average selling prices. As a consequence of dumping of solar glass and absence of a level
playing field against imports, the company recorded a loss before tax of Rs. 15.4 crores, as
against the profit before tax of Rs. 30.1 crores in the same quarter last year. The decline in profitability was due to lower
EBITDA and a higher interest/depreciation as a result of capacity expansion in February 2023.
For the 9 months ended December 2023, the company clocked a revenue of Rs. 758.6 crores, a
growth of 52% over the similar period in the previous year. The company earned an EBITDA
of Rs. 105.8 crores, a margin of 13.9%. However, at the net level, the company recorded a loss
before tax of Rs. 3.8

crores due to lower margins and higher interest/depreciation cost. The exemption from payment of import duty of solar glass, which was sent to end on 31st of March
2024, has been extended till 30th of September 2024. This has left the industry bewildered and
disappointed. The solar glass imports continue to remain completely exempt from payment of
any sort of import duty post discontinuation of anti-dumping duty against China in August 2022.
The application requesting imposition of anti-dumping duty on dumped imports from China and
Vietnam has been filed with the authorities. This will be taken up in due course, and they may
take at least 6 months to get any final decision from the authorities. In the meantime, the local
industry will be forced to continue facing unr ealistically low import prices. While the ALMM
mechanism remained suspended, keeping the door open for unrestrained imports of solar
modules leading to a decline of 60% in prices of solar modules. No significant jump in solar installations has been seen thus far. The solar installa tions in the current fi nancial year for the 9
months were merely 6.5 gigawatt against 9.3 gigawatt achieved during the same period last year
when we had achieved 12.6 gigawatt for the full year 2023. The overall demand for solar glass, albeit at a reduced price, remains much larger than domestic production so far. With increased
domestic availability of solar glass from new plan ts, this will go to meet the demand. It is
essential to bring back the ALMM mechanism from 1st of April 2024 in order to have a continued robust demand for solar glass.
The Government has announced setting up of rooftop solar over 1 crore houses in the next 1

year under Suryoday Yojana with a promise to provide free electricity up to 300 units to the household and a provision to sell the surplus power to the grid. This will give much required
fillip to the rooftop solar program and generate dema nd for solar modules. It is expected that this
policy will specify the use of domestically manufactured modules, but there is no clarity as yet.
This would generate demand for solar glass.
I will now discuss about our German operations:

The solar glass manufacturing furnace in Germany was operating during the second quarter of
the current financial year at almost 85% and the operational performance had started to improve.
However, the European solar module manufacturing started to suffer a serious setback as
unbridled imports of Chinese solar modules in Europe at dumped prices by the end of the second
quarter of this financial year. It has severely impacted the ability of local producers to achieve
sales as mentioned by me in the previous earnings call. Now, during the current quarter, all the major players have severely curtailed their operations and canceled their orders on GMB for the
3rd Quarter and the 4th quarter of the current year. Also, they are unable to confirm any orders
for the next year in view of the uncertain situation.
The solar panel industry in Germany has sought immediate intervention from the European
Commission and German Government, as it is expected that some concrete measures to
safeguard their local production. It will be announced by the end of February. If sufficient measures are not announced, there is a possibility of large manufacturers discontinuing their
operations from 1st of April in case there is no support coming from the Government. In the
meantime, the plant at GMB is operating only about 55% to 60% production in view of lower demand in Europe. Certain cost optimization steps have been taken to contain the negative
impact of lower capacity utilization and lower sales realization.
Now, I will come to the consolidated results for the Quarter, which include the operations of the
subsidiaries abroad:
The overseas subsidiaries including those step-down subsidiaries have generated net r

evenue of
Rs. 89.4 crores and EBITDA of Rs. 1.4 crores. And the consolidated net revenue and EBITDA
for the current quarter stand at Rs. 330 crores and Rs. 24.1 crores respectively. We continue to
maintain a positive outlook on this sector in view of expected growth in the domestic
manufacturing in India. The new large capacity's expansion has started to come into production, and more are expected in the next 2 years, which will further increase the demand for solar glass.
However, sustenance and growth of solar glass manufacturing in India will depend largely upon
the levy of duties on imports of solar glass.
The position in other important markets was as under. In Turkey, the market continues to show
weak demand as the economy faces increased challenges arising from continued high inflation
and very high interest rates. The customer is now operating at a significantly lower level. Demand in the US is yet to pick up. We expect a greater demand from the USA towards the end
of 2024, as the local production of modules starts to pick up. In view of low demand from Europe
and Turkey which are our major overseas markets, our exports from India have suffered serious decline.
We will increase our sales in the domestic market, which unfortunately is at very low prices in
view of continued Chinese dumping. This is affecting our average sales realization. We are constantly trying to improve performance by increasing productivity and controlling costs. Over

the next few months, we expect to take further steps on setting up an additional solar plus wind
hybrid power plant which is expected to further cut costs and allow us to use a major portion of the power by captive sources of renewable energy.
In order to strengthen its balance sheet and financials, the company has decided to raise funds
up to Rs. 500 crores. The board has approved raising of funds through the issuance of instruments
or security including equity shares or any other security convertible into equity shares including
warrants, paragraph 1 or more offerings including a rights issue and/or preferential issue and/or QIP or through a combination thereof in 1 or more tranches for an amount not exceeding Rs.
500 crores. In accordance with the regulations and subject to necessary approvals, including the approval of the members of the company and such other regulatory and statutory approvals as
may be required. The Board also approved the constitution of a Committee of the Board of
Directors of the company for dealing with all matters pertaining to the proposed fund-raising. The funds will be utilized for reduction of debt of both the company as well as its subsidiaries
and general corporate purposes.
With that, I would now like to open the floor for questions that you may have.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.
Nikhil Abhyankar: My first question was regarding the delay in removing the BCD exemption. What exactly can be the reason for it? Is it that it was just a Vo te on Account and not a full-fledged budget that it did not get removed? Can you throw some color on that? And how confident are we that it will be brought back again after September 2024?
Ashok Jain: We really do not have any communication about why it has not been levied or the exemption has been extended. But we should understand that this was Vote on Account and not the full budget. And all the exemptions which were supposed to have a sunset have been extended. It is not the single case where the solar glass basic custom duty has not been introduced. But it is for all the products which were to have sunset. So, we expect that some decision may be taken by the Government in due course at the time o

f presentation of the final budget or maybe closer to the end of September when this deadline ends.
Nikhil Abhyankar: Sir, regarding the fund-raise of Rs. 500 crores, what exactly is the purpose? Will it just be for debt reduction? Because we have already put on hold our expansion plans. Are we thinking of expanding again, bringing that plan back to work?
Ashok Jain: No, as of now, the purpose is clearly identified as the reduction of debt because the company has taken debt for its own expansion in India as well as abroad for our subsidiary. So, the idea is to reduce the debt levels.

Nikhil Abhyankar: Sir, one of the large IPP players who had won PLI under solar manufacturing recently announced that they might not go ahead with their plans du e to the low module prices. How do you see this trend? Is it like there are many players who are thinking something like this? Or can you just throw some light on that?
Ashok Jain: Other people have generally gone for expansion and the large players like ReNew Power and others have gone for expansion. Reliance is probably going for a large plant and Adani also has gone for expansion. So, we believe that most players are going ahead with their expansions. But yet some people might feel that there is some challenge in the margins, or the margins are not right because of the low prices of modules, and they may decide as per their own understanding whether to go for expansion or not. But whatever expansion that is taking place, they are quite sufficient in terms of the demand for solar glass production in the country.
Moderator: The next question is from the line of Sharan Nandikur, an individual investor. Please go ahead.
Sharan Nandikur: Sir, in the last call, you mentioned that even you were exploring the expansion or any acquisition plans in the US or any other region apart from India and Germany, and also the US Government is planning to put on restrictions on Chinese imports. Are you still exploring that opportunity in the US?
Ashok Jain: No, I do not think at this juncture, when the prof itability of Indian operatio ns is not very robust and also because things are not very clear as regards with manufacturing in the USA, we will rather depend on exporting from India in stead of setting up any facility there.
Sharan Nandikur: And regarding the recent announcement of Suryoday scheme, any update on that like is it only all the components must be used in that scheme, which are manufactured in India, or it can be imported as well from China?
Ashok Jain: While we are still seeking that clarity, but generally wherever there is a subsidy involved from the Government, the Government wants the component or the modules to be used for production from India like, say KUSUM scheme which is for farmers, the modules have to be used from Indian production. Similarly, this is another scheme where it is a subsidized program. So, we believe that it is likely to be a local production of modules. And once the local production of modules takes place, we will have glass demand for that. But this is yet to be clarified.
Sharan Nandikur: If you say module, that includes the glass as well, right?
Ashok Jain: No, for glass, there is no mandate for the use of local glass production, but it is only at the module level or at the most at the solar cell level. But other components could be locally sourced or imported depending on the pricing or availability and all factors. But yes, there will be demand. The demand will get generated if the mo dules have to be made in India.

Sharan Nandikur: Any plans on increasing the marg in and improving the profitability in a couple of quarters till the anti-dumping duties applied in September month?
Ashok Jain: We are working on whatever cost optimization and production efficiency improvements can take

place in the company. But besides that, there are no major significant drivers for increasing any margins in the short term up to September by which time the BCD or anti-dumping duty should get a certain view. Whether it happens or doesn't happen will be a proces s, but the chances are that we will know by September that whether anti-dumping duty can happen or not.

Sharan Nandikur: Even Suryoday scheme will no t help much until they put th e anti-dumping duty or BCD?

Ashok Jain: On the demand front, it will incr ease the demand if the modules are to be made in India. But on the pricing front, it doesn't impact much because….

P. K. Kheruka: Unless the Government decides to include glass in the domestic content requirement under the scheme.

Sharan Nandikur: Are you pushing for that or are you just waiting for the Government to decide on that part for the inclusion of solar glass also in the scheme?

P. K. Kheruka: Yes, we are definitely pushing for it.

Sharan Nandikur: A request to you, whenever you have that upda te on whether the glass will be included in the scheme or not, please make an announcement in the BSE.

P. K. Kheruka: Certainly.

Moderator: The next question is from the line of Kushagra from Old Bridge Asset Management. Please go ahead.

Kushagra Bhattar: Just two questions. From a polic y perspective if I have to unde rstand, are there any positives if you have to put your case to the Government because all the incentives and duties are there on solar modules and nothing on the solar glass which goes as one of the parts in the solar module?

The lower the cost of solar glass would probably help solar module manufacturers. In your case, it's basically your customers as well as Government subsidies and policies, all looking in favor of no duties on solar glass. In that sort of a scenario, how would you deal? Are there any positives to put or to turn the Government towards introducing some sort of a duty on Chinese imports or Chinese dumping?

Ashok Jain: One is the anti-dumping mechanism which is basically a relief or remedy available under the law, where the dumping is restricted by way of putting anti-dumping duties. Here, the question of whether the solar modules will become costlier or does not become costlier is not arising because it is a level playing field provided under the international laws. Another case is regarding

the basic customs duty. Now, when our customers import glass into India, there is no duty whereas if we export glass to China, there is a 21% duty. So, the Chinese have increased their production capabilities a nd capacities by imposing restrictions, whereas in case of India, we are staying away from it. Now, unless we create a certain situation in which the glass industry can become economically prosperous and create the cap acity, which is world-class in that sense, their costs will not get optimized. It is a chicke n and egg situation that you don't impose duties and ask the industry to come up. That's not going to happen because unless there is a sufficient return on equity or return on investment, nobody will put the mo ney. And creating a supply chain locally is of utmost importance in this sector b ecause it is the energy sector. And anything which China does to reverse their export to India or ch ange in their policies it can put into jeopardy the entire solarization program of the country. So, the Government has to take a stand that to create a local capacity in solar glass which is a very im portant part of the solar value chain, there may be some pain in the cost, and the pain is not very high because the solar glass in solar module is a very small percentage and the cost of increase in power price by levying certain duty on solar glass is hardly 1 or 2 paisa in a power cost of Rs. 2.50 or Rs. 2.60, which the bidders are bidding. This is a call which the Government wil

l have to take whether it is possible to absorb or not possible to absorb and whether the duty should be levied on solar glass or not. But we are continuously pursuing it with the Government, and we had positive indications that BCD exemption will be withdrawn not from one but both the ministries which are concerned to the manufacturing as well as power sector. But somehow this exemption has been extended for all the products for the next 6 months. We will have to see whether by September, we are able to get this BCD or not.

Kushagra Bhattar: The second question is on domestic capacities. If I remember, Reliance is putting some capacity and then there are 3-4 other players as well. If you can give some context to the quantum of the capacities and are there any additions in the number of players or reductions in the number of players considering the current environment?

P. K. Kheruka: We already have 5 players in action today. And the 6th one is on the cards. In another 4 or 5 months, he will come into production. As against th e 1,000 tonnes per day th at Borosil is doing, we have about 1,300 tonnes already extra and another 300 tonnes coming up. So, altogether, India will have a capacity of 2,600 tonnes wh ich will be nearly balancing the quantum of modules that are expected to be made in India. Now there is no capacity constraint, and we have a large enough industry with 5 to 6 players. Reliance will be on top of that. If Reliance comes up, there is another 2,000 tonnes per day we beli eve that they ar e going to do. That will mean a lot of glass in the country. And the Government, I think, would not really want to shut their eyes to this situation.

Moderator: The next question is from the line of Jalaj from Svan Investment. Please go ahead.

Jalaj Manocha: I had my first question with regard to exports to the US markets. What I understand is that there are a lot of Indian players right now – at leas t the module manufacturers – are exporting to the

US market. Why are we not present there? Is it because the Chinese players there have the anti-dumping on the module part and it's not on the glasses? And what sort of glasses are those guys otherwise using?

Ashok Jain: Indian exports are, yes, going to the USA because the prices in the USA are much better compared to other parts of the world, and the Chinese are facing a problem there because they are using the equipment or the components from restricted areas. So, for them, it is becoming difficult to prove that they are not using those items. And a lot of times, the goods are held at customs and all. So, there is a preference given to the modules coming from India. In terms of the duty structure on the glass and all, there is, I think, about 5% duty on the exports from India. But in the case of the Chinese, there is anti-dumping duty in the USA, which is currently on hold. They have suspended the anti-dumping duty in the USA. But all said and done, the manufacturing activity in the USA is low – module manufacturing activity. They are depending on imports from say Chinese or South Asian countries as well as India currently. Under the IRA program which they have come ou t with, a lot of manufacturing activities are supposed to start in this calendar year, which will increase the local demand for glass. And we are looking at that market. We are already supplying to a few customers but very small quantities. And in future, we expect that to be a bigger market for us.

Jalaj Manocha: Just a follow-up on that. Do we have a better realization in the glass which has been sold in the US versus in India?

Ashok Jain: The USA also is a very competitive market, but the realization is better than India. It is, however, less than the European or other markets. But the market will become attractive once manufacturing starts. Currently, there is no meaningful export from India of glass

.

Jalaj Manocha: And one last question. The modules which have been imported from China to the US have anti-dumping duty as of now or there is nothing on them also?

Ashok Jain: Currently, there is nothing on them.

P. K. Kheruka: The restriction relates to the origin of any item from the Xinjiang province. Currently, the importer has to prove that the entire module, nothing is coming from Xinjiang province. They have declared that Xinjiang pr ovince is using slave labor. Theref ore, they are no t permitting any product which might have had its origin in Xinjiang province from entering the USA. Even if it is a small part of the whole module, it will be seized, and there have a lot of modules which have been seized by the US customs and lying in the customs warehouses.

Jalaj Manocha: With regard to the capacity for the glasses, if I were to compare it domestically, you covered it well that Reliance and other peers are coming up, but worldwide if we were to check the capacity, what is the situation right now vis-a-vis the supply and demand and considering both China and the US also and Europe?

Ashok Jain: In the USA, there is no solar glass production as of now. In Europe, we are the only ones who are producing. And in India, now we have 5 play ers and the 6th one will be coming. So, besides the Chinese domain, these are the only players who are producing solar glass. The Chinese are controlling almost 97% of the world's solar glas s production between say China, Vietnam, and Malaysia. They have some plants in Vietnam and Malaysia and that's all-Chinese plants. So, most glass production is controlled by the Chinese.

Moderator: The next question is from the line of Sanskriti Mishra, an individual investor. Please go ahead.

Sanskriti Mishra: Sir, my question was that currently what is the market size of solar glass in India and how much is it expected to grow by FY28 and what could be the reasons for the same?

Ashok Jain: From the data available, what we see is that the total demand for solar glass in India is at about 2,500 tonnes per day to 2,600 tonnes per day of net glass. And this we expect to double in the next 3 years' time. This will be led by hi gher module manufacturing activity which is continuously increasing because a lot of module plants are coming and India needs to install, say almost 25 gigawatt to 30 gigawatt every year. Currently, we are at a run rate of 12 gigawatt to 13 gigawatt. So, this consumption of glass and production of modules will increase in due course, which will increase the demand to almo st double. This figure is outside of the requirement for hydrogen because that sector we are not including in the solar glass requirement as of now. So, 5,000 tonnes per day should be the demand alone for the solar PV sector.

Sanskriti Mishra: Sir, what is the demand for solar glass if you compar e domestic versus imports?
Ashok Jain: Domestic is about 35% as of now and it will go up because the domestic production of the recent plants has just begun in the last quarter, and they are still ramping up their capacity. So, it might become 50% or 55% in the next 1 year or so.
Sanskriti Mishra: Sir, with respect to the capacity utilization of various solar glass manufacturers, what could be that figure approximately?
Ashok Jain: For us, it is almost 95%. But for the new players, it is gradually going up. We do not have individual data for all the manufacturers, but I think they may be running at close to 50% to 60% of their capacity as of now.
Sanskriti Mishra: Just the last question. Sir, with respect to the solar module demand that is there in India, what could that be approximately?
Ashok Jain: From the glass consumption what we understand is that the module production is close to 17 gigawatt to 18 gigawatt per annum. A part of this is getting exported, maybe 4-5 gigawatt. So, the consumption in Indi

a may be about 13 gigawatt to 14 gigawatt.

Sanskriti Mishra: And the current market size of solar glass that you told is 5,000 TPD at the moment in India, which is expected to….
Ashok Jain: Currently it is 2,600 tonnes almost, and in 2 to 3 years, it might be 5,000 tonnes. When we say this market size, it is net glass, and when we di scuss the capacity, that is gross glass. So, when I say we have 1,000 tonnes capacity, that can give us about 650 tonnes net glass. So, the 5,000 tonnes net will require the capacity to be almost 8,000 tonnes or like that.
Sanskriti Mishra: Sir, what would be the current installed capacity of solar modules in India, if you have any idea on that?
Ashok Jain: It is supposed to be around 55 gigawatt to 60 gigawatt.
Moderator: The next question is from the line of Sharan Nandikur, an individual investor. Please go ahead.
Sharan Nandikur: This is a follow-up question. Sir, I wanted to kn ow if there are any marquee investors, big names, like they invest in many companies. Any big investor or individual investor has approached you for long-term investment or are you working with them, are you trying to get some big marquee investors for long-term investment? This question is from the point of view of investors, especially the retail investors and long-term shareholders who are looking for such big investors for the long term, which gives them confidence as well. Any update on that?
Ashok Jain: The board has just approved the proposal yesterday, and the committee has been appointed to look into this and decide on which instrument and which mechanism to be followed. I think it is premature to discuss this whether we are looking at marquee investors or not, but of course, it will be welcomed. Along with the banker whom we will appoint in the next few days, we will have to see what all can be done and what is the right mechanism to issue the shares of up to Rs. 500 crores or whatever amount we can work out. And once we do that, then only we will be sure which is the way we are going.
Sharan Nandikur: These investors basically will be for the long term? That’s what the plan is, right?
Ashok Jain: Currently, we don’t know actually, but we will of course welcome the long-term investors.
Moderator: The next question is from the line of Karan from Niveshaay Investment Advisors. Please go ahead.
Karan Sanwal: I wanted to understand what would the cost be of producing a solar module in India versus the Chinese players? And what percentage of those costs would be competing for the solar glass that we produce?
Ashok Jain: Cost of production of solar modules has been undergoing change for the last 1 year in a very rapid way. The cost used to be about $0.25 to $0.26 has come down to almost probably $0.17 to

$0.18, in that sense. So, the prices of solar cells and other items have also gone down in the value chain. This is a very dynamic situation as of now. And in terms of the solar glass as a percentage to solar module cost, it would be about 10% for a normal conventional module where we use only 1 glass and for the glass-glass module, it may be about 14%.
Karan Sanwal: And the percentage cost would be similar for the Chinese and other modules, right?
Ashok Jain: Yes, because glass is a part of the module, the cost will be similar here.
Karan Sanwal: And how would the Chinese module prices be? Would that be significantly lower than the other modules produced – the overall module?
Ashok Jain: No, they will not be significantly different. Th ey will be almost, say 4% to 5% lower probably.
Moderator: The next question is from the line of Bharani Kumar from Avendus Spark Institutional Equities. Please go ahead.
Bharani Kumar: I just joined a little late. Could you give th e realization per millimeter for the quarter and 9

months f

or us?
Ashok Jain: In the call, we have mentioned that for the average ex-factory realization has been Rs. 102.40 for the quarter as compared to Rs. 134 for the corresponding quarter last year.
Bharani Kumar: My second question is more on the modules front. What would be the landed cost of a module when it is domestically procured versus when it is imported, let's say peak in that sense if you could?
Ashok Jain: I think the conventional modules may be selling at about Rs. 16 to Rs. 17 per watt peak in India, Indian-made modules; and the imported may be Rs. 1 or Rs. 2 lower than that.
Bharani Kumar: When you are telling Re. 1 or Rs. 2 lower, it will include the BCD com ponent, transportation, and all?
Ashok Jain: Yes, after the duty.
Bharani Kumar: What would be the realization somebody exporting would be getting compared to this?
Ashok Jain: On the module exports side, we don't have the right numbers, but we believe to the USA, the module exports are at about $0.26 to $0.27. That would be about Rs. 23 to Rs. 24.
Moderator: As there are no further questions, I would now like to hand the conference over to Management for closing comments.

P. K. Kheruka: Thank you very much for your participation in this investor conference call and for the questions that you asked. We hope that we have been able to answer your questions to your satisfaction. And till our next report, we sign off now with a Thank You.
Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Jun 2024

June 03, 202 4

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: BORORENEW

Dear Sir s,

Subject: Transcript of Institutional Investors and Analysts Conference Call
Pleas e find enclose d transcript of conference call with Institutional Investors and Analysts held on Tuesday, May 28, 202 4.
You are requested to take the same on record s.
Yours faithfully,

For Borosil Renewables Limited

Ravi Vaishnav
Company Secretary and Compliance Officer
Membership no. ACS 34607

Encl .: as above .

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"Borosil Renewables L imited
Q4 FY '24 Results Conference Call "
May 28, 202 4

MANAGEMENT : MR. P.K. KHERUKA – EXECUTIVE CHAIRMAN
MR. ASHOK JAIN -- WHOLE TIME DIRECTOR
MR. SUNIL ROONGTA -- CHIEF FINANCIAL OFFICER
MR. SWAPNIL WALUNJ -- HEAD MARKETING
MR. BALESH TALAPADY -- VP, INVESTOR RELATION --
BOROSIL RENEWABLES LIMITED

MODERATOR : MR. JITEN RUSHI -- AXIS CAPITAL
Moderator: Ladies and gentlemen, good day, and welcome to Borosil Renewables Limited Q4 FY '24 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal

an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Jiten Rushi from Axis Capital Limited. Thank you, and over to you, sir.
Jiten Rushi: Thank you, N eha. Good afternoon, everyone. On behalf of Axis Capital, I'm pleased to welcome you all for the Q4 and FY '24 earnings conference call of Borosil Renewables Limited. We have with us the management team represented by Mr. P.K. Kheruka, Executive Chairman; Mr. Ashok Jain, Whole Time Dir ector; Mr. Sunil Roongta, Chief Financial Officer; Mr. Swapnil Walunj, Head Marketing; Mr. Balesh Talapady, VP Investor Relation. We will begin with the opening remarks from the management followed by interactive Q&A session. Thank you, and over to you, si r.
P K Kheruka: Thank you. Good afternoon, and welcome to the Borosil Renewables Financial Year 2024 Investor Call. The Board of Borosil Renewables on 27th May approved the company's financial results for the year ended 31st March '24 and for the last quar ter of that financial year. Our results and an updated presentation have been sent to the stock exchanges and have also been uploaded on the company's website. We will discuss the operations of Borosil Renewables on a stand - alone basis as well as on a cons olidated basis. I will also provide you with some highlights of the operations in our overseas subsidiaries.
During the financial year 2024, the sales volume of the company rose by 79.8% quantitatively due to full year's working of its new plant that is t o say SG -3 which was commissioned from 23rd February 2023. Unfortunately, the significantly lower prices saw the company's recorded net revenue from operations rise by just 43.3% over financial year ended 31st March '23 to INR985

.87 crores.
Average selling prices during the year were about INR109 per millimeter per square meter, a serious decline of 20.2% as compared to INR136.5 per millimeter per square meter during the previous year. Export sales during the year, including to customers in S EZ were almost flat at INR199.78 crores comprising 23% -- 20.3% of the turnover as against INR195.25 crores in the previous year.
While direct exports were also flat at INR181.92 crores last year being INR181.07 crores. During the last quarter of the year gone by, the company recorded a net sales of INR227.23 crores as against INR187.54 crores in quarter 4 financial year 2023, at 21% in fees. From a quantitative standpoint, sales volumes had risen by 57% during this period. Average Ex - factory selling prices during the last quarter were about INR98.8 per millimeter per square meter as compared to INR132.7 per millimeter per square meter in the corresponding quarter in the previous financial year, a decline of 25.6% leading to a steep erosion in the margin.
Some more information about financial year 2024. Relentless dumping by solar glass producers in China and Vietnam caused prices to remain continuously depressed over the year. As informed earlier to shareholders after the lapse of antidumping duty on sola r glass in August 2022.

The flood less gates were opened for duty -free dumping of Chinese glass. Unfortunately, this was covered with a dramatic reduction in the cost of ocean freight from China and a further drop in FOB prices from China. Put together, thi s caused a severe decline in the landed prices of imports leading to a slashing of our margins. Consequently, the EBITDA during financial year 2024 was INR18.93 crores, corresponding to a margin of 12.1%, which was a steep decline compared to an EBITDA mar gin of 25.7% in the previous financial year.
During the last quarter, the EBITDA was at INR13.13 crores corresponding to a margin of just 5.8% as against 20.3% in the corresponding quarter in financial year 2023 and 9.4% in the previous quarter. In terms of selling prices, the last quarter saw a decline of 3.5% over the preceding quarter as the dumping continued unabated. Additionally, our production efficiencies were lower than normal in one of our furnaces for a few days. Against this backdrop of lapse i n selling prices, the company recorded a post -tax loss of INR16.52 crores for the year ended 2024 as against a profit of INR88.54 crores in the previous year.
The last quarter recorded a post -tax loss of INR13.37 crores as against a profit after tax of INR11.69 crores for the same quarter in the previous year. The solar industry suffering from dumping and has struggled throughout the last year. Solar glass imports continue to remain completely exempt from all import duties.
The 15% basic customs duty levyi ng on the imports of solar glass but exempted since 1999 was set to end on 31st March 2024. You can well imagine the surprise and extreme disappointment in the industry when this exemption was unilaterally extended until 30th September 2024.
Following our representations to multiple authorities for a review of our issues with dumping, we were advised to apply for imposition of anti -dumping duty on imports from China and Vietnam and a countervailing duty against imports of Vietnam.
Our applications for DGTR in this regard have been prima facie accepted and already taken up for investigation. The government is now fully seized of the matter, and satisfactory decisions are expected to follow, perhaps in the next 5, 6 months.
Until then, the domestic industry will have to continue to contend with the pressure of unrealistically lower import prices and ongoing injury due to dumping. It is ironical, the domestic manufacturing of solar cells and modules, both of which have high import content, enjoy basi

c custom d uty protection at 25% and 40%, respectively. While solar glass, a capital - intensive product with very low import content and high local value addition using skilled labour in the absence of duty is subject to relentless attacks by subsidized Chinese solar glass.
With the results, a significant portion of the domestic capacity is the remaining unutilized unsold to Chinese dumping when there is enough demand to serve. Solar sales and modules also enjoy ALMM, approved list of models and manufacturers and we s ee our domestic content requirement benefits which make it compulsory for the buyers to use the local production. There is absolutely no such benefit extended to solar glass and the module manufacturers are free to import their entire requirements. We have petitioned the authorities to take steps in this direction since there is a strong need to include use of local solar glass and other components in these schemes. BOROSIL

There is an unexpected glimmer of hope for more remunerative prices in the shape of an incr ease in import rate base from Southeast Asia, which is likely to give us some respite. Some positive signs for the Indian Solar Industry. Firstly, solar installations in India last year were 15 gigawatts, an impressive growth over the previous year's insta llations of 12.8 gigawatts. Secondly, after some hesitant steps, the government has firmly implemented the ALMM mechanism on 1st April 2024, which mandates use of only ALMM -certified modules in the projects being installed in India.
This is leading to a q uantum jump in the manufacturing of domestic modules and thus, an exponential leap in the domestic demand for solar glass. Domestic solar glass manufacturing capacity has now reached 2,300 tons per day as against 180 tons per day in April 2019 while Borosi l remains the largest non -Chinese owned solar glass manufacturer in the world with 1,350 tons per day, including 350 tons per day in Germany.
For new manufacturers have commissioned new capacity stood at 1,300 tons per day in India taking the capacity to 2 ,300 tons per day. The government has announced a target of installing rooftop solar systems on the roofs of 1 Crores houses under Pradhan Mantri Suryodaya Yojana, which are promised to provide free electricity up to 300 units to the households and a provi sion to sell the surplus power to the grid.
This will give much required fill -up to the rooftop solar program and generate program and

generate demand for solar modules and consequently, demand for solar glass. Our German operations. As mentioned in my previous call, the European solar module manufacturing industry suffered a serious setback at the end of the second quarter of last calendar year from unbridled imports of Chinese solar modules at dumped prices, which severely impaired the ability of local producers to sell at their cost of production.
Cancellation of orders placed on them force them to curtail their operations. This led to a cancellation of orders on GMV for quarter 3 and quarter 4 financial year 2024. The steps taken so far by the Europea n Commission and German government, although positive, are not sufficient to bring back the demand, and there's a need for some concrete and urgent business.
As informed in the last call, the company had temporarily slowed down production due to paucity o f orders. Meanwhile, GMV has made inroads in other export markets to fill the gap created by a low domestic demand and has been able to resume full production from the middle of March this year. The German team is committed to carry out cost optimization s teps, which are showing positive results. This may help to partly offset the impact of lower selling prices in these new geographies.
Now I come to the consolidated results for the quarter, which include the operations of the subsidiaries abroad.

The over seas subsidiaries, including the step -down subsidiaries, has
generated net stand -alone revenue of INR55.8 crores, a negative EBITDA of INR31.07 crores for the fourth quarter or the current financial year of the financial year just on back. As explained, the performance was impacted by reduced operations arising from demand slowdown as well as due to lower average selling prices. BOROSIL

The consolidated net revenue and negative EBITDA for the fourth quarter of the last year stands at INR283.11 crores and INR20.82 crores, respectively. The consolidated net revenue and EBITDA for the financial year '24 stands at INR1,369.28 crores and INR74.85 crores respectively.
Looking at the higher landed cost of solar glass in both domestic and export markets, enabling better pr ices, the strong and expanded demand in domestic markets arising from the sp urt in domestic manufacturing, the assurances received across the concerned government ministry in the context of imposition of duties on imports of solar glass. Finally, better pe rformance of our subsidiaries in the back of high level of operations and cost saving measures. For all these reasons, we continue to maintain a positive outlook on the sector. The position other important markets was under, selected export markets have sh own recovery in demand.
Demand in the U.S.A. has started in a small way. We expect this to go up in the later part of this year as some of plants start volume production and ramp up operations. This will raise export demand from India. We are actively eng aged in improving efficiencies, which lower our costs.
We are negotiating an additional color placement hybrid drop at with expected commissioning during first half of financial year 2025, '26. This will not only save cost for us but will also enable us to meet a major portion of our demand for electricity from captive sources of renewable energy.
Finally, the company is filing around to file the draft letter of offer to SEBI to raise funds by a rights issue of equity shares. The proceeds will be utilized mainly to reduce the debt for the Indian operations as well as at the operating subsidiaries. The Board has also approved further raising of funds through the issuance of instruments of security, including equity shares or any other security convertible in to equity shares, including warrants by way of one or more offerings, including a right issue and our preferential issue and our qualified institutions placement or through a combination thereof in one or more tranches for an amount not exceeding INR750 crores.
In accordance with the regulations and subject to necessary approvals, including the approval of the members of the company and such are the regulatory statutory approvals as may be required.
This is an enabling resolution to meet funding requirements for any opportunity, which may come up. With that, I would now like to open the floor to questions that you may have.
Moderator: The first question is from the line of Nikhil Abhyankar from ICICI Securities.
Nikhil Abhyankar: I just had one question regarding -- so we were expecting some kind of tariff barrier to kick in from 1st of April. But most likely that in the budget that deadline has been shifted to September.
So can you just brief us about what exactly has happened? An d is there any scope of any barriers to be certain after September?
P K Kheruka: So actually, the situation is that , there's an exemption circular. The circular comprises a wide variety of items in which solar glass is one of them. And because of the impen ding elections, the people were very busy apparently in the Ministry of Finance, and they could not segregate which

items exemption was to be withdrawn and which one was to continue. That's what they've told

us. And therefore, they pushed the whole thing b ack to 30th September. Of course, we shall be continuing to make efforts to have the exemption withdrawn at an earlier date, but this is uncertain.

Nikhil Abhyankar: Understood, sir. So I believe that till we get any kind of exemption all our capex plans t hat will be on hold and -- there is absolutely no scope of any improvement in realizations until the barriers are in?

P K Kheruka: So actually, the situation is this that we are continuing with capex as and when required. And in fact, every month, we are a dding capex because the demand of the industry keeps changing and we need to stay alive. And if to do so, we have to meet the demands of the industry of the customer that is answering your first question. Regarding the second thing, I just made -- I touche d upon it. The import freight rate into India from China has gone up from about $700 to about $3,200. And therefore, this may have a positive impact on our selling prices .

Nikhil Abhyankar: Are we already seeing the realization to improve in April and May?

P K Kheruka: Yes, there is improvement in realization already.

Moderator: The next question is from the line of Sharan, an Individual Investor.

Sharan: So recently, I saw news that in U.S. SOLARCYCLE, there is a company which is coming up with a plant of $340 million which is about the recycling of solar glass and all the modules. And also, they did mention that there is a huge supply of recycling of old solar panels and glass, because of that, they are coming up with this. So -- and in the earlier calls a lso, we discussed about our company exploring an opportunity for recycling as well since there is a huge demand for that. So do you have any update on that? Where are we on that?

P K Kheruka: We are aware about the SOLARCYCLE plant coming up in U.S.A. at a cost of $340 million. As you know that we set up our plans for a complete plan for 550 tons for less than $100 million. And so I would say that it's a very expensive plant they're getting. An d how much solar glass they will find for recycl ing, again, is a question mark.

So I would say it's a very, very noble initiative, which they are taking. Its financial, what should I say, its financial performance is something which they are the best peopl e to answer. I could not make any comment on that. So far as India is concerned, we still have some time to go before we are able to consider recycling of solar glass.

At the moment, I don't see those many modules being discarded. So that they probably ha ppen after another few years that we have enough, and we are exploring all the technologies which are being discussed to recycle solar modules. And there are new technologies coming up every once in a while. And since we are not under pressure to do so rig ht now, we are waiting to see which one is going to turn out to be the most efficient.

Nikhil Abhyankar: Okay. And 2 years back, we wanted to increase our capacity to 3x and because of anti -dumping duty that was kept on hold. Assuming that this year, Septe mber, if governments put an anti -dumping duty, do you think that we have lost that 2 years' time frame of the capacity expansion?

Because from this September, again, if we start -- once we approve and start doing that capacity expansion, it may take anothe r 1.5, 2 years. Considering a huge demand, do you think that we are -- like we may -- we are maybe behind in the growth of our organization in terms of capacity expansion and growth?

P K Kheruka: So I would say that we are actually ahead of others because we have a batch house. It's a very expensive component of the entire solar glass manufacturing plant, which is up and ready already for 2,000 tons. So if we set up another furnace, we do not need to spend any money on the batch house. We'll be saving money on the capital. The second thing, the entire electrical installation is already ready with us.

So we will not need to spend any money on that or very little money, that the fundamental installation is there with us. So to that extent, we will have a head start on others. Plus, we have the land. We have everything worked out. We have the drawings and so on. So we would be off to a fast start in case opportunities present themselves. And we will not be lagging behind in this, at least as far as I can speak now. Every day is a new day, and we don't know how things will unfold. But -- from our point of view, this is what we are thinking today.

Nikhil Abhyankar: And sir, considering if there is anti -dumping duty in September month by the Indian Government, then how much time you think like with all these pre-work for doubling or driving the capacity, how many months maximum it may take for you?

P K Kheruka: I mean, I would say, to conservatively 24 months. But in the past, we have set up a furnace 14 months also . That's what we've done in the past. It doesn't mean we can do it in the future. But we have put up an entire furnace in 14 months from the placement of the first order to the commencement of production.

Nikhil Abhyankar: Okay. And sir, any update on Europe side, any good news from that Europe government on anti -dumping?

P K Kheruka: The first quarter of this calendar year, which is the last quarter of the last financial year, was our worst quarter so far in Europe ever because we were only producing f rom 1 production line out of 2. Sometime in the last week of March, we got enough orders to start the second production line.

And fortunately, we are continuing to get orders, export orders, domestic orders enough to continue to use both production lines fully and again, the same issue, which is happening in our part of the world here, which is increase in freight rates from China is also happening there. So markets there also are seeing a slightly better price as compared to what they were, say, a few months ago. So there should be some improvement in realization as well.

Nikhil Abhyankar: And last question, sorry for taking more questions. And Glass Technology also started solar glass plant in U.A.E. about worth of 350 million. So my question is, like the re are many players coming up with new plants. Do we have a plan to capture these market shares? Like do we have any customers in U.A.E. since they are coming up with new plant, why you are not able to capture that market? And how are they getting benefit with competition from China and Vietnam? Can you throw some light on this? BOROSIL

P K Kheruka: You see the money they've spent on that plant seems to be very, very high. So the investment cost per tonne of glass produced is very large, and there's something that we cannot count in, in that kind of investment. So if you look at depreciation, interest, and other things, it would not be very inexpensive, let me put it that way. And everybody comes up with his own luck, you can say, which is their own abilities and th ings like that.

So I cannot really predict how they will do, but -- it's -- I guess, generally speaking, the demand for our solar modules worldwide is ramping up. And I hope that they find a niche for themselves wherever they can. They have spoken about se lling to Europe. I can say that the 3 largest module plants in Europe have shut their shutters. So that's how it is. But we'll have to wait and see how they fare.

Ashok Jain : So from our perspective, there is not much demand in that part of the world where they are setting up the plant because there is not much manufacturing of module happening over there. But I think they are going to be exporting and we also have export base across the globe. So we will be competing with that them in future, I su

ppose. An d we have our customer base, which will help us to continue to sell our products.

Moderator: The next question is from the line of Vijay Gupta an Individual Investor.

Vivek Gupta: This is a little correction there. I'm Vivek Gupta not Vijay Gupta. Sir, I s poke with you in the last conference call also. So I'm just extending my conversation on those lines. I just want to understand what is the cost of glass production which we are incurring today versus the Chinese glass prices which are being sold in India?

P K Kheruka: Chinese glass prices are much lower than the cost of production of glass in India. Because see, we pay all duties and taxes. We have no kind of rebate. We have no support from the government in our selling prices.

Vivek Gupta: So no, the cost of production, not the selling cost of Borosil, the cost of glass production, which you're incurring currently for production?

Ashok Jain : Just to clarify, the Chinese are having subsidized cost. Where as Borosil has no subsidies whatsoever. So from that p erspective, our costs are a little higher. In terms of the percentage, if you were to know at what price Chinese sales versus whatever cost is, it is about 10% to 15% higher in terms of our cost. So that's the kind of subsidies they have, they're selling at prices offset by the subsidies. Their cost may be equal, but it is subsidized.

Vivek Gupta: So I was just thinking, sir, maybe this is a wrong question, but I wanted to understand if Chinese glass is available at much cheaper cost in India than the prod uction costs, which you're incurring so why go and produce the glass itself. Just procure the Chinese glass with the label for Borosil

Renewables and sell it to the customers.
P K Kheruka: You see, the thing is that under WTO, if you look at the long -term intention of the Government of India, the intention in the government, especially with the Prime Minister, very unequivocally is that you have to Make in India. And there are all kinds of geopolitical reasons why India wants to lessen the dominance of Chin a in India's economy. And this morning, I was in a conference

call with the Honourable Ambassador of India to China, and he was repeating the same thing that the government is very keen that India starts producing on our own soil, the items that we need mo st.
And it is very much in the focus of the government that India should manufacture everything that it needs on its own soil. So they will come up with -- there are remedies available under WTO, the World Trade Organization where it can be established th at if there is any subsidy, then the WTO permits the government of the affected country to levy an anti -dumping duty on the imports of that product. And that is the route we are going to follow.
Ashok Jain : For the similar reasons, what has been discussed, the government would not have levied any custom duty on import of modules and solar cells if cost was the only consideration because -- the modules are now subjected to 44.5% duty. The government could have very well done their solar program without attra cting this duty at a cheaper cost than the domestic industry would not have even grown. So that is not the kind of logic you always follow in the working of any country. The domestic production is very important, and this is a very strategic sector, Energy Security.
Vivek Gupta: I get that point. What I'm trying to understand is there's a time that things are not good, like it is not rosy for Borosil. So let's just procure the Chinese glass at cheaper cost, it will give us margins also sell it in India to t he players who are like wanting that glass also. Let's not -- let's do that part and keep everything -- everyone happy like Borosil on the margin front and shareholders on the number side. So this is just a thought.
Ashok Jain : But the pro

blem is that this import duty, which is exempted, is subject to actual user condition .
So we are not actually there in that -- if we import and sell in the market, then the duty will be attracted at 15% so it will no longer be cheaper for us and for our customers. So tradi ng is not possible. If we were using captively for our own module production, then it was fine.
P K Kheruka: There's other issue under the laws of anti -dumping applications and so on. If we have imported a certain product in the past, on which we now are s eeking anti -dumping duty , we are not even eligible to apply so that's why we have to stay with it, otherwise, we cannot seek remedies afterwards.
Vivek Gupta: Okay. Okay. That helps. I have another question, sir. So I have seen that the overseas acquisitio n, which you have done, it has backfired to a great extent. You believe it or not, that's a separate story, but I do believe that has backfired Borosil to a great extent. From the time we have acquired that subsidiary. So we are spending a lot of money for its maintenance. There are no numbers which are coming on that.
And then we are being very hopeful of that giving us numbers in the future. So you see that there is a debt overhang, which has come up as a part of that acquisition. Now we are raising funds to clear up that debt -- not sure what was the idea behind the acquisition at the wrong point of time? Can you throw some light there, please?
P K Kheruka: When we bought the company, they had made a margin of EUR17 million on sales of EUR60 million. In a country like Germany to have that kind of a margin is unthinkable. So that is one.

The second is we had been shipping glass to Germany for many, many years, more than 12, 13 years.
And this company has a very high reputation for very high quality, and it' s a first -rate company. So when the existing -- the previous o wners wanted to sell it, they actually evaluated us also whether we were fit to run that company. And they said that you are very fit to run the company. And we agreed to buy it.
At that time, these issues were not there. What we see is that beginning from July of '23, the Chinese have particularly, crashed if that's the word to use because they have d ropped their prices like anything. And I think it is just a game they are playing to establish world domination

on the production of energy from renewable sources. But so again, there's a very strong counter current to that in Germany and in the European Union i n its entirety.
As you can -- as you probably know already, in the United States, they have imposed a 50% import duty on imports of solar cells and modules from China. So they are really very strong and encouraging domestic production. Same story in Europe . It is because Germany is ruled by a coalition government, there are 3 parties to that, and we know how coalition governments work is taking a little time. But in the meantime, we are getting export inquiries, which we are meeting very happily .
We are investing in the German company. So we have done -- brought in equipment, which will reduce the cost significantly. So we are well attuned with the management in that company. So we are working together very closely. Of course, we own it, but it's a fully German management, and we are working well with them. So we are hopeful about it in short.
Vivek Gupta: And sir, one last and basic question is like being a shareholder in the company, I think the company is not able to deliver on anything . I understand th ere is no ADD and the basic custom duty also getting extended until September and all. So what keeps a shareholder motivated to be invested in Borosil in current scenario? And do you see Borosil as a takeover candidate by the bigger players in the market, which have some modules manufacturing at all so that there could

be an end -to-end cycle production which they can do in the house?
P K Kheruka: We are actually -- one of the thoughts we have in our head is the possibility certainly exists for us to make mo dules as well. And that -- we are not ruling it out. We have not thought about it. We have not -- it's not an active proposal, but a lot of people within the organization are asking me this question. Should we not be making modules. And so it's something w hich we cannot rule out, but it's just a discussion.
Vivek Gupta: And sir, takeover candidate will Borosil be a takeover candidate down the line?
Ashok Jain : We are not sellers; we are only bullish in the industry. So we -- I mean, we are growing the compa ny in India as well in Germany. So there is no question about being a seller.
P K Kheruka: We are continuing to invest money in capex month after month.
Moderator: The next question is from the line of Jiten Rushi from Axis Capital Limited.

Jiten Rushi: Sir, the first question I would like to know what would be the difference between the realization of ours price and Chinese imported glass price in the country.
Ashok Jain : The pricing is about the same. Maybe we are getting about 2%, 3% extra, but the prici ng is using the benchmark to the Chinese prices. L anded cost of Chinese goods and our price is similar to that.
Jiten Rushi: Okay. So because your realization has come up. So obviously, for reasons you have stated. But now...
Ashok Jain : Reasons are explained like the Chinese have dropped the prices, import freight rates have gone down, which is why the lended cost has gone down and which has affected the prices.
Jiten Rushi: But sir, i n ALMM and DCR content re quirement , I understand most of the modul e manufacturer in the country are using Chinese glass or from the other countries. So is the management getting in discussion with the government, whether they are planning for a DCR contain in which we can use only domestically manufacture d solar glass. Is this a proposal in the pipeline? Or is the discussion will be administered something like if you can throw some light on that.
P K Kheruka: We've discussed this issue with the authorities about including ancillary products also in DCR and it's under th eir consideration. And there's another matter, you see right now what is happening that there are severe delays in shipments of glass for those people who have very happily decided to buy glass from China, and they -- it's going to impact their production. So one cannot just simply bank on imported products because you never know what's going to happen when.
And therefore, the people who are our customers, they are very happy that they bought from us because they continue to get the glass and their producti on is not suffering. So for the sake of a 9% cost of where the total cost is only 9% for component like glass, if they suppose decide to save 10% and buy it instead of 9%, it is 8.1%. And the entire production program goes for a toss then that becomes a v ery expensive decision that saving becomes very costly. So I think a lot of the customers are aware about that. And therefore, they are buying some quantities from us, and they buy some quantities from imports and free market, everybody takes his own decis ion.
Jiten Rushi: But utilization of yours like at this peak, like you are at 85%, 90%. So now with the capex, as you said, so probably I understand is right issue you're looking to do capex and bring down the debt, right? So capex will take time because o nce you become profitable, we can go for the capex and again, as you're looking for being the solar as a solution to support to power in terms of the

captive power plant. So these and again module, which you said that module requires a very low capex aside our module plan, probably you already have a land,

and you require a capex as per
readout.
So if you are looking to integrate and going to some backward integration model, where you have your own power, your own module manufacturing where you can use your own glass how much capex you are targeting to invest in for these things in the next couple of years while you are also looking for the right issue to bring down your working capital. So this -- these are very

significant decisions for -- by the company, but eventually probably should improve your bottom line.
P K Kheruka: See, this year, we are planning to spend over INR100 crores in capex and this is for balancing equipment, which is required now because the type of glass, which is being demanded by the customers in order to make that to manufacture that we need to spend this capex. And we have the services, we have the land, we have a built-up property, where all this is going to be installed. So there is no extra on that and we have the manpower and hig hly skilled engineers and things like that. So all of this is going to just make us much stronger, really speaking.
Ashok Jain : So this -- actually, this INR100 crores includes 3 components. One is on the solar wind hybrid close INR20 crores which will be used in generating captive power. Another INR20 crores is for the processing equipment, what Mr. Kheruka just mentioned and about INR50 crores to INR55 crores is on the proposed rebuild of the first 2 furnaces. These furnaces will become due for rebuild i n next 1 year or so or maybe 2 years. So we are getting ready. We are just buying the refractories and other items for that so that we are ready for any eventuality, and we are then able to dep loy. So this INR100 crores is broken up into 3 parts.
P K Kheru ka: If the furnace is last longer, we will happily work it. But we have to be prepared..
Moderator: The next question is from the line of Pankaj Lath, an Individual Investor.
Pankaj Lath: So my question is, in the past, Borosil used to take pride in launching innovative products. I remember 2 glass being launched some years ago. So a), the question is, what is the traction on those products? And b), are we looking at product differentiation to beat the competition or we are just looking at pricing as we need to in the future?
P K Kheruka: So the 2 millimeter, which we launched in 2017, we were about 5 years ahead of the time. The product sort of started getting traction in 2022. And now of course, it's a very important product and everybody wants it. So we are fortunately ready with it. We are able to supply it. The other thing is now that they want a grid printed glass. So there's a white paint, which is used to print the back of the glass which improves the power generation. And we have already implemented that. And we have been selling th at. Our product is very much likened, and we are all the Indian glass manufacturers of solar glass do not have this.
We do -- we have it in perhaps one more has it, but nobody else has. And there is -- so this is something which is coming up, and we are s pending money on getting more lines to manufacture this product. We have -- we are the only people in India, certainly. And very few in the world who make a product called an anti -glare glass, which is suitable for use near airports because existing solar panels, they reflect the sun into the eyes of pilots and they cannot land there, they cannot operate the aircraft near airports.
But we have developed a product, which we have also sold to Indian airports and to international airports, which are able to gi ve you solar power without giving a glare to the pilots. So that is something new that we've developed. And these things keep on happening.

Ashok Jain : This 2 -millimeter glass is now

almost 20% - 25% of our portfolio and which will soon become
almost 60% - 65% by end of this year. So this is very much the requirement now. And also, the other thing, what we have done is to come up quickly is the large -format glass because there's a demand for larger module which started to become very popular.
We have been abl e to introduce the large size of glass for those modules, and which is now almost 90% of the requirement of the glass by the module manufacturers. So we have been keeping abreast of the market developments and trying to supply the product as required by th e

customers.
Moderator: The next question is from the line of Jegadees Sharma an individual Investor.
Jegadees Sharma: I have three questions. The first question is, I saw a presentation that the capacity expansion is being on hold. Why is that sir? Becaus e I asked this question, why this question is, when the situation is bad, and we are doing our capacity, and we are ready for the future. Isn't that how it should be?
Ashok Jain : Yes. So actually, the capex plan was put on hold by the Board of Directors, l ooking at the scenario where there was no visibility of a proper return on investment. So before committing funds and before raising any funds from the, say, shareholders or from a few of the investor, one is to really see whether there is enough amount of return on capital appearing in the projection. Before that, we cannot allocate the capital. So we decided purposely to wait for right duty structure to be in place before we can move into this large project of say INR1,100 -plus crores. So we have put it on hold, but we will review it at an opportune time and take a decision.
Jegadees Sharma: Okay. Okay. So my second question is like, are you planning to enter into this EPC space because this is like a space for all the solar -related players -- so are you related -- are you planning to enter into the space, sir?
Ashok Jain : No. We have no wish to get into that business. So we are in the manufacture of the glass and allied ancillaries maybe, but not in the EPC or other type of businesses. We have yet to come to a reasonable size of glass manufacturing as we can s ee.
Jegadees Sharma: Okay. Okay. Any guidance for FY '25?
Ashok Jain : We are doing our best and in case the duty comes into play by 1st of October, which is what we are expecting, the situation in sec ond half could be better from that perspective.
Jegadees Sharma: All the best for FY '25 sir, thank you.
Moderator: As there are no further questions, I now hand the conference over to the management for closing comments.
P.K.Kheruka : Thank you very much, dear investors, for your questions. We appreciate the interest that you take in the business, and it gives us the initiative to continue to work hard to continue to do our best so that we can maximize returns for our investors. So thank you very much, and we look forward to meeting you again after the next quarter.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you. BOROSIL
··fenewables

Call: Aug 2024

August 17, 202 4

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: BORORENEW

Dear Sir s,

Subject: Transcript of Institutional Investors and Analysts Conference Call
Please find enclose d transcript of conference call with Institutional Investors and Analysts held on Tuesday, August 13, 202 4.
You are requested to take the same on record s.
Yours faithfully,

For Borosil Renewables Limited

Ravi Vaishnav
Company Secretary and Compliance Officer
Membership no. ACS 34607

Encl.: As above .

"Borosil Renewables Limited Q1 FY 2025 Post-Results
Earnings Conference Call "
August 13, 2024

MANAGEMENT : MR. PRADEEP K. KHERUKA – EXECUTIVE CHAIRMAN , BOROSIL RENEWABLES LIMITED
MR. ASHOK JAIN – WHOLE -TIME DIRECTOR
MR. SUNIL ROONGTA –WHOLE -TIME DIRECTOR AND CFO
MR. BALESH TALAPADY – VICE PRESIDENT (INVESTOR RELATIONS)
MODERATOR : MR. ROHAN GHEEWALA – AXIS CAPITAL LIMITED

Borosil Renewables Limited
August 13, 2024

Moderator: Ladies and gentlemen, good da y and welcome to the Borosil Renewables Limited Q1 FY '25 Earnings Conference Call, hosted by Axis Capital Limited.
As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rohan Gheewala from Axis Capital Limited. Thank you and over to you, sir.
Rohan Gheewala: Thank you, Dovin. Good afternoon, everyon e. On behalf of Axis Capital, I am pleased to welcome you all for the Q1 FY '25 Earnings Conference Call of Borosil Renewables Limited.
We have with us the Management Team represented by Mr. P.K. Kheruka – Executive Chairman; Mr. Ashok Jain – Whole -Time Di rector; Mr. Sunil Roongta – Whole -Time Director and Chief Financial Officer; and Mr. Balesh Talapady – VP (Investor Relations).
We thank the Management for giving us the opportunity to host the call. We will begin with the “Opening Remarks ” from the Manage ment , followed by an interactive Q&A session. Thank you and over to you, sir.
Pradeep Kheruka: Thank you. This is Pradeep Kheruka. Good afternoon and welcome to the Borosil Renewables 1st Quarter of Financial Year ‘2 5 Investor Calls.
The Board of Borosil Renewables on 12th August approved the Company 's financial results for the 1st Quarter of the current Financial Year . Our Results and an updated Presentation have been sent to the stock exchanges and have also been uploaded on the Comp any's website.
We will discuss the operations of Borosil Renewables on a standalone basis as well as on a consolidated basis. I will also provide you with some highlights of the operations in our overseas subsidiaries.
Overall, the Company 's performance shows distinct improvement as compared to the previous quarter. Of course, the operating results of the same quarter last year were much better considering the much higher selling prices prevailing there. The net revenue during the quarter under review was higher by 6% compared to the preceding quarter, led by a quantitative increase by 2% and a higher selling price. Average ex -factory selling prices during the quarter rose to Rs. 105.5 per millimeter per square meter as compared to Rs. 99.6 in the precedin g quarter, which is an increase of 6%. A sharp increase in ocean freight had been the reason for the increase in import landed prices, which allowed us in turn to have a more remunerative selling price.
During the 1st Quarter of the current year, the sale s volumes of the Company rose by 23% quantitatively, over the corresponding quarter in the previous year. However, the significantly

lower selling prices meant that the rise in net revenue from operations was just 2%. Average ex - factory selling prices duri ng the quarter, despite showing a recovery, were lower by 17.9% as compared to Rs. 128 during the corresponding quarter. Export sales during the 1st Quarter of the current year, including to customers in SEZ, stood at Rs. 22.42 crores comprising 9.3% of th e turnover as against Rs. 13.55 crores in the preceding quarter when it comprised 6% of the turnover. Exports stood at Rs. 72.13 crores in the corresponding quarter last year. There's a demand slowdown in export markets around Europe for the past two, thre e quarters, although the exports were higher compared to the previous quarter.
During the quarter under review, the Company earned an EBITDA of Rs. 29.71 crores, corresponding to an improved margin of 12.3% as compared to the margin of 5.8% in the preced ing quarter. This flow from better selling prices has also hi

gher production efficiency. The margin
during the corresponding quarter last year had been 28-point percent due to the higher selling prices than prevailing. The Company 's post -tax loss declined to Rs. 3.64 crores for the quarter under review against the post-tax loss of Rs. 13.37 crores in the preceding quarter, which is attributable to an improvement in selling prices and production efficiencies.
I am happy to share that the long-drawn saga to end the ill-conceived exemption from payment of basic customs duty on imports of solar tempered glass has finally yielded a positive outcome. The exemption ends on 30th September 2024, and a duty at a reduced rate of 10% will come into effect, although th e duty in tariff was 15%.
The investigation by DGTR into our applications for imposition of an anti -dumping duty on imports from China and Vietnam, and a countervailing duty against imports from Vietnam is making progress. We expect a decision and issuan ce of preliminary findings in the next few months. Meanwhile, Chinese exporters have dropped their prices even further in their continued relentless dumping. For the domestic solar glass producers, getting ADD, CVD remains extremely important to assure ind ustrial expansion.
Government tenders for certain requirements mandate use of only domestically made solar cells and the modules. We are now petitioning the government to additionally mandate the use of other

domestically made ancillaries, including sola r glass in such tenders. This will help create a robust local supply chain and increase the use of domestically produced ancillaries.
The pace of solar installations in the country is making rapid progress and there is a sizable demand visibility. Manufa cturing capacity for solar modules has already touched 65 gigawatts, which is expected to cross 100 gigawatts in two to three years. Use of locally produced modules has risen sharply after the implementation of ALMM mechanism from April 2024, which is lead ing to increased demand for all the components including solar glass.
Coming now to our German operations :
The European solar module manufacturing industry continues to suffer from unrestrained import of Chinese solar modules at dumped prices. This has led to shutdown of production by many of

the large players in Germany. The European Union has cleared legislat ion by member countries to incentivize the use of European -made solar modules by allowing tax subsidies and other measures. Countries like France, Italy and Austria have already taken steps to incentivize local production, but Germany, which is the largest producer, is yet to make an announcement. The Company continues to run full production by locating demand from alternate markets, although at lower selling prices. Cost optimization efforts are continuing at the plant besides enhancing production efficien cies.
Now, I come to the consolidated Results for the Quarter , which include the operations of the subsidiaries abroad :
The overseas subsidiaries, including the step-down subsidiary have generated net standalone revenue of Rs. 129.4 crores, and negative EBITDA of Rs. 3.8 crores for the 1st Quarter of the current year. The performance shows a marked improvement over the preceding quarter, which had a net revenue of only Rs. 55.88 crores and a negative EBITDA of Rs. 33.95 crores. The overseas subsidiary was reeling under reduced demand, which led to reduced production and consequential losses from the demand slowdown down in Europe. The subsidiaries are making efforts to impr ove operations by making inroads into overseas markets, besides enhancing customer outreach in Europe.
The consolidated net revenue for the quarter under review stands at Rs. 370.79 crores, and a positive EBITDA of Rs. 25.91 crores as compared to net rev enue of Rs. 283.11 crores and negative EBITDA of 20.82% in

the previous quarter. This shows a significant improvement. The positive
trends and developments we are experiencing in this quarter on both prices and production efficiencies are encouraging, and we feel that the upcoming quarters hold the potential for further improvement in the performance.
Looking at, A, expectations of better selling prices enabled by higher landed cost of solar glass in the domestic market post imposition of basic customs dut y from 1st October, 2024; and B, the strong and expanded demand in domestic markets arising from the spurt in domestic manufacturing, our positive outlook in the sector has further improved.
We are actively engaged in cutting our cost per unit. To furthe r optimize our cost of power, we have finalized an additional 16.5 megawatts solar/wind hybrid power plant which is expected commissioning during second quarter of Financial Year ‘2 6.
Finally, I would like to update you on the proposed rights issue. The Company had on 10th June, 2024, filed a draft Letter of Offer to SEBI to raise funds up to Rs. 450 crores by rights issue of equity shares. The proceeds are proposed to utilize mainly to reduce the debt for the Indian operations, as well as at the overseas operating subsidiary. The Company has received in principle approvals for rights issue from the BSE Limited and NSE of India. Post receipt of other applicable approvals, detailed terms of the rights issue, including but not limited to the issue price righ ts entitlement ratio, record date, timing and terms of payment will be determined by the Board, or its duly authorized committee in accordance with the applicable laws.

With that, I now would like to open the floor to questions that you may have. Thank yo u.
Moderator: Thank you very much. We will now begin the question -and-answer session. You have the first question from the line of Sumit Kishore from Axis Capital Limited. Please go ahead.
Sumit Kishore: My first question is that after the announcement in the budget, where do you see EBITDA margins for Borosil Renewables settling in coming quarters, especially given your commentary that the Chinese are also undercutting prices and that has a downward impact even as we speak?
Ashok Jain : Yes. So, it's a movi ng number as of now because the prices have been changing and the freight rates also have been changing. But the impact of basic customs duty would mean that 11% will get added to the landed cost of imports, which will allow us to raise our prices of the c orresponding

order. So, we can estimate, based on the current earnings, that the EBITDA margins may settle between 20% to 25% post the imposition of basic customs duty, provided there are no any significant changes in the Chinese prices or in the freight.
Sumit Kishore: Sure. You said 11% or will it be 10% increase?
Ashok Jain : 10% is the basic duty and there is a surcharge of 10% there on, so effectively it becomes 11%.
Sumit Kishore: And are freight rates, seaborne freight rates cooling off now after peak ing sometime in the previous quarter?
Ashok Jain : So, in the last two months, the freight rates have been high, but offlate the freight rates have softened a bit. And whether they will stay at current level or will change further is anybody's guess as of n ow, because the situation is very dynamic.
Sumit Kishore: And where would you peg India's solar glass manufacturing capacity now? Based on what is under construction right now, by the end of the fiscal where do you see that capacity going and Borosil Renew ables share is what we are looking at?
Ashok Jain : So, in India there are four new plants which have started in last one year or so totaling to almost 1,300 tonnes per day. And Borosil Renewables is at 1,000 tonnes per day. So, total capacity has become 2, 300 tonnes per day in terms of the domestic production. And very sizeab

le significant
imports are also happening at this point in time, because these capacities put together are not enough to meet the entire demand.
Sumit Kishore: And what capacity is unde r construction right now, in case you can provide?
Ashok Jain : So, right now there is nothing significant except for maybe Reliance, which may be under construction for their own captive purpose. But generally, for the market offerings, there is no further capacity in pipeline, as we speak.
Sumit Kishore: So, given the shortfall in domestic manufacturing capacity versus the size of the Indian market itself, what are your thoughts in terms of expanding capacity hereon? Or do you think that you will

wait for government intervention and imposition of extra duty protection to make it more attractive?
Pradeep Kheruka: To be honest, the way I am looking at things that we have spent the last year actively following with the government and bringing to the notice tha t in order to have a complete ecosystem, all the ancillaries need to be studied and they have to be dealt with so that we are able to retain and grow some full manufacturing ecosystem. Going by the speech given by the honorable Finance Minister in the Lok Sabha this year, when she took solar glass by name, I hope it seems that our words have reached her and she's understood. And putting of the 10% duty is a very welcome step towards the fact that this has been recognized. And so, therefore, I see that with continued pushing our agenda in the corridors of power, the fact is that the government is definitely very keen to get out of the umbrella of China. And so, therefore, generally I see that things should be getting better and better as time goes by.
Sumit Kishore: Sure. Just one final question, of India's total solar glass imports, what percentage comes from China and what percentage comes from Vietnam and other locations?
Ashok Jain : You mean for the total Indian market?
Sumit Kishore: Yes.
Ashok Jain : So, imports are basically, at this point in time, coming largely from China, almost to 85% comes from China and only 15% comes from Vietnam.
Moderator: Thank you. We have the next question from the line of Rohan from Envision Capital. Please go ahead.
Rohan: Sir, the first question was on the Company that there was just a newly established entity , Solar Ancillary Manufacturers Association. So , what was that in regard to ? Just a little background on that. The second question was, what is India's domestic solar glass consumption against the 2,300 tonnes per day capacity? Thank you.
Pradeep Kheruka: So, for the first question, about Solar Ancillary Manufacturers Association. See, what we realized, people in the solar glass industry, that the focus of the governme nt has so far been on solar cells and modules. But there are many other products which you need in order to complete the production of a solar module. And if you are still going to be dependent on China for other things, then they're just having production of cells may not be sufficient. And so we decided to form an association. There are people who are glass makers, people who make encapsulants, people who make backsheets, junction boxes, aluminum frames, copper conductors, etc., everybody is a member of t his association. So , when we go, we go in a comprehensive way because we are working for the entire solar component ecosystem. And that is why we made this association, and it has been successful. And I think the imposition of the 10% duty is a fallout of the fact that we went as an association, and we were able to get it.

Ashok Jain : Regarding the share of imports and the domestic producers share, the entire domestic production is getting sold as of now, and most of it is getting sold in India. Some export s are there whi

ch may
be about 8% to 10% overall, but sizable imports keep coming to India because the requirement is growing very steadily now. With the implementation of ALMM from April '24, the consumption has gone up further in terms of solar glass con sumption in the module being made. So, imports maybe about 55% to 60% of the demand as of now, and domestic maybe about 45% or so.
Rohan: So, what is the Indian demand totally?
Ashok Jain : Well, Indian demand in terms of glass consumption would be about 4,000 tonnes per day, of which about 1,600 tonnes may be coming from Indian production.
Moderator: Thank you. We have the next question from the line of Ketan Jain from Avendus. Please go ahead.
Ketan Jain: Sir, my first questio n is, what will be the landed cost of China glass prices, what would be the price before duty and after duty?
Pradeep Kheruka: The landed price of solar glass from China?
Ketan Jain: Yes.
Ashok Jain : Actually the price is changing every day, or every week at least, in terms of the landed cost. But what we do is to s ell against their landed price and seek some premium over it, which is maybe about 3% to 5%. So , you can see that what we realized is about Rs. 105, Rs. 106 on ex -factory level. So, you may say import prices may be about Rs. 102.00 or Rs. 100 per mm.
Ketan Jain: Sir, what is your view on the trajectory of solar glass prices from China? How long will they be able to dump more?
Pradeep Kheruka: The situation in China today is a little tight, tight from the standpoint that their panels which were being sold everywhere, especially in markets like the United States and India, have suffered a very sharp decline. And so, therefore, all the components that go into solar gas production, including glass, ar e also facing a great resistance, or there might be not enough market in China. And therefore, they are selling to other countries under certain compulsion. Now, maybe that is the reason or what, but the prices at which they are selling there is no possibi lity that they can make any money from that. In fact, they would be losing money unless they are being subsidized, which is our fear. So, it's very difficult for us to hazard a guess on China and the selling prices, other than to say that whatever they are doing is completely unviable.
Ketan Jain: Sir, also you said that EBITDA margin is going to set at around 20%, 25% post custom duties. So, what realization I can assume for this, it will be around Rs. 130?
Ashok Jain : See, Rs. 105 is what we have realized in the current quarter on ex -factory basis, and we earned a margin of 12%. So, if you were to add another 10%, then that will give you the number. Because whatever extra price comes, it gets added to the margin.

Ketan Jain: So, around Rs. 125?
Ashok Jain : If you were to do your math correctly, if Rs. 105 is the price, and if you have to increase by 10%, it would not be Rs. 125, isn't it?
Moderator: Thank you. The next question is from the line of Rohan from Envision Capital. Please go ahead.
Rohan: Sir, the question was, if a vendor is purchasing solar glass from us for use in domestic modules wherein the modules are also sold at a higher price. So, is there a price difference between that price and the price at which the imported glass is sold in India? So, how different is that?
Ashok Jain : Yes, I just said sometime back that whatever the import landed cost is there, basis that we the price our material at about 3% to 5% higher, that is the premium you can pay.
Moderator: Thank you. The next question com es from the line of Santosh, an Individual Investor. Please go ahead.
Santosh: This is with regards to German unit, sir, where revenues were Rs. 129 crores and employees also were around Rs. 38 crores, that is around 30%. So, how can we reduce this employ ee benefit expenses in German unit, sir?
Asho

k Jain : The German cost is higher, as you know the Germany labor cost is higher. But what was happening was that the buyers in Germany were able to pay higher price because they were getting higher price for the ir modules. Now that situation has changed because they are not able to run their operations at a low price modules coming from China, which is putting pressure on our selling prices, which is why the ratio is looking so high in terms of the employee cost. What we are trying to do is to rationalize on the workforce, try to cut down on the number of people, and also increase productivity. Similarly, we have put in the CAPEX and new equipment there or added more machinery which will give us much higher produc tivity. So, with all those efforts, we will be able to cut down per unit cost and impact of the labor cost.

Santosh : Because when we compare with the Indian employee cost and German cost, there is a lot of mismatch. Because in India we are paying Rs. 19 cr ores only, in German we are paying Rs. 37 crores for turnover of Rs. 129 crores.
Ashok Jain : Your point is absolutely well taken, and this is a situation we have to deal with and we have to increase the productivity and production. And it may not come down to Indian levels, but still we will have to see how best we can curtail the cost and increase our selling price.
Santosh: This is same with power also, power expenses in German unit.
Ashok Jain : Power is not so much different in terms of the percentage.
Santosh: It is coming to around 30% only sir, Rs. 37 crores the power expenses there in German unit.

Ashok Jain : Yes. So, that is again because we were running the old equipment and all, and now we have put in new machinery which will give us almost 25% to 30% reduction in the power consumption per unit of production. So, all those efforts are now going to fructify once these machines start operating, which has already actually started producing in this month. So, with that you will see changes in the further quarters.
Santosh: So, we can expect same revenue in next quarter also from Germany unit, that is around Rs. 129 crores , or it will be higher or less?
Ashok Jain : It will be in the same ballpark.
Santosh: So, when we can expect the rights issue, sir?
Ashok Jain : The rights issue is subject to the approvals now. We already have the BSE and NSE approvals, and the major appro val now is SEBI, which is almost on the cards now, anytime we may get it. So, once we have this then we will start the process of filing the final Letter of Offer. And I think the rights issue should be there in the end of September or beginning of October .
Santosh: So, with regards to this anti -dumping duty, are you following with the government with regard to anti-dumping duty?
Ashok Jain : Yes, we are an applicant for anti -dumping duty and countervailing duty. And the other manufacturers are supporting ou r application, other glass manufacturers. And this application is continuously being followed up at the DGTR level. So, hopefully we will have the issuance of preliminary findings, provisional findings in the next month or so.
Santosh: Generally how much t ime it will take sir, one month?
Ashok Jain : One, one and a half month it should take for the process to complete in terms of the provisional findings. After th at it would take another three, four months to get the final approval. By December we will have some final view from them.
Moderator: Thank you. We have the next question from the line of Sunny from IFA. Please go ahead.
Sunny: Sir, I have just one question. What is the CAPEX plan for the future, which is presently on hold?
Ashok Jain : So, Board had in the past approved for expansion by 1,100 tonnes per day, setting up another furnace to increase the production, which is currently at 1,000 tonnes per day. But this was put on h

old because of the change in the economics and the scenario after the remova l of anti -dumping duty against China. So, with the positive developments happening on the basic customs duty front, and once there is some clarity on the anti -dumping duty, we expect the Board to reconsider the matter. And once the decision is taken, we wi ll communicate the same to the investors.
Moderator: Thank you.

Pradeep Kheruka: If there are no more questions, we can close the call.
Moderator: Sir, we do not have anyone in the queue at the moment, sir. If you would like to proceed with closing commen ts, you can go ahead, sir.
Ashok Jain : Yes. Thank you so much all the investors for joining on the call and showing your interest in the business of the Company . The management is putting in all the efforts to resume the past glory of the Company , which for some quarters has been lost because of the unremunerative selling prices. We are actively working on the anti -dumping duty which will provide the required fillip to the operations of the Company and visibility of further growth in the business. Thank you so much for asking all the questions and see you again. Thank you.
Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Nov 2024

Novem ber 17, 202 4

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: BORORENEW

Dear Sir s,

Subject: Transcript of Institutional Investors and Analysts Conference Call
Please find enclosed transcript of conference call with Institutional Investors and Analysts held on Tuesday, November 12, 202 4.
You are requested to take the same on records.
Yours faithfully,
For Borosil Renewables Limited
Ravi Vaishnav
Company Secretary and Compliance Officer
(Membership no. ACS – 34607)
Encl.: As above .

"Borosil Renewables Limited
Q2 FY '25 Earnings Conference Call "
November 12, 202 4

MANAGEMENT : MR. P. K. KHERUKA – EXECUTIVE CHAIRMAN – BOROSIL RENEWABLES LIMITED (BRL)
MR. ASHOK JAIN – WHOLE -TIME DIRECTOR
MR. SUNIL ROONGTA – WHOLE -TIME DIRECTOR AND CHIEF FINANCIAL OFFICER
MR. BALESH TALAPADY – VICE PRESIDENT -INVESTOR RELATIONS

MODERATOR : MR. ROHAN GHEEWALA – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Earnings Conference Call of Borosil Renewables Limited, hosted by Axis Capital Limited. As a reminder, all the participants' line will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by press ing star, then zero on the touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rohan Gheewala from Axis Capital Limited. Thank you,

and over to you.
Rohan Gheewala: Good evening, everyone. On behalf of Axis Capital, I'm pleased to welcome you all for the Q2 FY '25 Earnings Conference Call of Borosil Renewables Limited. We have with us the management represented by Mr. P. K. Kheruka, Executive Chairman; Mr. Ashok Jain, Whole-Time Director; Mr. Sunil Roo ngta, Whole -Time Director and Chief Financial Officer; and Mr. Balesh Talapady, VP, Investor Relations. We thank the management for giving us the opportunity to host the call.
We will begin with the opening remarks from the management, followed by an inter active Q&A session. Thank you, and over to you, sir.
Ashok Jain: Good afternoon, and welcome to the Borosil Renewables Q2 FY '25 Investor Call. Mr. Kheruka has not been able to join on the call because of his personal reasons. I'm Ashok Jain, Whole - Time Di rector. The Board of Borosil Renewables yesterday approved the company's financial results for the Q2 FY '25. Our results and an updated presentation have been sent to the stock exchanges and have also been uploaded on the company's website.
We will disc uss the operations of the company on a stand-alone basis as well as on a consolidated basis. Overall, the company's performance has shown improvement compared to the immediately preceding quarter. The total sales during Q2 FY '25 grew to INR 264.94 crores from INR241.40 crores in the preceding quarter.
The improvement in EBITDA performance was greater with EBITDA at INR 52.88 crores, representing 20%, up from 12.3% in the previous quarter. This improvement was driven by an increase in production efficiency and the rise in ocean freight for imports, which allowed us to charge higher selling prices. Export sales, including those to SEZ customers amounting to INR34.39 crores in Q2 FY '25 accounted for 13% of the turnover compared to INR 22.42 crores in the preceding quarter, when exports made up 9.3% of the turnover.
The company achieved a profit after tax of INR 12.62 crores in Q2 FY '25 compared to a post - tax loss of INR 3.64 crores in the preceding quarter. The exemption from basic custom duty on import of solar tempered glass has finally ended on 30th September 2024, with a levy of BCD of 10%. Unfortunately, in an anticipati on of this duty, the Chinese exporters slashed the FOB

prices by 22% in August '24 and the domestic module manufacturers stockpiled large quantity of cheaper solar glass from China before the BCD implementation.
Imports in September surged to 5x of the volume imported during the previous year ended on 31st March '24. This is causing a huge challenge in procurement of orders from September onwards due to excess inventory at the customer's end. The effect of this price reduction will be visible in the curren t running quarter.
The Ministry of Commerce and Industry had initiated an antidumping investigation into alleviate dumping of solar glass from China and Vietnam based on the application made by the company. I am happy to inform that the Director General of Trade Remedies, DGTR, in its preliminary findings has recommended imposition of provisional antidumping duty pending completion of the investigation via its notification dat

ed November 5, 2024. The letter is now with the Ministry of Finance.
In the matt er of countervailing duty on imports from Vietnam, in the application made by the company, we are still awaiting issuance of preliminary findings by the DGTR. We have also petitioned the government to mandate use of domestically manufactured solar ancillar ies in modules. We believe this step is crucial for fostering long -term growth and to develop a robust and competitive local supply chain for solar photovoltaic.
Our company is seeing a faster pace of solar installation on the back of a substantially higher demand. Manufacturing capacity for solar modules has already reached 75 gigawatts, which is expected to double to 150 gigawatts in 2-3 years. Use of locally produced modules has risen sharply after the implementation of ALMM mechanism from April 202 4, which is leading to increased demand for all the components, including solar glass.
Our German operations continue to face significant challenges due to reduced demand. The steps taken by the European Union to support domestic manufacturing of modules have been adopted by France, Italy and Austria. It will take time for the demand from these countries to make a meaningful difference to the overall demand . Germany in the meanwhile has kept this matter under consideration. We have been able to operate th e plant at a high rate of utilization by securing orders from markets like USA. and EU, which are at low prices. However, the orders are insufficient and it will take some time to generate additional orders since the customers in USA are still ramping up a nd demand in adjacent market is still low.
Now I come to consolidated results for the quarter, which includes the operations of the subsidiaries. The overseas subsidiaries, including the step- down subsidiaries, have generated net

stand -alone revenue of IN R107.48 crores and negative EBITDA of INR 16.85 crores for Q2 FY '25. The performance has declined over the preceding quarter, which had a net revenue of INR129.40 crores and negative EBITDA of INR 2.38 crores.
This was due to a large share of orders being booked at lower prices. The consolidated net revenue for the quarter under review stands at INR 372.42 crores and EBITDA of INR 34.57 crores as compared to net revenue of INR 370.79 crores and EBITDA of INR 25.91 c rores in the

preceding quarter. This improvement visible here has arisen from the better results of the Indian operations.
Meanwhile, determined efforts continue to further optimize the cost of production. The magnitude of drop in selling prices by the Chinese makes it appear that imposition of antidumping duty on dump imports is most obvious way for the domestic solar glass production to come back to a reasonable level of profitability.
Finally, I would like to update you on the proposed rights issue. The company has received in principle approvals for rights issue from BSE and NSE and also the final observation from SEBI. Updated draft letter of offer will be filed. Detailed terms of rights issue, including but not limited to the issue price, rights entitlement issue, record date and timing will be determined by the Board or its duty rights committee in accordance with applicable laws.
With that, I open the floor for questions, which you may have. Thank you so much.
Moderator: Thank you very much. We wil l now begin the question-and -answer session . The first question is from the line of Sunny from IAF. Please go ahead.
Sunny: Am I audible? M a'am I will rejoin the queue. Thank you.
Moderator: The next question is from the line of Omkar from Tradebrainz. Please go ahead.
Omkar : My first question is, I observed that our German unit expenses are more than India business in terms of employee costs and raw materials. I want to know why don't you do outsourcing manufacturing in third pa

rties in Germany?
Ashok Jain: So you are saying that our cost of raw material is higher in Germany, is it?
Omkar: Yes, sir. And your employee costs and raw material costs in Germany is higher than Indian business. So why don't you do outsourcing and manufacturing by third parties ?
Ashok Jain: Okay. So you are suggesting that instead of manufacturing ourselves, -- done from somebody else?
Omkar: Yes, sir.
Ashok Jain: In Germany or other parts of the world?
Omkar: Only in Germany, sir.
Ashok Jain: Well, the cost of manpower , fuel and power and everything is higher in Germany, as you would appreciate it because it's a developed economy and the costs are higher there. And while the cost of production in Germany is higher, when we took over the company and did our diligence, tha t time, the revenue was also correspondingly higher.

So after offsetting the higher cost also, there was a decent EBITDA being made by the company. And the challenge now is that the demand for solar glass itself has gone down because there is no protectio n for module manufactures in Germany or for say, European Union, neither the BCD nor antidumping duty is there on the modules.
So the modules are coming at a very cheap price in European Union, which has forced the customers to go out of business and whic h is why the demand has gone down. So if you are running the plant at full capacity the cost can still be recovered. But in the current scenario, where the local demand is only about 40% of the production and it is becoming difficult to manage.
So we are reviewing all our options. We are trying to first get the orders from other geographies so that we can still run at higher capacity, bring down the per unit cost of production and manage to bring both ends together in terms of revenue and cost, failing whi ch we will have to look at more alternatives.
Omkar: Okay. Sir, a follow -up question is, as you have a 65% market share in Germany, based on the dumping duty in Germany, do you think about declining market share in future?
Moderator: Sir, your voice is not audible properly.
Ashok Jain: There is some problem.
Omkar : Yes, sir. A follow -up question from the previous one. As you have 65% market share in

Germany, due to the dumping duty in German market, are you seeing any decline in market share of our business?
Ashok Jain: No, there is no decline in the market share. The market itself has declined. This is the problem. Because if the demand is there, we will, of course, be able to get the customer back in our fold -- being a local producer, which offers a lot of advantage in terms of just -in-time delivery and robust supply chain. The challenge is that the demand itself has dropped to, say, less than 50% of what it was which is where we're restricted.
Omkar : Okay, sir. Understood. Sir, as you mentioned, the Chinese are dumping goods at lower price in India. While in the same way, Chinese do dumping for electronic goods in India also, sir. But those electronic companies made a strong rebound based on their backward integration and joint ventures in the las t couple of years. So same strategy, why can't be used in Indian market? What electronic manufacturers are using in India as of now?
Ashok Jain: So the two businesses are different. If you really appreciate the kind of business you are talking about, it's more of an assembly business, which may be true in solar for like, say, module manufacturing, where you buy various components from various vendors and assemble it into a product and you sell it.

So there, you can backward integrate in the manufacture of those components and possibly bring down the cost of production. But in the case of solar glass, it is not the same story. You have to basically start from silica sand and

convert that into finished goods by a lot of value addition in terms of the energy cost, the manpower cost and interest and depreciation and all the things.
So backward integration in solar glass is not feasible. The products which we use are like, say, natural gas or power or soda ash or sand where the backward integration is not feasib le in case of solar glass.
Omkar : Okay, sir. Understood. And my last question is, sir, your revenue has grown by 135% in last 3 years. And while production capacity has increased by 3x, is that capacity utilization in line with the sales as per industry st andards ?
Ashok Jain: So the capacity has gone up from 450 tons to 1,350 tons per day, including the German plant. But the full utilization of German plant is not happening, as you know, because of the orders -- or the paucity of orders, the capacity is not fully utilized. Second thing is that the selling prices -- when we were running only 450 tons or say, less production, I mean ' 2022, '23 or '21, '22, the selling prices were quite high, almost 25% higher than what they are today.
So a drop in selling pr ices in the current context would also mean that you are looking at a lower growth in the sales numbers. So our utilization is not low in terms of Indian plant, but the selling prices are low. In the case of German plant, again, the selling prices are also low and utilization has also not increased. So this has to be read and understood in the context of selling prices as well.
Moderator: The next question is from the line of Sunny from AFC.
Sunny: Sir, Am I audible this time?
Ashok Jain: You can carry on, you still have disturbance, but we'll try to understand the question and answer it.
Sunny: Sir, I have two questions. Primarily, you are raising INR450 crores and you have a total debt of around INR557 crores, which includes INR366 crores of long -term debt and INR187 crores of short -term debt. So you're planning to pay off fully long -term debt only, sir?
Ashok Jain: [inaudible 0:17:14] .
Sunny: Okay. No problem, sir. And second question regarding -- let's assume that from today onwards antidumping duty is ho ld. So how much time it will take to do the capex , which is on hold? And is it brownfield or greenfield capex ?
Ashok Jain: The antidumping duty notification is yet to be issued by the Ministry of Finance, as I mentioned. So it's a custom notification where you are charging the duty , it is issued by the Ministry of Finance, which normally takes 4 weeks to 8 weeks' time. So once that is done -- suppose the

notification gets issued at the end of December or middle of December , we will review the situation in the fourth quarter of this financial year, January to March.
And once the Board decides that this is the right time to go for expansion and we tie up funds or say, we decide on the funding mechanism, then we will be able to move ahead in the matter.
From t he time we decide that we want to go into the capex, it will take at least 18 months to start production.
In terms of the Greenfield or brownfield, we have a lot of facility available in the current infrastructure. The land is available, even so many item s of utility are available and many other

benefits which we have at the current location, you may still consider it as a brownfield project.
And that will enable us to do it in, say, 18 months as against the time required of 24 months for
a Greenfield proj ect.
Sunny: Thank you, sir. That's it from my side.
Moderator: The next question is from the line of Sunny from IAS. Please go ahead.
Sunny: Sir, the latest notification which we get from DGTR, which includes antidumping from China
and Vietnam also. Although last time, China was able to dump 60% of their solar glass using
Malaysia. So what is the plan to mitigate that?
Ashok Jain: Your question is that if there is antid

umping from China end even Malaysia can start exporting.
That's what your question is?
Sunny: Yes, sir. China can use Malaysia for dumping.
Ashok Jain: No ADD is applicable o n Malaysia and there is all the possibility that some goods from Malaysia
may start coming in. As of now, for the last, say, 1.5 years, there have not been any exports int o
India from Malaysia because the base was shifted by the Malaysian company to China. I mean, they are a Chinese subsidiary
-- the Malaysian plant is a subsidiary of Chinese company.
So they stopped their exports from Malaysia, and they started from China. Now they can reverse the strategy. That possibility
definitely exists . But that Malaysian plant may not be able to supply
to all the customers in India and all the markets. So there may be certain customers and certain
volumes, which may start to come from Malaysia.
But we'll have to see how to play around and how to ensure that we get the right realisation using
some strategy against Malaysian imports. And include -- come too much, then we will have to
think of some measures against Malaysia.
Sunny: Thank you, sir. That's it from my side.
Moderator: Thank you. The next question is from the line of Dhiraj from Avendus Spark. Please go ahead.

Dhiraj: My question was that could you throw some light on the -- what were the realizations in the last
quarter, like the average glass selling price, what was in the last quarter?
Ashok Jain: So the average realization, as I mentioned, was higher compared to the preceding quarter, which
helpe d us to register a higher EBITDA. While the exact numbers, we are not continuing to talk
about in the call because now we have a lot of local manufacturers also, and it may become difficult for us to deal with a lot of
customers disclosing the prices. But what I can tell you is that the prices were better by almost 5% in terms of the number
compared to the preceding
quarter.
Dhiraj: Okay. This was it. Thanks.
Moderator: Thank you. The next question is from the line of from Akshay from Alpha Invesco. Please go ahead.
Akshay: Congratulations on great set of numbers. I just wanted to get one answer. So can you provide some update on the
1,100 tons additional capacity that you were talking about? You said it's on
hold? Can we expect this capacity to come up next year or what would be the capex outlay for
that capacity?
Ashok Jain: See the capacity which is put on hold is what the Board had decided sometime back was 1,100
tons per day. And that was by way of one single plant. But depending on the situation, we wil l
be, at the Board level, reviewing whether a single plant of 1,100 tons would be a right strategy
or it can still be done in 2 parts of 550 tons each depending on the comfort on the funding and
the risks around the business.
So we will be evaluating this , as I mentioned, in the quarter, January to March. And thereafter,
we will take the call about the expansion. Once having taken a decision to expand, it may take 18 months, as I mentioned, to
come into production.
Akshay: Okay. What would be the approxima te capex, maybe, say, for 1,100 the entire plant is for?
Ashok Jain: For the 550 tons, we think it may be about INR750 crores or so.
Akshay: Okay. So roughly INR1,500 crores for the entire 1,100 tons per day.
Ashok Jain: More or less, yes.
Akshay: Thank you, sir. That's it from my side.
Moderator: Thank you. The next question is from the line of Sumit Kishore from Axis Capital. Please go
ahead.
Sumit Kishore: Just wanted to understand what are the key provisions or the contours of the recommended levy
of pr ovisional antidumping duty on imports of solar glass if you can share at this stage? And
how significant -- you mentioned that it will be a substantial relief for the domestic solar glass

industry. But if you could sort of help us quantify given the varying forces that are impacting this particular market?
Ashok Jain: So during the investigation -- or during the period of investigation, there were certain selling prices or import prices which were prevailing and they were analyzed and injury margin and other calculations were done by the DGTR in line with the norms. Now what happens is that this market is so much fluctuating. The prices from China, the freight, everything is so much fluctuating, th at in case we have a fixed rate of duty, like say, $50 per to n or $100 per ton and if the prices themselves change by $100, then the duty has a lesser impact or it becomes nullified.
So what the DGTR around this time has done based on, of course, the representation by the company and the other fellow members of the producers in India, that they have made the duty in the form of a reference price.
So the reference price is the price below which -- in case the imports are happening below that price, the difference between the reference price and the import price have to be paid as duty.
So in the case of China, the reference price is announced or determined at $6 73. Now in case the imports come at $600, suppose, the $73, the difference will be paid as antidumping duty by the importers.
In the case of Vietnam, the price has been fixed at $565 per ton. So similarly, if the imports are coming at lower price, then the duty will be the difference. But if the imports are coming, this import means the landed price, including basic custom duty at our Indian ports. Support the imports are coming at a higher price, there will not be any duty.
So on one side, there is a protection from the downside to the solar glass manufacturers because if the prices fall and duty is a fixed duty, they still do not get covered. On the other hand, if the prices increase, the duty is not levied because there is no need for the duty in that sense. So this is a very good mechanism found by the DGTR authorities.
And this is the way it is structured that it's sort of a minimum import price -- referen ce price, which will be applied to, say, imports from China and Vietnam. And accordingly, the duty will be charged. Have I explained it clearly, Sumit.
Sumit Kishore: Yes, yes, sir. So sir, what time frame do you expect this matter to be cleared by Ministr y of Finance now? And if you could also elaborate on this 32% price cut between June and September by exporters from China, Vietnam. So how does this compare with your average realization in the September quarter? So how much below has this price cut led t he market at? And -- so you mentioned that this is unsustainable, but what is the volume impact expected in the coming quarter? If you could maybe give some guidance around it.
Ashok Jain: Yes. So the first thing about the price cut is that the Chinese and Vietnamese exporters are probably having a shortfall in demand because the local manufacturing of module has gone down because China is facing some challenge in exports as well as in domestic market because of overcapacity.

So the prices have been cut do wn on the module, as you know, the prices from almost $0.30 have come down to $0.14 for the module per watt peak. So with the steep decline in the price, there is lot of, say, shortfall in capacity utilization, which is leading to surplus in the case of components due to which there has been certain nervousness in the minds of the solar glass manufacturers.
And correspondingly, they have cut down the prices first by about 10% in, say, quarter 1, April to June and another 20% in the next quarter. So almost 30% price has been cut by the Chinese manufacturers in this financial year. Now corresponding to that, we have not witnessed such a decline in our domestic realization because we have been able t

o contain the decline and also we have been able to maintain good relationship with the customers by explaining to them the situation.
So our decline has been there, but not to the same level. In the case of volumes, if I were to give you some examples, in 2023, '24, the average imports per day were about 2,000 to 2,100 tons per day. In July and August, it became 4,000 tons per day. And in September, it was 9,000 tons per day.
So the imports actually have become very significantly high in September because of the impact of duty coming in or rather say, looking at t he duty imposition of 10%, the importers have imported large volumes. Also, they have tried to take advantage of the fall in prices of glass. So there has been a lot of imports which has caused problems of carrying high inventories.
And since glass is a h igh-volume product requiring lot of space, it creates problem in continuous ordering and keeping it in the warehouse. So this is creating some strength in the business as of now. But I think we are hopeful that in 2 months time, this -- probably the high l evel of inventory should get adjusted. And from December, maybe this starts getting neutralized.

Sumit Kishore: So by December, you would expect that the Ministry of Finance would provide the required...
Ashok Jain: So by December, they will consume the ex cess inventory, which means that from January, you can probably expect...
Sumit Kishore: The volumes to come back, okay?
Ashok Jain: The volumes to come back, yes.
Sumit Kishore: Okay. But is there any indication on by when the Ministry of Finance provides the required support…
Ashok Jain: Just to give you a perspective, the Ministry of Finance is supposed to have 90 days window to clear the proposals, which is actually in the case of final finding. But there is no guidelines or there is no trend about prov isional duty, we can assume that they may apply similar yardstick of 60 to 90 days or 90 days maximum. So we are trying to pursue with them and try to see that it

can be done faster than this period. And we hope that we will succeed and get it earlier than this target period.
Sumit Kishore: Thank you for answering my question.
Moderator: Thank you. As there are no further questions from the participants. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Ashok Jain: Well, thank you very much all the participants for attending this conference call of Borosil Renewables. I hope I have been able to answer all your questions. In case there is any clarification required, they can reach out to our Investor Relati ons team, and we will be happy to clarify.
We hope with the introduction of antidumping duty, probably in the fourth quarter onwards, we may start to look up in terms of the performance because on the volume front or operational front, we are doing our bi t. But this is a very significant element in terms of antidumping duty, which should bring a lot of positivity in the entire thing and also, say, motivate us to expand the capacity and grow the business.
So I hope to meet you in the next quarter investor call with more news about all these aspects.
And thank you, and thank you for all your questions and goodbye.
Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Tha nk you, everyone.

Call: Feb 2025

February 21, 202 5

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: BORORENEW

Dear Sir s,

Subject: Transcript of Institutional Investors and Analysts Conference Call
Please find enclose d transcript of conference call with Institutional Investors and Analysts held on Monday , February 17, 202 5.
The aforesaid transcript is also available on the Company's website at https://borosilrenewables.com/investor/analyst -meet
You are requested to take the same on record s.
Yours faithfully,
For Borosil Renewables Limited

Ravi Vaishnav
Company Secretary and Compliance Officer
(Membership no. ACS – 34607)

Encl.: As above .

"Borosil Renewables Limited
Q3 FY '25 Results Conference Call "
February 17, 202 5

MANAGEMENT : MR. P.K. KHERUKA – EXECUTIVE CHAIRMAN – BOROSIL RENEWABLES LIMITED
MR. ASHOK JAIN – WHOLE -TIME DIRECTOR – BOROSIL RENEWABLES LIMITED
MR. SUNIL ROONGTA – WHOLE -TIME DIRECTOR AND CHIEF FINANCIAL OFFICER – BOROSIL RENEWABLES LIMITED
MR. BALESH TALAPADY – VICE PRESIDENT , INVESTOR RELATIONS – BOROSIL RENEWABLES LIMITED

MODERATOR : MR. ROHAN GHEEWALA – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Results Conference Call of Borosil Renewables Limited, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star , then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohan Gheewala from Axis Capital. Thank you, and over to you, sir.

Rohan Gheewala: Thank you. Good evening, everyone. On behalf of Axis Capital, I'm pleased to welcome you all for the Q3 FY '25 Earnings Conference Call of Borosil Renewables Limited. We have with us the management represented by Mr. P.K. Kheruka, Executive Chairman; Mr. A shok Jain, Whole -Time Director; Mr. Sunil Roongta, Whole -Time Director and Chief Financial Officer; and Mr. Balesh Talapady, VP, Investor Relations.

We thank the management for giving us the opportunity to host the call. We will begin with the opening rem arks from the management followed by an interactive Q&A session. Thank you, and over to you, sir.

P.K. Kheruka: Good afternoon, and welcome to the Borosil Renewables Quarter 3 Financial Year '24 -'25 Investor Call . This is Pradeep Kheruka, Chairman. On the 14th of February, the Board of Borosil Renewables approved the company's financial results for the third quarter of the current financial year. Our results and an updated presentation have been sent to the stock exchanges and have all been uploaded on the company's website. We will discuss the operations of the company on a stand -alone basis as well as on a consolidated basis.

The total sales during the third quarter of the current financial year grew by 14% in volume over the previous quarter, but could achieve only a growth of about 3.6% by value from -- to INR275.28 crores, up from INR265.61 crores in the preceding quarter. T he price pressure came from a steep decline in average ex -factory prices driven by increased Chinese dumping at ever lower prices. These fell to about INR105 per millimeter per square meter, which would correspond to about INR42,000 per ton, down from the preceding quarter's average selling price of INR115 per millimeter per square meter, which would work out to about INR46,000 a ton.

The EBITDA stood reduced at INR20.89 crores as against INR52.88 crores in the preceding quarter. The imposition of a 10% bas ic customs duty on imports from 1st October last year failed to make any impact on the landed prices of the imported glass because the Chinese cut their export FOB prices by 18% .This decline in the landed price of imported glass was compounded by a drop in ocean freight during the quarter. Additionally, the company had to incur an expense of INR4.59 crores on account of a non -routine repair. It also incurred a debit of expenses related to rights issue, which further impacted the EBITDA by another INR2.01 c rores.

Export sales, including those to SEZ customers, amounting to INR16.02 crores in the third quarter of the current financial year, accounted for 6% of the turnover compared to INR34.39

crores in the preceding quarter when exports made up 13% of turnover. All the major export markets are showing lower demand due to a reduction of local manufacturing as cheap Chinese modules dominate the installations.

The decline in EBITDA has led to the company posting a post -tax loss of INR8.64 crores in the third quarter '24 -'25 compared to a profit after tax of INR12.62 crores in the previous quarter and a post -tax loss of INR11.04 crores in the corresponding quarter in the last year.

After a meteoric rise in September 202

4, solar glass imports reverted to the previous still exceptionally high levels. Despite our customers being highly stocked up at extremely large volumes of cheap imported glass, our sales team was able to induce them to buy even higher volumes as compared to the previous quarter and was thus a ble to bring down the finished goods inventory during the quarter.

Now coming to perhaps the most significant development in the last quarter. On the 4th of December last year, the Ministry of Finance notified a provisional antidumping duty on imports of solar glass from China and Vietnam by virtue of imposition of a reference price. Based on the recommendation by the DGTR, Director General of Trade Remedies, which I shared with you during our previous investor 's call, this has brought great relief to the c ompany. Sale contracts already entered for supply in December were executed at the old depressed prices. And hence, these results do not reflect the greatly improved business prospects of the company.

Following up on the above, I'm pleased to inform that t he investigation now stands concluded and the DGTR has issued its final findings about the imports having caused material injury to the domestic industry, recommending the imposition of a definitive antidumping duty on all the

imports of solar glass origin ating it or exported from China and Vietnam as well as anti -subsidy countervailing duty on imports from Vietnam for a period of 5 years from the date of issue of the preliminary duty notification, issued by the Central Government vide Notification Number 26/2024 -Customs ADD dated 4th December 2024. These findings have been published in the gazette and forwarded to the Ministry of Finance for further action.
The company welcomes this decision and remains optimistic about the imposition of final antidumping a nd countervailing duties by the Ministry of Finance. This measure will restore fair competition and create a level playing field for domestic manufacturers further strengthening India's solar glass industry.
Landed prices of imported glass reflected the fu ll value -- reflected the full impact of the duties immediately with effect from 4 December 2024. The impact of the improved prices will get reflected in the company's financial performance with effect from the beginning of January and are expected to move near the level of the reference price during the quarter.
Based on the prevailing rates of exchange, this would work out to about INR140 per millimeter per square meter which would correspond to about INR56,000 per ton. Solar glass industry is capital -intensive with a low asset to turnover ratio, which is about 100:80, that means for INR100 crores invested with INR80 crores of turnover. Moreover, the company must provision a

complete rebuild of its glass melting furnace every 5 years. As such, this level o f selling price is essential for the domestic solar glass industry to be able to offer an IRR acceptable to long -term investors, ensuring the long -term sustainability which supports further expansion.
The demand for solar glass remains buoyant. Manufacturi ng capacity for solar modules has already reached above 75 gigawatts, which is expected to double to 150 gigawatts in 2, 3 years. The solar installations are also rising, as can be seen from the data for the year ended December 2025. We believe this year, we will see installations of 25 gigawatts, which means module consumption of about 35 gigawatts as against 15 gigawatts last year. This rate of installation is expected to speed up in the coming years, and we may expect to see installations rising to 40 to 50 gigawatts annually going forward.
Use of locally produced modules has risen sharply after the implementation of ALMM mechanism from April 2024, which has already led to increased demand for all the components, including solar glass.

Similar support is also being extended by the government to solar cell manufacturing by bringing an Approved List of Cell Manufacturers , ALCM, with effect from the 1st of June 2026 and mandating use of locally produced cells, this will make the solar value chain stronger and more resilient.
Present solar glass capacity in the country is 2,300 tons per day, which is about 15 gigawatts. Another 15 gigawatts is getting commissioned by the end of the current calendar year 2025. With a phenomenal rise in demand in recent times, im ports currently occupy about 55% to 60% share in the consumption for domestic installations, leaving the scope for import substitution wide open.
Immediately upon imposition of ADD, work on further 11.25 gigawatts has begun including 3.25 gigawatts by your company, taking the total capacity to 41.25 gigawatts or 6,300 tons per day. We believe this step ensure creation of a dependable supply chain in this critical aspect of solar power.
Now I come to the consolidated results for the quarter, which include th e operations of the subsidiaries. A, the overseas subsidiaries, including the step -down subsidiaries have generated net stand -alone revenue of INR86.2 crores, a negative EBITDA of INR14.38 crores for the third quarter financial year '24 -'25. The sales perf ormance has declined over the preceding quarter, which had a net revenue of INR107.4 crores although the negative EBITDA was restricted to INR16.85 crores. This was due to a slow demand and lower level of operations.
The consolidated net revenue for the qu arter under review stands at INR361.49 crores, an EBITDA of INR 5.0 crores as compared to a net revenue of INR373.09 crores and EBITDA of INR34.57 crores in the preceding quarter. The considerable decline in EBITDA has arisen from the lower profitability o f Indian operations, mainly due to the lower selling prices, as discussed earlier.
While the German solar industry was waiting for the government to implement its promises to augment domestic manufacturing, the government itself went into crisis leading to the call for

fresh elections on 23rd February. Since no decision could be expected until the formation of a new government, we decided to cool down the furnace on 31st December 2024, thus temporarily pausing the hot -end operations.
During this time, we ar e continuing the processing of available annealed glass and partial operations. After formation of a new government post the ensuing elections, we shall await the policies in respect of the domestic manufacturing of solar photovoltaic modules. Until then, the bulk of the workforce has been put on short -time work during which they have paid 2/3 of the wages by the government, while they stay at home, thereby reducing the financial outgo from the company.
Necessary cash flow support has been provided to the s ubsidiaries to meet their financial obligations. We shall observe the developments over the next 3 months and take next steps based on future possibilities. The EU parliament has mandated that 25% of renewable energy generated must come from components and modules made in EU. We expect the new government to implement this policy.
Our stand -alone results are expected to show a marked improvement in profitability in the ensuing quarters on the back of better selling prices going forward. Meanwhile, the compan y is seeing improving yield in its Indian operations as the team is getting to understand the new furnace better. We are making efforts towards minimizing the losses of the German operations by taking all possible measures. We believe there are good prospe cts for the German operations.
I would like to update you on the preferential issue, the company received in -principle approvals from the BSE Limited on 4th February and NSE Limited on 3rd February 2025. Necessary documents were sent to all the ap

plicants on 5th February to pay the application amounts by
13th February. The promoter subscribed to the shares for the entire committed amount to INR100 crores.
I'm pleased to inform you that despite prevailing market conditions, 91 applicants who have subscribed to 78,80,436 warrants and have paid the application money of 25%, totalling to INR 104.42 crores towards the issue amount of INR417.66 crores, while the balance choose not to pay, despite their applications. The allotment of shares warrants was done on Friday, the proceeds of INR517.66 crores including the promoters ' applications will be utilized in due course as per the objects of the issue.
We still work on the expansion, 500 tons per day has started and we shall firm up the project cost and take steps to place orders for long lead items over the next few months. We expect to commission the new facility by September 2026. We remai n positive on the sector and see good prospects for the company over the next few years, looking at the strong growth in the installations of solar modules and support from the government to ensure a level playing field for components. We remain technologi cally competent to meet market demand for the most important products.
With that, I would now like to open the floor to questions that you may have. Thank you.

Moderator: Thank you, sir. We will now begin with the question -and-answer session. The first que stion comes from the line of Sunny from IFA.
Sunny : Sir, I have a question regarding -- you have recently raised INR 517 crores on the -- including promoter and non -promoter. So what is the capex outlook for 500 tons, how much amount to fund the capex ?
Ashok Jain : So the capex on the 500 ton furnace was initially estimated at INR 675 crores. And out of that, certain amount out of these proceeds will be used for funding capex and balance will be funded from accruals and bank loans.
Sunny: Sir, I have a follow -up question. You have canceled the rights issue of INR450 crores and raised around INR517 crores. Out of which, INR100 crores has been issued given by promoter as well. Why not you raised INR450 crores from the minority shareholder and used all that amount for the capex which was INR675 crores?
Ashok Jain: Can you repeat your question, please?
Sunny: Sir, actually your original plan was...
Moderator: I'm sorry to interrupt...
Ashok Jain: Your voice is very low. Can you be louder, please?
Moderator: You need to come on your handset mode, Sunny, in case if you are on the speaker.
Sunny: Am I audible, sir?
Ashok Jain: Yes, please go -- better.
Sunny: Sir, your original plan was to raise INR450 crores to do rights issue. However, you c hoose to raise the fund using preferential issue, in which INR100 crores was driven by promoter and rest INR417 crores was driven by non -promoter . Why not raise the INR450 crores from the existing

rights issue to use for the capex of INR350 crores?
Ashok J ain: See, the right issue was going on. And in the meantime, we were approached by some investors that they can put in money by way of a preferential issue and the amount could be larger. And around that time, this duty -- antidumping announcement was also made by the government. So we thought of combining the fund raise requirement from, say, INR450 crores to almost INR700 crores. So the thought process was that we meet all the objectives in one issue and don't go to market time and again.
Finally, we got less amount. That is another story because of the market situation. But while going for the preferential issue, the stock exchange has laid down the condition that you cannot concurrently run 2 issue of shares. So they wanted us to withdraw the rights issu e. The right issue has already been withdrawn, so there is nothing in the right issue now. Whatever right issue, INR450 crores was ther

e, it is gone now. It's withdrawn already.

Sunny: I have another question, sir. So now that antidumping duty is on from...
Moderator: Sorry to interrupt, Sunny. You're still not audible.
Sunny: Sir, am I audible?
Moderator: Yes, you need to adjust your handset a little bit, because there's a lot of muffling that's happening.
Sunny: Am I audible, sir?
Moderator: Yes, mu ch better.
Sunny: Sir, while I see that antidumping duty effectively -- with effect from 5 December '24. In the past, we have seen that China used Malaysia for dumping the product via Malaysia to India. Are we seeing that in present scenario also?
Ashok Ja in: See, until the time the duty was imposed on China and Vietnam, the imports from Malaysia will barely anything. But as you rightly pointed out, when the situation changes, the duties get changed, the Chinese use their other territories to export to Ind ia. So there are exports which will come from Malaysia. But what we feel is that all the exports cannot come from Malaysia, first of all. And all the customers are not in a position to get material from Malaysia.
So there is a tremendous demand in India. A nd even if some customers want to import from Malaysia, it is possible that it will come at a low price. But on the other hand, this company is a listed company on the stock exchanges, the Malaysian company and they are also, responsible for their profita bility. They have been earning less income in the past, and they have certain plans to invest more money into the business. So what we've seen is that the Malaysia has already started quoting higher prices although it is still lower than Chinese prices, b ut it will not be very cheap in terms of the dumping. So we expect certain pushback from the customers who would potentially be importing from Malaysia, but we have more customers to sell our goods to. So it should not be a problem.

Sunny: Sir, on the next question, while on the approval from DGTR, Commerce Ministry has approved the antidumping duty, and how much it will take time for the finance minister to recommend or approve or deny the antidumping duty?
Ashok Jain: So there is no fixed guidelines . I would think, generally the time which finance ministry takes in extreme cases is 3 months from the date of submission of final recommendation by the DGTR.
So from that perspective, we should expect this decision to be in the beginning of May, at the most at the latest.
Sunny: Sir, any timeline for upcoming capex going live?
Ashok Jain: That is already covered by Chairman in the speech. So by September '26, we will be able to commission the plant.

Sunny: Sir, it will be brownfield?
Ashok Jain: Well, it is on the same location. So to that extent, like land and other utilities are available there, but we already consumed a lot of advantages in the past expansion. So there will be certain benefit of the brownfield expansion, but it will not be significant.
Mod erator: The next question comes from the line of Bajrang Bafna from Sunidhi Securities.
Bajrang Bafna: Sir, really wish you all the very best for the antidumping duty that has been put up by the government and which will definitely change the fortunes of t his industry. So just to get a sense, sir, we see there are multiple vendors or the multiple competition, which is going on aggressively in India as far as modules are concerned or maybe the sales are concerned. We are getting a

figures of next 2, 3 years will have the capacity to the tune of 150 gigawatt for the modules and close to 70 to 80 gigawatts for cells.
But when we see the similar thing for glass where we are active, even you have covered in your opening speech, that 6,300 tons per day capacity so mething which is envisaged and that will support close to 41 gigawat

t of solar capacity. So still there is a huge gap between the capacity, which is getting built up on the cells side or maybe for the module side in India.
So just your sense on that, that where from the additional demand of glass is going to be met when these capacities comes onstream, maybe 2 or 3 years down the line. So some sense on that.
And our competition apart from you and Vishakha, which are the 2 major players, any other competitio n that is coming up in that space will be really helpful, sir, to understand.
Ashok Jain: So you're right, the capacities of module manufacturing would or are expected to rise to 150 gigawatts. But when we talk of that capacity, it is a nameplate capacity . The actual utilization, what we have seen is that it is close to 45%, 50%. So we can assume that the actual utilization is not likely to exceed 65, 70 gigawatt in that sense.
And similarly, the solar cell capacity, if it is at 70, 80, it will match with t he module production and the requirement of solar cells. But in the case of glass, actually, the industry is heavy capital - intensive industry and the time to commission the project is longer than like the module industry.
In module industry, one can commis sion probably in 6 months to 1 year, but the glass industry takes 18 months to 2 years' time.
So in the past, no fresh investments have been made by the players because of the absence of antidumping duty from 2022 till now, and now that the investments are starting, it's just the beginning that the capacities are rising from 15 gigawatt to 41 gigawatts, which itself is a very good number.
But I would imagine that with the current reference price under the antidumping duty, you may see more investment coming into the sector and the demand can be m et by local production itself. In any case, the imports are available for somebody who wants to import if there is a deficit in the domestic productions.

P.K. Kheruka: I may add something here. In Pradeep Kheruka he re. The thing is that we are seeing about an expected 25 gigawatts of installations in India this year. And if the next year, it goes up even 45, there will be a very, very big jump, all right?
And when we talk about capacity here, there's a lot of glass -- there a lot of modules going abroad for which nobody will use Indian glass that they will buy -- imported glass under advanced license at lower prices. So I do not see any mismatch arising assuming even that 45 gigawatts of modules are manufactured, we s hould find the glass in India. As I mentioned, by the end of this year, the glass capacity is expected to rise above 40 gigawatts. Thank you.
Bajrang Bafna: Okay. Got it, sir. And sir, if we assume that the ruling prices goes into a stream, let's say, the INR56 a kg sort of realization as compared to INR42 now after the ADD? And the channel checks are indicating that the already the prices are rolling up closer to INR50 a kg right now and very hopeful of going to, let's say, closer to this INR55, INR56 numb ers, maybe 2, 3 months down the line.
So what sort of margins are possible once the realization becomes INR55? Are the additional advantage will directly boiled down to the EBITDA numbers? Or can we also expect some sort of cost increase when the prices g oes towards this INR55, INR56 a kg number?
P.K. Kheruka: There should be no cost increase. Yes.
Ashok Jain: Yes. Broadly, it will add to the profit only because it's a selling price, which is going up, and it does not have any bearing on the cost at all, I mean in terms of additional cost. So it should all add up to the increment in the EBITDA margin. And we believe that the margin at this price, even if we realize at the full INR56,000 could be near 30% or so.
Bajrang Bafna: Okay. So this 30% is something which is sustainable, provided we get this INR56 or INR55 a kg realization?
A

shok Jain: Absolutely, yes.
Bajrang Bafna: Got it, sir. And just, sir, at these realizations, are you also anticipating or planning for further capex ? Because as you pointed out t hat this capacity might be sufficient for FY '26, this 40 gigawatt and the current domestic requirement will be closer to that. And maybe in '27, '28, again, the demand is going to be far higher. So the existing players, since there are huge entry barriers in this -- the existing players need to ramp up the capacity further to take the challenge of '27 and '28. So can we expect from the company maybe 6 months or 12 months down the line to further augment the capacity to meet the rising demand of '27 and '28 ?

P.K. Kheruka: I would say yes, definitely because you see when the antidumping duty came, there was only 1 gigawatt of production in the country. And within 5 years, within 4 years, we had 17 gigawatts. So I feel that there is a lot of enthusiasm amongst the manufacturers and the investors also. So people will join their resources, and they will definitely come up with the capacity. I personally don't see any reason why it will not come up.

Bajrang Bafna: Okay. And just sir, my initial question was on the competition. Apart from you and Vishakha, who all are the other players who are also in the -- we can see the...

P.K. Kheruka: There is a company called Gold Plus, which is a very respectable player. They have 4 float lines running. They have set up 1 solar line for 300 tons per day. I think they'll come up with another 1 of 300 tons per day. There's Triveni Glass with 250 tons, there's Gob ind Glass with 150 tons, there's Emerge Glass with 300 tons. So quite a few people. And then, of course, Vishakha and ourselves. So these are all respectable players who have been in the glass business for a long time. So this should be credible capacity plus new people who have announced.

Moderator: The next question comes from the line of Deepa from Nivesh Online Securities.

Deepa: So my question is, is there any fund raise company is planning in the coming future?

P.K. Kheruka: Ashok?

Ashok Jain: No. Currently, we have just completed the fund raise. So currently, there is no plan. But in case there is some planning at a later stage, we will, of course, come back to the investors and shareholders. For the expansion, which we are currently taki ng on hand, we don't think further funds may be raised from the equity, but it's all subject to Board taking a call depending on the situation.

Deepa: Okay. My last question is how much budget the company has parked for R&D in coming FY '25?

Ashok Jain: So we have a complete R&D center, which is headed by a very senior technical pe rson and with a strong team and they are all engaged in various developmental activities for future as well as for the current operations. So I would think the current expenditur e would be nearly INR6 crores per annum on that activity.

Moderator: The next question comes from the line of Rikin Shah from Boring AMC.

Rikin Shah: So in anticipation of this ADD, is it possible that the module manufacturers might have slightly stocked u p in the previous months?

P.K. Kheruka: Yes, there is every possibility that they might have done it except that you see the duty has already been applicable from the 5th of December. So any further imports that have been cleared, the imports might have b een made earlier, but if they are cleared from customs after 5th December, they would have had to pay the additional duty. So therefore, under the circumstances, it is not likely that anybody would be spending money to just stock up for no good reason. Bec ause there will be no advantage.

Rikin Shah: Got it, sir. That's all from my side.

Moderator: The next question comes from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: Firstly sir,

what are our utilization levels currently for this quarter and for the 9 months?

P.K. Kheruka: We are running at a production rate of about 950 tons against our 1,000 ton capacity, and we are trying to ramp up production even more. So let us see what happens in the current quarter, we could be improving on the lev els that we achieved in the last quarter.

Saket Kapoor: And sir, what are the key components of the other income? And if you could give the color on the same?

P.K. Kheruka: Ashok?

Ashok Jain: Sorry, can you repeat the question, please?

Rikin Shah: My question is, sir, what are the key components of the other income? Other income for this quarter was at INR15 crores.

Ashok Jain: So other income comprises of certain incentives, which we get from the Government of Gujarat under the scheme of the indus trial expansion. And these are in the form of various type of incentives. And then there is export -related income, which comes as a part of other income in the stand -alone accounts. .

Sunil Roongta : And scrap sales.

Ashok Jain: It's scrap sales.

Saket Ka poor: Okay. And sir, as you mentioned in the early opening remarks also during the answer also that the prices have moved up from 104 to some 14 0 per square meter , which you gave. So taking into account that metric, sir, what would have been the revenue fr om operations for the December quarter had these prevailing prices being implemented? Since for the coming quarter, you are anticipating the average realization to move up closer to the level where you will get the benefit of your duty. So what we should b e penciling in, in terms of the revenue moving up now with 95% of utilization levels?

Ashok Jain: Sorry. It should go by another INR60 crores or so per quarter.

Saket Kapoor: Okay. Without any effect on the P&L expense side, as you told earlier, that no ex pense line item will move from that range.

P.K. Kheruka: We are trying to increase production. So to that extent, something will increase. So to the extent of additional cost for additional production.

Saket Kapoor: Yes, sir. My question was that as you said that prices moved up at this level because of the imposition of ADD. If that reflects in last quarter, say, hypothetical numbers, the revenue would have gone up by INR60 crores, but there would have been no impact on the P&L side because P&L expenses are going to remain the same. So this would have directly translated to the bottom line. This understanding is correct, sir?

Ashok Jain: Yes, please. Your understanding is correct, it will translate to the profitability, profit at EBITDA level, yes.

Saket Kapoor: At EBITDA level. At EBITDA level or PBT level?

Ashok Jain: Yes, both EBITDA, PBT.

Saket Kapoor: Okay. And sir, now about the German subsidiary outlook, sir, what losses have we incurred in the last quarter? And going ahead, the cooling down of the furnace, what are the incremental losses that are being reduced on a quarterly basis?

P.K. Kheruka: For us, this is the first time we are doing something like this. Because this system is not in our country in Germany. So we don't have an experience with t his. So we are still paying about 23%, 24% of the salaries that we were paying to the workers. 63% to 67% is being paid by the government. Now all the expenses associated with running the furnace, which means electricity, gas, oxygen, etc, these have all s topped, the expenses of the workers is also stopped. So it's difficult to say. I mean, I can't say that we made a very sharp calculation on that because these accounts are maintained by the German subsidiary directly. And we normally get the figures at the end for amalgamation into our accounts. So I wouldn't be able to give any very cogent answer at this point on that question.

Saket Kapoor: Okay. But do you have the fixed cost expense of running this German subsidiary on a quarterly basis or on a yearly b asis, the fixed cost that you incur?

Ashok Jain: Yes, I'll answer your question. The current losses which were happening at Germany at EBITDA level were close to INR8 crores per month. Okay? And this we propose to bring down to less than half by virtue of this step what we have taken by way of short -time work and shutting down the furnace operation. We expect the EBITDA level loss to come down to almost INR4 crores per month from INR8 crores.

Saket Kapoor: Okay. Right, sir. And lastly, sir, on the power and fuel line items, since you alluded to the fact that it is capital incentive, sorry, but what rationalization steps are we taking on the cost of power and fuel so that its proportionate in terms of the cos t line item can be reduced going ahead?

Ashok Jain: So power and fuel, we are already economizing by virtue of reducing or controlling the expense at the consumption level. And by increasing the productivity of the goods at the factory, this percentage is again going to come down. It has already come down in the last quarter compared to the corresponding quarter, but we expect it to go down further. Moreover, we are taking steps to install another solar wind hybrid of 16.5 gigawatt, which will be a...

P.K. Kheruka: Megawatt.

Ashok Jain: Megawatt sorry, which will be the group captive mechanism, which will again bring down the cost of power for us going forward from July / September '25.

Moderator: The next question comes from the line of Vineet Gala from Xyl em Investments.

Vineet Gala: My questions have been answered.

Moderator: The next question comes from the line of Rabindra Nayak from Sunidhi Securities.

Rabindra Nayak: My questions regarding this you mentioned that your turnover will grow up by around INR60 crores if the current price is maintained and you improved the utilization. So can we expect the

entire at least 60% to 70% will come to the bottom line in this fourth quarter?
Ashok Jain: See, we are trying to raise the prices towards the reference price, which is say INR140 or say INR56,000. But as of now, we have not reached there. So it is difficult to say that how much percentage will come. But whatever number we are saying is about INR60 crores or so, we are aiming to reach that level very soon. Maybe it will happen on a monthly basis from March. But on an average January to March, it cannot reach the exact number.
Rabindra Nayak: Okay. But currently, in January, have you seen this development in our financials? Or it is still early to say someth ing on this?
Ashok Jain: No, it's already happening. As we speak, we are close to 90% or thereabout already in terms of the increase. So there is a tremendous amount of rise in the price of solar glass after this duty and it is inching towards the target numbers.
Rabindra Nayak: Okay. And secondly, about this reason for the closing of operation in Europe. So first of all, what is the realizatio n where the dumping is happening? And what is our cost, our price there in Europe, in Germany?
P.K. Kheruka: Actually, we already have an antidumping duty on imports of solar glass in Europe. So the selling price is not the issue at all. The issue is very different in Europe. The issue is the people who are manufacturing modules, they have shut down the business. So there is no customer for us. So the customer list has dropped dramatically. Very few people are there.
So the quantum of glass, which we are ab le to sell to those customers is so insignificant in quantity, it cannot service a furnace of the size that we have. So that is the reason for closure, not because of selling prices but because the absence of demand.
Rabindra Nayak: Okay. So you mentioned that this glass is

well acceptable in certain parts of Europe and in Italy, some where the region is still it is not there, you mean to say?
P.K. Kheruka: Sorry?
Rabindra Nayak: Because this glass, we are manufacturing in Germany has got some special chara cter. So that is why it is well accepted in other parts of Europe, so still you are facing demand from those reasons also?
P.K. Kheruka: Yes, because the glass is accepted, but the person who is accepting the glass is not able to sell the modules at a prof itable price. So when he buys the glass, he manufactures a module, there is no market for the module at the cost of production. So therefore, he has to shut down the business. So the demand has dried up.
Rabindra Nayak: Okay. And regarding you mentioned...

P.K. Kheruka: Will revive, yes.
Rabindra Nayak: Yes. You mentioned that INR4 crores, you will try to reduce the cost from INR8 crores EBITDA to loss to around INR4 crores. So what is the employee cost you have to bear in this INR4 crores?
P.K. Kheruka: Ashok?
Ashok Jain: Yes, it will be close to INR2 crores.
Rabindra Nayak: INR2 crores. Another INR2 crore s will be the operation -related expense?
Ashok Jain: Other fixed expenses, yes.
Rabindra Nayak: And how long it will continue according to you? Because you have an operation there, you bought the plant and how long this thing will continue according to your understanding?
Ashok Jain: So Chairman in his speech has already clarified that we are expecting the German government to be formed. And once the new government is formed and they announce the policies, we'll have to wait until then because currently, there is nothing possible which will turn the situation. So we'll have to have some patience for nearly 3 months now. And until then, we will just process the current available glass and try to see that the expenses are minimized.
Rabindra Nayak: Okay. Okay. So is there any plan -- if nothing will materialize, what is the plan we are thinking in our mind for this plant in Germany?
P.K. Kheruka: See, the thi ng is that the European Union Parliament has already passed a resolution for the entire European Union, that 25% of the solar energy, which is used in Europe should come from equipment which has been manufactured in European Union, okay? Now because the la st coalition government in Germany, there was a lot of dispute between the partners of the coalition government they could not come to a policy decision on this matter.
So frankly speaking, the reason that we are continuing with it and all that and have no t completely shut down the plant because we think there are very good prospects of the new government, which is elected to come to some understanding and some agreement on this subject. And therefore, in our opinion, there's a good chance that something wi ll happen. But frankly, until and unless it actually happens, everything is conjecture.
Rabindra Nayak: Okay. Okay. Sir, regarding this antidumping duty in India, so the government has come out with

an antidumping duty for particularly the Chinese manufact urers. So is there any way according to you is available for the Chinese manufacturers to bypass this antidumping duty and dump in India. Is there anything -- you mentioned about this Malaysian thing. Now is there any other mechanism available for the Chin ese manufacturer to bypass this antidumping duty according to you?

P.K. Kheruka: It should not be easy because the Southeast Asia and Asian area, the only Vietnam, China and Malaysia currently manufacturing solar glass. So at this moment, it would be very difficult for

them to bypass it. But we don't know. Everybody is very intelligent and everybody tries all kinds of tricks. So we'll have to see that.

Rabindra Nayak: Okay. So do you think that th

ere are some enough idle capacity of glass is available in th ese regions, particularly in Asian region to have this bypass this antidumping duty, is there availability I'm just asking according to you?

P.K. Kheruka: Quartz ? You're saying q uartz ?

Rabindra Nayak: Idle capacity, I'm just -- glass capacity.

P.K. Kheruka : Idle capacity of what?

Rabindra Nayak: Glass.

P.K. Kheruka: There is no idle capacity of glass . Only in China, I think there's idle capacity.

Moderator: The next question comes from the line of Nikhil Gada from Abakkus AMC.

Nikhil Gada: Sir, my first question is, can you sort of highlight the current capacity that is there of Indian manufacturers in India? I think you sort of mentioned that we might see addition of 11 to 12 gigawatts. I was under the assumption, we were at around 15, 16 gigawatts curre ntly. Then when you said that we go to 41 gigawatts, I just wanted to understand the math here.

P.K. Kheruka: Ashok , you answer .

Ashok Jain: Sorry. The current capacity is 15 gigawatt and another 15 are getting added in this calendar year. After that, anot her 11.2 gigawatt is under implementation from Vishakha and ourselves. So that will commission in 2026. So at the end of 2026, we expect this to be at, at least 41 gigawatts, that's the current status. If there is any other announcement which comes in , in between, that will also get added.

Nikhil Gada: Understood, sir. Sir, this 15 gigawatt that you're saying the first level, that is going to come in this particular year, right?

Ashok Jain: Yes, this calendar year.

Nikhil Gada: Okay. Okay. And then you're saying the next one will be in the calendar '26, which will be we and Vishakha. Okay. Got it, sir. And sir, in terms of this antidumping duty as well as CVD, while the Commerce Ministry has approved it, do we see any changes th at might happen when it comes to the Finance Ministry or the government approving it, we might see some lower duty or something like that? How confident are we about getting this approved?

P.K. Kheruka: Normally, the Finance Ministry does not reduce it or anything like that. We have not seen that kind of action in the past. But you see we cannot make any conjecture whatsoever on what the government might do, right?

So we just know that the Ministry of Commerce has done it with final findings, they've given a very long order. They've given lots of reasons. So in the ordinary course, this should get approved. But until it gets approved, it's in the gazette, everything is open.

Nikhil Gada: Got it, sir. And sir, just lastly, in terms of your overall debt and ev erything, so if we see currently, you mentioned that this INR375 crores capex , some amount of it, you will put it from the money raised. And I think the remaining you might take debt or something. So can you help us with how the overall capital... ?

P.K. Kheruka: Capex is more or like INR800 crores, not INR375 crores. INR375 is what we are going to be funding from the money that has just been raised.

Nikhil Gada: Correct. And the remaining money, sir?

P.K. Kheruka: It will b e internal accruals, loan , debt as required.

Nikhil Gada: So in that case, what kind of a debt profile we might look at for '26 -'27 number... ?

Ashok Jain: Nikhil, we -- as a corporate policy, would not go to more than 2.5x of the debt to EBITDA. Yes, debt to EBITDA.

Nikhil Gada: Understo od, sir. And sir, anything on the working capital side as well, do we see the working capital cycle per se improving because of all these measures?

Ashok Jain: Working capital cycle will slightly improve with the expansion because you don't need the same amount of say, inventories for the purpose, but the credit to the customers is roughly the same, which is a large portion of the working capital. So there may not be a very steep reduction in the working capita

l number of days.
Nikhil Gada: Got it, sir. And sir, just lastly, you mentioned about the 16.5 megawatt solar , wind sort of plant that you are planning for captive. What kind of cost savings do we see from this?
Ashok Jain: So we will basically be saving almost the same amount of capex what we incur, w hich is about INR17 crores per annum is what we'll save out of this. It's under group captive mechanism where the plant is owned by somebody else and we are the off -taker. And we pay into the equity of the SPV, which in our case is going to be INR17 crore s and our savings are roughly INR17 crores per annum.
Nikhil Gada: And this is realized generally at the moment the capacities start, right?
Ashok Jain: Yes. That's the way it is structured and there is a minimum assured generation and off-take guarantees also assigned with it. So we expect the realization of the entire savings. Currently, we are already having 10 megawatts, which is also giving us a similar savings whatever we had projected at that time. This time, the PLF is going to be even higher.
Moderator: The next question comes from the line of Lalit from Amrut Trading.

Lalit : Sir, my question is, do we take the complete solar power project?
P.K. Kheruka: No. We just manufacture the glass, and we sell to the people who manufactur e the modules. I'm sorry, we are not engaged in solar power.
Lalit: Nothing like in further this forward integration?
P.K. Kheruka: At this moment, it's not there . But everything is open in business , you know that. Right now, we are focusing on just expand ing the production of glass.
Lalit: Why I'm asking is that there is an ample scope in solar project in India, and the industry is also booming. So might be -- my question was, we can think of that also.
P.K. Kheruka: Thank you so much. Thank you for your s uggestion. We 'll definitely look into it.
Lalit: So who are our major customers who are buying the glasses from us? The major customer who are buying glasses from us?
P.K. Kheruka: Ashok , will you answer?
Ashok Jain: Yes, yes. So all the module manufacturers who are present in the country are our customers actually. And we also have exports, certain exports are there. So basically, all large and small players buy glass from us. The large players also have imports or they also buy from other compe titors, producers. But basically, we are present with all -- generally all the customers.
Lalit: Can you name a few?
Ashok Jain: Name, you can take, like say, Premier Energies o r Rayzon Solar or Tata Power or Goldi Solar or many others are there.
Moderator : Ladies and gentlemen, that brings us to the end of the question -and-answer session. I would now like to hand the conference over to the management for the closing comments.
P.K. Kheruka: Thank you. I thank all the participants for all the questions that they have asked. I'm very happy to see a reasonably good turnout in the number of people who have joined this conference. I just would like to close by saying that we have gone through a rather challenging period in the last several -- the last couple of y ears.
But there are fair wins ahead, and we can see already from the 1st of January, there's been an improvement in our performance. And I'm sure that when we have our next earnings call in May, it would be with better results, and we all feel happy with your investments in our company.
Thank you.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Axis Capital Limited, that concludes this conference. You may now disconnect your lines.

Call: May 2025

May 15, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: BORORENEW

Dear Sir s,

Subject: Transcript of Institutional Investors and Analysts Conference Call
Please find enclosed transcript of conference call with Institutional Investors and Analysts held on Monday , May 12, 202 5.
You are requested to take the same on records.
Yours faithfully,
For Borosil Renewables Limited
Ravi Vaishnav
Company Secretary and Compliance Officer
(Membership no. ACS – 34607)
Encl.: As above .

"Borosil Renewables Limited
Q4 FY '25 Results Call "
May 12, 202 5

MANAGEMENT : MR. P. K. KHERUKA – EXECUTIVE CHAIRMAN – BOROSIL RENEWABLES LIMITED
MR. ASHOK JAIN – WHOLE -TIME DIRECTOR – BOROSIL RENEWABLES LIMITED
MR. SUNIL ROONGTA – WHOLE -TIME DIRECTOR AND CHIEF FINANCIAL OFFICER – BOROSIL RENEWABLES LIMITED
MR. BALESH TALAPADY –VICE PRESIDENT - INVESTOR RELATIONS – BOROSIL RENEWABLES LIMITED

MODERATOR : MR. ROHAN GHEEWALA – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Borosil Renewables Limited Q4 FY '25 Results Call, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Rohan Gheewala from Axis Capital Limited. Thank you, and over to you, sir.

Rohan Gheewala: Thank you. Good evening, everyone. On behalf of Axis Capital, I'm pleased to welcome you all for the Q4 FY '25 Earnings Conference Call of Borosil Renewables Limited. We have with us the management represented by Mr. P.K. Kheruka, Executive Chairman; Mr. A shok Jain, Whole -Time Director; Mr. Sunil Roongta, Whole -Time Director and Chief Financial Officer; and Mr. Balesh Talapady, VP, Investor Relations.

We will begin with the opening remarks from the management, followed by an interactive Q&A sessio n. Thank you, and over to you, sir.

P. K. Kheruka: Good afternoon. Welcome to Borosil Renewables Quarter 4 and Financial Year '25 Investor Call. The financial results for the quarter and year ended 31st March 2025 were approved by the Board of the company on Saturday, 10th May. Our results and an updated p resentation have been sent to the stock exchanges and have also been upl oaded on the company's website.

We will now discuss the operations of company on a stand -alone basis as well as on a consolidated basis. The total sales during the financial year ended March '25 grew by about 12% to INR1,110 crores, up from INR990 crores in the previous year. The sales grew 10% by volume and 4% by higher recovery from selling prices to INR113.4 per millimeter per square meter, up from INR109.1 during the previous year.

The first 8 months of this year witnessed a steep decline in selling prices, led by dumping from China. The announcement of a provisional antidumping duty on 4 December was a breath of oxygen for the company , when the government announced a minimum import price for solar glass imports from China and Vietnam.

This growth in sales became possible only because of prices rose by about 22.1% -- in Q4FY25 over the preceding quarter, the EBITDA for financial year '25 increased by 51.8% to INR180.51 crores, up from INR118.93 crores in the previous year.

Export sales during financial year '25 at INR91.73 crores, comprising 8.3% of the turnover, has actually dropped sharply from the previous year's INR199.78 crores, led by a significant decline in the demand in European markets as a result of dumping of modules from Ch ina at artificially low prices.

It became impossible for local European manufacturers to survive at these prices. In addition, another important market, Turkey, saw lower installations due to economic challenges in that market.

A review of the last quarter of the year gone by, shows an increase in sales by value at INR 327.23 Cr versus INR 227.33 Cr in the same quarter last year, an increase of 44% . Sales by volume rose by 16% during this period. Average ex -factory selling prices during the quarter were about INR127.6 per millimeter as compared to INR99.6 per millimeter per square meter in the corresponding quarter in financial year '24, which represents an increase of 28%, leading to a significant improvement in the margins.

The EBITDA for quarter 4 financial year '25 increased to INR77.03 crores as against INR13.13 crores in the corresponding quarter in the previous year. Export sales during quarter 4 '25 amounted to INR18.9 crores, accounting for 5.8% of the turnover, compared to INR13.55 crores in

the corresponding quarter when exports made up 6% of turnover.

The imposition of provisional antidumping duty on imports of solar tempered glass from China and Vietnam from 4th December 2024 for 6 months, pending completion of the investigation has helped the domestic solar glass producers.

I'm happy to announce that the Ministry of Finance has on Friday, 9th May announced a definitive antidumping duty on all imports of solar glass originating in or exported from China and Vietnam, which shall remain valid till 3rd December 2029 for a period of 5 years from the date of issue of the preliminary duty notification.

This is indeed a strong indicator of the government's resolve to support the domestic supply chain for solar photovoltaic manufacturing. This decision will be the catalyst for strong growth in this sector driven by fresh investments. The company's domestic selling prices are now close to the level of the reference prices, landed value at port of discharge of around INR135 to INR140 p er millimeter per square meter.

Domestic demand continues to be robust. Manufacturing capacity for solar modules has already reached 90 -plus gigawatts and is expected to rise to 150 gigawatts by March 2027. The country has seen its highest ever solar installations at 25 gigawatts, which means modules consumption of about 35 gigawatts in the year just completed as against 15 gigawatts during the previous year.

We expect the installations to rise to 40 to 45 gigawatts annually going forward. Use of locally

produced modules has risen sharply after the implementation of ALMM mechanism from April 2024, which is leading to an increased demand for the -- all the com ponents, including solar glass.
The present solar glass capacity in the country is 2,300 tons per day, which is about 15 gigawatts. Another 15 gigawatts of capacity, including 12 gigawatts for captive by a new producer is getting commissioned by the end of calendar year 2025.
With a phenomenal rise in demand in recent times, imports currently occupy about 55% to 60% in the consumption for domestic installations, leaving huge scope for capacity ad dition and import substitution.

Now I come to the consolidated results for the quarter, which include the operations of the subsidiaries. The overseas subsidiaries, including the step -down subsidiaries, have generated a net revenue of INR46.31 crores and a negative EBITDA of INR49.67 crores for the fourth quarter of the last financial year as against a net revenue of INR86.21 crores and negative EBITDA of INR14.38 crores in the preceding quarter.
The drop in revenue for the German subsidiary arose from a sharp decline in sales due to suspension of manufacturing by Germany's leading photovoltaic module manufacturers. This decline was so sharp that it was no longer viable to continue operating the ho t end, i .e., the glass melting furnace.
As already reported in the last call, the company had been forced to cool down its furnace due to a slow demand, lower level of operations and a write -off of non-moving inventories of about INR16 crores.
The consolidated net revenue for the quarter under review stands at INR373.54 crores and the EBITDA of INR27.36 crores as compared to a net revenue of INR361.49 crores and EBITDA of INR5 crores in the preceding quarter. The EBITDA has been impacted by lower profitability of overseas subsidiaries despite a significant improvement in the Indian operations as discussed earlier.
As informed in the last call, while temporarily cooling down the furnace operations in January, the company had continued to operate its processing of available annealed glass, thus engaging in partial operations. Demand from select pockets is looking up as the incentive package rolled out by the Italian Government and the Austrian Government have helped domestic manufacturing.
Meanwhile, t

he newly constituted Federal Government of Germany has announced strong support for the promotion of domestic manufacturing of solar modules and its components. This looks promising for the domestic manufacturing of solar photovoltaic modules.
However, final concrete steps are still awaited. We shall observe the developments over the next weeks and take further steps relating to the possibility of resumption of glass production. In the meantime, we are evaluating resuming production in the cold end by importing annealed glass and processing it at the GMB plant in the near future.
Going forward, we expect the stand -alone results to show further improvement in profitability in the ensuing quarters on the back of better selling prices, while the efforts in improving yield continue. We shall also see the benefits of an additional 16.5 megawatt solar plus wind hybrid power plant, which is expected to be commissioned during sec ond quarter financial year '26. This will not only save costs for us, but will also enable us to meet a significantly higher portion, which is 65% to 70% of our demand for electricity from captive sources of renewable energy.
While it is difficult to assess the full impact of the ongoing tariff war, the initial indications suggest rise in demand from the USA.

However, we have to wait for the 90 days period to be over before understanding the likely impact it will have on our business. I would now like to update you on the preferential issue. A total sum of INR204.42 crores was received towards the issue, comprising INR100 crores from promoters against shares and INR104.42 crores towards 25% amount against warrants. INR185 crores from this amount has been utilized to repay the loan liability of our step -down subsidiary, GMB.
The balance is available for utilization against expansion project. We are re -evaluating the size of expansion projects as against the earlier plan of 500 tons per day. We expect project cost to be finalized by next month with the target to commission the new facility during third quarter of

2026, '27. The balance payments against w arrants for conversion into equity shares will be used
for this project. The remaining cost will be funded by a mix of equity, debt and internal accruals.
The Board has also approved further raising of funds through the issuance of instruments of
security, including equity shares or any other security convertible into equity shares, including
warrants in one or more tranches for an amount not exceeding INR500 crores, in accordance
with the regulations and subject to necessary approvals, including the approval of the members
of the company and such other regulatory or statutory approvals as may be required. This is an
enabling resolution to meet funding requ irements for any opportunity which may come up.
Finally, we remain positive on the sector and see good prospects for the company over the next
few years, looking at the growth in the sector and stable selling prices of solar glass. With that,
I would now like to open the floor to questions that you may have. Thank you.
Moderator: Thank you , sir. Ladies and gentlemen , we will now begin the question and answer session. The
first question comes from the line of Mohit Kumar from ICICI Securities.
Mohit Kumar: Congratulations on a good set of numbers. Sir, first question is, what was your realization during
the quarter? And how does this compare to the floor c ustom duty being imposed of USD 664 per
ton?
P. K. Kheruka: I'll ask Mr. Ashok Jain to answer that question.
Ashok Jain: Yes. You asked for the realization, it was already said in the call, it was INR127.6 per millimeter.
P. K. Kheruka: How does it compare with the imposed...
Mohit Kumar: Floor custom duty -- floor c ustom duty being imposed of USD 664 per ton?
Ashok Jain: Yes. So basically, there are 3 countries f

rom where the imports are coming. And all the 3
countries have different duty structure. So we can't compare it against one particular country.
But even to compare it only against China, which is at the highest amount of duty, then from
that perspective, it was about, say, 7%, 8% lower.
Mohit Kumar: But then we have Vietnam?

Ashok Jain: Vietnam -- but Vietnam has a lower duty. So as compared to Vietnam, we were much higher.
And Malaysia has no antidumping duty. So even compared to that also, we were very high. But
we are moving towards the prices from China in due course.
Mohit Kumar: Understood, sir. My second question is, what do you mean by revision of cap ex proposal? Do
you intend to revise the overall capacity downward? Is that the fair understanding?
Ashok Jain: So we are actually reviewing the capex program after visiting a lot of suppliers from various
geographies and also discussing with the team here and we are reaffirming the...
P. K. Kheruka: We are revising it upwards, not downwards.
Mohit Kumar: Understood. Understood. In capacity terms, right? Is that fair?
P. K. Kheruka: Yes.
Mohit Kumar: My last question, sir, given the fact that the Government of India has also imposed a CVD on
Vietnam. So the final recommendation has come from the DGTR. Do you expect another
notification from the Government of India for the CVD separately?
Ashok Jain: Yes, that has also come in – it has also come in.
P. K. Kheruka: It has come in. It has been announced now.
Moderator: The next question comes from the line of Vineet Gala from Sylem PMS .
Vineet Gala: Sir, congratulations on a good set. Sir, what is our monthly burn rate at our German subsidiary,
April onwards? And if you can also please elaborate on the one -time employee cost and
inventory adjustments that we took in Q4 in that particular subsidiary?
Ashok Jain: So the inventory write -off is about INR16 crores, which was accumulated for the period. I think
when we took the physical stock at the financial year -end, we noticed that gap to be there, so
that was adjusted. In terms of the other aspect like burn rate from April, we have been trying to
reduce the losses. There are some fixed overheads, which we are unfortunately not able to cut
down. So th e loss is about, say, EUR 900,000 per month as of now, so almost INR8.5 crores to
INR9 crores.
Vineet Gala: That is on a monthly basis, right?
Ashok Jain: Yes. And we are trying to cut it down further by putting the workforce under a training program,
which is allowed in Germany, where the entire wage is paid by the government and company
does not have to bear the cost. So since we will not be needing all the employees when we even
resume the cold end operations, at least 50% of the employees, we are going to put on training
program, which can substantially cut down the cost of the manpower.
Vineet Gala: Okay, sir. So INR9 crores is on the upper end and it can be reduced.
P. K. Kheruka: That is the upper limit.

Vineet Gala: Okay. So given our exit realization and where the major imports are from -- and our average realization -- is it safe to assume that the blended margins for roll up next year can be 300 to 400 bps higher than Q4?
Ashok Jain : Yes, we can assume that safely.
Moderator: The next question comes from the line of Nidhi Shah from ICICI Securities.
Nidhi Shah: So primarily on Europe, so what does the future look like in terms of all this uncertainty? What does it look like for our German subsidiary and exports in general, given that -- it doesn't seem like the uncertainty is going away anytime soon. So are we -- what is the long -term plan in Germany as well? Are we planning to do something with that plant to sort of reroute the product from there elsewhere? Are there any other markets for exports t

hat could be good for India,
things like that?
P. K. Kheruka: So let me take that question. First of all, the situation seems to be changing in the not -too-distant future. The difference that has happened is that a new government has been elected. The last government which was there in Germany was -- I'm sorry to say , somewhat dysfunctional. Under their watch, a lot of industry shut down, 3 manufacturing lines of Volkswagen shut down.
All the solar module manufacturers, the bulk of the manufacturers shut down, they really didn't have a clue about what they were doing. The new government has the two largest parties of Germany, the traditional parties, the Christian Democratic Union and the Social Democrats who have come together to form a government. These are the people who have led Germany to its financial strength over the last half century or mor e. And so they have immediately got together. They have formulated a plan. The plan calls for heavy investment in solar manufacturing in Germa ny.
And so therefore, we are expecting that there should be very strong solar manufacturing Germany programs coming up. You see the new chancellor has been voted into office only in the last week. The new Council of Ministers have just assumed office less than 7 days ago. We'll have to give them a little time to set up policies and to issue them. The portends are very good, very strong.
I want to come to another point. Last year, the total installation of solar photovoltaic in the European Union was 65 gigawatts. Now according to the European Union Parliament, there is a law that mandates 40% of this must come from European sources. Our c ompany is the only company manufacturing solar glass in the entire European Union. So , we expect a surge of demand.
And I would not be surprised if God knows, there might be a requirement to set up another production line there. So I would say that the future looks quite attractive. Of course, it all has to pan out, but then the portends are that it should.
Nidhi Shah: All right. And secondly, my last question would be on the duties that have been imposed on China and Vietnam. As we know, Malaysia has no duties. Are we expecting any export from China to be rerouted through Malaysia like it has happened in the past with cells?

Ashok Jain: Yes. So , the exports from Malaysia have actually gone up in the last quarter or so. They are now constituting close to 20% of the exports, whereas they were almost zero before. But the positive thing is that even Malaysia unit is also a subsidiary or a company set up by a Chinese company who has a large presence in China. So they are obviously aware of what prices are available in India. So they have increased the prices , and they are also selling at prices which are in between the China and Vie tnam price.
So they are not staying back on the prices and the prices are like say right as far as we are concerned. And moreover, there is a only limited capacity available there. Second thing is or the third thing is that they don't offer 3.2 millimeter glass from there, which is required in India. So whatever competition you could expect from Malaysia is actually only very, very marginally present in that context. And we are able to get prices which are...
P. K. Kheruka: Higher than the imported price for Malaysia.
Ashok Jain: Closure to Chinese prices -- higher than Malaysian prices.
Nidhi Shah: So what you're basically saying is that even if the duty is not imposed on Malaysia anytime soon, it is not going to be a threat to realizations or volumes for our company. Am I correct in understanding that?
Ashok Jain: Yes.
Moderator: The next question comes from the line of Sunny from IAFI Research .
Sunny: Sir, congratulations on great set of numbers on a stand -alone basis. My question is the long -term

guidance for full financial year fo

r the stand -alone business of India. What would be the
EBITDA margin?
Ashok Jain: In the last quarter, we earned 23.5%, where the price was INR127.6 and we are increasing the price to the level of reference price, which is INR135 or so. So obviously, we are going to have some incremental EBITDA coming in, in the financial year. So , somebody had asked in the call earlier, whether 3% to 4% increase can be expected. So , we said yes. So that's how you can interpret it.
Moderator: The next question comes from the line of Deepak Purswani from Svan Investments.
Deepak Purswani : First of all, congratulations for the good set of numbers on the Indian operation. Sir, I mean, just wanted to check it out again. If you can give a clarification regarding the Malaysian route, which you were mentioning. I could not get the complete part -- I mean, in terms of the pricing difference between Malaysia and Vietnam. And if you can give a broader -- I mean, explain it again, that would be r eally helpful.
Ashok Jain: So, Malaysia has only a countervailing duty and a basic custom duty, and there is no antidumping duty on the goods coming from Malaysia. So , in that sense, it can be cheaper compared to China or Vietnam because the reference price for China and Vietnam are higher. But the Malaysian

company is also a subsidiary of a Chinese company, and they are aware of the reference price at which the goods are coming in India.
So, what they have done is to raise their own prices also from Malaysia -- so though imports have started to increase from Malaysia, but they are coming at a higher price, which is not exactly equal to Chinese price, but it is in between the China and Vietnam price. So we are not forced to reduce our prices in that sense, and we are able to sell close to the Chinese prices, which are high.
Deepak Purswani : Okay. Got it. So , from that extent -- I mean, eventually, our realization should -- there is a further scope to increase our realization at least from the domestic operation, correct?
Ashok Jain: Correct.
Deepak Purswani : Okay. And sir, now coming to the German operation, firstly, if you can give a broader sense, I mean, at least -- I mean, looking at the current operation there, when should we expect at least on the EBITDA level, we should break even going ahead?
Ashok Jain: So, we are trying to cut down the cash losses by starting the cold end operations. Cold end means the processing of the glass. So , we buy the glass, we import the glass from, say, other countries and process it and sell it to the customers over there and w e are expecting this to reduce the EBITDA losses by 50% at least. So this is the attempt we are trying to do right now. And in the meantime, we'll wait for German government to announce any incentives or any packages, whereby the demand can ris e to a higher level, which enables us to think about resuming the furnace operation.
So, this cold end operation thing we'll observe for 2, 3 months, and then we'll see how to take it forward. But it is difficult to bring it down to 0. As you may see, there are overheads which are fixed cost, like say, oxygen plant cost or gas plant cost or e mployees cost, administrative expenses and all the things. So , there is a certain de ad cost or stand st ill cost, which still remains despite our best efforts. So , we will try to cut down the losses first and then see how to come back to positive.
Deepak Purswani : Okay. And thirdly, sir, on the revised capex front, what is the revised capacity we are looking out to bring it from the earlier 600 TPD -- so what is the intended capacity we would like to have now looking at the current industry tailwind?
Ashok Jain: So we had earlier announced a 500 ton capacity expansion, and that is under review by the management and the Board. And I think it is going to rise from there. But ex act

quantum and
exact investment, we are going to finalize in the next, say, 3, 4 weeks. And the Board will consider and then we will announce it to the shareholders.
Deepak Purswani : Okay. And finally, sir, on my front, if you can also give us a sense in terms of the equation on the demand supply side from the next 2 -year perspective, how do we see the demand and supply equation playing out in the domestic market, whether demand is goi ng to exceed the supply going ahead or supply would catch up significantly going ahead and then it will neutralize?

Or how should we see that scenario playing out over the next 2, 3 years for us? And also -- and also on the technological development front -- I mean, any changes in the technology front like HJT, TOPCon, would it have any implication on the solar glass de mand going ahead?
Ashok Jain: So, on the demand and supply front, a complete explanation was provided in the Chairman's statement. The demand currently is about 35 gigawatts and the supply from India is about 15 gigawatts, which leaves a gap of 20 gigawatts, which is coming by way of impo rts.
And as we foresee the demand to grow to about 40 gigawatts to 45 gigawatts going forward in terms of installations, the module or the glass demand will be north of 50 gigawatts. So , there is a huge surge in demand, which is expected and new capacities of about 15 gigawatts are coming in India from glass perspective. So even if that is fully utilized, we will still have only 30 gigawatt supply as against more than 50 of demand. So , there is a clear case for further capacity addition in India, which is where we are going to play a role by expanding our capacity.
In terms of the technology, currently, everybody in India is on TOPC ON technology and HJT is only with one company, which is like I said, Reliance Industries. And we expect this technology TOPC ON to survive for next many years. And in case if there is any change in future, it does not matter much for the glass sizes because there is hardly any change in the sizes, which will come in. And our current facility and the new facility which we are targeting, we will be able to deal wit h supply to even HJT technol ogy glass sizes. So it's not a worry for us.
Moderator: The next question comes from the line of B.R. Nahar from Mile AIF fund.
B.R. Nahar : Congratulations on a good number on a stand -alone basis. My question is on the capex side basically. And when we announced -- the company announced the fundraising program, that time it was announced at 500 TPD plant -- that it was 500 TPD plant and for quite some time that -- we thought that it must have been started, that project.
It has taken quite some time and now we are seeing the demand. So also at that time explained that another 500 tons will be started after some time. So are we combining now 2,000 tons per day? Or what is the planning -- and how long it is going to take -- 1 month's time. So can it be expedited?
P. K. Kheruka: So the answer to your question is that we had taken a visit to China to understand the availability of latest glass manufacturing equipment. And we -- it is coming around that a furnace instead of being 250 tons, it is likely to be 300 tons. So instead of 500 tons, it looks like 600 tons. And you see it takes time to receive offers. It takes time for people to make offers to receive them, to compare them and to then thereafter place orders.
We have received many offers, and we are hard at work, trying to finalize which offer to take, from whom and so on. So in my speech, I have said we expect the production to be seen/visible in the third quarter of the next financial year. And that is just s imply how long it takes. I'm sorry. It does not go faster than that, but we are on track, and we expect to do it.
B.R. Nahar : But you are going to do only in 600 tons now and then anothe

r 600 tons. Is that the planning or you are still combining...

P. K. Kheruka: You see when the decision was taken in February, it was taken f or 500 tons, which has now become 600 tons. We have not decided to go any more than that at this moment. So it's a question of -- we take off bites that we think we can chew. And just saying that we'll take 1,000 tons and then falling on our faces is not a g ood idea. So this is how it is now. And we expect that we might -- it's always open to take the next 600 tons at the appropriate time.
Ashok Jain: So it will all depend on demand -supply situation after say, 1.5, 2 years once we have implemented the current expansion on hand, and we are not ruling out any possibility.
Moderator: The next question comes from the line of Gyanendra Agarwal from Gokulka Family Office.
Gyanendra Agarwal : In continuation to the answer that you provided to one of the previous participants on a monthly burn rate for your Germany plant. Could you please reconfirm is it INR9 crores to INR10 crores per month? Is that right understanding?
Ashok Jain: Yes, it's about INR9 crores per month.
Gyanendra Agarwal : So in that case, sir, assuming things don't change in Germany and the prices remains where it is today in India, would it be fair to say that our '25, '26 would still be, for the entire year EBITDA, flat, the way we see it in Q4?
Ashok Jain: No, that is on a stand -alone basis. On a stand -alone basis, our EBITDA was 23.5%, which we expect to go up as the prices are moving upwards, but that is on a stand -alone profit.
Gyanendra Agarwal : Yes. Sorry, sir, I think I -- my question was the consol basis. Assuming our situation in Germany remains the way it is today for the next, let's say, 12 months and the prices in India, let's say, the reference prices that you quoted about 135 remains the way it is, would it mean that for the entire '25-'26 at a consol basis, we would be EBITDA flat?
Ashok Jain: No, we will be having significant EBITDA positive because the EBITDA from Indian operations

has been about, say, INR77 crores in the quarter 4, which is expected to rise to at least INR90-plus crores. And then we have about, say, INR27 crores losses per quarter. So obviously, we are leaving almost INR63 crores per quarter as the EBITDA positive.
Moderator: The next question comes from the line of Vikram Sharma from Niveshaay Investment Advisory.
Vikram Sharma : So sir, my question is, what is the manufacturing cost per ton in German plant, is there any scope to manufacture there and import in India?
Ashok Jain: No. The manufacturing cost in Germany is quite high compared to India because of the high cost of power and also the other items like oxygen and gas and electricity. So it is not possible to import glass from there at economical pricing. But we have tried in the past exporting it to U.S.A. and Turkey. Unfortunately, the prices were lower there at that point in time, but we are watching this development of tariff war closely, particularly from the perspective of exporting to U.S.A. And if the sit uation permits, then there can be a possibility over there to export to U.S.A.

Vikram Sharma : And sir, on Indian capex, is there any delay in capex plans? I think now we mentioned we are expecting capacity by December '26.
Ashok Jain: Yes. Can you repeat your question, please?
Vikram Sharma : So is there any delay in capex plan of 500 tons? So I think we are expecting capacity by December '26.
Ashok Jain: So we are now revising the capacity upwards and which will be announced in, say, next month or so. And this is slated to commission in the quarter, October to December '26, which remains on track.
Vikram Sharma : Okay. And is there any further scope of -- like I think we are already at 100% utilization or is th

ere any scope of volume growth this year?
P. K. Kheruka: I'm sorry, I couldn't understand. Scope of utilizing -- what?
Vikram Sharma : Yes. Is there any scope of volume growth in FY '26?
P. K. Kheruka: Yes.
Ashok Jain: Yes, there is -- we are always trying to improve the efficiencies and yield, and there will be certain increase in the volume over the period, but it will not be a very large increase. A few percentage will be definitely possible.
Vikram Sharma : 8%, 10% kind of possible?
Ashok Jain: Yes, we are attempting to do that.
Moderator: The next question comes from the line of Pawan Kumar from Sha de Capital.
Pawan Kumar: Sir, apart from -- like in Germany and in Europe, which are the other countries where I think there is a scope for like in case I think if demand comes?
P. K. Kheruka: Scope for demand -- see, the major manufacturing companies for photovoltaic modules in Europe, they were Germany, France, Italy, a little bit in Netherlands, some production in former East Europe like Slovakia, Slovenia, Poland . So these are the places where there has been manufacturing of modules. Because of this Chinese intense competition or very undercut prices, most of these factories have shut down. The information I have today informally is that the factories have shut down, but have n ot been dismantled.
So in other words, if there is a demand, they can be switched on. It's a very, very big thing. So if they had been dismantle d, that would have been tragic because then switching them on would have taken time. Since they are not dismantled then they could be switched on and that would allow demand to rise very rapidly. This is all conjecture, of course.
Pawan Kumar: Yes. So do you -- are you seeing any sort of development happening around these lines in any of these countries, which you mentioned?

P. K. Kheruka: The development pattern...
Pawan Kumar: Development in the sense like as you said there might be a revival of these plants. Is it happening somewhere or there are some green shoots regarding this?
P. K. Kheruka: Of course, you see there's a European Union mandate that individual countries can give subsidies or advantages -- financial advantages to people who are using European modules. Now this has already come up in Italy in a pretty good program and i t's come up in Austria now. So two countries have already come up, and we're expecting this to come up in Germany as well.
So with Italy and Austria, a certain demand has already taken place and a certain demand has sprung up already, which is not enough for us to switch on our furnace, but it is enough for us

to switch on our processing lines where we could import the anneale d glass and process it and
sell it. So that is there. We are looking at that. And hopefully, we should be able to start that.
Ashok Jain : Just to add here, there are a lot of plants which are already announced by the various people in the European Union -- significant plants, but the work has not commenced in a meaningful way. They're all waiting for certain incentives and packages and support from the government. And even if 10%, 20% of these plants come up in European Union, it would definitely be able to meet the entire production.
P. K. Kheruka: We'll be able to supply 100% production to them.
Pawan Kumar: Okay. Thank you for answering my question.
Moderator: The next question comes from the line of Sunny from IAFI Research . Please go ahead.
Sunny: Sir, as we know that our Indian furnace is due for maintenance within next 18 months. Sir, what will be the time line for its maintenance and how much time it will take?
P. K. Kheruka: We are prepared for the furnace to -- we are prepared to repair the furnace as and when it becomes necessary. So there is a certain time line after 5, 6 years that we prepare all the equipment, al l the necessary sp

are parts, et cetera, refractories and so on. And we are absolutely ready for the furnace to be repaired on the day that we feel it becomes necessary. As of now, the furnaces are producing at full capacity.
So we are not at that point where we need to worry about it. If it does happen, maybe it will take about anything between 45 days to 60 days from glass to glass to cool down the furnace, replace all the refractories and then restart it.
Sunny: Okay. Thank you. That’s it from my side.
Moderator: Thank you. Th e next question comes from the line of Saurab Arya from Oakle ne Capital. Please go ahead.
Saurab Arya: So sir, my first question is, like you mentioned that you will have captive power. So whe n you give guidance of this INR 90 crores per quarter EBITDA, so does that include that benefit?

P. K. Kheruka: Yes, please.
Saurab Arya: Does that include the benefit?
P. K. Kheruka: Yes, it includes.
Saurab Arya: Okay. Thank you for that. And second is, sir, I have -- I need some clarification on this demand and supply. So when you say that India can supply 15 gigawatt, but when I -- so I just want to understand, let's say, Borosil right now has 6.8 to 7 gigawatt of capacity and it is running at 60% utilization. So it means that it is providing 4.2 gigawatt. Is that right? So when we say India currently has 15 gigawatts, in that production of Borosil is 4.2 gigawatt?
Ashok Jain : No. That's not correct. The net glass capacity is what we are talking to you when we are saying 15 gigawatt, and Borosil is doing 6.5 gigawatt and not 4.2. So 6.5 is the net glass we are able to supply to our customers, and we are running almost 95% on tha t.
Saurab Arya: Okay. Because when I was doing the simple math of TPD into 365 days and the volume we do in terms of tons per day, it seemed to me it was around 230,000 tons per year. So then that number was coming around 60%, 65%. Is my understanding wrong?
P. K. Kheruka: When we talk of tons per day, we are talking about gross tons of glass melted per day. When you're making glass, there is a ribbon. The ribbon has edges. The edges have to be trimmed. That could be anything from 11% to 14% gone in that. Then you have to cu t the sheets. Then there might be some quality issues. So those issues -- those glasses have to be discarded. You are left with a certain net -- net glass, which can be processed and sold.
When we speak of 6.6 gigawatts, then we are talking about the net glass. We are not talking about the gross glass. The gross glass we say was worldwide in the glass industry. The norm is to speak about tons per day, which is how many tons of glass you are melting. So they do not easily reconcile with each other.
Ashok Jain : So just to simply tell you, we have 1,000 ton capacity per day. So the gross production what we can do in the year is 365,000 tons. And broadly 75% is -- 70% to 75% is what you can expect to take and supply. So that works out to 6.5 gigawatt.
Saurab Arya: Yes, in India supply of 15, we are supplying 6.35. And when India is adding 15, that is net 15 that is getting added ?
Ashok Jain : Net 15, yes. And thereafter also, like we are expanding one or two more players might expand. So we are going to have a capacity in tandem with the increase in the module demand or glass demand, but we are still going to be short of supply in terms of the requirement actually in the country, even after expansion. So ther e is a room for expansion further.
Saurab Arya: Actually, I have a related question to it. So when we talk about this demand, this is in conjunction with 3.2 mm, not 2 plus 2?
Ashok Jain : Now almost 60%, 70% of the demand is converted to 2 plus 2. And when you say the demand,

it is now split in the mix right now by 2:1 or like that. But when you do it 2 plus 2, then the

gigawatt will be slightly lower. Because you consume almost 25 kg glass in 1 module in bifacial, 2 plus 2 as against 20.5 kg in a 3.2 module.

So to that extent, the glass consumption goes up. And -- but at the same time, you have a higher output in the bifacial module. So net -net, there is only about 10% difference in the output. So 6.5 might become 6 gigawatts -- suppose you want to supply ever ything into 2 plus 2 millimeters.

Saurab Arya: Okay. Got it. And sir, if I can squeeze one more. You talked about Germany there were losses, etc. But let's say if everything goes in the way you are expecting it to be, how much EBITDA per ton could be the possible range there?

Ashok Jain : So on a normal basis, we can expect EBITDA to be about 10% or so there. Although in the past, the EBITDA has been higher, but with the current pricing and current costing to expect 10% EBITDA would be reasonable.

Saurab Arya: 10% -- and obviously, so your -- and your positivity about Germany is quite high versus a couple of quarters back when you were thinking to really shut down the furnace. Now you are thinking maybe there might be need to add if all things go right?

Ashok Jain : You're right.

Saurab Arya: Perfect sir. This is pretty helpful. Thank you very much. All the best.

Moderator: Thank you. Th e next question comes from the line of BR Nahar from Mile AIF Fund. Please go ahead.

BR Nahar: This is again, one biggest question on the cost basically. I read recently that Asahi India Glass in the Chittorgarh facility has s tarted using hydrogen gas and have...

Moderator: Sorry to interrupt, Mr. BR Nahar could you please use your phone on the handset mode and speak a little louder?

BR Nahar: So my question is that recently, I read that Asahi India Glass has switched on to hydrogen gas in their plant at Chittorgarh? Whether that kind of possibility we are exploring or possible in our furnaces one by one. That is my question. And same thing can be replicated to reduce the cost at Germany plant when we commission?

P. K. Kheruka: So to answer your question, the use of hydrogen as a fuel is actually more expensive than natural gas. That is one. So people are doing that on an experimental basis when they are getting a very heavy funding from the government to experiment and to see wh ether hydrogen can work or not. So at the moment, there is no plan that we have to try to use hydrogen in our furnace. That answers your first question.

The second question is about Germany, whether we expect to reduce our cost of production. And the answer there is that we are permanently on the lookout to see what we can do to get a more efficient production or to reduce the cost of production. Typically, in glass manufacturing, there is not a lot of flexibility that we have in terms of the r aw materials or the fuel or the consumption of the fuel, it's pretty much set.

But what we do have a little flexibility upon is whether we can make the process more efficient, get more glass out of the same tons that we are melting and so on. And that is an ongoing thing. So hopefully, that will continue.

BR Nahar: Because this INOX has given them 20 years contract basically. So nobody will switch over basically unless it is cheaper basically. So I presume that INOX might be getting the hydrogen made from their own wind power or some hybrid system. So by that method, I think cost could be competitive. Something like that, I presume I'm not expert on that. Just I tho ught I should ask this question?

P. K. Kheruka: I could not answer. Actually, I'm not familiar with what we are doing. So I cannot give you a meaningful answer.

BR Nahar : Okay, sir. All the best, sir.

Moderator: Thank you. Th e next question comes from the line of Deepak Purswani from S VAN Investments. Please go ahead.

Deepak Purswani: Thank you sir for the follow up op

portunity. S ir, firstly -- just wanted to check it on the two things. Sir, firstly, the realization has still not matched with the reference price. Is it because of the stocking which was done earlier that is still continuing in the market or that is completely over?

Ashok Jain : Yes. So actually, realization, we started to take up towards the end of December. When the reference price came in f rom 4 December, we had already contracted the sale of December volumes. So we started to raise the price from end of December. And gradually, we have done it. So the impact has not been felt fully in the quarter because by the end of quarter, we are close to the, say, required price, but the average for the quarter is lower. So that's the reason you are not...
Deepak Purswani: So on the marginal basis, is it fair to say recent transaction are happening at 135 price?
Ashok Jain : Or less, yes. And the stock is not a problem. In December itself, we had cleared all the stocks. So we are not carrying stocks any longer. And even the industry players have been able to clear their stocks to a great extent. So that's not a problem any lon ger.
Deepak Purswani: Okay. And secondly, sir, just wanted to check it on the raw material prices. How do we see the raw material prices at the current juncture? And is there any benefit we are expecting, especially on the fuel cost on natural gas part?
Ashok Jain : But we have a basket of contracts, which are partially into Henry Hub, which is U.S. -based gas and partly oil gas. So when the oil prices have gone down, there is some benefit in the gas prices, which will accrue to us, but Henry Hub prices have not gone d own. So there is a mix which we have used in order to reduce the volatility in our gas contracts. But yes, some benefits will accrue because the oil prices are down.

Deepak Purswani: Okay. And sir, what percentage of the gas quantity is linked with the long -term prices? And what is the percentage which is linked with the spot prices?
Ashok Jain : We hardly have any spot gas now. We are using contracts only.
Deepak Purswani: Okay. So eventually, slowly and gradually, it will come down based on the current pricing?
Ashok Jain : Yes, but major portion is of U.S. gas and the small portion is oil based, so the benefit will be marginal unless the U.S. price itself also goes down.
Deepak Purswani: Okay. Got it. Thank you and wish you all the best.
Moderator: Thank you. L adies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing remarks.
P. K. Kheruka: Thank you very much, dear investors for your participation. We appreciate the questions that you ask and we are more than happy to participate in giving responses, which would hopefully make your view and understanding of your investment in this company an d in this sector a little more clear. I want to just close by saying that we are looking at good times ahead.
I personally see that this is a robust sunrise industry in more ways than one figuratively and practically both. So thank you for being with us on this journey and I hope it's going to be equally beneficial for us both. Thank you.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Axis Capital Limited, that concludes this conference. You may now disconnect your lines.

Call: Jul 2025

July 28, 202 5

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: BORORENEW

Dear Sir s,

Subject: Transcript of Analysts / Investors Conference Call
Please find enclosed transcript of conference call with Analysts / Investors held on Thursday , July 24, 2025 .
You are requested to take the same on records.
Yours faithfully,
For Borosil Renewables Limited
Ravi Vaishnav
Company Secretary and Compliance Officer
(Membership no. ACS – 34607)
Encl.: As above .

"Borosil Renewables Limited Q1 FY -26 Earnings Conference Call"

July 24, 2025

MANAGEMENT :
MR. SHREEVAR KHERUKA – VICE-CHAIRMAN
MR. ASHOK JAIN – WHOLE -TIME DIRECTOR
MR. SUNIL ROONGTA – WHOLE -TIME DIRECTOR & CHIEF FINANCIAL OFFICER
MR. BALESH TALAPA DY – VP, INVESTOR RELATIONS
MODERATOR : MR. ROHAN GHEEWALA – AXIS CAPITAL LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Bor osil Renewables L imited Q1 FY26 Results Conference Call hosted by A xis Capital L imited.
As a reminder all participant s' line will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance

during th is conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this c all is being recorded.

With this, I now hand the conference over to Mr. Rohan Gh eewala. Thank you and over to you, sir.

Rohan Gheewala : Thank you, Samia. Good evening. On behalf of A xis Capital, I am pleased to welcome you all for the Q1 FY26 Earnings Conference Call of Bor osil Renewables L imited.

We have with us the Management represented by Mr. S hreevar K heruka – Vice -Chairman, Mr. Ashok Jain – Whole -time Director, Mr. Sunil R oongta – Whole -time Director and Chief Financial Officer, and Mr. Balesh Talapa dy – VP, Investor Relations.

We will begin with the "Opening Remarks " from the Management , followed by an interactive Q&A session. Thank you and over to you, sir.

Shreevar Kheruka : Good afternoon, everyone. I am S hreevar K heruka here and I welcome you all to the Bor osil Renewables Q1 FY26 Investor Call. The Standalone Financial Results for the quarter ended 30th June 2025 were approved by the Board of BRL on Wednesday, 23rd July. Our Results and an Updated Presentation have been sent to the Stock Exchange and have also been uploaded to the Company 's website.

We will now discuss the operations of our Company on a standalone basis. But first, I would like to update you on some important events which have happened recently :

The Board has approved a preferential issue of Rs. 70,93,874 equity shares of the Company for INR 379.52 crores to eligible investors who have given expression of interest and whose documents were found compliant. The share issue is subject to the approval of members at the EOGM to be held on 14th August 2025, as well as the Stock Exchanges. You will recall that the Company had done an issuance of warrants of INR 600 crores to part -finance the 500 TPD expansion of INR 675 crores in February 2025, against which it has received applications for INR 417 crores. The proj ect size and cost were later revised to 600 TPD and the CAPEX was increased to INR 950 crores. The additional i ssuance will be utilised for the CAPEX and other objects as per the object of the issue. The revised means of finance would include INR 650 crores from equity and internal accruals and INR 300 crores of debt.

The other important development relates to the filing of bankruptcy by the German step -down subsidiary of BRL on 4th July 2025 due to the absence of clear indications of demand recovery

in the near future in Europe, as well as possible liquidity issues. We had in the previous calls indicated that the furnace at GMB had to be cooled down due to the paucity of demand and depleted market conditions across the European Union. This was the aim to reduce losses. Since then, even despite our best expectations, there were no material improvements in the European markets which would allow GMB to resume the operations of its furnace. The Company and GMB approach concerned authorities to get some qui ck measures in place to support local industry. Unfortunately, nothing has been forthcoming, although policy -level announcements have been made in Europe in order to support domestic manufacturing.

However, these announcements have not yet materialised into any specific policy action. Moreover, any policy action, if and when announced, will take considerable time to show any results in terms of re sumption of production of our customers as the closed solar module plants will

take some time to restart. For the Company , this would mean that we would need to have heavy continued losses without much hope of substantial recovery. In the past few months, GMB also attempted to resume cold -end operations by so urcing annealed glass with an idea to provide tempered glass locally. However, this too could not work out for many different reasons. As such, the Company did not feel it prudent to continue funding the standing charges to the tune of INR 9 crores per month through its wholly owned subsidiary, Geosphere. For our Company , this filing of insolvency of the subsidiary would arrest recurring losses and permit reallocation of capital and managerial focus towards the India operations where we see a long -term pote ntial and policy support.

I would like to further inform you that Geosphere Glassworks GmbH, a wholly -owned subsidiary of the Company , intimated that it is yet to receive the financial results of the said quarter from GMB, whose application for insolvency is currently in process in Germany, as previously disclosed via our letter dated July 5th, 2025. The affairs of GMB are now being managed by an administrator appointed by the Insolvency Court, who works as per prevailing German laws. Keeping in view that the administrator has been appointed recently, preparing financial results of GMB for the quarter ended 30th June 2025 is expected to take time as communicated by GMB. Until these results are received by Geosphere, it cannot consolidate GMB's financials into its own financial results and in turn would not be able to provide consolidated financial results to the Company . Due to uncertainty and reasons as explained above, the Company will be able to approve and submit its consolidated financial results for the

quarter ended June 30th, 2025 at a later date. So, therefore, we are presently only discussing standalone results.
Coming now to the performance :
The Company achieved sales of INR 332.26 crores v ersus INR 327.23 crores in the tra iling quarter and INR 241.82 crores in the same quarter last year. The Company registered an absolute EBITDA of INR 92.53 crores, which corresponds to an EBITDA of 27.8%. This shows a quantum leap of 211% from INR 29.71 crores in the corresponding quarter, whereas the EBITDA stood at INR 77.03 crores in the preceding quarter. Sales rose by 37% during this

period compared to the corresponding quarter last year and a major increase has come from the increase of selling prices as the average selling prices during the quarter increased to INR 138 .1 per millimetre as compared to INR 105 .5 per millimetre (INR 127.6 /mm in the preceding quarter) . This has led to an improvement in margins.
The imposition of anti -dumping duty on imports of solar tempered glass from China and Vietnam in December 2024 has provided a great relief on the prices, which have now reverted back to where they were a few years ago. Exports amounted to INR 35.67 crores, accounting for 10.7% of the turnover, compared to INR 18.9 crores in the preceding quarter when exports made 5.8% of the turnover.
In view of the filing of insolvency by the step -down subsidiary GMB, it was considered necessary to estimate the value of net assets to ascertain whether and how much provision needs to be made against the exposure in GMB and Geosphere, although the outcom e of insolvency proceedings will only be known after a few quarters. Accordingly, based on the valuation confirmed by a valuer, GMB is not likely to leave any surplus available for the Company after paying off the outside liabilities. Hence, a provision fo r the entire exposure of INR 325.91 crores in a German subsidiary has been made in the accounts as a one -time loss. However, this one -time provision will ensure that there is no continued drag on the consolidated results and performance, and that the ROCE and EPS will su

bstantially improve.
The Company is confident to achieve good improvement both in sales and EBITDA numbers for the year, on the back of better performance of the Indian operations as its selling prices maintain an upward bias, in addition to cost -saving measures and the stoppage of the d rag of losses from the German operations. Our work on the expansion project is in progress, and we expect the project to be commissioned by the third quarter of financial year ' 26-27.
The domestic demand continues to be robust. Manufacturing capacity for solar modules has already reached (+90) gigawatts and is expected to rise to 150 gigawatts by March 2027. The country has also seen its highest ever solar installation at 25 gigawatts (which means modules/glass consumption of about 35 GW) in 2024 -25, , as against 15 gigawatts during the previous year, which corresponds to a 60 % increase. We estimate the domestic demand to be about 50 gigawatts in the current year. Use of locally produced modules has risen sharply after the implementation of ALMM mechanism from April 2024, which is leading to increased demand for all components, including solar glass.
The present solar glass capacity in the country is 2,300 tons per day, that is 15 gigawatts. Another 12 gigawatt s capacity is getting commissioned by the end of FY26. With the expected current demand of about 50 gigawatts for domestic installation, imports are occupying about 70 % share of the consumption, leaving huge scope for capacity addition and import substitution. That is the area we are planning to play when our new project comes on stream. Therefore, we see good prospects for the Company over the ne xt few years, looking at the growth in the sector, robust demand and stable selling prices of solar glass.

Just to round off the sectoral outlook, renewables are poised to transform the global power landscape by 2030. India is driving this revolution. According to the International Energy Agency, over 5,500 gigawatts of new renewable energy capacity shall be ad ded worldwide by 2030, equivalent to the current power capacity of China, the EU, India, and the US combined. Solar PV will dominate this, accounting for 80 % of global renewable capacity growth. This surge will come from both large -scale utility projects a nd rapidly rising rooftop installations. Therefore, we see the future of solar is very bright and India's place in the whole solar ecosystem as strong and with a very positive outlook.
So, with that, I thank you for your patience in listening to me. I would now like to open the floor to any questions that you may have.
Moderator : Thank you very much . We will now begin the question -and-answer session. The first question

comes from the line of Ja yshree Bajaj from Trin etra Asset Managers. Please go ahead.
Jayshree Bajaj : Thanks for the opportunity. And my question is, the board has approved for the setting up of the new furnac es, adding 600 TPD with the current capacity. So, can you provide a more detailed project timeline and a specific milestone for this extension and especially regarding land acquisition and all?
Shreevar Kheruka : So, as far as the project is concerned, this is happening at the current location. It's a brownfield expansion and whatever land acquisition needed to happen has already happened. And therefore, there is no risk of that being a delaying factor. The project itself, as I already mentioned, is likely to be commissioned in the October to December quarter of 2026. At the moment, we do not see any reason for delaying beyond that. So, I hope that answers your question.
Jayshree Bajaj : Okay. And as you stated that the Germany plant will remain unfeasible in the longer term. So, what is the strategic vision for its European presence, particularly for the GMB plant?
Shreevar Kheruka: So, that plant has been declared insolve

nt or rather the Company has been declared insolvent.
So, now there is an insolvency process, which is managed by a third party, which is an administrator under German law and frankly, they will follow their own process. And even though we are shareholders, we have a very limited say in this process, and it totally depends on what they do. And we are out of this whole equation. As far as our customers are concerned, we are still continuing to sell our customers in Europe from our Indian operations and that will continue .
Jayshree Bajaj: Okay, sir. And my last question is the standard EBITDA margin has improved for this quarter. So, is there any revised EBITDA margin for the FY26?
Shreevar Kheruka: I think there will be some. As I mentioned, the pricing will be improving somewhat. Every month there is a slight increase. So, on the margins, there will be somewhat a little bit better margin

than what we had in this quarter. But we are already at 28%. So, it 's a reasonably good margin and maybe a couple of percent more we can expect.
Jayshree Bajaj: Okay, sir. Thank you.
Moderator: Thank you. The next question comes from the line of Swan and Mittal from MRM Please go ahead.
Swanand Mittal: Sir, thank you for the opportunity. I have three questions lined up. The first question being, in the last con -call, we had guided for approximately the prices of, the expected price being approximately Rs. 135 per mm. But we have exceeded it by touching Rs. 138 per mm. So, if you could give any colour that as for the industry in the coming financial year, are we expecting any further price increase, like as to in what range? And if there is any price increase, how will it impact EBITDA margin for the FY? And lastly, as a third question, basis the above EBITDA margins, can we guide that at least the cash flow conversion for that should be upwards of 75 % to 80% on a quarterly basis?
Shreevar Kheruka: See, as far as pricing is concerned, it's the only an estimate. And there may be (+/- 5%) on the pricing, which may differ than whatever is projected. So, if we have guided Rs. 135 and come out at Rs. 138, then I do not think that there is a material difference there. And it depends on product mix. It depends on value addition sometimes that we do for our customers. So, there are many reasons. Broadly, yes, there may be somewhat an improvement in pricing. But I think it's not going to be d ramatic. And therefore, any increase in pricing will definitely add to EBITDA margin that is clear and I have already guided on margins. So, I think that should take care of that question. And all of that EBITDA basically comes into cash conversion. I think 75%-80% is absolutely a fair number because… .
Swanand Mittal: More than 90%.
Shreevar Kheruka: Yes.
Swanand Mittal: Okay. Thank you so much.
Moderator: Thank you. The next question comes from the line of Raman from Sequent Investments. Please go ahead.
Raman: What is the current average selling price? And how will this selling price improve post ADD imposed on Vietnam by India comes into place?
Ashok Jain : So, we already indicated the current average selling price which has been achieved during the quarter. And also indicated that couple of basis points, it can still go up in the coming quarters. And anti -dumping duties are valid for 5 years. So, we should see stable pricing.

Raman: Okay. And how much upside are you expecting post this, probably after a year of implementation?

Ashok Jain : So, duties are already implemented, and the prices are already up. So, the increase has already taken place in prices.
Raman: Okay, sir. My second question is, what is the domestic market size with respect to solar glass? And I also wanted to understand the unit economics. From the presentation, I think,

can we say
that 150 tons of solar glass is required per gigawatt?
Ashok Jain : Yes, your estimate is right. It is almost around that 150 tons per day from the perspective of gigawatt conversion.
Raman: And sir, what is the entire domestic market size of this solar glass manufacturing?
Ashok Jain : Market size was mentioned in the opening remarks to be around 50 gigawatts of module production, which is the market and India is currently supplying about 15 gigawatts from the domestic production of glass. So, the gap is about 35 gigawatts in terms of the availability of glass domestically.
Raman: Okay. Thank you, sir.
Moderator: Thank you. The next question comes from the line of Vivek Gupta, an investor. Please go ahead.
Vivek Gupta: Thanks for the opportunity. Congratulations for a good set of numbers. I have some basic questions. So, this GMB acquisition, which was done, it has proved to be a blunder. So, what precautions and what learning management has taken from this wrong acquisition? That is the first question.
Ashok Jain : You want to take the second question also or we reply to this?
Vivek Gupta: The second question is, so management has proposed for additional capacity of 600 tons per day. So, I was going through the presentation, and I understand that that capacity is to be on stream by December 2026. So, is that understanding that both the furnaces would be up in one go or we can expect some like 300 tons per day on stream before December 2026 also?
Ashok Jain : So, taking the second question, first, we are planning to start the two furnaces one by one which may have some gap of one or two months. But both the furnaces should be commissioned by end of December 2026. That is the target. And in the case of first question regarding GMB, when the decision is made, it is based on certain situations and certain parameters. When we started to look at this opportunity in 2022 beginning, the EBITDA and the turnover was very go od for this Company . The brand and the quality was absolutely fantastic and we were all hoping that this acquisition will pave our way for our growth in the European and overseas markets. But things

have not always worked out as per your plans and designs. And that is what happened with us as well. In June ‘23, just immediately after 6 to 7 months of our takeover of the Company , the imported Chinese modules started to be dumped in European markets , almost 80 gigawatts of modules were dumped in couple of months' time over there, which destroyed the local manufacturing. Now, this is a very abnormal situation which we had to face. And with the result that the customers started to disappear. And the solar glass is made for the sizes and thicknesses and various parameters of the requirement by each customer. So, these are very tailor -made items. And unless you have a customer and a demand, it is not easy to produce and keep in stock. So, we were trying to tide over the situation by diverting our goods to other markets like Turkey, USA, and even to sell in European markets at a cheaper price. But finally, the demand was not up to the mark, and we were not able to sell beyond 50% of the production. In glass fur naces, if you keep operating at a lower percent age, it doesn't work out. So ultimately, we had to cool down the furnace in January ‘25. And finally, when the hopes of German policy intervention were dashed and there was nothing coming forward, then we had taken a call. So ultimately, you have to see that the management and the business is able to take call as per the necessity of the situation and move decisively in the direction in which the growth can be achieved and value addition for the stakeholders ca n be still ensured despite facing such rough time s.
Vivek Gupta: Okay, thank you.
Moderator: Thank you. The next question comes from the line of Sunny from IA

S. Please go ahead.
Sunny: Sir, I have two questions. First one is on GMB side. Sir, can we use the GMB equipment to do our CAPEX in India?
Ashok Jain : Yes, some of the equipment which are post -glass production equipment like processing lines are possible to use in India because they are doing the similar jobs. And these were purchased recently in 2023 only. So, it is quite possible to buy and start using here. But we have to do evaluation based on the alternate costing and alternate equipment available from other sources. So, yes, possibility is there to use, but we will have to eventually evaluate what is good for the Company in India to buy in terms of the next requirement . And if you have to buy the German equipment, it will be under insolvency proceedings now, which is quite uncertain as of now. So, we can't depend whether we can get some equipment from there and then budget it in our

CAPEX plan.
Sunny: Okay. And the next question is, can we see further EBITDA margin increase on a standalone basis?
Ashok Jain : Yes, that was already said by our vice -chairman in the opening remarks that a couple of percent age points can still go up because there are continuous efforts to improve the efficiencies and als o the price increase by a few basis points is still possible to get. So yes, EBITDA can still go up beyond this level slightly .

Sunny: Sir, any guidance for EBITDA margin?
Ashok Jain : We have not been giving any specific guidance, but this should be enough for you to understand how much it could be.
Sunny: Okay, sir. Thank you.
Moderator: Thank you. The next question comes from the line of Nidhi Saha from ICICI Securities. Please go ahead.
Nidhi Saha: Thank you so much for taking my question. So firstly, the depreciation with quarter -on- quarter basis is slightly low. Is there any reason on the standalone basis? Is there any reason why the depreciation?
Ashok Jain : Yes, so actually the initial furnace which we had set up long back in 2010, that is completely depreciated now. And no depreciation of that first unit has started to come in the accounts. So, which is why the depreciation has gone down, not for any other reasons.
Nidhi Saha: All right. And secondly, so you mentioned that you realized Rs.138 per square meter in the quarter. Now post the duties, what is the landed price of the Chinese glass in the market? Is it at similar levels or is it higher?
Ashok Jain : Well, landed price from China is close to Rs.145 per square meter and our prices are close to that number only.
Nidhi Saha: Thank you so much . Those were my question.
Moderator: Thank you. The next question comes from the line of Akshay Malhotra from HSBC. Please go ahead.
Akshay Malhotra : Thanks a lot for the opportunity. Congratulations on a good set of numbers. I had a couple of questions. Starting from the first one on the European subsidiary, I see that while you provided provision in the books of accounts. Wanted to understand what is the monthly cash b urn with respect to this closure of the subsidiary? Secondly w hen do you expect this to close, and do we have any additional liability there in that subsidiary? That is the question.
Ashok Jain : This insolvency has been filed by the managing director of the unit over there and which is after the assessment of the cash flow situation, the order situation and business scenario of the Company . And under the provisions of German law, he is the person who is responsible to report to the court that if the liquidity is not available, then he should go and file for the insolvency. So, he has gone and done it because no more funding was available from the shareholders, and the business was not looking to st art again in terms of the cash flow generation. So after having filed for the insolvency, the shareholders are actually not in control of the unit or

Company, and

they are outsiders from the perspective of court proceedings. So, we do not have any control and since we do not have any control, we do not have any liability to incur further expenses on the Company . All the expenses are to be managed by the administrator who is appointed by the court. He will be taking necessary steps, and he will be submitting necessary plans to the court as to what can be done about the Company , whether a sale of the business is possible or sale of assets is possible or whatever steps he suggests, the court will be able to take after he submits his report. So, from the perspective of Borosil , there will not be any additional expenses or any additional losses on the account of German operations going forward. And there are no additional liabilities as such on us because what we feel is that or what we are told by our lawyers over there is that all the liabilities will fall to the Company and in the sense there are no outside creditors except for the employees who are largely paid up to th e date but the severance pay has to be paid to them and a government grant which is outstanding in the books of Company which is to be settled if they claim. So, these are the major liabilities which needs to be settled under the insolvency proceedings now.
Akshay Malhotra: Very clear sir. Can you put a broad number to what these external liabilities could be , the two that you mentioned, the employees ?
Ashok Jain : So based on whatever estimate we have, it could be close to INR 120-125 crores.
Shreevar Kheruka: But that is not something that we will be liable for.

Ashok Jain : This will not be coming on to Borosil because there are assets available in the Company and once the liquidator or the court decides to deal with the assets and realize money, they will settle those liabilities. In case they are able to realize less amount, then less amount will be paid to them. Liability will not travel to us.
Akshay Malhotra: Okay , got it. So secondly, I think you mentioned a couple of times about the EBITDA margin improvement on a couple of percent age points. Just wanted to understand similarly on what kind of movement on the raw material prices are you seeing and is there any more room to generate more efficiencies in the business?
Ashok Jain : So raw material prices for last few, one or two quarters are stable except for one item which has risen in the past but now it is under control, imported item. In terms of the other cost optimizations which we are attempting, we have done some work on the coatings and also, we have invested money into our own solar wind hybrid project which will give further savings. So, these two together should bring in about one 1.5% to 2% savings in the percent age terms of the EBITDA you can say.
Akshay Malhotra: Got it sir, very clear. Also are you evaluating more export opportunities from here in l ight of more tariffs on the Chinese there?

Ashok Jain : I think the major area which is becoming addressable right now is the USA market because some customers who were not willing to buy earlier because of the price reasons have started to place orders or send their inquiries. So that is where slight increase is possible but it's not material enough and the domestic prices are fairly decent now. So , there is no real urge to increase exports because the prices in exports in US markets could be as much as prevailing in India only and nothing better whereas Europe an prices are little better compared to India.
Akshay Malhotra: Got it sir. And my last question is on the capacity addition front. If I understand correctly the initial plan earlier was to add about 1000 TPD capacity. Just wanted to understand, why you have lowered it down to 600 TPD and on the commissioning front as you have mentioned that Decemb

er ‘26 is where these two furnaces will commission. But what is the time it will take to stabilize these fully?
Ashok Jain : Initially the project was approved for 1100 tons I think long back but after the anti -dumping duty was discontinued in August ‘22, we had to scale it down because the cash generation had reduced by th at time and we then brought it to 500 ton s project. Now when we scouted for the equipment and we started enquiry with the various suppliers and then we figured out that even 600 can be achieved in the similar equipment and similar furnace. Then we have gone ahead and increased the size to 600 ton s per day because the market is available and when we did the revise estimate the figure came to INR 950 crores which included certain items of expenses which we had not budgeted earlier. So now it is 600 ton s project at INR 950 crores. In terms of the commissioning, we have targeted December ‘26 which is what we want to maintain. If we can do it better, then we will see.
Akshay Malhotra: Okay, so just wanted to understand when we can fully stabilize these or do you think December ‘26 is the full stabilized time point?
Ashok Jain : So, December is the commissioning, stabilizing may take another one or two months. So that is how we may say by at least March we should have the stable commercial production.
Akshay Malhotra: Okay, great. Very clear sir. Thank you so much and good luck.
Moderator: Thank you. The next question comes from the line of Nikhil Gada from Aba kkus AMC. Please go ahead.
Nikhil Gada: Thanks for the opportunity. So, my first question is with regards to our volumes. I understand that we are more or less maxing out our plan t. What kind of volume growth do we envisage at least for FY26 and maybe f irst half of FY27 before post which our new plan t will come?
Ashok Jain : In the current quarter we had about 6% volume growth compared to the corresponding quarter last year. And I think for the year as a whole we should be able to maintain 6 % to 8% growth compared to last completed financial year. 6 % to 8% is something what is possible in the current financial. Although we are trying for higher number but this much realistically, we can take.

Nikhil Gada: I am saying then post that first half FY27 we should expect volume to be flattish because we will not have enough capacity.
Ashok Jain : Well, we will keep on optimizing the process yields and certain equipment adjustments. But there will not be any material opportunity to increase the volume by a significant number. Maybe 2%-3%-4% at the most.
Nikhil Gada: Understood sir. Secondly how is the current import scenario? Are we still seeing a decent amount

of imports of solar glass or we have seen a very sharp correction now?
Ashok Jain : The imports are quite high as we mentioned in the call initially. The imports are close to 70% of the domestic demand as of now. And since the domestic production is limited ultimately the demand has to be made by somebody else. So, it is the imports who are right now being offered in the market. But as the domestic production grows there should not be any difficulty in substituting with the domestic production this import. Also, the market itself is growing. So, there is a continuous increase in the dema nd as such.
Nikhil Gada: Got it sir. And just one last question. Just on the depreciation front you sort of explained why the cost was lower. But should we expect this run rate to continue for the coming quarters for depreciation?
Ashok Jain : Yes, of course, that should continue because that effect of one plant having been fully depreciated is already set in. And the next impact will only come after a few years. So, this is pretty much you can expect this number.
Nikhil Gada: Got it sir. And just one last question. Is there any export mix that we have in mind considering that

we are seeing better prices in the European market?
Ashok Jain : See it is more opportunistic play as of now. Although strategically we want to be there in the export market to some extent. So, 10%-15% is something what we would always like to do. And currently we should expect between this range only 10 %-15% only. Because the domestic demand is so strong that we have to face the customers every day that they are after us for material. And we can't just keep on diverting for exports and refusing the orders here.
Nikhil Gada: And the working capital cycle is similar to what we see in the export market as domestic market ?
Ashok Jain : Well, it's about 60 days credit is there generally. So, in domestic you may get little earlier, maybe 35-40 days as domestic people are flush with funds you may say because of the very high profitability in the module business right now. So many of them may make advance payments or they may put against cash discount like that, which is not the case in export markets.
Nikhil Gada: Very clear, sir. Thank you so much for answering all my questions and all the best.

Ashok Jain : Thank you.
Moderator: The next question comes from the line of Arvind Kothari from N iveshaay. Please go ahead.
Arvind Kothari: Thanks for the opportunity, sir. My only question was that the scale down that we did of the CAPEX , given the situation that we are seeing that all the module players are flush with funds, and they are all increasing capacity. Wouldn't it warrant that now we go ahead for one more CAPEX at least of 500 -600 tons or you would take maybe two, three quarters to figure that out?
Shreevar Kheruka: Yes, I think we will figure that out. We are also evaluating it. Maybe in the next one or two quarters we will have an answer for you.
Arvind Kothari: But the evaluation would be based on the internal accruals that we are currently maybe or there will be a debt to equity mix that we have.
Shreevar Kheruka: I think there will be some debt, but I do not think there will be any further equity raise . Debt and internal accruals.
Arvind Kothari: Got it. And sorry, I missed the first half. Why was there a 6% decline in the volume this quarter?
Ashok Jain : No. There is an increase of 6%, I said, not decline.
Arvind Kothari: Okay. This quarter, but it was not at optimum capacity, right?
Ashok Jain : This quarter increase is to the corresponding quarter, but from the trailing quarter, the volume has declined slightly. That is because we have gone to produce some value -added products, which are specific requirement s in the European market, like green houses, and some very specific demand of the BIPV sector and all, where yield is low. Although we can run the furnaces to the full, the net production is low, but that is more than offset by the higher prices. So, as you will see that the average prices have gone up substantially, although the volume slightly declined. So, all in all, we have got higher EBITDA compared to even the last quarter. Also suggests that the lower volumes were not very much responsible in terms o f any decline in the profitability or something like that. Volumes were low because of choice, not because of any other reason from the market like decline or any other demand problem or anything like that.
Arvind Kothari: Perfect. Got it, sir. In case if we go for another CAPEX , are the numbers going to be similar or we will be having some advantages in terms of maybe the CAPEX being slightly lower this time for the furnaces because of the equipment that will be at spare capacity, or no?
Ashok Jain : We do not foresee any further advantage in terms of the CAPEX now because the entire brownfield advantage is broadly covered now, except for the location part of it and the administrative part of it, which will still be some economics of scale because of the lo

cation if

we decide to do it on the same location. Otherwise, from the CAPEX point of view, there will not be any.

Arvind Kothari: Perfect. Thank you so much and all the best.

Moderator: Thank you. The next question comes from the line of Kaushal Sharma from Equinox Capital Venture P rivate Limited. Please go ahead.

Kaushal Sharma: Very good evening. C an you please tell me that we are currently having 1 ,000 TPD as of now. So, what kind of capacity utilization level?

Ashok Jain : We operate close to 95% of the furnace capacity and in some quarters, it could be slightly here and there, but on an average, 95% is there.

Kaushal Sharma: Okay. And, sir, as you said that we can see the better margin going forward. So, can we assume, fair enough to assume that we will get around 30 % to 32% o n sustainable basis for the next year because of the current development that is going on, like ADD and BCD .

Ashok Jain : I think we have given enough indication. So, you may say how much it should be, but couple of percent age, if you add to 28, it would come to 30 only.

Kaushal Sharma: Okay. So, 28 % to 30% is the sustainable margin, right?

Ashok Jain : Yes.

Kaushal Sharma: Thank you for answering the question s.

Moderator: Thank you. Th e next question comes from the line of Manik Bansal from Master Capital Services Limited. Please go ahead.

Manik Bansal: Hi, sir. So, congratulations for a good set of numbers. So, my first question is, how much capacity can be attributed to 3 mm or 2 mm glass based on the current capacity of 1 ,000 ton s per day or incremental CAPEX of 600 ton s per day, if you can number that?

Ashok Jain : So, the market has been moving very swiftly to 2 mm glass. In India also now major consumption is 2 mm glass. So, of course, the production of 2 mm glass has to go up eventually. As of now, we are close to 55% in 2 mm glass and 45% in 3.2 mm glass. But in the longer term, I think we should be about 80% in 2 mm and 20% in 3.2 mm. As the demand will move, we will keep adjusting our ratio because the equipment is capable of producing alternatively 3.2 or 2 mm. So, based on the demand market requirement, we wil l have to keep changing our production thicknesses.

Manik Bansal: Okay. So, incremental CAPEX of 600 is coming at 2 mm, right?

Ashok Jain : Yes. This Rs. 950 crore which is being spent will be completely capable of converting entire glass into 2 mm with full capacity available for grid printing, back glass and drilling of the back glass. So, this is for 2 mm generally.

Manik Bansal: Okay. So, as you said, they are correspondingly can be used for 3 mm and 2 mm , the production line, right? So, how is it possible and what is the CAPEX required? And whether the same is priced in incremental CAPEX that we have announced and within what time it will be converted?

Ashok Jain : See, if you have to produce only 3.2 mm glass and you do not have to have the equipment which are additionally required, the CAPEX would be lower to that extent. In this project course, you might say almost INR 75 crores might be included because of 2 mm requirement. So, barring that, there will not be much difference.

Manik Bansal: Okay. So, the existing capacity of 1000 tons per day can be fully converted to 2 mm on INR 75 Cr of CAPEX , right? This is what you meant?

Ashok Jain : Yes. Of course, the entire design, entire CAPEX is planned to give a product like 2 mm, all the furnace parameters, everything is to be achieved bas is that. And then the additional processing lines will be only about this grinding line and all.

Manik Bansal: Okay. So, my last question is on quality. So, I did some research like the XYZ solar glass quality is currently the highest or you can say the benchmark. So, what are the specific steps Borosil is taking to match

or exceed that product quality?

Ashok Jain : So, product quality is roughly about the same only for all the large companies including Borosil. And customers are happy to use any products alternatively. In fact, the availability of glass from domestic source is a major advantage for the local consumer s because if the quality is same and glass is available locally, it becomes all the more reason for them to source it locally. So, we have an advantage in terms of offering the glass to our customers in India. And even the grid printing or 2 mm glass or any value addition which are required are also available from Borosil. So, it's absolutely matching the quality.

Manik Bansal: Okay. So, just to follow up on this, do Waaree source glass from Borosil?

Ashok Jain : So, Waaree is a very big Company now and their requirement is quite huge. And we have a limited capacity, and we need to cater to almost 75 -80 customers. So, to provide a reasonable, decent quantity of glass to Waaree is difficult now. In the past, we have been supplying significant volume to them. They were one of the top 3 buyers for us for many years. But now we are occasionally supplying and very marginal quantities to them because it's always difficult for them to keep changing the BOM item on one single running line. If you have to get highest efficiency from the module production line, you have to maintain the same parameters, same BOM which becomes easy for the operators and plant people to get better efficiency because now module business is on very thin wastages . So, they do not want to lose in the wastages and

keep very tight control on the operating expenses. So, they do not want to lose on the changes and other things. So, it is difficult for us to provide a significant volume to Waaree . That is why our supplies are very limited to them.

Manik Bansal: Okay. Thank you, sir.

Moderator: Thank you. The next question comes from the line of Jagmohan, an investor. Please go ahead.

Jagmohan: First of all, thanks for providing the opportunity. My first question is, what is the current capacity utilization on a t onnage basis and is there any scope of growth on the current capacity or do we need to wait for the upcoming CAPEX for volume growth?

Ashok Jain : This question has been answered earlier also. We are operating at 95% and this financial year we are expecting 6 % to 8% increase in the numbers, quantity and the next set of increase will come after the expansion.

Jagmohan: Okay. And sir, what is the current manufacturing capacity in India on TPD basis and what is the expected capacity to come on and by what time?

Ashok Jain : So, 2 ,300 ton s is the current capacity of domestic players currently. Another 2 ,000 ton s should be operational in next 8 months' time or by March, April '26 and thereafter about 1 ,800 ton s will come by December '26. So, this is the current visibility of the capacities. In addition, other players like Av aada and many have also announced their plan to set up glass manufacturing, but their exact details are not available right now. These plan ts might come up in 2027.

Jagmohan: Okay, sir. Thanks for answering the question, sir. That is all from me, sir.

Moderator: Thank you. The next question comes from the line of Deepak from S van Investment. Please go ahead.

Deepak: Yes. Hi. Good evening, sir and congratulations for good set of numbers. My question is related to the realization. Just trying to get the sense. If I am looking into the solar industry as a whole, on the module and cell front, there is a differentiation between DCR and non -DCR market where the realization are completely different for the different market. So, in terms of the solar glass market, how we are placed in terms of the local and whether the pricing for the domestic manufacturer for the DCR market for the glass also a

re the same or is there any difference between DCR and non -DCR market? And is there any further scope beyond 148 square meter kind of realization which we are looking at?

Ashok Jain : So, for glass, there is no such market like DCR related market or non -DCR related market, unlike solar cells or solar modules. So, that is one question. In terms of the realization, we already have given you the indication that imported landed cost is abou t Rs. 145 and we are close to that

number only. So, this is what we should take into consideration for our understanding and projections.

Jagmohan: And sir, in terms of the broader demand and supply situation, it looks like broadly the supply is little constrained than the demand we have. So, would it be further possible that realization to improve from here beyond what we used to see earlier the Chin ese player used to dump or what is the reference price which has been set now? Is there be further scope to improve from there?

Ashok Jain : I think we already said many times this regarding the pricing. So, we will like to maintain our pricing close to the landed cost of imports because that is what customer is willing to pay. And based on the situation, we might have some higher price from so me customers. But on an average, the landed cost should be the criteria for you to take into account what realization Company can get, or any domestic glass producer can get.

Jagmohan: Sure. Thank you. Thank you and wish you all the best.

Moderator: Thank you. The next question comes from the line of A ashish from InvesQ PMS. Please go ahead.

Aashish: Most of the questions have been answered. S ir, the only one thing I wanted to understand is given the situation on the tightness of demand supply, is there a possibility for us to squeeze the working capital further given customers are ready to give advances and all that you said? So, do you see that happening?

Ashok Jain : Yes. So, we are attempting to do that already in terms of squeezing the working capital cycle and trying to tighten on the debtors as well as on the other current assets. And also, in terms of the credit also, we are trying to expand our credit period. So, we will squeeze the average credit number of days as we go along in this financial year.

Aashish: Okay. And regarding the previous question on the realizations. So, will it be safe to assume that maybe 5 %-7% of increase in realization is still possible from what we reported in this quarter, I think 138 you mentioned. So, for FY26, is it a fair assumption to take that way or it's not worth taking a bet that way?

Shreevar Kheruka: So, we obviously want to improve our realization but not to the very…

Aashish: You said 145 is the import landed price.

Ashok Jain : That is the landed price. When we are saying 138 price, that is ex -factory price and to that we have to add average freight . So, delivered price for us is about 144 -145 only, which is same as the landed cost of Chinese glass.

Aashish: Okay. Sure. Thank you so much.

Moderator: Thank you. The next question comes from the line of Rikin from Boring AMC. Please go ahead.

Rikin: Hi, sir. Congratulations on a good set of numbers. So, I just wanted to check in terms of GMB and the insolvency proceeding, is there any scope of recovering anything because we have taken the write -off for exposure, but can we recover anything?

Ashok Jain : So, we have conducted a valuation report. First of all, we did internal assessment. We also got it checked with the GMB management who are people in the driving seat over there. And then we also had appointed a valuer who is doing this exercise over there for many customers. So, he has also submitted his report. As per him, the sales value of the assets which GMB possesses is slightly lower than what liabil

ities it may be required to meet in terms of insolvency proceedings.

So, current indications are tha t nothing is recoverable from the perspective of Borosil . Now, in case something better happens like the sale of business or any significant amount they receive because somebody is willing to pay and the amount is exceeding the liabilities, in that event, we will stand to receive something. But that chance is quite minimal as far as we can see right now, which is the reason why we have provided for the entire amount. Should there be any receipt, we will account for the receipt and report it back to the shar eholders.

Rikin: Alright, sir. And we have had Mr. Ayub's resignation in a very short period of time. So, are we looking to hire and fill that position quickly?

Shreevar Kheruka : Yes. So, it was unfortunate that he had to leave in a short time, but we will be having some person in that position.

Rikin: Alright. That is it from my end. Thank you, sir.

Moderator : Thank you. Ladies and gentlemen, we will take this as the last question for today. I would now like to hand the conference over to the management for closing comments.

Shreevar Kheruka: Thank you for a very involved audience with lots of questions. Really appreciate it. I hope we have been able to represent our Company and the current situation as accurately as possible, and we look forward to interacting with you in the next quarter. Thank you.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2025

November 17 , 202 5

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: BORORENEW

Dear Sir s,

Subject: Transcript of Analysts / Investors Conference Call
Please find enclose d transcript of conference call with Analysts / Investors held on Wednesday , November 12 , 202 5.
You are requested to take the same on record s.
Yours faithfully,

For Borosil Renewables Limited

Kishor Talreja
Company Secretary & Compliance Officer
(Membership no. FCS – 7064)

Encl.: As above .

"Borosil Renewables Limited
Q2 FY '2 6 Results Call "
November 12, 2025

MANAGEMENT : MR. P. K. KHERUKA – EXECUTIVE CHAIRMAN – BOROSIL RENEWABLES LIMITED
MR. ASHOK JAIN – NON-EXECUTIVE DIRECTOR – BOROSIL RENEWABLES LIMITED
MR. SUNIL ROONGTA – WHOLE -TIME DIRECTOR AND CHIEF FINANCIAL OFFICER – BOROSIL RENEWABLES LIMITED
MR. BALESH TALAPADY –VICE PRESIDENT - INVESTOR RELATIONS – BOROSIL RENEWABLES LIMITED

MODERATOR : MR. MANAN MEHTA – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '26 Earnings Conference Call of Borosil Renewables Limited, hosted by Axis Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note t hat thi s conference is being recorded.

I now hand the conference over to Mr. Manan Mehta from Axis Capital. Thank you, and over to you, Mr. Mehta.

Manan Mehta: Thank you. Good evening. On behalf of Axis Capital, I'm pleased to welcome you all for the Q2 FY '26 Earnings Conference Call of Borosil Renewables Limited. We have with us the management represented by Mr. P.K. Kheruka, Executive Chairman; Mr. Ashok Jain, Non - Executive Director; Mr. Sunil Roongta, Whole -Time Director and Chief Financial Off icer; Mr. Balesh Talapady, VP, Investor Relations.

We will begin with the opening remarks from management, followed by an interactive Q&A session. Thank you, and over to you, sir.

P. K. Kheruka: Thank you very much. Good afternoon, and welcome to the Boro sil Renewables Quarter 2 Financial Year '26 Investor Call. The stand -alone and consolidated financial results for the quarter ended 30th September were approved by the Board of Borosil Renewables on Tuesday, 11th November. Our results and an updated presen tation have been sent to the stock exchanges and have also been uploaded on the company's website.

We will now discuss the operations of company on a stand -alone basis as well as on a consolidated basis. The company received INR371.49 crores from investors towards preferential issue of shares and the Board approved allotment of 69,43,691 equity shares to the respective investors on 17th October 2025.

In respect of issue of warrants made earlier in February this year, the last date for payments by allottees is August 2026. However, some have fully paid up already and a sum of INR282.52 crores remains to be received by the company from investors.

Interfloat Corporation, a step -down subsidiary of the company, has faced significant challenges in retaini ng customers following the cessation of annealed glass production at GMB, Germany from 31st December 2024. Fierce competition compelled Interfloat customers to seek highly reduced prices for solar glass, which were unremunerative for Interfloat.

This has l eft Interfloat with a highly reduced demand, which is insufficient to pay for its fixed operational costs. Following an independent review by the management of Interfloat, it is assessed that there are no clear indicators of demand recovery in the near ter m that would support a return to profitable operations.

In view of this, the management of Laxman AG, which is the company's wholly -owned subsidiary, has partially provided its exposure in Interfloat during the quarter ended 30th September 2025 and accordi ngly INR33.87 crores have been considered as impaired out of total exposure of INR57.59 crores and has been provided for in the books of account of the company and disclosed as an exceptional item in the above results.

Coming now to the stand -alone performance. The company achieved sales of INR378.44 crores versus INR332.26 crores in the trailing quarter and INR265.61 crores in the same quarter last year. The company registered EBITDA of 33.2%, showing a significant improvement over the 19.9% in the corresponding quarter.

The absolute amount of EBITDA at INR125.5 crores shows a quantum jump of 137% from INR52.88 crores, 19.9% of sales in the corresponding quarter and 36% compared to an EBITDA of INR92.53 crores, which was representing then 27.8% of sa

les in the preceding quarter.

Sales rose by 42% during this period compared to the corresponding quarter and the major increase, which is 29% in sales value came from the selling prices as the average ex -factory selling prices during the quarter increased to INR147.5 per millimeter as compared to INR115 per millimeter in the corresponding quarter which was INR138.12 in the preceding quarter, leading to improvement in the margins. Besides this, the production efficiencies improved, which enabled a higher sal es volume and better margins.

Exports amounted to INR45.61 crores, accounting for 12.1% of the turnover compared to INR34.62 crores in the preceding quarter when exports made up 10.4% of the turnover. The domestic demand continues to be robust. Manufactur ing capacity for solar modules in the country has already reached 110 gigawatts and is expected to rise to 150 gigawatts by March

2027.
We expect the solar installations in 2025 -26 at about 35 GW (which means modules/glass consumption of about 50 GW) as ag ainst 25 GW during the previous year . ALMM mechanism for modules implemented from April 2024 has led to increased demand for modules as well as for all the components, including solar glass. Demand is expected to grow even higher.
Present solar glass capa city in the country is 2,600 tons per day, which is to say 17 gigawatts. With the expected current demand of about 50 gigawatts for domestic installations, imports occupy about 70% of the consumption, leaving huge scope for capacity addition for import substitution.
Another 12 GW capacity (primarily for captive by a new producer) is getting commissioned by the end of FY26 and further capacity of another 16 GW is expected to be commissioned by December 2026 by existing players including 4 GW by the company. The work on company's expansion project is in progress as per schedule. Finally, we see good prospects to the company over the next few years, looking at the growth in the sector, robust demand and stable selling prices of solar glass. This surge will come from both large -scale utility projects, PM -KUSUM scheme and rapidly rising rooftop installations under the PM Surya Ghar Yojana. The company

is confident to continue t he improve d performance in both sales and EBITDA in the coming quarters, barring any unf oreseen circumstances.
Now I come to the consolidated results for the quarter, which includes the operations of the subsidiaries. The overseas subsidiaries, including the step -down subsidiaries has generated net revenue of INR18.65 crores and negative EBI TDA of INR7.71 crores for the second quarter of the current financial year as against net revenue of INR32.77 crores and negative EBITDA of INR24.43 crores in the preceding quarter.
Provisions have been made for amounts due by Interfloat from GMB, EUR551,000 and customer claim s about EUR 354,000. The results do not include any figures for GMB, which filed for insolvency on 4th July 2025. We understand that the plant of GMB remains shut and the Insolvency Administrator appointed by Court is trying to work out some solution. The consolidated net revenue for the quarter under review stands at INR378.88 crores and EBITDA of INR120.42 crores as compared to net revenue of INR346.58 crores and EBITDA of INR69.28 crores in the preceding quarter, which had the impact of losses of GMB operations. I'm happy to report that the company has been able to achieve a higher sales and much better EBITDA on the back of improved domestic operations despite shutdown of GMB, which was a drag on the profitability and performance.
With that, I would now like to open the floor to questions that you may have.
Moderator: Thank you very much. Ladies and gentlemen, we will now begin with the question and answer session. The first question is from the line of Puneet Gul ati from HSBC.

Puneet Gulati: Congrats on good performance. My first question is with respect to the capacity utilization. What is the utilization you're experiencing right now?
Pradeep Kheruka: Last month, the last quarter, we had pretty much full utilization of the capacity. Out of 1,000 tons per day, it was more than 960 or 980 ton s per day.
Puneet Gulati: Okay. And was it similar to Q1?
Pradeep Kheruka: Q1 was a little less. It was above 900 tons per day in Q1 as well.
Ashok Jain : Q1 was 942 and Q2 is 991. So, 942 tons per day in Q1, 992 tons in Q2.
Puneet Gulati: Understood. That's helpful. And in terms of your realization for the quarter, you recorded 147.5. What is the run rate going in the current quarter? And how much more do you think you can stretch this realization to?
Pradeep Kheruka: It seems to be about the same.
Puneet Gulati: Okay. And lastly, on the other expenses side, they seem to have gone up a bit quarter -on-quarter. Anythi ng to read into that INR 72 crores versus INR 62 crores?
Ashok Jain : So other expenses actually include some onetime expenses and some expenses which have been accounted in terms of the sales support services and some payments made with regard to

overseas subsidiaries because we were not able to pay directly from there. So, some expenses have been paid to the auditors and all and some consultation fees to lawyers overseas for GMB resolution and all for restructuring of GMB for filing of the insolvency and a ll those things. So, there have been some expenses which have increased the other expenses.

Puneet Gulati: How much would that be? And should that normalize into Q3?
Ashok Jain : Yes, we hope to normalize the expense. Some cut down will be there in those ex penses.
Puneet Gulati: Okay. And lastly, if you can talk a bit about what you're seeing in terms of new capacity coming in from competition or any pressures that you are seeing from the import side?
Ashok Jain : So, as we have given the details of the capacities coming up, the total capacities after adding our capacity and the competition capacity will still be shorter than the demand in the country. So, these capacities are now coming up because the antidumping h as come into play. The demand is already at 50 gigawatt and capacity will not be more than 45 gigawatts in another 1 to 1.5 years' time, so there will be still scope to add further capacity .
Puneet Gulati: And anything more in terms of write -offs that you need to do for your European subsidiary?
Ashok Jain : No, there will not be any.
Moderator: The next question is from the line of Akash Jain from Money Curves Analytics .
Akash Jain: Yes. Apologies for asking a very basic question. I just wanted to understan d if I have to look at the glass o n ton per megawatt, how should I think of it in terms of module capacity in megawatt and how much glass goes into -- solar glass goes into the module on a per megawatt basis?
Ashok Jain : In bifacial modules about 46 kilo g lass goes in 1 module which is about, say, 580 -watt peak or something. So, from that, you can calculate the numbers, how many tons of glass will be required per gigawatt or say 100 -gigawatt based on 46 kilo per module of 580 watt peak.
Akash Jain: Okay. And just one more quick question. On this Interfloat we have obviously taken an impairment. But at an ongoing level, will there be more losses over there because we have not stricken off or -- that company at an ongoing basis will continue to make some loss es?
Ashok Jain : There is a minor amount of loss which we are trying to curtail further. As you can see in the Q2, the losses have come down sharply as compared to the Q1 in terms of the overseas subsidiary, which also includes certain provision because of the claims from the customers of past business which we have transacted. But going forward, that is not existing no

w. So, the expenses will be much lower. So, loss will be quite minimum.
Akash Jain: And this company primarily only in a way, buys or trades modules and sells it to customers. So that is the primary -- because there was also a manufacturing company in Germany. So, what was this company primarily doing?
Ashok Jain : So the manufacturing company has been shut, as you know, from 4th of July as it h as gone to insolvency and all. This company has all along been selling the goods manufactured by the

manufacturing company. And prior to that also, it was importing and selling the goods into European Union. So, this was a selling company or marketing comp any from that perspective. So, it buys the goods, or it acts on a commission basis and earns income.
Akash Jain: Now that we have closed the German company, this will not -- what is the thought process behind curtailing this and not shutting this down also ? Because I would assume that, that company typically will not do much business now given that we have filed for bankruptcy of the German manufacturing company. So, I'm just trying to understand on an -- is there a plan to complete shut this down also goin g forward? Can you also please tell a little bit in terms of that also?
Ashok Jain : You're right, that option also will come for discussion actually. We are trying to first see whether there are any improvement s possible or not in terms of its profitabilit y. And by next quarter or so, we w ill have taken a decision regarding this. For this quarter, we'll just try whether this can still be got into a positive position.
Moderator: We take the next question from the line of Ronak Jain from Sangh vi Fam ily Office .
Ronak Jain: I have one question that this EBITDA margins of 33%, is it sustainable for future? What are your guidance on this?
Pradeep Kheruka: I think we are fairly confident to sustain this margin at this level.
Moderator: We'll take the next question from the line of Rikin Shah from The Boring AMC.
Rikin Shah: Great results. Just wanted to ask that across the ecosystem in solar modules, there's a lot of price correction that is happening, whereas we have a ADD, which is floor price in dollar terms. So how is the end customer absorbing this in a time where his -- perhaps his module prices are correcting?
Ashok Jain : So you have been seeing the results of the module manufacturing companies who are our customers. And their margins have been quite robust in that sense and their ROCE is quite robust. It's almost 60% to 80% in many cases, return on capital employed. So obv iously, this is not a normal margin on a sustainable basis.
So, there may be some contraction in the margins for the module industry because of the, say, overcapacity or whatever the challenges may be there. At our level, I think currently or so far, we have not experienced any pushback from the customers with rega rd to the selling prices. So,

this antidumping duty in the form of MIP has been helping us a lot. And as of now, we are not finding any pressure for reduction or any kind of pushback in the prices.
Moderator: The next question is from the line of Prateek G iri from Subh Labh Research.
Prateek Giri: Mr. Kheruka Good set of numbers. So, Mr. Kheruka, I just wanted to understand the demand supply dynamics at this point of time because if I look at the industry demand versus the supply which we can do at this poi nt of time, probably with 1,000 TPD capacity, so, should we assume flattish performance every quarter from this point onwards because probably we are runnin g at

100% capacity utilization o r is there a scope of debottlenecking in the existing capacity? That 's the question number one, Mr. Kheruka ?
Pradeep Kheruka: To answer that question, I'd say that you see there is always a sp

ur that you spurred on to higher
attempts, better performance. So, the higher demand for the glass is spurring us -- the manufacturi ng team to do even better, achieve better efficiencies. And we are trying for that. And hopefully, we can expect some improvement, not very significant perhaps, but improvement nonetheless.
We are already getting prices which are aligned with the MIP for the import s. So, I do not see much change there. And I would expect that we may expect a little improvement in the working efficiency going forward based on constant effort made by the team. But generally, in this ballpark. Yes. Besides this, there will be -- as you mentioned abo ut efficiencies.
Ashok Jain: There is also an effort to reduce the cost in terms of the, say, power cost, we will be achieving some savings because our captive -- group captive power plant will get commissioned by end of this month most likely. So, we will have certain savings arising out of that. And also, some operational improvements or some work which we have done in raw materials or coating materials will help us to achieve some efficiencies. So, there will be a certain amount of uptick in margins due to these efficiencies. And of course, the production efficiencies will also be -- our attempt will be to increase there as well.
Prateek Giri: Understood, Mr. Kheruka. So should we assume -- I mean, just trying to numerically unde rstand it, debottlenecking should have a scope of only 5%, 10% is what yo u're saying. I mean, immaterial?
Ashok Jain : I think, maybe 3% something what we are targeting, about 3%.
Prateek Giri: Understood. Okay. Got it. My second question is on -- pardon my ignorance, Mr. Kheruka, but I just wanted to understand the mix of our probably proprietary 2mm glass, which only we have in the industry, if I'm not wrong. So the entire revenues from that glass only or there's another product mix here?
Pradeep Kheruka: See, what has happened is even though we were able to successfully manufacture fully tempered 2-millimeter glass, the Chinese could not do it. When the Chinese could not do it and the Chinese control the m arket in the sense they are the overwhelmingly largest manufacturers in the world. so, they are supplying something called heat strengthened glass, which is a safety glass and you manufacture that by running it through the same tempering line. But at the e nd of it, you don't get a fully tempered glass, you get a heat strengthened glass, which is a strong glass. It acts as a cover plate for the solar modules. So, in that sense, we still have not got anybody who is interested in a fully tempered 2 mm glass. If we find somebody, then of course, we'll be very happy to sell them.
And we are in discussions with some module makers to get them to try to buy this and make a product which is differentiated. So, if they do that, then we will be having something bette r on our side. But as it stands, we are easily making all the 2 -millimeter heat strengthened glass that we need to, and it's going quite well.

Prateek Giri: Understood. So the current revenue is primarily from non - 2-millimeter glass, but the best which you can produce at this point of time?
Ashok Jain : No, we are making 2 -millimeter heat strengthened glass. See, the product is same as what is being available in the market . So, 2 millimeter is almost two -third or 70% of our production and rest is 3.2 millim eter. So, 2 -millimeter market is growing very rapidly, and we are pretty much there to supply 2 -millimeter glass to the customers. It is significantly high portion of our sales now.
Prateek Giri: Understood. The 2-millimeter glass has better realization th an 3-millimeter glass. Is it right?
Ashok Jain : Realization is roughly the same, roughly the same, maybe some difference, marginal.

Prateek Giri: Got it. Mr. Kheruka may I put on

e last question, if you don't mind?
Pradeep Kheruka: Go ahead.
Prateek Giri: Yes. So, I was just wondering that our capex, which we have already put a lot of effort for is anyway going to come at least next year, probably at least a gap of 1 year. Is there a possibility of acquiring any other mid, small -sized glass manufacturer in t he country so that we can beef up our production a little faster -- because ultimately the ADD is for 5 years. So I was just wondering if you can -- is there a scope of faster execution of capital expenditure or other capacity expansion?
Pradeep Kheruka: To answer that question, actually, as of now, we are fully aware of all the manufacturers of glass, and we don't know that anybody is interested in selling. So, the question is a little bit rhetorical, but we cannot say anything at this stage. We have boug ht a number of companies in the past, successfully turned them around. So, I mean, if an opportunity presents itself, we would always consider such an opportunity.
Prateek Giri: Understood. Mr. Kheruka, Is there any Chinese inventory left into the ecosyste m or the module manufacturer has over imported in anticipation of AD D or is the inventory clear?
Pradeep Kheruka: No, the imports of glass from China are continuing every month in very huge volumes. The module manufacturers are paying the duty and importin g the glass. So, I would say that more than 70% of the modules which are today being made in the country are using imported glass. So, despite the fact that we have been growing in the Indian industry, the demand has been growing even faster. So, we do ho pe that with the new investments which have been made and which are under production -- under construction and erection, we will be having a lot more glass in the country. And we would then be able to supply that requirement from within India rather than i mporting. But as of now, the demand is very robust.
Ashok Jain: I think from the module angle, there may be some kind of inventory buil t up which has happened say, towards the middle of September to now because of 2 reasons. One was earlier because of the GST reduction implementation. Since the module duty was being reduced or the GST was

being reduced, there were some holdbacks from the bu yers. And off late due to monsoon, there have been delays in terms of installation.
So, at the module level, there has been some build up in the inventory. But typically, what we have seen is that last 4 months of the financial year, that is December to M arch, the installations are very quick and very high. So, we assume that the inventory will get cleared during these 4 months and the module -- inventory at the module level will moderate to normal levels.
Prateek Giri: Good set of numbers, congratulations .
Moderator: We take the next question from the line of Daksh Malhotra from Aadriv Global.
Daksh Malhotra: Congratulations on the good set of numbers, especially on achieving the margins that we had anticipated and even surpassing them. So well done. And i f we happen to continue this pace of more than 30% on the EBITDA level, that will definitely considered to be better. So sir, actually, I missed your point on the initial notes where you were mentioning that there are -- there is some other company which i s planning to set up the solar glass manufacturing in India to start with 12 gigawatt of production and then there's an additional 15 gigawatt coming, sir. Can you please repeat what you were saying then?
Pradeep Kheruka: See, 12 gigawatts is Reliance. The y have sort of -- not that there's a formal announcement, but within industry circles, they have been saying that they should be in pro duction by March of '26. Though again, industry circles feel this might be delayed till June. But at the end of the day, it's coming, whether it's March or June, whenev

er it is, it's coming.
So, we expect that to definitely happen. And there are other companies which are coming up, Vishakha is coming up with 1,200 tons. Then Emerge is coming up with 300 tons. Avaada is comi ng up with 1,200 tons and there's another company in Hyderabad, I think, we're hearing about.
Daksh Malhotra: They've not yet started ?
Pradeep Kheruka: Okay. So, this Avaada 1,200 tons and Emerge 300 and Vishaka 1,200, 700 from us -- 600 from us. These are all -- they are definitely coming. There's no question about that. And some other people have also been talking about it. So, we expect that production is certainly going to rise significantly. In fact, it will more than double in the country.
Daksh Malhotra: So, we are currently at about 16 -gigawatt, double would be -- with Reliance and all of the other 1,200, 300, 1,200, 600 of ours, ballpark about 15 gigawatt is already in plan in the pipeline, which will com e.
Pradeep Kheruka: I guess 4,700 tons, 4,700 tons per day of melting capacity is getting added, if I'm right. Give me

one second. So actually, just to put the numbers on one page.
Daksh Malhotra: Can we please convert it in gigawatt, it would just be easi er

Ashok Jain : Yes, yes. So, I'm just giving you that. 18 gigawatt is the capacity currently. Another 12 is coming from Reliance and another 12 is coming from Vishakha and Borosil put tog ether. So this is about say 48.
Pradeep Kheruka : Vishakha itself is 1 200 Tons .
Ashok Jain : He's talking in gigawatts.
Pradeep Kheruka : Yes, gigawatts, sorry .
Pradeep Kheruka: So 18 plus 12 -- Reliance plus 12 of Borosil plus Vishakha, this makes it 48 gigawatts, which should happen by March '27. And other than that, Avaada is 7 gigawatts.
Daksh Malhotra: Which makes it 42 gigawatt...
Pradeep Kheruka: Another 3 will come from Energe so 10 gigawatts from there. So, it might become 55 to 58...
Daksh Malhotra: And the demand is 50?
Ashok Jain : Current demand is 50, which is also likely to grow because the hydrogen demand has not yet come in this because Reliance plant is basically for hydrogen, green hydrogen. They want to make the modules for use in power production for hydrogen.
Daksh Malhotra: Can you please correct me, Relian ce was making that heterojunction technology, a different glass, right, which was said to be more efficient ?
Pradeep Kheruka: No, the glass remains the same No, no, no, no. There's no problem with the glass. There's no difference in the glass. The differen ce is in the module manufacturing machine and the cells, et cetera. So, the glass remains unchanged. So there is some talk that they might be coming in the Topcon line also. The heterojunction is a little expensive. That's what we hear in the market. So, we don't know what they'll do.
Daksh Malhotra: Nutshell, sir, we see ample demand even after expanding our 600 ton capacity, we see and demand should no t be an issue for the country?
Pradeep Kheruka: Absolut ely correct.
Daksh Malhotra: We won't have to probably look at export markets to fulfil our?
Pradeep Kheruka: No, as of now, it doesn't look like that at all.
Moderator: The next question is from the line of Deepak Purswani from S VAN Investment.
Deepak Purswani: Congrats for a very go od set of numbers. Just wanted to. What is the current average realization? Last quarter average was 147. And what is the current run rate, which is happening in the market?
Pradeep Kheruka: About the same.

Deepak Purswani: Okay. And secondly, sir, if I we re to look into the balance sheet, there is a significant improvement on the inventory side as well. So just wanted to get the perspective, how should we see -- look into it going ahead? I mean what are the key changes which has led to this improvement in the...
Pradeep

Kheruka: Typically, when we close the quarter of the year, we have very little inventory. On 31st March, we washed our warehouse with water. It was absolutely empty. There was not one single inch of glass in the warehouse on the 31st -- on the 1st of April. So, we try to achieve that. We have small quantities, very small quantities at the end of each month, but we have a habit of trying to clean out the warehouse completely.
So, we don't see inventories here, generally. An d of course, we are trying to -- now I'm just saying that so far as inventories of spares and raw materials, et cetera, are concerned, these are -- they depend on multitude things. So right now, we've got refractories fo r setting up -- rebuilding our two furnaces, SG1 and SG2, which hav e been in operation since 2019. So, we are ready with that. So obviously that inventory is showing up in the books. And once the furnaces are taken down for rebuilding, then those will get consumed at that time. So, there's a little bit of surge and depletion like that.
Deepak Purswani: Okay. And sir, just thinking a little longer term in nature, if I were to look into probably 3 to 5 years down the line, see, I mean, at the current juncture from the industry point of view, there is an ADD component and hence, there is a sharp localization demand which is coming into the picture.
If I were to look into 3, 4 years down the line, if you can also give a sense what is the difference in terms of cost of production for the Indian and Chinese players? And eventually, at what scale we can reach or probably will have a similar cost of production of the Chinese players. If you

can share your perspective?
Pradeep Kheruka: See, I want to tell you, you raised a very interesting question t o which I'll give you a straightforward answer. You see the point is how do you measure cost of production? If you measure cost of production in terms of rupees, then you have to value the input which you are using to manufacture a unit of output. Now the value of your input might be higher here as compared to China. So it will appear to be a higher cost per unit of production. So that is a little difficult to fathom. So what we do for our internal benchmarking purpose, we try to see what are the units of c onsumption that we use per unit of output. So how many kilograms of raw material do we use sand, soda ash, et cetera? How much fuel do we use to get a unit of output? And there, we are better than China.
We are more competitive than them. We are not less competitive than them. The thing is they are subsidized in a very, very big way. And because of that subsidization that they are selling at a lower price, it has nothing to do at all with any specialized lower cost of production or anything like that.
Deep ak Purswani: Okay. Got it. And sir, finally, on the -- if you can also give some -- share some perspective on the Interfloat Corporation? I think from the provisioning point of, we have done INR 34 crores

out of INR 58 crores. Firstly, how should we see th e remaining provisioning? And also, is there any further scope -- I mean, is there any further subsid iary where we have to take some write - off in the future? Or this is only another entity we are looking for?
Pradeep Kheruka: We are looking at what we beli eve we can derive from that, but they do have cash in their books and there are certain amounts due to us. So, we believe that we should be able to get that money back. And that's why we haven't taken that write -off. And the write -off that we've taken is b ased on certain claims that certain customers had made and which have to be payable according to European law for delay in supply, of non -delivery and stuff like that because you see that GMB shut down production almost without any notice. And there had b een pending orders, et cetera, which could not ge

t delivered. So, there are some claims for which there is no backing, which we have decided to take as a hit, we've decided to provision the accounts by that.
Ashok Jain: So, we have actually accounted in this adjustment including the extra cost or the losses likely say, negative results up to March '26, whatever they are going to be having.
So that much we already accounted in this by way of impairment. So hopefully, we should not have any further provis ioning to be made on this account. And as I said earlier, before the maybe next quarter or so, we will take a decision on the company or the operations there so that further costs can be cut down or if we have to take a decision to shut the operations, the n we can do that as well.
Moderator: The next question is from the line of Anuj Jain from Globe Capital.
Anuj Jain: Congratulations on the wonderful set of numbers. Almost most of my questions have been answered. Just one question on the export part. Currently, we are having 12% odd for exports and which was 10% in the last quarter. So, going forward, how -- what kind of mix we are comfortable with?
Pradeep Kheruka: Actually, this is a question of our customers. if we have existing customers who wish t o import something from us, we offer a certain price, which is -- which we are comfortable. And if they accept then we export. So it's not that we're actively going out looking for anybody, and we do not discourage them when they come. So, this is as it ha ppens.
Ashok Jain: 7% to 10% in export is something what we can consider in a normal course, 7% to 10%.
Anuj Jain: 7% to 10%. And what are the differential in margins in terms of exports and domestic?
Pradeep Kheruka: We try to go for the high -margin stuff.
Anuj Jain: So I mean...
Pradeep Kheruka: Within exports, there are specialized products that everybody cannot make. So, we get a better price for that. So, when we get that kind of an order, then we accept the order and we make it for them.
Moderato r: The next question is from the line o f Vikrant Sibal from Money curves Analytics.

Vikrant Sibal : Sir, since kind of the outlook is so positive on the demand side for us, is there any thought on maybe increasing the capex like currently, we are doing 600 TPD, maybe why not maybe go for more capex because the commissioning time, the setup time is quite high, right? It takes almost 1.5 years from the date of construction to date of production. So, any plans of kind of increasing

capex and kind of going for m ore capacities?
Pradeep Kheruka: At the moment, you see, we are sticking to this because it's not a question of money. You need people. Ours is a very highly skilled operation. And as it is, we are running -- we are neck to neck with our requirement for manpower. So, we have to train people on this job of actually manufacturing the glass. It's a very demanding, very taxing operation to make glass. So, we would rather do what we think we can manage rather than stretching too far and then landing in the sou p.
Vikrant Sibal : Okay. And would the inorganic make sense for you versus greenfield, if that opportunity arises for you?
Pradeep Kheruka: We can go for a greenfield. We have all the capability to go into a greenfield operation if the opportunity exists or if that is the right thing for us to do. But right now, by growing where we are already located, we are able to have several economies of scale and economies in management, et cetera, which are very attractive. And so we don't need to, at this moment, consider going outside anywhere.
Vikrant Sibal : Okay. So just a thought because the demand scenario is going to be so strong for next few years, if we believe the solar story. I think at some point in time, maybe not now, maybe a couple of quarters down, I th ink you should look to get more aggressive on increasing your c

apex as well
because the lead time is considerab ly high for you to set that cape x?
Pradeep Kheruka: I agree with you. Thank you for the thought, which we accept gratefully and we'll keep it in head.
Moderator: The nex t question is from the line of Ronak Jain from Sanghvi Family Office .
Ronak Jain: I just wanted clari fication that that there was a h umour -- sorry, there is a rumo ur that we are entering into module rooftop manufacturing. I am so sorry for fumble there . Can you just confirm that rumo ur?
Pradeep Kheruka: You see, the point is that as a dynamic company, we have to keep exploring different options. And the option of manufacturing modules comes up from time to time. And we even consider it a little bit seriously. But at this moment, the expansion plans for glass for the new furnaces for 600 tons per day are very important and they are large capex. They require not just money, but you require manpower, you require management time and a lot of things. So at the moment, we are not looking at making modules at this time.
Ronak Jain: Thank you, sir for clarification. That's all from my side.
Moderator: Thank you.

Pradeep Kheruka: If there are no further questions, we can end this call .
Moderator: Yes. Please go ahead with your closing comments.
Pradeep Kheruka: My closing remarks are just that it's very encouraging to have this kind of conference or a meeting with investors because many questions are asked and it makes us happy that people are following this business so closely. We do believe that we are in an industry which is a sunrise industry and very large sco pe for growth in this industry a nd we are -- we hope that all investors will continue to flourish those who have invested in ren ewables.
So, with these remarks, I thank you and I'd like to see you again at the end of the next quarter when we have our next set of investor call.
Moderator: Thank you, sir. Thank you, members of the management. On behalf of Axis Capital, that concludes this conference. We thank you for joining us and you may now disconnect your lines.
Thank you.

Call: Feb 2026

February 03 , 202 6

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: BORORENEW

Dear Sir s,

Subject: Transcript of Analysts / Investors Conference Call
Please find enclose d transcript of conference call with Analysts / Investors held on Thursday , January 29 , 202 6.
You are requested to take the same on record s.
Yours faithfully,

For Borosil Renewables Limited

Kishor Talreja
Company Secretary & Compliance Officer
(Membership no. FCS – 7064)

Encl.: As above .

"Borosil Renewables Limited
Q3 FY '2 6 Earnings Conference Call"
January 29, 202 6

MANAGEMENT : MR. P. K. KHERUKA – EXECUTIVE CHAIRMAN – BOROSIL RENEWABLES LIMITED
MR. ASHOK JAIN – NON-EXECUTIVE DIRECTOR – BOROSIL RENEWABLES LIMITED
MR. SUNIL ROONGTA – WHOLE -TIME DIRECTOR AND CHIEF FINANCIAL OFFICER – BOROSIL RENEWABLES LIMITED
MR. DHAVAL PATEL – ASSOCIATE VICE PRESIDENT - INVESTOR RELATIONS – BOROSIL RENEWABLES LIMITED

MODERATOR : MR. ROHAN GHEEWALA – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Borosil Renewables Limited Q3 FY '26 Earnings Conference Call h osted by Axis Capital Limited. As a reminder, all participant lines

will be in the listen -only mode and there will be an opportunity for you to ask questions afte r the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rohan Gheewala from Axis Capital. Thank you, and over to you, sir.
Rohan Gheewala: Thank you, Shubham. Good evening. On behalf of Axis Capital, I am pleased to welcome you all for the Q3 FY '26 Earnings Conference Call of Borosil Renewables Limited. We have with us the management represented by Mr. P.K. Kheruka, Executive Chairman; Mr. Ashok Jain, Non-Executive Director; Mr. Sunil Roongta, Whole -Time Director and Chief Financial Officer; and Mr. Dhaval Patel, AVP, Investor Relations. We will begin with the opening remarks from the management, followed by an interactive Q&A session. Thank you, and over to you, sir.
Pradeep Kheruka: This is Pradeep Kheruka, Chair man. Good afternoon, and welcome to the Borosil Renewables quarter 3 FY '26 investor call. The stand -alone and consolidated financial results for the quarter ended 31st December '25 were approved by the Board of Borosil Renewables on Wednesday, 28th Januar y. Our results and an updated presentation have been sent to the stock exchanges and have also been uploaded on the company's website.
We will now discuss the operations of the company on a standalone and consolidated basis. On a standalone basis, the com pany achieved an all -time high quarterly sales of INR386.5 crores versus INR275.28 crores in the same quarter last year. And INR378.44 crores in the preceding quarter.
The company's EBITDA at INR129.04 crores, which is 33.4% of sales, was a quantum jump of 518% from INR20.89 crores, which is 7.6% of sales in the corresponding quarter last year, while it remains consistent with an EBITDA of INR125.5 crores, which is 33.2% of sales in the preceding quarter.
Sales rose by 40% during this period compared to the corresponding quarter last year. Almost the entire increase in sales value for the quarter came from increased sales prices. Average ex - factory selling price during the quarter increased to INR149.97 per millimeter as compared to INR104.54 per millimeter in the corresponding quarter last year. This compares with INR147.5 in the preceding quarter, leading to a significant rise in the margins.
Exports amounted to INR20.74 crores, accounting for 5.4% of the turnover compared to INR16 crores in the corresponding quarter when exports made up 5.8% of the turnover. Company's major markets that is EU, Turkey and U.S.A. continue to face challenges due to low demand.
The do mestic demand continues to be steady, even though the anticipated changes in GST and prolonged monsoon challenged solar module manufacturers with postponed deliveries. This had led to cash flow blockages for the manufacturers and a decline in the selling p rices of modules affecting the margins.

The delivery situation started to improve towards the middle of December and is now normalizing. With 145 gigawatts of module manufacturing capacity, India is now an international manufacturing hub. This is expected to rise further to 200 gigawatts by 2027. While conventional wisdom projects capacity utilization of module manufacturers to come down, my personal guess is the reverse.
With the landmark Indo -European Union free trade agreement now a reality, I foresee the European Union to start sourcing a portion of its solar modules from India. If this is handled r

ight within the agreement, the solar module manufacturing industry could become a significant beneficiary under this agreement.
Coming to solar installatio ns in India. In the first 9 months, these have been around 30 gigawatts and another 10 gigawatts can be expected to be added in the last quarter, making a total of 40 gigawatts in 2025 -26 (which would reflect modules glass consumption of about 55 gigawatts) as against 24 gigawatts during the previous year. ALMM mechanism for modules implemented from April 2024 has led to rush for capacity additions and which many feel could lead to overcapacity, which would have its own repercussions in the future.
Conside ring challenges in grid stability and power evacuation, we see a trend of increasing adoption of battery energy storage systems. The cost of fully dispatchable renewable power with battery storage is now reduced considerably with aggressive bidding and has come down to about INR4.5 per watt peak.
Significant investments are seen in this space. Government has introduced ALMM -II with effect from June 2026, mandating use of domestically produced solar cells. It is expected that the solar cell capacity, which is currently at 24 gigawatts will rise to 75 gigawatts by 2027, looking with the momentum to add capacities.

The next step will be to introduce ALMM -III from June 2028, under which ingot and wafer will also be mandated to be locally produced. These measur es will ensure building up of a local supply chain and ecosystem. While we expect the strong demand for glass to continue, we are in dialogue with the government to develop and introduce measures to ensure a continued robust demand for all domestic compone nts, including solar glass.
Present solar glass capacity in the company is 2,600 tons per day, which translates to about 18 gigawatts. Considering the expected current demand of about 55 gigawatts on DC basis for domestic installations, imports occupy abo ut 70% share of the consumption, leaving huge scope for capacity ad dition for import substitution.
We understand that new capacity additions, majority being for captive consumption from the existing and new players will take the total domestic capacity to about 51 gigawatts by March '27, which will still be short of the real demand.
CVD on imports from Malaysia set to expire on 8th March 2026 has now been extended by 3 months to 8 June 2026 since DGTR is considering the sunset review . We expect the autho rity to issue the final findings in the next couple of months.

Now I come to the consolidated results for the quarter, which include the operations of the subsidiaries. The overseas subsidiaries, including the step -down subsidiaries have generated net revenue of INR3.96 crores and EBITDA of INR1.9 crores for quarter 3 financial year 2026 against net revenue of INR0.43 crores and a negative EBITDA of INR5.08 crores in the previous quarter.
The consolidated net revenue for the quarter under review stands at INR390.46 crores and an EBITDA of INR130.94 crores as compared to net revenue of INR378.88 crores and EBITDA of INR120.42 crores in the preceding quarter.
The wholly owned German subsidiary, Geosphere filed for insolvency after the German bank ILB demand ed payment of capital subsidy of EUR 4.81 million given by them to GMB to support capex plans as GM B has undergone insolvency. Geosphere has denied obligation to make such payment as the condition of operating GM B for 5 years could not be fulfilled due to force majeure situation arising out of inaction by the EU /German government to support domestic solar glass manufacturing.
I'm happy to report that the company has been able to achieve significantly better sales and EBITDA for the last few quarters on the back of improved domestic operations. Sales on a standalone basis for 9 months in this financial year at INR

1,097 crores, showing an increase of
40% for the corresponding 9 months in the last year and an EBITDA of INR347 crores shows a jump of 235% over t he corresponding 9 months. With that, I would now like to open the floor to questions that you may have. Thank you.
Moderator: Thank you very much. The first question comes from the line of Vikram Sharma from Niveshaay. Please go ahead.
Vikram Sharma: My first question is what would be a trigger for announcing further capacity expansion if demand remains very strong and if we see other players are announcing aggressive expansion plans. And we also have feedback from the market that Borosil offers the best quality among Indian players. So if we are unable to supply, then definitely demand may shift to other manufacturers. So how we -- what is management's view on this and how are you thinking?
Pradeep Kheruka: It's like this that there has been a very signi ficant increase in the number of new participants. So with the increase in number of new entrants, there has been a lot of poaching of expert people. And when we are now currently in the process of taking up production by 60%, which is quite a lot actually and requires a lot of people.
So we are cautious. We don't want to move in a hurry and not be able to manage the situation. So I guess that should answer your question. But we are very conscious -- we are acutely conscious of the increased demand, and we are acutely conscious of the fact that we may have to do something about it. Thank you.
Vikram Sharma: Okay. And the second, sir, like what will be the impact of rupee depreciation? So -- hence our selling price improved in this quarter? Or are we expecti ng it will improve further?

Ashok Jain : So you can see in the last quarter, our average realization was INR147.50 and this quarter, it is nearly INR150. So some advantage we are gaining out of this depreciation. But it's only marginal increase and not a si gnificant one.

Moderator: The next question comes from the line of Nidhi Shah from ICICI Securities.
Nidhi Shah: So I want to know, firstly, on the divestment from the German subsidiary. What are our time lines on that? When can we expect the loss to sort of go away from our consol P&L? That's the first one.
Pradeep Kheruka: So the answer to that is that you see the company has filed for insolvency. A gentleman has been appointed by the court to look into the affairs of the company and see whether liquidati on is required or some new buyer can be found, et cetera. And until that entire process is complete and a final recommendation is placed before the court, the next action cannot be foreseen by us.
Now from our point of view, what we had done was that we h ad provisioned the entire amount of money which we had invested and which had remained outstanding from that company. So there is nothing more that we could do. And I mean, that would really be the limit of our involvement in the matter by our understandin g. So they will...
Ashok Jain : So from the perspective of accounting and losses, we already deconsolidated the balance sheet by deconsolidating GMB, which is an operating step -down subsidiary and now we also deconsolidated Geosphere, which was a holding company of GMB. So the deconsolidation is already done in the balance sheet. So assets have been removed. The investment has been removed.
And even the losses, which were in the form of other equity earlier have been adjusted back. So all that has been do ne and there are no more losses. As you can see, the consolidated and standalone results, there are hardly any differences. So it is more or less a standalone, which is being shown as consolidated now.
Nidhi Shah: All right. My second question would be on the expansion. I can see that we are on track to complete by December '26. Is this the entire capacity then? Or

are we -- or will we be phasing it out? And when can we expect, say, utilization upward of 89% on the expansion?
Pradeep Kheruka: We expect that -- you see the date announced by us had been March '27. And we are discussing December '26 based on indications, which you can see today. As you know, setting up a project entails a lot of different agencies, a lot of supplies coming together. And it's ve ry difficult to accurately predict when all of these will actually come together and then th e people required to set it up.
We're also going to be looking at a monsoon this year. And that also has a tendency to delay matters. So we are -- we expect that a lways to start one furnace first, stabilize it and then start the second one. As matters stand, we are building both the furnaces side by side. So they should be getting complete within just a couple of weeks of each other, in my opinion.

Nidhi Shah: My la st question would be on the macro is that -- where do you think the prices for solar glass specifically are headed given that there are a lot of other macroeconomic factors that are affecting the prices? Where do we see in the next year probably solar glas s prices will go given that it's a steady state of tariffs and duties?
Pradeep Kheruka: You see because there is a minimum import price set by the government, the prices which are coming in from China are fixed to that. We are looking at what the governmen t might do with glass coming from Malaysia because we cannot make -- we cannot hazard a guess. We did have a 9.71% CBD on that. So there are only 3 possibilities. It might go down, it might stay the same, it might go up.
Whatever that is, the module manuf acturers generally, they set their purchase for the longer term rather than the shorter term. So wherever we have business, which is ours, which people to whom we are supplying, we do not expect there to be interruptions in that. Small changes in prices ar e always possible. So when that happens, that will happen. And to that extent, it's impossible to predict anything with certainty.
Moderator: The next question comes from the line of Deepak Purswani from Svan Capital.
Deepak Purswani: Congratulations for a good set of numbers. Sir, firstly, I wanted to check it out in -- like we mentioned, 70% of the import -- I mean, 70% of the consumption is catered through the import. If you can also give a broader sense in terms of the -- like if the ADD on Malaysia is getting extended.
Pradeep Kheruka: There is no ADD against Malaysia, you see I have to be accurate in the terms that I use. So there is an ADD on imports from China. There is a CVD on imports from Malaysia as it stands. Now once the government comes out wi th its findings, whatever those might be, that we will be able to know once the government has said so, which might take us a couple of months. Yes.
Deepak Purswani: So sir, just wanted to check it out, what is the pricing difference between Malaysia and I ndia route, Indian manufacturer and Malaysian route?
Ashok Jain : See Indian domestic industry is pricing the products based on the Chinese l anded cost. The Vietnam ese cost and Malaysian cost is slightly below the Chinese cost. But we always try to

position ourselves as an import substitute for Chinese prices and try to get that much price. But
the difference between Chinese and Malaysian and Vietnam ese pricing is of th e order of 3% to
4% in my view.
Deepak Purswani: Okay. And just wanted to check it out, is there any further scope for the price hike at the current
level given the further depreciation of rupee? Or how has been our dialogues with the clients at
this point of time?
Ashok Jain : We don't foresee a significant change going forward. The prices are quite stable at these prices
at these levels, and they are fairly competitive in that sense. And we are comfortabl

e at these
prices.

Deepak Purswani: Okay. And second ly, sir, if you can also give a broader sense in terms of the -- any raw material
or fuel cost inflation, which -- I mean, are we facing any...
Pradeep Kheruka: We are not able to hear you completely.
Ashok Jain : We lost the end part of your question.
Deep ak Purswani: So just wanted to check it out, sir, if you can give a broader sense in terms of -- are we facing
any raw material or fuel cost inflation at the current juncture or how we are placed at the current
juncture?
Pradeep Kheruka: At the moment, we do not see any inflationary tendencies in the cost of inputs. whether raw
materials or fuel, you see we are living in a very volatile environment, as we all know. And there
is no doubt about it that the Indo -European Union deal has brought a sense of stabi lity generally,
not just to India, but to other markets which are not related to us as well. So I don't know that
there might be any volatility. At the moment, nothing is foreseen. So things look like they should
be stable.
Ashok Jain : So there have been s ome increase in prices of 1 or 2 key inputs, but the plant operations have
worked very diligently in order to remove or say, do away the impact of th e price increase of
that particular input.
Pradeep Kheruka: Increasing their efficiency.
Ashok Jain : They have increased the efficiency. They have changed the batch mix and done many other
operational adjustments due to which the impact is not felt in the final results. So of course, there
have been some changes at the price levels, but the team has been able to control the impact.
Deepak Purswani: Okay. And finally, sir, if you can give the data related to the volume growth in the 9 months.
And we were also talking some efficiency gains, which we would look out in the existing
capacity. So if you can just upda te on that par t, that would be really helpful?
Ashok Jain : So the operational gains in the form of volume is about 6% up compared to last year's 9 months.
And we expect this to continue in the current quarter as well. So on the whole, compared to last
year, we'll have at least 6% volume growth.
Deepak Purswani: Okay. And is there a further possibility to optimize or get some more efficiency till the time new
capacity get operationalized?
Ashok Jain : We keep trying every day, and we are not stopping here at 6%. So obviously, the team is there
to try for increasing the output further. It would be marginal in my view at least 2, 3 percentage
is what we can expect.
Moderator: The next question comes from the line of Rikin Shah from The Boring AMC.
Rikin Shah: Congratulations on a steady set of results. Sir, my question is a little on the policy end. So on
the module manufacturing end, the ALMM policy for cells is going to be implemented in June
2026, which is going to mandate a large part of cells in the projects to be -- have a good DCR

content, I think complete DCR content. So with that logic, I -- on the ground, I don't find enough
cell capacity in India at the moment. It is being put up. So do you think a temporary demand
issue could come up because the module manufacturers may not be able to sell if they don't have
their own cell capacity?
Pradeep Kheruka: There is no bar on the import of cells. So I do not see anybody who has orders for modules not
being able to manufacture and supply that because the cells can be very easily sourced from
China. There's a certain price attached to it. That's all.
Ashok Jain : So from your perspective, your question is regarding what happens after June '26 . The
Government and the Industry are working together. And in case the s ituation comes in where
the cell capacity cannot ramp up to the current level of module manufacturing and demand, the
Government an

d Industry together would be able to find some solution, I suppose.
And the government may come up with some deferment or some leeways for certain projects -- certain type of projects, whereby the manufacturing can continue using the imported cells till the time the domestic production of solar cell increases to the level of consumption. So we have to leave it to the government, I think, but I do not think government will take a stand that the module production has to stop if the solar cells are not available locally.
Pradeep Kheruka: I can add one thing about the governmen t that I'm seeing a level of interaction with industry and with customers by the government, which I have not seen before. They are very f requent . They know exactly what they're doing. And in industry and in consumers, I think we are very satisfied and com fortable that the government is doing every single thing possible to increase solarization and deployment of solar energy in the country.
Rikin Shah: That helps a lot. The reason I asked is because your commentary is a little conflicting from module manufa cturers who already have their cells in place. But obviously, that's to each their own. Sir, my next question is a bout the l and at Bharuch. So we have obviously been very cautious about expansions. But do we have any room for further expansions after the 6 00 TPD is in place? I mean t he land space and the utilities?
Pradeep Kheruka: We can easily go for another furnace. It's all there. We have to decide to do it and it can get done. In fact, we have all the utilities batch house, everything is ready in case we want to go ahead. There's nothing stopping us other than caution.
Moderator: The next question comes from the line of Vanchita Amlani, an individual investor.
Vanchita Amlani : My first question is related to the revenue. What will be the revenue visibil ity for next 4 quarters?
Pradeep Kheruka: We do not expect any major changes in revenue. And the reason for that is that we are manufacturing at full production and selling everything that we make. So I don't think there will be much change in revenue. The re can be a few percentage points plus or minus, but I don't see any major change.
Vanchita Amlani : Okay. So we can say that the end of FY '27 it will be flat quarter -on-quarter?

Ashok Jain : Generally, up to December, it will be similar kind of revenue. And once we start the production from the new furnace, which are under construction right now, in the Q4 FY '27, we might see some revenue coming from them. And then thereafter, the revenue will increase by 60% as the capacity is going up by 60%.
Vanchita Amlani : Okay. My second question is related to the equity. Is there -- will there be any further equity dilution?
Ashok Jain : No, there will be no further equity dilution. We are completely funded from the perspective of these expansions. And in case we ne ed to expand further, the cash accruals will support us. So as of now, there is no plan to raise further equity.
Vanchita Amlani : Okay. And what is our targeted RO CE after 4,600 expansion is on?
Ashok Jain : ROCE will be upwards of 25%.
Moderator: The next question comes from the line of Mehul Panjwani from 40 Cents.
Mehul Panjwani: Sir, as you mentioned that the government is doing a lot for the solar sector. So what can be some of the positive developments from the budget for our company?
Pradeep Kheruka: That's a million dollar question.
Mehul Panjwani: I mean what are some of the possibilities? I know that we don't have any information, but what can we expect in terms of what developments we have seen so far in the last 1 year?
Pradeep Kheruka: See, accor ding to me, as far as the solar glass production is concerned, our big ask was for antidumping duty, which the government was able to grant us last year. So that part has been done.

For the rest of it, there are no hiccups in our quest for implementation o f our new project. And other glass manufacturers also who are trying to implement new glass projects also are coming up -- coming online. And I don't see that there's any hiccup from the side of the government.
So far as what they can do, it's impossible for me to think, though I can say one thing. Recently, we saw in GST, in many items, they reduced the GST from 18% to 5%. And that made a very big impact on the sales of those products like automobiles and other things. So in that sense, I don't know what the government might do for rooftop solar for -- right now, there's a certain limitation on companies being able to set up renewable energy projects. So normally, it's limited to 100% of their contract demand.
Now when you set up a project for 100% of con tract demand, you will only get about 20% of that. So you're still buying 80% from the grid. Now if the government goes up and says we can make it double, triple, quadruple, I don't know. That would really set the market on fire. So we -- I don't know what the government can come up with in their effort to increase this.
One thing now is there that from a module manufacturing capacity of 10 gigawatts about 3 -4 years ago, we are at 120 gigawatts. So we have the muscle power now in terms of manufacturing.

And I've also mentioned about the European trade deal. If something works out over there,

Europe has installed about 70 gigawatts of modules in the year '24. T he 25 -year figures are not yet out.
So if they take, say, even half of that, there will be 35 gigawatts they can buy from India. So, I mean, everything is open -ended. This trade deal is a big deal in my opinion. So let us see in what way this plays out.
Mehul Panjwani: Sir, my second question is regarding our German subsidiary. Can we say that all the negative developments are out of the way now?
Pradeep Kheruka: As we have been advised by lawyers, according to the advice given by our lawyers, there's nothing more that can be -- that we can be stuck with.
Mehul Panjwani: And is there any possibility of any positive thing happening? I mean, like the German -- like we are able to sell the subsidiary to another company and recover some of the losses?
Pradeep Kheruka: Frankly, I think that is unlikely.
Ashok Jain : The German subsidiary and the manufacturing company is under the control of court now and court -appointed administrator. So we have lost the control already. We have deconsol idated the balance sheet. It's not in our control now, though we have shares. So it is -- the court and the administrator who will take a decision whether to sell the company or they can find any buyer or they have to sell the assets of the company, it will be decided by the court and the administrator.
Moderator: The next question comes from the line of Karan Sanwal from Niveshaay.
Karan Sanwal: I wanted to ask what would be the proportion of electricity and natural gas in our power cost? And how much savings can be made from addit ion of renewable energy at the plant that we have set up? And how does the recent increase in natural gas pricing, does it affect our power and fuel cost?
Ashok Jain : So power and fuel is close to 32% of the cost of production, both put together. And in te rms of the saving on the power cost, we can save almost 1.5 bps in terms of the incremental margin on the company sales. So it's a quite substantial saving which we can achieve through the renewable energy deployment, which we are -- I mean, this is slight ly delayed from the developer side. So this was to be commissioned in September, but we expect it to be commissioned by end of February now.
So this will save about INR1.25 crores per month or something like that. And yes, so these are the things which we can see in the coming quarte

rs. Natural gas price recently has gone up to some extent because of the increase in the prices of the U.S.A gas, the Henry Hub Gas. So we have certain benchmark contracts, which are linked to those benchmarks, and we have to p ay as per those movement in those benchmarks. So the cost has slightly gone up in the last quarters.
Karan Sanwal: Do we anticipate impact on margins due to this increase in prices?

Ashok Jain : It will not be significant because we are doing our bit to save on the consumption in terms of both power and fuel and try to optimize our production, which can offset these cost increases.
So there will not be any significant change in the margins.
Karan Sanwal: Understood. And sir, what would be the proportion o f import from Malaysia currently versus during the time the ADD was implemented?
Ashok Jain : Say, 2024 before the ADD was levied on China and Vietnam, the imports from Malaysia were almost nil. And as soon as the ADD started in December '24, the imports st arted in a big way.
Currently, Malaysian imports are to the tune of about 25% of the total imports. And Vietnam is about 10%. 65% is basically from China.
So this is a broad composition of the imports as of now. And Malaysia has become significant only af ter the antidumping duty has been levied on China and Vietnam. So it is important for us to get the C VD continued so that it does not increase further from here.
Karan Sanwal: So do they have the capacity to increase imports from here as well, the Malaysia n domestic players?
Ashok Jain : Yes, they have commissioned more capacity in Malaysia. So the capacity is available for export to India or to any other part of the world. So that will not be a constraint. So we have to take concrete steps in terms of the g overnment to continue leav ying the CVD and control the imports from Malaysia.
Karan Sanwal: Understood. And one last question is, how much time would we take to stabilize our line and

the utilization once the lines are commissioned the new lines?

Ashok Jai n: We will -- we expect to fire the furnace in December '26. And thereafter, we generally plan for 3 months trial period to stabilize the production. Now it all depends on the process adjustment and behavior of the -- synchronization of all the equipment a nd furnace. It might be done in 1 month and It might take 3 months. We have to see. But 3 months is something what we have budgeted.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for cl osing comments. Thank you, and over to you, sir.

Pradeep Kheruka: Thank you very much. It was nice to have the questions from participants. It's very interesting to see the amount of interest which investors take in the company and this process. And we assure that from our side, we will do our very best to continue to run the company professionally and efficiently. Thank you very much. Bye-bye.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

May 16, 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: BORORENEW

Dear Sirs,

Subject: Transcript of Analysts / Investors Conference Call
Please find enclosed transcript of conference call with Analysts / Investors held on Wednesday, May 13, 2026.
You are requested to take the same on records.
Yours faithfully,

For Borosil Renewables Limited

Kishor Talreja
Company Secretary & Compliance Officer
(Membership no. FCS – 7064)

Encl.: As above.

"Borosil Renewables Limited
Q4 FY '26 Results Call "
May 13 , 202 6

MANAGEMENT : MR. P. K. KHERUKA – EXECUTIVE CHAIRMAN – BOROSIL RENEWABLES LIMITED
MR. ASHOK JAIN – NON-EXECUTIVE DIRECTOR – BOROSIL RENEWABLES LIMITED
MR. MELWYN MOSES -- CHIEF EXECUTIVE OFFICER -- BOROSIL RENEWABLES LIMITED
MR. SUNIL ROONGTA – WHOLE -TIME DIRECTOR AND CHIEF FINANCIAL OFFICER – BOROSIL RENEWABLES LIMITED
MR. DHAVAL PATEL -- ASSISTANT VICE PRESIDENT -- INVESTOR RELATIONS -- BOROSIL RENEWABLES LIMITED

MODERATOR : MR. ROHAN GHEEWALA – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Borosil Renewables Limited Q4 FY '26 Results Call hosted by Axis Capital Limited. This conference call may contain forward -looking

statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch - tone phone Please note that this conference is being recorded.
I now hand the conference over to Mr. Rohan Gheewala from Axis Capital.
Rohan Gheewala : Thank you. Good evening. On behalf of Axis Capital, I'm pleased to welcome you all to the Q4 FY '26 earnings conference call of Borosil Renewables Limited. We have with us the management represented by Mr. P. K. Kheruka , Executive Chairman ; Mr. Ashok Jain, Non - Executive Director; Mr. Melwyn Moses, Chief Executive Officer; Mr. Sunil Roongta, Whole - Time Director and Chief Financial Officer; and Mr. Dhaval Patel, AVP, Investor Relations.
We will begin with the opening remarks from the management followed by an interactive Q&A session. Thank you, and over to you, sir.
P. K. Kheruka : Good afternoon, and welcome to the Borosil Renewables quarter 4 financial year '26 investor call. This is Pradeep Kheruka , Executive Chairman, addressing all of you. The standalone and consolidated financial results for the year ended 31 March, 2026 and for the quarter were approved by the Board of Borosil Renewables yesterday, Tuesday, 12 May. Our results and an updated presentation ha ve been sent to the stock exchanges and have also been uploaded on the company's website. We will now discuss the operation s of company on a standalone basis as well as on a consolidated basis.
I'm extremely happy to announce that the company has, on standalone basis, achieved a significant milestone of sales of INR1,500 crores for the year gone by. The company recorded sales of INR1,534.83 crores for the year gone by versus INR1,109.94 crores in the last year, showing an impressive growth of over 38%. I'm delighted to report that the company has achieved a robust EBITDA of INR491.68 crores for the last financial year, which is 32% of sales, showing a quantum jump of 172% from INR180.51 crores, w hich was 16% of sales in the last year.
The average ex -factory selling price realized during the year increased to INR146.7 per millimeter as compared to INR113.44 per millimeter in the last year, which contributed significantly to the dramatic turnaround in the revenue and EBITDA margin. The rise in selling prices has been possible only after the government's positive approach by levying antidumping duties on solar glass imports from China and Vietnam in December 2024.
Sales in quantity terms were higher by about 8% compared to last year. Exports amounted to about INR113.29 crores, accounting for 7.4% of the turnover compared to INR87.11 crores in the previous year when exports made up 7.9% of the turnover. Coming now to the quarterly

results. The company recorded sales of INR437.62 crores versus INR327.23 crores in the corresponding quarter of the previous year. This has surpassed the previous all -time high quarterly sales of INR386.5 crores in the previous quarter, that is to say, third quarter of the current financial year.
EBITDA for the last quarter at 33% of sales was INR144.61 crores in quarter 4 financial year '26, showing a quantum jump of 88% from INR77.03 crores, which was 23.5% of sales

in the
corresponding quarter last year. This has also exceeded the previous quarter EBITDA of INR129.04 crores. The average ex -factory selling prices during the quarter increased to INR150.2 per millimeter as compared to INR127.6 in the corresponding quarter and from INR149.97 in the preceding quarter, leading to a marked improvement in the margins, while improvement in production efficiencies and cost reduction measures also contributed.
Sales in quantity terms were higher by 15% compared to the corresponding quarter and 14% over the preceding quarter. Exports amounted to INR12.32 crores, accounting for 2.8% of the turnover compared to INR17.85 crores in the corresponding quarter last year when exports made up 5.5% of the turnover. The company's major export markets continue to face low demand.
The ongoing war in West Asia has adversely impacted oil and gas supplies. The industries had to struggle to get fuel supplies. Fuel prices of imported gas more than doubled and prices of furnace oil also rose by over 50%. In this difficult situation, the c ompany had no choice but to request its customers to accept a fuel surcharge. We acknowledge the cooperation extended by all our esteemed customers. We did not curtail production and have been able to maintain full production throughout. Looking to this ad verse supply situation, the company has further intensified efforts to improve efficiencies and cut costs. I'm happy to say that the rise in fuel cost has not so far made any impact on our margins.
The domestic demand for solar glass continues to be robust, led by a rise in domestic production

of solar modules. The ALMM mechanism for modules has led to rush for capacity additions within India. These now stand at 193 gigawatts as on 1 May, 2026 and is expected to rise soon to exceed 250 gigawatts. The solar installations in financial year ended '26 have been at an all-time high at 44.6 gigawatts, (which means modules o r glass consumption of 60 to 62 gigawatts) as against 23.8 gigawatts last year.

Looking at the success of ALMM for solar modules, the government has introduced ALMM -II with effect from June 2026, mandating use of domestically produced solar cells. This has already led to rise in the solar cell capacity to 30 gigawatts, which is expect ed to rise to 75 gigawatts by the end of this financial year as significant capacities are under installation, although the announcement suggests that this would surpass 100 gigawatts.

The government has also announced introduction of ALMM -III from June 2028, under which ingot and wafer will also be mandated to be locally produced. In view of this, many existing large module cell manufacturers have announced their plans to set up capacit ies aggregating to about 55 to 60 gigawatts. These measures will ensure building up of a local supply chain and ecosystem and ensure lowering import dependence for energy security need for which it is felt more than ever in the current war and geopolitica l situation.

Going by a scenario with a continued high level of demand and expected growth in demand from other emerging sectors like EV, data centers and green hydrogen, we expect a rise in installations to nearly 65 gigawatts per annum on DC basis, leading to a high demand for solar glass. Present solar glass capacity in the country, 2,600 tons per day, that is to say 18 gigawatts. Currently, imports occupy about 70% share of the consumption of about 62 gigawatts, leaving huge scope for capacity addition to substitute the imports and meet the growing demand. Based on information available, we expect solar glass capacities of about 33 gigawatts by multiple companies, majority of which is for captive consumption to be commissioned by March 2027, taking the total domestic capacity to 51 gigawatt s as against current level of demand of about 65 gigawatts, still leaving a respe

ctable gap to be filled.

I'm pleased to say work on our ongoing expansion at our existing location is in full swing. All the orders or nearly all the orders have been placed, building construction is proceeding as per plan, and we expect timely completion of the project. Once commissioned, this is expected to generate certain operating leverages.

Company has decided to enhance the existing business by starting a new division for selling rooftop solutions with a view to offer superior products to customers by sourcing from outside unused Borosil brand and distribution. The rooftop market comprising of PM Surya Ghar Yojana and commercial and industrial sectors is large, and the company will use appropriate strategy to tap the same. There is no capex plans at this time for the initial period.

The Board has also approved an enabling resolution to raise equity funds up to INR750 crores, subject to approval of shareholders.

The relevant authority, that is to say that Director General of Trade Remedies, has issued final findings in the matter of CBD on solar glass imported from Malaysia, recommending CBD for the next 5 years. We expect the Ministry of Finance to issue a customs notification before the current duties expire on 8 June, 2026.

In the quarterly results for June '25, , a provision has been made for INR325.91 crores towards the exposure in German subsidiary, Geosphere and step -down subsidiary GMB in view of insolvency filing by GMB. The company has received a copy of the report dated December 1, 2025, issued by court -appointed insolvency administrator of GMB, which was submitted to the insolvency court in Cottbus, Germany. As per the report, assets of GMB are insufficient for discharging its liabilities and creditors are unlikely to receive any amounts. In view of this, the company in its books of accounts for the financial year ended 31 March, 2026 has written off the above exposure in Geosphere and GMB. Since fulfilled provision had already been made in the books of account previously, it will not result into any additional loss in the books.

Now I come to the consolidated results for the quarter and year for the subsidiaries -- including the subsidiaries.

The overseas subsidiaries, including the step -down subsidiaries have generated net revenue of INR2.3 crores and EBITDA of INR0.82 crores for quarter 4 of the last year as against net revenue of INR3.96 crores and EBITDA of INR1.90 crores in the last quarter.

The consolidated net revenue for the year stands at INR1,555.84 crores and EBITDA of INR465.96 crores as compared to net revenue of INR1,479.33 crores and EBITDA of INR92.84

crores in the last quarter -- in the last year.
I'm happy to report that the company has been able to surpass the consolidated net revenue of last year despite shutting down of production in Germany from July 2025.
With that, I would now like to open the floor to questions that you may have.
Moderator: The first question is from the line of Sahil Sheth from Anand Rathi Institutional Equities.
Sahil Sheth : Congratulations on the great set of numbers. Sir my question would be, if we were to look at our realization for the quarter, it is at around INR150 per millimeter. What part of this realization would be because of the pass -through in increase of gas and what would be the realization we were not -- if we hadn't passed on the prices to the customers?
Ashok Jain : It's very minor amount, very minor. Less than INR1.
Sahil Sheth : Okay. And sir, my second question would be, as you said in your opening remarks that out of -- currently, the demand stands around 65 gigawatts and upcoming capacity is expected to reach 51 gigawatts. Do you see any pressure in realizations or margin terms in the coming year?
P. K. Kheruka : For the company, for domestic glass manufacturing, I do not see any pressure.
Ashok Jain :

The demand is much higher than 51. And most of these capacities which are coming up are for captive consumption. So, the capacities which will be available in the market will be very limited. So that way the pressure will not be there as per our understanding.
Sahil Sheth : Okay. And sir, in terms of our export markets, apart from U.S., which are the other key markets which has the most potential right now as per your calculations?
P. K. Kheruka : There are specialized demand centers in Europe, which we are meeting for greenhouses and flat plate solar collectors and so on. And there are still some module manufacturers who are continuing to operate in Europe. We meet the demand as well, plus, of cour se, the United States.
Ashok Jain : So United States is not a very large market for us as of now, but it may become large because now the U.S.A. wants the material, which is not coming from Chinese origin. So, the customers are looking at India as one of the source country, and we might get some demand generated from U.S.A. in the coming quarters.
Moderator: Next question is from the line of Anuj Jain from Globe Capital.
Anuj Jain : Congratulations on the great turnaround. Just want to understand, sir, I missed in your speech, opening remarks, that there is some deadline, which is on 8 June, 2026 that government will come with some notification. What was that, sir? I missed that part.
P. K. Kheruka : We had applied for extension or variation in the C VD, which has been imposed on imports from Malaysia. That's the countervailing duty. So, the Director General of Trade Revenue has per our

application and has put forward his recommendation for continuation of the C VD, which had been previously imposed. And the date for expiry of the previous C VD is 6th of June. Now we are saying that we are hopeful that before the expiry of that 6 June deadline for extension of the old C VD, the new announcement should come to continue.
Anuj Jain : Okay, sir. Got it. And sir, I just want to understand one more thing. I mean, like in terms of realization in the subsequent quarter, it was INR149 and in this quarter, like it was INR150 something. So, I mean what kind of headroom is available for this pricing?
I mean, what kind of differential is available in the international market as well as in the Indian market? I mean, kind of headroom for the coming period. I mean, what room do we see?
P. K. Kheruka : You see, the only other -- I mean, fundamentally, the solar glass supply is coming from China, Indonesia, Vietnam and Malaysia. So, the companies in Vietnam, Indonesia and Malaysia are 100% owned by China. So therefore, in the eyes of most of us, including the government, these are seen as Chinese companies. So, other than these Chinese companies, we have Borosil as a manufacturer today together with other Indian manufacturers. And internationally, there is just one manufacturer called Sisecam in Turkey.
But because of the current hostility in the Red Sea area, any import from Turkey for India would have to go across the Mediterranean around the Cape of Good Hope in Africa and then come to India. So, the shipping charges would be exorbitant. So, we do not really see any challenge from any other producer as of now.
There was a factory coming up in UAE, which would have been ready for firing any time. But because of the very adverse conditions prevailing currently in the Strait of Hormuz, I do not see how glass can come from UAE to India, even if they decide to start the furnace production.
Ashok Jain : In regards to the headroom available, the exchange rate has been rising continuously. The dollar has been strengthening against the rupee, which allows certain headroom, but it will not be significant. We are already at almost peak of the pricing.
Anuj Jain : Right, right. So that's what's my understanding. Okay. And sir, one more

thing. I mean, like you
said have that in this quarter, you have passed on certain raw material , fuel cost in these prices

to the customers. So, what is the scenario in this current quarter? Like we are already in the middle of the current quarter. So, I mean, do we see that this passing on of the fuel -- higher fuel costs is possible?
Ashok Jain : The fuel surcharge, which was levied has been continuing ever since it was levied on say 10th of March or so. And the prices have been fluctuating in the meantime of gas and oil. So, we will have to take a stock at the end of 30 June that what has actually happened over a period of 3 months. But on balance, we feel that it will even out. As far as we see the data, the pricing difference and the cost difference would eventually even ou t at the end of 30 June. That's our feeling.

Anuj Jain : Okay. And one last question, sir, like in the history of Borosil, we have seen in like FY '26, 28% kind of EBITDA margins we have seen, which is highest in the history. So, what sort of margins we can expect going for this financial year and onwards?
Ashok Jain : I think we already said 30% to 33% margin is something what we consider achievable, barring any unforeseen circumstances.
Moderator: Next question is from the line of Mehul Panjuani from 40 Cents.
Mehul Panj wani: Sir, congratulations on a great set of numbers. Sir, in view of the current West Asia crisis, let's say, if this crisis was to extend further, do we see -- apart from the fuel impact, do we see any other impact in terms of raw material or any other, which can adversely impact us?
Ashok Jain : Yes, you're right. There are several raw materials which are affected by oil prices. So obviously, there has been cost pressure and there is some disturbance coming. And the vendors are talking to us to pass on certain cost increases, which we have been negotiating with them. And so far, the impact has not been very high in terms of the rise in input cost.
But should the conflict continue for a long time, there will be additional burden on the cost of certain inputs, which we'll see how to mitigate in terms of whether we can mitigate through the cost savings and production efficiencies or we'll have to look at some price increases. But so far, the cost pressure is not high.
P. K. Kheruka : So, I must make a -- you asked a very interesting question. And interestingly, for some companies, the problem has not been faced in the shape of increase in cost of inputs or raw materials. The problem has been faced in a very, very unexpected direction, whi ch is that workers have been leaving their jobs and going home. And the reason for that is that the workers in their homes are not able to get LPG to cook food. So they are not able to continue.
Now I want to say in the case of our company, we are very fortunate because we are running on natural gas. We have pipes natural gas, in which though the price might have been fluctuating, there is no fluctuation in supply. So as far as we speak today, we have not had one single hours of loss due to non -availability of food for the workers. And so food is fully and plentifully available, which is in a way a kind of a positive for our company that the workers are happy to stay there and they're able to cook their food. Thank you.
Mehul Panj wani: Sir, this was very insightful. Sir, second question is on -- because of this moving away from -- I mean, moving -- the demand for renewable energy is going up across the globe now. So, in view of that, are we planning any expansion which we have not -- I mean -- or are we in the discussion process of expanding further so that we can capitalize on this excess demand which will come our way?
P. K. Kheruka : So, as you know that we are already well on way to set up new production of 300 tons per day 2 furnaces. So that is 600 tons per day, wh

ich we hope to see in production within this financial year. And that could increase our production capacity by 60%, which is quite sizable.

And in addition to that, we have taken a further step forward, which is that as I mentioned in my opening remarks, we've started marketing rooftop solar installations and solutions u nder the brand name of Borosil.
So, for the time being, we shall be procuring very high -quality modules made under our strict guidelines and our specifications from very reputable manufacturers, which we shall supply to the public at large under the Borosil brand.
Now this could have a signature impact on our operations because we do have a good brand. And in time, we have no doubt, our brand will be well established as a leading dependable supplier for rooftop solutions by the citizens of our country, and then that should give us further improvement in our margins.
Mehul Panjuani : Sir, by when would this -- both these initiatives start contributing to our top line?
P. K. Kheruka : See, we have made our first sales in March already. So, the current turnover already includes a

very -- well, it actually doesn't include anything yet because we book the business, but we are going to start delivering now. It's very difficult to say to what extra, but let's say, we might be aiming for about INR75 crores sales for the first year, which is very modest. But in time, this could become very significant.

Mehul Panjuani: Sir, but that is for the rooftop, right? I'm talking about the 2 furnaces, which we have planned and which will be operational in this financial year. So, when would they contribute to our top line?

P. K. Kheruka : Sensibly, we should take it from the next year.

Mehul Panj wani: Q1 of next year, sir?

P. K. Kheruka : Q1 of next year. We expect that there might be some sales in this year, some, but it's too early to have a guess.

Moderator: Next question is from the line of Kaushal Sharma from Equinox Capital Ventures Private Limited.

Kaushal Sharma : Sir, actually my question has been answered. Congratulation for good set of numbers.

Moderator: Next question is from the line of Vanshita Amlani, an Individual Investor.

Vanshita Amlani : Sir, in this quarter, we have recorded a tax benefit from...

Moderator: I'm sorry to interrupt, Vanshita. We are not able to hear you properly. Can you use your handset mode, please?

Vanshita Amlani Sir, in this quarter, we have recorded a tax benefit from write -off of German company. Can you please guide what tax credit can we consider going forward?

Ashok Jain : So actually, next year, we are going to capitalize our expansion. So that way our tax outgo would be very minimal because INR950 crores capitalization we'll be doing in the current financial year. So it is difficult to predict as of now what would be the tax percentage. With deferred tax, it would be same 21% or so.

Vanshita Amlani : Okay. We can consider around 21% on PBT?

Ashok Jain : Yes.

Vanshita Amlani : And sir, as you said, LNG prices are passed on to the customers. So, sir, it is not reflected in the realization. It is more or less flat and gross margin is also around 1.2% flat. So, can you please explain this?

Ashok Jain : Yes. So , this impact is only for about 20 days in the last quarter or even financial year. And the impact of this fuel cost rise was less than INR1, as I said, maybe about INR0.70 or INR0.75. So similar amount of increase you can see in the net realization also between the last quarter 3 and quarter 4. So, this figure is not very significant. And in terms of the realization, it is not impacted greatly.

Moderator: Next question is from the line of Deepak Purswani from Svan Investments.

Deepak Purswani : Congratulations for a very good set of numbers, especially in the challenging environment. Sir, firstly, I wanted to check it out. If I were to check it on the sequential basis, our revenues has grown 13%, whereas our realization is flat -- largely flat on the sequential basis. So there seems to be some volume gain in the last 3 months. So just wanted to check it out.

Is it primarily a 10% efficiency gain which we have seen? That's the reason there is a sharp improvement in the volume or how should we read into it?

Ashok Jain : Deepak, it's a mix of the 2 actually. There has been increase in the production. That is one thing. And the second thing is the impact of Ind AS, because in the last quarter of this financial year, the inventory which was or the sale which was in transit was much lower compared to the earlier periods. So, there has been incremental sale coming in this quarter, which has shown up as increase in sales. So, it is almost 50 -50, you can say. Out of the 15% or 14%, 7% would be the production gain and maybe similar amount due to the Ind AS.

P. K. Kheruka : There's another matter, which is that at the end of the year, there were many module makers who are very keen to complete their sales and their production. So, we literally had to sweep our warehouse. And we had virtually, I think the lowest stock of glass we have ever held in our life was on the 31st of March, 2026. We had, I think, 1 shift of production or something like that in stock. So, everything was sold out.

Deepak Purswani : Okay, okay. And secondly, sir, wanted to check it out on the fuel cost. From the gas supply point of view, how should we see on the incremental basis? Is it completely secured at this point of time? And what is the kind of arrangement we have in terms of t he long -term contracts and spot pricing basis?

Ashok Jain : So, we have contracts for medium term as well as the short term, which is on the monthly basis.

And the quantities are broadly secured. The price is a problem, which is the current market price we have to pay for certain gas. As per the government directive, even the past -- the gas cut has been applied, which is related to the past 6-month usage, average usage. So, whatever the quantity we were using in past 6 months or rather say buying from our source, that is the quantity available at agreed price. And the rest we are buying from the same vendor or different vendor at market -related price. So only price is a challenge as of now, the quantities are secured.

Deepak Purswani : Okay. And thirdly, sir, wanted to check it out from the rooftop solar point of view, if you can share the road map over the next 3 years? How should we see scaling up of this business? And what would be the kind of investment we would be looking? Whether w e would be putting manufacturing capacity for this going ahead or this would be purely outsourced kind of model? And what would be the kind of investment we would be making in the marketing and distribution network in this?

Ashok Jain : So, it's a little early for us to give you all the details. But broadly, we are not envisaging any capital investment for next 1, 1.5 years. That is one thing. Second thing is that we are going to outsource all the 3 components, which we are -- or the kit, wh ich we are going to supply will have 3 items, solar module, inverter and battery. So, all those items, we are going to outsource from other reputed vendors and supply as a part of our offering.

And in terms of the manufacturing, we will take a call after 1 year or so as to what amount of manufacturing we can do. We are surely looking at inverter for the purpose of manufacturing or assembly, but not the modules and other things. And we don't envis age a very large capex to be incurred on this business at this point in time. But we can only review the situation after, say, 6, 8 months and then come back to you further on this.

Deepak Purswani : Okay. An

d finally, sir, one book -keeping question. Depreciation for the year as a whole has come down versus the last year. How should we see this in this year? I mean, if you can give some explanation for this, sir? And how should we see this going ahead? On the existing facility, I do understand for the new capitalization, there would be incremental depreciation. But for the existing facility, how should we see going ahead?

Ashok Jain : So, we should take the current run rate of the depreciation because the past capex which was on earlier furnaces, SG1, SG2, the period has expired for the life over which we were to depreciate those furnaces. So , after that period is over, the depreciation has dropped considerably. And current depreciation mainly belongs to the last expansion, which we did in 2023, which is the continuing capex .

I can add here is that the old furnaces, SG1 and SG2, will have certain capex when we rebuild them, which will be almost INR100 crores on 2 furnaces, which will get incurred whenever we are taking these furnaces for repair and rebuild, which might happen in the next calendar year.

Deepak Purswani : Okay. Got it. And sir, finally, on the enabling resolution of INR750 crores for the fundraising, if you can give a broader sense on that, that would be really helpful.

Ashok Jain : This is just an enabling resolution taken by us for any eventuality. As of now, we don't have any plans. Rather, we don't have any need also to raise any capital. But should there be any opportunity or need, then this is an enabling resolution taken by the Board.

Moderator: Next question is from the line of Sidhant Lodaya from Sanshi Fund.

Sidhant Lodaya : Sir, I just wanted to understand what the trend is regarding ex -factory selling prices and how do you look at it in next 3 quarters, respectively?

Ashok Jain : Can you say again? You were not clear.

Sidhant Lodaya : Yes. I just wanted to understand what will be the trend of the ex -factory selling prices?

Ashok Jain : Well, it is difficult to predict the trend, but we are selling against the landed cost of imported Chinese glass. And that is also a benchmark based on the reference price, which is already determined. So, if nothing goes wrong, the prices should continue at this level. And we don't foresee much challenge in maintaining the prices.

Sidhant Lodaya : Understood. And any guidance on the EBITDA margin? Are these current margins sustainable at around 30%, 33% for the next year?

Ashok Jain : Yes, the same reply was -- same question was asked and reply is already given that on a normal basis, we expect 30% to 33% margin in this business.

Moderator: Next question is from the line of Vrijesh Gupta from Pentacle Consultants.

Vrijesh Gupta : Congratulations on a good set of numbers. My question comes around like attending the Q3 con call, the management said that they are not currently looking for capacity expansion of the Bharuch plant, and they are working on 100% capacity. So, coming on down to the Q4, does the view remains intact or there is a change in view currently?

Ashok Jain : So, unless the expansion gets commissioned, there is no additional capacity coming in between. So, your question may be that in the coming quarters, whether there will be any capacity expansion. Our expansion will get commissioned only in the Q4 of this current financial year.

Before that, there will be incremental improvement in the production because of our efforts to bring in more efficiencies or increasing productivity, which will be incremental in terms of, say, 3%, 4%, 5%. Other than that, there will not be any substantial increase in the production or sales volume.
Moderator: Next question is from the line of Amit Mehta from Sunidhi Securities.
Amit Mehta : Congratulation for good set of numbers. Regarding the capex which we are doing about 600 tons per da

y, I've been -- I was told earlier that we are doing 2 furnaces of 300 tons per day each. And probably the first furnace might go live in the month of January 2027. So, is the time line is the same for the first furnace?
P. K. Kheruka : As of now, yes, that's what we are looking at.

Amit Mehta : Okay. And this margin, which we have reported about 33% in this quarter. And in the opening remarks, Mr. Kheruka ji has said that once the expansion comes, there would be the benefit of operating leverage coming in. And since we're adding almost 60% capacity from 1,000 tons to 1,600 tons per day, okay?
And the new furnace may have the higher output yield. So, is it safe to assume that the combined margin would be much better considering the benefit of new furnace and the benefit of operating leverage?
P. K. Kheruka : Well, I think as far as we are concerned, that is certainly our expectation. That is our hope. And so far, things have panned out as we had expected. The new installations are going to be an upgraded version of what we have now. And I hope that, that will show its colors, but Borosil typically works at the cutting edge of technology. And so our expectations are much better. Now we have to wait and see what we can realize.
Amit Mehta : Okay. And the last question about our rooftop solar in the new venture. You have said that the first year, you are targeting INR75 crores of revenue, and without any further major capex as most of the thing will get outsourced. So currently, we are doing about more than 30% margin in our existing business. So can we assume that this kind of business is it is an asset -light model. And since this is an extension of what we are doing in the similar, so can we assume the margin will be in the similar line even on the...
P. K. Kheruka : I would be very surprised if it is a similar line. It could be a lot lower than this. And part of the reason that we have this high 32% margin, also, I must say that the asset to turnover ratio in setting up a glass factory is very adverse. So, the total turnover is much less than the value of the assets that we have installed. So, for that, the margin has to be very high to be able to repay debt and so on.
So, at this rate, it's all, of course, very profitable. So, in the case of bought out item with virtually no asset, the rate of margin would be a lot lower than this, but should still be profitable. And because of the fact that we -- once we take up a job, we try to do it well. Hopefully, we will have a good reput ation and Borosil rooftop solar installations will become the preferred choice for many householders as they are in other things that we work with in household goods and so on.
So, if that happens , then yes, it should be a business worth having.
Ashok Jain : So actually, the scaling up is the key here in terms of this kind of business. Initially, you may spend a lot of money on the brand building, which fortunately, in our case, the brand is already existing. It's a very robust and good brand to deal with. And in terms of the volume, once we build a substantial volume, that even a smaller percentage would work out to be a good overall absolute EBITDA numbers. Initially, we may expect less than 10%, just to give you a number.
But eventually, it will work out better once we have certain volumes.
Amit Mehta : Okay. Now this may not require any capex in terms of the capital investment. But normally, what kind of working capital will get clocked to do this INR75 crores of turnover?

Ashok Jain : Well, we are trying to ensure that it does not become adverse on the other business, and it is self - financed business as of now. So , we are negotiating terms of sale and purchase in a way that it does not need a lot of working capital.
Amit Mehta : Okay. So, whatever is com

ing is the incremental profit to the existing profit pool, correct?
P. K. Kheruka : That's the expectation.
Ashok Jain : In the initial year, we don't expect profit actually. So maybe 1 year, we have to allow it to gather steam and then we can say that how much we can really generate on this business.
Moderator: The next question is from the line of Dhiral Shah from Phillip Capital PCG.

Dhiral Shah : Sir, as we are running at full capacity, so do we expect the current sales momentum based on the ex -factory price which is there that will continue for the next few quarters?
P. K. Kheruka : There is no reason to expect otherwise. I see the whole world is full of uncertainty. Nobody knew on 27 February that there will be a big attack on Iran, on 28 February and all these problems will happen. So, we just were sitting normally at home. And 28, suddenly, there was this big war-like situation and that has had a major impact on oil supply for people around the world. So, nobody had expected. So just as it came from nowhere, who knows it might disappear into nowhere. And if this -- if there's a settlement between these 2 nations, then maybe things will resume to normal very quickly. So, nothing is very certain.
Ashok Jain : Just to bring in caution here is that about 6% of the sales impact in Q4 is on account of Ind AS impact and that has exhausted. So now to continue to expect the same amount of sales will not be right. This 6% will go off. So, on a run rate basis, if you want to look at maybe INR400 crores or thereabouts is a good -- INR400 crores, INR410 crores is a good amount to look at.
Dhiral Shah : Sir, if you can explain what is the 6% impact because of the Ind AS adjustment?
Ashok Jain : So, as you would know, the Ind AS accounting requires -- the accounting standards require you to recognize sales only when it is delivered as per the terms -- Incoterms. So, there are a lot of customers whom we've dispatched the goods in the, say, last 10 days or 15 days of the month of the quarter and if those goods are dispatched to far places or exported, those sales have to be reversed and it has to be shown as inventory. So, in this quarter, particularly the Q4 of last financial year, such sales were very limited and opening sales were very high. So, there is a positive addition to the sales for the quarter, which was earlier not recorded as sales and reverse d. So that way, sales have become higher in this quarter. Although these were sales earlier, but they were not included as sales earlier. So, on a quarterly basis, if you see, this quarter has received that credit, which is why the sales are higher in this quarter to that extent.
Dhiral Shah : Okay. So normal run rate would be around INR400 crores?
Ashok Jain : Yes, INR400 crores, INR410 crores, as I said.

Dhiral Shah : Okay. And sir, what kind of drop you have seen on the import side after this basic custom duty and antidumping duty that we have seen on the solar glass?
Ashok Jain : Are you looking at the volumes or how?
Dhiral Shah : Yes, on the volume side.
Ashok Jain: No. As the country is producing only 30% of the solar glass required, the rest glass is coming by way of imports only, which continue to happen despite the duty because the Indian producers cannot supply extra quantity. In the past, there were some invento ry buildup because the prices were lower from the imports. But from December '24 onwards, that situation has changed. Now domestic producers are able to sell their entire production. But on top of that, almost 70% of the demand is still outstan ding to be made, which is filled by the imports. So, imports are continuing at a higher price. That's the impact of the duty. And the Indian producers are able to seek a higher price to the extent of landed cost of imports, which is allowing them to show good performance, good results, which is

required for this kind of business.
Moderator: The next question is from the line of Vikram Sharma from Niveshaay.
Vikram Sharma : Congratulations for good results. Sir, I wanted to hear your views on rooftop solar business. We have very good market share in solar sales and solar glass is more B2B. So, we don't have any like sales distribution channel like Borosil Limited. Then why we are like trying or focusing on a very highly competitive rooftop market?
P. K. Kheruka : Borosil as a group has a lot of marketing experience across different market segments. And there has been a very strong representation by many different people who have come up and said, why don't you sell Borosil -branded modules and give Borosil solutions to rooftops. So, there is a certain amount of demand over there, because if we were to give a solution which includes the module and the inverter to begin with and maybe later migrate to installation as well, people would have faith in that , and we could -- they would give us a little bit of a premium ove r other people who are unknown.
So, this could become a very interesting business for us. As you may perhaps know, Tata Power itself is an EPC, and they are a contractor who agreed to set up installations for various customers. And we are looking at that possibility. It could be very interesting for us going forward.
Vikram Sharma : But don't you think this is a very competitive market like players like Havells, Luminous or Tata, all are in the market and they are doing very aggressive marketing this side.
P. K. Kheruka : Everything nearly in the world that you do is subject to some competition. This is kind of useful for us because we do manufacture the glass. And now we are developing new solutions. For example, we have a new solution, which is an anti -soiling solution, w here we apply the coating on the glass and that cleans off any dirt accumulated there, a little bit of water. So, the output

from the entire installation rises.

Now these are things which if we sell the glass to a module manufacturer, then he sells to an EPC, then the EPC sells to somebody, then these features are lost to the customer. In case we are able to sell our own product, our own branded glass, then we wou ld have -- we would be able to offer such solutions to customers who might find value in what we are offering.

Vikram Sharma : Okay. And like do we have plan to manufacture module plus batteries as well?

P. K. Kheruka : Yes. The idea is to be able to meet customers' demands, including batteries.

Moderator: The next question is from the line of Daksh Malhotra from Aariv Global .

Daksh Malhotra : Congratulations on the good set of results, sir. Most of my questions have been answered already. And just to take hint from the previous listing, on the rooftop, apart from this anti -soiling solution, do we have any other unique selling points? Or what is the larger trend or the larger thought behind going for rooftop? As you mentioned, we might venture into manufacturing inverters as the second phase. Is this something to do with the AL MM 3 or are we looking at something else in the future as Borosil rene wable?

P. K. Kheruka : See the thing is we are in this business. We 've been here for the last 16 years. People know us and people rely upon us. So, there is no doubt that we are – as a component manufacturer, we end up making a commodity product which people would buy and price it along with the commodity because our customers who are the module makers are in turn selling their products to people who are either EPCs or people who a re owners of projects and so on. And the only thing in our country that works is the price.

What we are seeing in recent years that when that – a lot of high -value products are also being sold in the country, it 's no longer the company that buys the cheapest car, the

cheapest home,
the cheapest furnishings, people are now ready to pay for quality. And unfortunately, we are not able to tap into that market. So, we are just migrating outward to see where we would end up, what could be the expectation customers have from their systems. I foresee in the years to come a growing dependence on self -gene ration across the whole nation. And the era of very large plants which are providing power to not be growing as aggressively as domestic personal generation.

And if you are coupling that with battery standby, you 're giving people a taste of self -sufficiency at a predictive price. Today, there is no – the price of power is not predictive. You don 't know what you're going to be ending up paying for your power. So, there are many reasons to consider going into this where you 're coming face -to-face with the consumer, where we are very comfortable with that. We make domestic appliances. We make so many products which are directly used by the consumer. And so, this would – this is an area where we have comfort.

Daksh Malhotra : Fair enough. Let 's – as long as we are not investing too much capital behind it, let 's see where it goes. And sir, you mentioned in the last call, there was some plant in Indonesia also which had fired up furnace. Now that we are talking to the government and have initial nod from the Director General for Counter Union Duties on Malaysia, are we expected to foresee some imports from Indonesia where we can have some price troubles?

P. K. Kheruka : I'll tell you something. A lot has changed in India so far as our customers are concerned. So, the domestic manufacturers of modules have undergone a significant change. And where is the change? The change is that the speed at which the modules are being made by the manufacturer has really gone up several times.

So, they are making a module every few seconds. And they cannot take risks with new suppliers who are giving them a product they 're not so sure about. So, to some extent, like pharma producers, when they buy packaging, they buy ampules and vials, which by the way, Borosil also manufactures, and we sell to pharma producers, they are very, very finicky. They 're very particular about the vials and ampules that they buy because they don 't want to lose any production because of the breakage of the packaging. An d these are all done at high -speed packaging lines.

So, in a similar way, a company which is manufacturing modules is dependent upon its profitability, if it is able to make the desired number of modules every hour. So, they have started valuing dependability and quality, etcetera, so that their production lines are not unnecessarily disrupted and they don 't have to lose production. So, with us, the customers who buy from us, they buy large volumes and they are happy with us. So, to answer your question about Indonesia, their market –their glass has come into the market. So far, it has not made any very great impact. It will take a while before they can actually break into large scale.

Daksh Malhotra : But sir, is it coming at lower prices or is it the ballpark of...
P. K. Kheruka : It’s not coming that much. You see it like this. The Chinese company based in Indonesia is very, very keenly aware of the prices at which glass is being sold in India. And they ’re also aware about the price at which glasses were being sold from China and even continue to be sold from China. But since they are an independent one company in Indonesia, there ’s no need for them to go down to that – to the Chinese price level.
So, their selling prices are very much higher than what they would have been if they ’re selling from China. So, the price pressure is not that high as we see at this time. We don ’t know about going forward. At this time, the price pressure is not so high. They ’re trying to keep their price a

t a level where it ’s just enough sufficiently attractive to their customer in India to buy from them.
Daksh Malhotra : All right. And what is the capacity of their production? Just if you have any idea, how much...
P. K. Kheruka : The Chinese factory in Indonesia has, I think, 1,500 tons per day. The shortfall in India is 7,000 tons per day. So even if they were to sell everything in India, it would still not make any impact on the domestic supply or demand for domestic glass. The prices might come under pressure, but we’ll wait and see.
Ashok Jain : There are limited customers who would potentially get material from Indonesia in any case. And today, there are multiple options available to the company in terms of the customers and also the demand is quite high. So, there is no great pressure in terms of the prices. And we are also working with the government to introduce BIS and get quality control order on the solar glass in the course of time. So, if the situation worsens in, say, next 1 year or 6 months, we will make...

P. K. Kheruka : Options are available, yes.
Ashok Jain : We can attempt to get these measures introduced by way of intervention from the government. And government is quite positive on the domestic production of solar components and entire solar value chain. So, we expect the prices not to come in under so much of pressure because of entry of Indonesia and the production.
P. K. Kheruka : You must also keep in mind, the ocean freight rates are very fluctuating quite wildly because of the uncertainty about supply of oil for the ships of oil fuel. So the prices -- export prices also are subject to that variation.
Daksh Malhotra : Yes, sir. But all these are short -lived mainly. As you said, this can end in a jiffy, if we get the BIS or some sort of government confidence that the minimum price level will be maintained and Chinese companies doesn't matter where this setup shop should not be undermining our prices, that will be a longer -term comfort for us and the Indian glass manufacturing community.
P. K. Kheruka : Something very positive, which has emerged in the last 2 or 3 years, 4 years is the Indian industries' very dramatic response to the government's dictum to manufacture in India. And once these incentives have been given for Indian manufacturing, the increa se in domestic manufacturing is staggering. As you can see, solar modules are well over 150 gigawatts. That's a very large capacity that we have in our country.
And the value chain even for glass for so many -- every aspect of solar component is being enhanced in an exponential way. So, the government can see that we are developing as a manufacturing power in solar as well. And so, I think they will be maintaining their stand to protect the industry.
Daksh Malhotra : Right, sir. And lastly, on the quarterly exit run rate, sir, had pointed out that we can consider for the first 3 quarters, the given run rate. And for Q4, do we anticipate maybe a 300 ton furnace getting fired up somewhere in December, early Jan and that giving boost to our Q4 numbers?
P. K. Kheruka : That is certainly our objective. That is our objective, but we are not saying so. I mean we are not saying first quarter...
Daksh Malhotra : In the Q2 con call.
P. K. Kheruka : We'll see. Probably Q2 con call, we'll have a better -- we'll have a closer picture at that time. We work very hard and we hope that we can satisfy all our own demand and our investors' demands.
Daksh Malhotra : Sir, if the demand is so good and the solar manufacturing is increasing, and especially after this West Asia war, why don't we plan to set up one more furnace and venture in our core competence if we anticipate there's a growing demand?
P. K. Kheruka : It's not at all out of the realm of possibility, let me say that. But we'll have to see how it goes. I've spent my life trying to

make sure that I don't disappoint. And I try to bite as much as I can chew, and getting 60% higher output. This is a skilled j ob, making solar glass.

It's not that by throwing money at something, it's not like buying a car, which is ready to be driven on the road. It is -- you have to fine -tune it every single installation. And having spent the last nearly 60 years of my life doing it, I'm fairly confid ent that I should remain within my bounds.

Daksh Malhotra : Noted. But if we announce and plan for it, the sooner we do it, it will take whatever time, let's say, 1 year, 1.5 years to set it up. And if we foresee that maybe -- okay, understood, sir. It's on the cards and you'll the right call.

P. K. Kheruka : If I may just interrupt at this point and say that can we stick to one last question, please, because it's been an hour and 15 minutes.

Moderator: Sir, that was the last question. The management can proceed with their closing comments.

P. K. Kheruka : Thank you very much, dear investors, for your searching questions, which show that you have been following the operations very closely. We continue to work for all our stakeholders and investors are a very important part of -- a very important stakeholder for the management of this company. And thank you very much. Good day to you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Axis Capital Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2026

July 22, 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip code: 502219 National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: BORORENEW

Dear Sirs,

Subject: Transcript of Analysts / Investors Conference Call
Please find enclosed transcript of conference call with Analysts / Investors held on Friday, July 17, 2026.
You are requested to take the same on records.
Yours faithfully,

For Borosil Renewables Limited

Kishor Talreja
Company Secretary & Compliance Officer
(Membership no. FCS – 7064)

Encl.: As above.

"Borosil Renewables Limited
Q1 FY27 Results Call "
July 17, 202 6

MANAGEMENT : MR. ASHOK JAIN – DIRECTOR – BOROSIL RENEWABLES LIMITED
MR. MELWYN MOSES – CHIEF EXECUTIVE OFFICER -- BOROSIL RENEWABLES LIMITED
MR. SUNIL ROONGTA – WHOLE -TIME DIRECTOR AND CHIEF FINANCIAL OFFICER – BOROSIL RENEWABLES LIMITED
MR. DHAVAL PATEL – ASSISTANT VICE PRESIDENT , INVESTOR RELATIONS – BOROSIL RENEWABLES LIMITED

MODERATOR : MR. ROHAN GHEEWALA – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Borosil Renewables Limited Q1 FY27 Results Call. As a reminder, all participant lines will be in the l isten only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing star, then zero on your touchtone phone. Please note that this conference is being r ecorded.
I would now like to hand over the call to Mr. Rohan Gheewala from Axis Capital Limited. Thank you, and over to you, sir.
Rohan Gheewala: Thank you. Good evening. On behalf of Axis Capital, I'm pleased to welcome you all to the Q1 FY27 Earnings Conference Call of Borosil Renewables Limited. We have with us the management represented by Mr. Ashok Jain, Director; Mr Melwyn Moses, Chief Executive

Officer; Mr. Sunil Roongta, Whole -Time Director and Chief Financial Officer; and Mr. Dhaval Patel, AVP, I nvestor Relations.

We will begin with the opening remarks from the management followed by an interactive Q&A session. Thank you, and over to you, sir.

Ashok Jain : Thank you, Rohan. Good afternoon, and welcome to the Borosil Renewables Q1 FY27 Investor Call for the quarter ended June 2026 . The standalone and consolidated results as approved by the Board on 16th July, and an updated presentation have been uploaded at both the stock exchanges and company's website. We will now discuss the operations of the company on a standalone and consolidated basis.

First, coming to the standalone results. Sales were INR405.69 crores versus INR332.26 crores in the corresponding quarter last year, registering a jump of 53%. Q4 FY26 immediately preceding quarter sales were INR437.62 crores, which included sales of INR32.07 crores of goods dispatched in previous quarters but delivered to customers in the Q4 FY26.

EBITDA was at 35% of sales at INR142 crores as against INR92.53 crores in the corresponding quarter last year, which was at 27.9% of sales. Q4 FY26 EBITDA was INR144.61 crores, which included INR9.77 crores on the goods of INR32.07 crores , as I mentioned some time ago.

The major increase in sales value came from the selling prices as the average ex -factory price during the quarter increased to INR160.30 per millimeter, per square meter as compared to INR138.10 in the corresponding quarter and INR150.20 in the preceding quarter. The selling price includes a fuel surcharge levied from 10th March 2026 to offset cost increase due to rising fuel prices after the outbreak of war in West Asia.

Sales in quantity terms were higher by 8% compared to the corresponding quarter. I'm happy to inform that we were able to operate the plants at full capacity despite disruption in fuel supplies and the prices led by war in West Asia. EBITDA margin has cons istently stayed above 33% for the fourth quarter in a row. We continue to work on efficiency improvements and cost reductions and expect further enhancement in the operational efficiencies.

Our new solar wind hybrid captive power plant, commissioned in March '26 has helped us increase the share of renewable power sources to 93% of the total power requirements of the quarter, making our processes more environment -friendly and also saving us on the cost.

The West Asia war situation seems to have slightly eased and the prices of fuels have come off in the last few weeks, although uncertainties still prevail. The government has already announced lifting of supply curbs, and we expect that full contracted vol umes will be made available after some time. This will bring the cost closer to the prior levels.

Solar manufacturing has seen a strong growth on the back of government support. The module manufacturing capacity in the country has reached 203 gigawatts compared to just 11 gigawatts 5 years ago on the back of support by way of PLI scheme, bas ic custom duty and ALMM scheme.

Similarly, solar cell manufacturing is now supported and ALMM 2 has been implemented with effect from 1st June 2026, mandating the use of domestically produced solar cells. This has led to increase in the capacity to 30 gigawatts already, which is now expe cted to rise to 75 gigawatts by 2027 as significant capacities are under installation.

Now government is extending similar support to ingot and wafer manufacturing by introduction of ALMM 3, which is scheduled from June 28, under which ingot and wafer will also be mandated to be sourced from local production. We expect ingot wafer capacities of about 50 gigawatts to come into production gradually by 2029. This will bring further resilience in the solar PV value chain in the country.

Various demand drivers introduced by the government helped annual solar installations to reach 45 gigawatts, which is equal to 62 gigawatts on DC basis in 2025 -26. Expected growth in demand from other emerging sectors like electric vehicles, data centers and green hydrogen will take this to even higher levels going forward, leading to an increased demand of solar glass.

Government support to develop domestic supply of components, for example, solar glass is also seen as the Ministry of Finance has issued a customs notification on 2nd June 2026, extending the CVD of 9.71% against import of solar glass from Malaysia for an additional period of 5 years. Earlier, you will recall that in December '24, government extended a major support by imposing anti -dumping duties on import of solar glass from China and Vietnam.

The 62 gigawatt module requirement translate s to solar glass capacity of about 11,000 ton per day against which local solar glass capacity stands at 2,600 ton per day, equivalent to 18 gigawatt, and the country depends on import s for the balance. Domestic solar glass production capacity is expected to rise gradually to 7,700 ton per day, which will be close to 51 gigawatt by

March '27, still leaving a supply gap.
A significant portion of these new capacities is for captive consumption. As such, the company has a ready demand for its ongoing expansion and the company does not see any challenges in selling the additional production in view of its customer relationshi ps. Work on our ongoing expansion of 600 ton per day at existing location is in full swing, and we expect the commissioning of the project in Q4 FY27. Once commissioned, this will result in sales to rise by 60% with corresponding rise in the EBITDA amount.
Company is exploring further opportunities for the next round of growth.
Now I come to the consolidated results for the quarter. The overseas subsidiaries, including the step-down subsidiaries did not generate any revenue for Q1 FY27 and had a negative EBITDA of INR0.84 crores as against net revenue of INR14.32 crores and negative EBITDA of INR23.24 crores in the corresponding quarter last year.
The consolidated net revenue for the quarter stands at INR405.69 crores and EBITDA at INR141.16 crores as compared to net revenue of INR346.58 crores and EBITDA of INR69.28 crores in the corresponding quarter last year.

With these words, I would like to now open the floor to questions that you may have. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Shivam Gupta from Trinetra Asset Managers .
Shivam Gupta: I want to know, like profit nearly half from INR169 crores in Q4 to INR87 crores in Q1, despite revenue decline only 8%. What significantly dropped the margin compression this quarter?
Ashok Jain : Sorry, I didn't get your question. The numbers which you are mentioning do not seem to be in line with what numbers we have announced.
Shivam Gupta: I'm telling like profit was INR169 crores in Q4, and it went to INR87 crores in Q1, and revenue only declined around 8%. What significantly dropped this disproportionate margin compression this quarter?
Ashok Jain : No. Actually, I'll just repeat the numbers for the quarter. The revenue has been INR405.69 crores and EBITDA has been INR142 crores as against the revenue of INR332 crores in the previous corresponding quarter and INR92 crores of EBITDA in the corresponding quarter. So in fact, the performance has been significantly better. The EBITDA has risen by 53%. There is no drop in the profit. I don't know which numbers you are referring to.
Shivam Gupta: Sir, I'm comparing from Q4 to Q1, like profit number, net profit?
Ashok Jain : Okay. Q4. So Q4, if you really look at Q4 of FY26, the EBITDA was INR144 crores and Q1 number is INR142 cror

es. So it's just about there only, same numbers almost.
Shivam Gupta: Sir, I 'm talking about the net profit?
Ashok Jain : Are you talking of the PAT?
Shivam Gupta: Yes, sir.
Ashok Jain : Okay. So I'll just explain that. In the quarter 4 of last year, we had recognized the tax shield on the amount provided against the German subsidiary investment of INR325 crores. So what had happened was that in the Q1, Q2, Q3, we had not considered any tax rebate, and we provided tax. But when we got to know from the court administrator that there is nothing which Borosil or the shareholder is going to receive out of t he proceedings, we consider ed that as a write -off. We have written off the investment in books. And accordingly, the tax shield has been taken into account. So the tax provision has been recalculated, which is why you see that the PBT is INR120 crores and the PAT is INR169 crores because the INR75 crores of tax provision has been written back on that investment and it has resulted in a higher PAT. So if you really remove that INR75 crores, the performance is not inferior. Am I making it clear?
Shivam Gupta: Yes, sir.
Ashok Jain : Okay. Thank you.

Moderator: The next question is from the line of Purvi from RV Investments.
Purvi: I wanted to ask what is the U.S. impact on the company, the impact of U.S. or the tariff, what is the impact of that on the company?
Ashok Jain : Which tariff?
Purvi: Like on tariffs put on by the U.S. government. Is there any problem that you are facing on the export side?
Ashok Jain : U.S. government. So actually, our exports to U.S. are very, very small. And we are dealing with customers who are having niche products and niche applications. So our export to that extent are

not impacted. However, we foresee that U.S.A. may become a significant market to look at in
future. But as of now, it's a very small percentage of our portfolio. Our domestic demand in India
is quite high and the prices are g ood. So we are more focused on the domestic business as of
now.
Purvi: And sir, you have also started a rooftop solar business. So what are the revenue expectation from
the new business?
Ashok Jain : See, we have started this new initiative to leverage the brand and to use the acceptability of
product of the company and the group. And this is very early stage to see what would be the
outcome finally. But our internal target is to generate revenue of about INR36 crores in this
financial year. In the first quarter, the revenue was about INR1.3 crores. We have just started
with small projects. And as we go along, the awareness will increase and our team has been
already built up, so which will be obtaining more business, and we hope to do a good job here.
Purvi: And sir, what about the capacity expansion? Are you planning for any debt increase? Or are you
planning for equity raise?
Ashok Jain : No. For the current expansion, which is already ongoing, we are already fully funded. And for
the next round of expansion, whenever we decide on the project and the size of the project, we
will take a call about financing it. But I think looking at the current run rate of profitability for
the next, say, after the current project is commissioned by March '27, for next 1 year or 2 years,
we will generate certain cash and that will provide by way of equity support for the next
expansion. And some amount of debt may be required in case the size of the project is high. We
don't foresee any equity raise in the near future.
Purvi: Another question, sir, the working capital days has been increased from 34 to 152 in the current
year. So do we -- can we see any decrease in the working capital days?
Ashok Jain : So working capital days have not -- according to us, not gone up substantially. Slight increase is
there because of the store inventory and other things. But in fact, we do not ca

rry much stock of
finished goods or WIP. So I'll have to really look at from where you are getting this number, 152
days. Our working capital is just about 60 days.
Moderator: The next question is from the line of Dhairya Trivedi from DJT Investments.

Dhairya Trivedi: Congratulations on a great set of numbers. My question is long term. As per my understanding,
at the moment, the Indian producers are able to seek a higher price because the landed cost of
imports is higher than domestic prices. And now with the domestic c apacity expected to rise
from 2,600 tons per day to 7,700 tons per day by March 2027, how will the price get impacted?
I understand that a lot of the capacities are captive consumption. But do you expect the domestic
prices to move downwards because of thi s?
Ashok Jain : Actually, the demand in the country is quite high. And currently, the domestic industry is able
to supply only about 25% of the demand. So even after the capacities have expanded to 7,700
tons per day, it will still be 75% of the demand only. And as I men tioned, a lot of these capacities
are coming from the players who are using it for captive. The capacity available in the market
will not rise substantially.
In any case, the competition will remain, whether from imported or domestic goods. But because
the demand is very robust and we are having reference price as the import price parity, we don't
foresee any kind of challenge on the pricing.
Dhairya Trivedi: Right. Understood. And sir, is it fair to assume that we'll maintain the current revenue and
EBITDA rate for the rest of the financial year?
Ashok Jain : Well, it will not be appropriate to give any guidance like that, but we are expecting that if all the
things remain the same, we continue to -- we hope to continue to do in a similar way.
Dhairya Trivedi: Okay. Understood, sir. Thank you, all the best.
Ashok Jain : Thank you so much.
Moderator: The next question is from the line of Siddharth Jain from Sattva Ventures.
Siddharth Jain : So my question is, sir, how do you look Borosil Renewables as a company growing from FY28,
say, for next 5 years? So what is the vision of the company? How big the company wants to
become, say, towards the INR4,000 crores, INR5,000 crores top line?
And how do we plan to get into on the last call, Kheruka j i had mentioned that Borosil is also
evaluating options to get into inverter, backward integrated into inverters and get into multiple
solar rooftop products. So just I'm interested as a long -term investor, what are the growth
prospects the company is looking for next 4, 5 years?
Ashok Jain : Well, this is a very important thought for the management of the company to grow the company
from here. And after the current expansion, we need to certainly take up some other project,
which will enhance the company's turnover, profitability as well as pr ovide it more diversified
base of revenue streams.
So we are looking at options, including additional solar glass furnace because the demand is still

very robust. The gap is still there, and there is a possibility for coming up with more production of solar glass. But at the same time, we are also evaluating other options in the allied or adjacent fields where we can invest in terms of glass, our expertise remains in glass production.

So we are also looking at certain other areas where it could be more interesting compared to expanding in the same product. So we hope to conclude on these aspects in next 6 months or so. And the project size and the turnover, everything will be known by that time, but we certainly are looking to grow this company from here after March '27 from INR2,500 crores to at least INR4,000 crores or so. So that's how we are looking at in terms of growing the company in the next 3, 4 years.

Siddharth Jain : That's very helpful. Sir, another question -- one last question I had that in the current capacity utilization, we are increasing -- in the current new capacity, we are increasing our total capacity from 1,000 TPD to 1,600 TPD. If say, further we want to d o any further capex on the 600 TPD, can we increase the capacity more by spending some amount of capex in the new facility, say more 500, 600 TPD if possible, if the company feels so? Or again, we have to go for an entire greenfield kind of a project?

Ashok Jain : So this will be a separate project only because whatever expansion we are doing currently is already fully designed and layout is frozen and building is already getting constructed accordingly. So if we decide to add more capacity, it will be a new projec t and new building and new facility only. It may be in the same premises and in same location, but it will have to be constructed as a new and the project size whether 600 or 1,200 will depend on what decision the management and Board takes at an appropriate time.

Moderator: The next question is from the line of Sidhaant Lodaya from Sanshi Fund.

Sidhaant Lodaya: I had a question regarding the solar rooftop business only, but it's answered now.

Ashok Jain : Thanks. Okay.

Moderator: The next question is from the line of Sanyam Dhoka from Frontwave Research.

Sanyam Dhoka: Sir, I just had a couple of questions. For the expansion of our 600 TPD that we'll be going live, how is the timeline looking, sir? Is everything on track or we are seeing some delays?

Ashok Jain : So it is going on as per the plan, and we hope to complete the construction and everything by December '26 and commission the project within first quarter, that is January to March '27.

Sanyam Dhoka: So both the furnaces, SG4 and SG5?

Ashok Jain : Well, we want to start both the furnaces. It will be done one after another. So there may be a gap of maybe 1 month or so, but both will be commissioned by March '27.

Sanyam Dhoka: So we'll be seeing the entire revenue from FY28 for both the furnaces?

Ashok Jain : Yes, absolutely.

Sanyam Dhoka: Okay. And sir, also for this expansion that we have done, the incremental volume, is it earmarked for existing large accounts scaling up or like widening of customer base? Any commitments from any large manufacturers?

Ashok Jain : So it will be decided at the appropriate time because existing customers also are looking for more volumes. And on the other hand, we are currently not able to service some customers which we would like to take on Board.

We have been supplying to them in the past, but because of the paucity of material, we have not been able to supply to them. So we may add a couple of those customers whom we wanted to take on board, which we are not able to do. And also, we will increase supplies to some of the existing customers.

Sanyam Dhoka: Okay. And also, sir, if you can shed some light on like the solar glass revenue between the large integrated module manufacturers versus the smaller and unorganized module makers that we have fo r our customers roster?

Ashok Jain : So now every module manufacturer is becoming big and big. And if you really -- you look at the numbers earlier, the people were in 100, 200, 300 megawatts and now everybody is in gigawatts. You might see at least 10, 15 of them between 5 to 15 gigawatts even.

So broadly, our supplies are to customers who are large or medium. But small customers also, we are servicing to the extent we can. And in terms of I would say, concentration, if you ask me on the customer concentration, our top 10 customers would be almos t 65% to 68% of the total volume.

Sanyam Dhoka: Okay. And with this new expansion coming in, we'll be able to cater more players because it's like we are the biggest one out there and like everyone wants the best glass for the m

odule, right?
So I think we'll be able to cater to all small players as well as to such large orders, which we will be seeing down the line?
Ashok Jain : Yes. So while we will attempt to service the existing and new customers as well, but we'll have to see how the module industry actually consolidates in the next 1 year or 1.5 years because the module capacity has run up very fast, and it is far in excess of requirement.
So there may be some adjustment. And because of the technology also, you might find that the module manufacturers who have got their plants based on Mono PERC cell, they may not be able to perform or the module players who do not have cell production facilit y or do not get enough cell for domestic production, they might not be able to continue or their volumes might drop.
So we'll have to see how the situation pans out and then take our call on customer arrangements, which customers we would continue to deal with or which customers whether they perish or they consolidate or whatever happens to them.
Sanyam Dhoka: Because of the ALMM coming in, the cell will have to be domestic. So a lot of changes throughout the industry will be happening. So our expansion plan post FY27, like for FY28, if we see, do company have some framework or any understanding for like what more we can do from here on?

Ashok Jain : Yes. So I mentioned some time back that we are evaluating both options like whether to increase capacity in solar glass itself by setting up additional furnaces or whether to go for some other product, which also diversifies our revenue stream and de -risk from the perspective of concentration on single product. So we have been evaluating these options, and we will take another 5, 6 months before finalizing any particular strategy.
Moderator: The next question is from the line of Anuj Jain from Globe Capital. Anuj's line has dropped. W e move to the next participant.
The next question is from the line of Deepak Purswani from S van Investments.
Deepak Purswani: Sir, just wanted to check regarding -- if you can please repeat regarding the volume growth, what was the volume growth in this quarter?
Ashok Jain : Volume growth compared to the corresponding quarter was 8%, in terms of sales.
Deepak Purswani: Okay. And what was the yield in the plant in this quarter?
Ashok Jain : The net production was also about 10% higher compared to corresponding quarter. It was 1 25 lakh square meter s.
Deepak Purswani: Okay. Okay. Sir, I mean, if I were to look into the realization part, this INR160.3, does it also include in the calculation of fuel surcharge, which we were discussing and that's the reason the realization is appearing to be higher? Because when I'm doing on the implied basis, the volume growth based on this realization, there seem s to be some decline. So just wanted to double check on this?
Ashok Jain : Yes, you're right that INR9.50 was the full fuel surcharge, which we had invoiced to our customers, and that is included in INR160. So which is why you see that the realization from INR150 has increased to INR160 in this quarter compared to the previous quarter. And the decline in volume, what you are looking at probably is from Q4 FY26 and not Q1 FY26.
Deepak Purswani: Okay. No, probably the realization was higher at 160 and hence, I was getting a decline in the volume even on a year -on-year basis, but I got it probably at a lower realization, there might be some growth in the volume. And secondly, on this part, sir, con sidering the current scenario, like you mentioned, there is also some easing out of the fuel supply. How should we see this fuel surcharge in the coming quarter as well?
Ashok Jain : See the situation, as you know, is very dynamic and the U.S. President has been behaving differently on everyday basis. So although the fuel situation has -- had eased out a litt

le bit after
the war was stopped and there were agreements that there will not be a further exchange of firing and all.
But again, what is happening. So prices have dropped slightly from the perspective of international gas prices or oil prices. But every day, there is a change in the oil prices, you can see that already. It moved down to $72, $ 73 and again to $85 and all.

So we don't know how it will finally pan out in next coming months or so. In the meantime, whatever price decline we got from the suppliers of energy, basis that we already curtailed the fuel surcharge for the customers. This INR9.5 has been slightly curtailed to adjust the decline in cost.
So that will happen because we had committed to our customers that whatever reduction happens

in the oil prices or gas prices, we'll pass it on to the customers. So we have started to do that.
Deepak Purswani: Okay. And finally, sir, just wanted to check about this SG1 and SG2 refurbishment, which we were planning, when that is going to be lined up from a time line perspective? And what would be the duration for that?
Ashok Jain : So this actual event will happen as and when the situation becomes necessary for the refurbishment. Right now, the furnaces are working properly. SG1, we had some issues where we have done some patching of the tiles for nearly 4, 5 days. We had done that wor k and now the furnace is working properly.
Although we are keeping the materials ready for the furnace repair, but actual repair might happen somewhere in 2027. Whether it will happen in Q1 or Q2 or Q3, right now, I cannot commit. But my sense is that once we have commissioned the SG4, SG5 and the production has come into market, it will be sensible to do planned repair around that time, which could be in, say, Q1 of next year or so.
But if there is some urgency, then we might have to do it earlier as well, because if the furnace is giving away, then we cannot hold back on our planning, and we have to just execute the repair.
Moderator: The next question is from the line of Karan from Niveshaay .
Karan: Sir, you said that the furnace would be going complete by December. So could we expect some revenue in Q4 or would that quarter go for stabilization of those furnaces?
Ashok Jain : So while we expect the stabilization to happen quickly after the furnaces have been fired but for glass furnaces of this nature, 1 or 2 months could be absolutely necessary for stabilizing. So we would like to be cautious here. And in that sense, we'd like to consider revenue only from April. Although internal target is to consider revenue from 1st of March. But from any modeling point of view or any projection point of view, I would advise to be conservative and take from 1st April.
Karan: Understood. And also we have already commissioned the renewable project. So if you could maybe quantify what kind of savings can we get at the power cost on a yearly basis from the added capacity?
Ashok Jain : So from the last solar wind hybrid project, which we have commissioned in March, the annual savings are expected to be about INR18 crores per annum although the savings have been higher in the current quarter, that is April to June because wind and solar both have been very good. Generation has been very good. Our savings were more than INR6 crores in the quarter. But on an annual basis, if you were to ask me, the figure would be about INR18 crores per annum.

Karan: Understood. And also there were some articles regarding the strategic investment. If you could -- if you want to maybe highlight any ongoing advanced talks regarding this?
Ashok Jain : I cannot offer any comment on this.
Karan: Understood. No problem.
Ashok Jain : I'm sorry. Yes.
Moderator: The next question is from the line of Purvi from R V Investm

ents.
Purvi: Sir, you also mentioned that you are planning to sell inverters and lithium batteries. So what are -- what is the future in this? Can you explain, please?
Ashok Jain : So actually, what we are doing is we have decided to introduce a solar kit, now that what it contains is a module, an inverter and a battery. So it's a complete system, a solution which a homeowner can own and we can supply. And we are not independently selling ba tteries or inverters like that.
So it's a system, solar power rooftop. So we are currently focusing on the o n-grid system, which is like, say residential rooftops, then we'll gradually probably enter into C&I as well. But as of now, small size rooftops, which are required by homeowners is something what we are looking at.
Purvi: So revenue expectation from this segment?
Ashok Jain : See, this is at a very nascent stage as of now. And although the opportunity we see is bigger in the sense the market is quite large. And we are taking various steps as of now in terms of entering into a new field where we were not present, although our name and our brand is very well known in the market, but it's a different segment as such. So we are moving selectively right now, starting with two, three states and then we will see further strategies and how to grow this to a higher level. But we, of course, see this as a much bigger opportunity in terms of turnover. In terms of the profitability, it's not similar like glass manufacturing, where you can expect 30% , 35% EBITDA. Here, the profitability will be much lower in single digit. And I think the volume -- since the volume could be higher, even the single digit would be material in terms of the profitability.
Purvi: Sir, you have also said that you are expanding your capacity by 600 TPD by December 2026. So what kind of revenue can you -- addition can you expect from this?

Ashok Jain : So our expansion is exactly 60% of the current capacity. And we are assuming the prices to remain same way. So 60% will be extra production and our EBITDA will rise correspondingly.
Purvi: Nothing in absolute numbers?
Ashok Jain : See, absolute numbers are very difficult to predict as of now b ut we can take current numbers and then extrapolate probably. So if you were to ask me any numbers, in current quarter

EBITDA, suppose it is INR142 crores, you can expect another INR80 crores to INR85 crores to be the extra EBITDA, assuming everything remains in line with what we are doing today.
Moderator: The next question is from the line of Chetan, an Individual Investor .
Chetan: Sir, my question is about the new ventures of solar rooftop solutions. Sir, could you share the revenue contribution of this business along with its EBITDA margin profitability profile? And sir, how, as an investor, I should think about the long -term margi n potential of this business compared with the core solar glass business?
Ashok Jain : Yes, I just said about this that it's a very early stage for us to give you any projection, any guidelines on this number that what will be the turnover and all. As I mentioned some time back, our current year internal plan is to generate revenue of about INR36 crores in this business, INR36 crores for this financial year.
And EBITDA numbers are or the profit numbers are going to be in single digits, which is what I just mentioned. Unlike solar business where solar glass is a manufacturing business, and this is more of a trading business where you have to buy all the three c omponents from elsewher e and then offer as a solution.
So the numbers are not in line with solar glass profitability, but we expect to grow this business. And if the volumes become sizable, then even a smaller percentage would also mean additional revenue, additional profitability of a sizable amount.
Chetan: Okay. And sir, my second question is your

-- I mean, average selling price is increased to INR160.3 millimeter from INR150.2 millimeter square in the preceding quarter. So sir, is it -- I mean, as you mentioned, is it because of the -- I mean, rise in the fuel charges because of the West Asian crisis? But sir, in future, if everything would be normal, then this -- I mean, realization would be same or it would be reduced?
Ashok Jain : Yes. I just mentioned some time back that INR9.50 is a fuel surcharge, which we have been charging to our customers , we have started to reduce the fuel surcharge already as the cost of fuel, which we are paying earlier has reduced. So this INR160 or INR150, the gap of that INR9.50 will keep compressing as the fuel cost goes down bec ause it was to offset the cost. And if the cost has gone down, then we have no reason for it to be continued in fairness to the customers. So this might compress as the fuel costs go down, but it won't affect the profit because on the other hand, the costs would have also gone down.
Moderator: The next question is from the line of Dhairya Trivedi from DJT Investments.
Dhairya Trivedi: Sir, I just had a question on the gross margins. This quarter, the gross margins are almost to the tune of 80%. So are we likely to maintain that going forward?
Ashok Jain : It is how you define the gross margins is something which we need to be aligned. I think you are taking only the raw material consumption.
Dhairya Trivedi: Right.

Management: Yes. And since we are a manufacturing company, we generally take manufacturing expenses also and calculate gross margin. But assuming that whatever way you are considering it, we have a gross margin of about 78%, I think, from the perspective of numbers what I can see. And raw material cost is about 23%, 24% or so. So since we do not expect a significant change in t he raw material prices and selling prices are more or less constant in that sense, we don't foresee a volatility in the gross margins.
Dhairya Trivedi: Okay. So sir, does that mean that the EBITDA margins can move higher?
Ashok Jain : Please repeat your question?
Dhairya Trivedi: I mean assuming that the gross margin will stay at about 80%, can we assume that the EBITDA margins will move higher compared to what we've done in the previous financial year? Because there the gross margins are lower?
Ashok Jain : Yes, obviously, because you know the anti -dumping duty came into effect in December '24. And thereafter, we gradually raised our prices -- selling prices. So in the first 3 to 4 months of the financial year also, that is financial year '25, '26 also, the prices were not at the full level and the prices have peaked after that. So obviously, there will be some amount of extra profitability in the current financi al year because we hope to see full prices throughout the year.

Dhairya Trivedi: Right. And when we undergo maintenance of SG1 and SG2 sometime in the next financial year or end of this financial year, do we foresee any loss of volumes because of that?
Ashok Jain : Yes, because the furnaces will have to be brought down. They have to be dismantled and re - erected in the sense that whatever refractories have got worn out will have to be replaced. So there will be a shutdown of production for nearly 75 days. And to come back into production, it will take another 15 days. So almost for 90 days, there will not be a glass production in furnaces, whichever have to be taken for repair. And after that, it will be business as usual.
Dhairya Trivedi: Okay. So, which means we may not get the entire...
Ashok Jain : But this is typical to any glass furnace for that matter. And every 6, 7 years or so, the furnaces have to be rebuilt because refractories are very corrosive and they are in contact with a high temperature at 1,600 degrees. So it's a part of the industry.
Dhairya Trivedi: Rig

ht. So which means we may not get the entire 1,600 tons per day for the next financial year?
Ashok Jain : You're right. To the extent we put down the furnaces for repairs, there will be quantum loss.
Dhairya Trivedi: Okay. And sir, can you please reiterate the timeline for this repair and maintenance of the two furnaces?
Ashok Jain : So timeline is not certain, I mentioned some time back, and we will have to see whether and when we are required to take them for repair, maybe in quarter 4 of this financial year or quarter 1 or quarter 2 of next financial year.
Dhairya Trivedi: Okay. And sir, just one last question. What was the capacity utilization for this quarter?

Ashok Jain : Capacity utilization is full actually. We are operating at full production and 1,000 ton is our capacity and we operate at 1,000 tons per day.
Moderator: The next question is from the line of Kanoria Nikhil from Sunidhi Securities.
Kanoria Nikhil: Firstly, congratulations on a decent set of numbers. Sir, just wanted to recheck with you, you said to a previous participant that you had done some minor, major work to the first two furnaces. So if you can say, what was the number of days for which it wa s carried on?
Ashok Jain : So it was a small patchwork for one of the furnaces, which lasted for, I think, 4 days. And for those 4 days, we did not have production. So I think that was about -- in terms of value, it was close to INR3 crores, I think.
Kanoria Nikhil: Okay, sir. And the next maintenance, you are expecting it to come post you commission the capacity expansion. But having said that, if it might come earlier, we might do it. But as we speak, the plan is to -- like we are not seeing anything coming up in t he immediate future, right?
Ashok Jain : Yes, you are right.
Moderator: The next question is from the line of Sonal from Prescient Capital .
Sonal: Sir, my first question was with regard to the tax rate. This quarter, the effective tax rate is 26%. I just want to reiterate; this is what we should be assuming for the whole year or are there some...
Ashok Jain : Yes, I think it's about 25.2%, which is what we should assume.
Sonal: For the whole year?
Ashok Jain : Yes.
Sonal: My second question, sir, from a promoters' time share perspective and the time share of the promoters, they have three businesses which are running. I just want to know how do they spend time on this one vis -a-vis the others. And to an investor, I think this looks a far more complicated business because of too many macro balls lying beyond your control. So how do -- first question is how do promoters allocate in juggle time? And what is it that they have in mind for, let's say , a 4, 5 -year outlook for this particular business?
Ashok Jain : So we have three listed companies with different products , different businesses. And as you rightly mentioned, this business is more policy -driven or involved business from the government intervention point of view. And there are a lot of changes or moving parts in the whole entire ecosyst em of the solar and renewables.
So obviously, somebody has to give complete attention. Mr. P.K. Kheruka, who is the Chairman -- Executive Chairman, he is completely focused on this business. And he looks after, along with him, there is a CEO, who is on the line Mr. Melwyn Moses is there. Mr. Roongta, who is Whole - time Director and CFO, is also on the line.

So there is a team below him, which is on a day -to-day basis, managing the affairs of the company. But he's also deeply involved in the entire operations and business. And regarding the government intervention and other eco, Mr. Kheruka and myself are gen erally involved for the government representations and handling the po licy advocacy and other things.
So this is a setup which we have fo

r Borosil Renewables. In terms of the other businesses, Mr. Shreevar Kheruka for Borosil Limited is the Vice Chairman, and he looks after the -- he is the MD also and below him, there is a CEO who looks after the day -to-day business. And then, of course, the plant teams are there and various functional teams like finance and other things are there. Similarly, for Borosil Scientific, also a separate team is there, which i s independently working and focused on the growth of that business.

Moderator: Ladies and gentlemen, that was the last question of the day. I would now like to hand the conference over to the management for closing comments.

Ashok Jain : Thank you so much to all the investors for being present and coming into this conference of Borosil Renewables and asking detailed questions. I hope I was able to do justice to your questions by replying you satisfactorily. We at Borosil Renewables are looking to grow shareholder value all points in time. And we -- our team is fully committed to commission the project and deliver the desired results from, say, Q4 FY27. With this, I would like to end the conference. Thank you so much.

Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.